Class Deviations - 5 November 2026
The Principal Director of Defense Pricing, Contracting, and Acquisition Policy (DPCAP) issues class deviations when necessary to allow organizations to deviate from the FAR and DFARS. Below are all the current DoW class deviations in effect. All other deviations are archived by year.

Class Deviation 2026-O0051 - Implementation of Vendor Threat Mitigation Support Authorities
(11 June 2026)

Class Deviation 2026-O0044 - Contract Obligations in Advance of Fiscal Year 2026 Funds
(2 February 2026)

- Attachment, Class Deviation 2026-O0044 - Contract Obligations in Advance of Fiscal Year 2026 Funds
(2 February 2026)

Class Deviation 2026-O0033 - Acquisition of Dinnerware and Stainless-Steel Flatware
(8 January 2026)

- Attachment 1, Class Deviation 2026-O0033 - Acquisition of Dinnerware and Stainless-Steel Flatware
(8 January 2026)

Class Deviation 2025-O0007 - Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies
Providing Covered Semiconductor Products and Services to Huawei
(22 September 2025)

Class Deviation 2025-O0005 - Prohibition on Procurement of Paper Straws
(6 March 2025)

Class Deviation 2025-O0004 - Revocation of Executive Order on Sustainability
(7 March 2025)

Class Deviation 2025-O0003 - Restoring Merit-Based Opportunity in Federal Contracts
(4 March 2025)

- Attachment, Class Deviation 2025-O0003 - Restoring Merit-Based Opportunity in Federal Contracts
(4 March 2025)

Rescission of Class Deviation 2025-O0002 - Waiver of Project Labor Agreement Requirements
(02 June 2025)

Class Deviation 2024-O0014 - Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems
(28 August 2024)

- Attachment, Class Deviation 2024-O0014 - Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems

(28 August 2024)

Class Deviation 2024-O0011 - Special Acquisition Authority for Rapid Contracting for Combatant Commanders
(15 April 2024)

Class Deviation 2024-O0009, Revision 1 - Prohibition on Required Disclosure of Information Relating to Greenhouse Gas Emissions
(27 August 2025)

Class Deviation 2024-O0008, Revision 1 - Revision of Small Purchase Exception for the Acquisition of U.S. Flags
(5 March 2024)

- Attachment, Class Deviation 2024-O0008, Revision 1 - Revision of Small Purchase Exception for the Acquisition of U.S. Flags
(5 March 2024)

Class Deviation 2024-O0007 - Section 890 Pilot Program to Accelerate Contracting and Pricing Processes
(8 February 2024)

Class Deviation 2024-O0006, Revision 2 - Prohibition Regarding Russian Fossil Fuel and Fossil Fuel Business Operations
(7 October 2026)

- Attachment, Class Deviation 2024-O0006, Revision 2 - Prohibition Regarding Russian Fossil Fuel and Fossil Fuel Business Operations
(7 October 2026)

Class Deviation 2024-O0005 - Temporary Authorizations for Covered Contracts Related to Ukraine, Taiwan, and Israel
(8 January 2024)

Class Deviation 2024-O0001 - Implementation of Injunction of Executive Order 14026, Increasing the Minimum Wage for Federal Contractors
(4 October 2023)

Class Deviation 2023-O0008 - Commercial Products and Commercial Services Omnibus Clause for Acquisitions Using the Procurement Desktop-Defense System
(18 September 2023)

- Attachment 1, Class Deviation 2023-O0008 - Commercial Products and Commercial Services Omnibus Clause for Acquisitions Using the Procurement Desktop-Defense System
(18 September 2023)

Class Deviation 2023-O0006 - Limitations on the Procurement of DoD Non-Tactical Vehicles
(10 May 2023)

Class Deviation 2022-O0010, Revision 1 - Prohibition on Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid
(23 December 2022)

- Attachment 1, Class Deviation 2022-O0010, Revision 1 - Prohibition on Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid
(23 December 2022)

Class Deviation 2022-O0005, Revision 2--Pilot Program for Streamlining Awards for Innovative Technology Projects
(6 April 2023)

Class Deviation 2022-O0004 - Requirements for Nonavailability Waiver Determinations Under the Buy American Statute
(16 November 2021)

Class Deviation 2022-O0001 - Revision 1 - Threshold for Obtaining Certified Cost or Pricing Data for Subcontracts and Price Adjustments
(7 October 2021)

- Attachment, Class Deviation 2022-O0001 - Revision 1 - Threshold for Obtaining Certified Cost or Pricing Data for Subcontracts and Price Adjustments
(7 October 2021)

Rescission of Class Deviation 2021-O0009 - Ensuring Adequate COVID-19 Safety Protocols for Federal Contractors
(24 May 2023)

Class Deviation 2021-O0008, Revision 1 - Limitations on Subcontracting for Small Business
(15 February 2023)

- Attachment, Class Deviation 2021-O0008, Revision 1 - Limitations on Subcontracting for Small Business
(15 February 2023)

Class Deviation 2021-O0004 - Requirements for Contractor Personnel Performing in the U.S. Southern Command Area of Responsibility
(18 February 2021)

- Attachment, Class Deviation 2021-O0004 - Requirements for Contractor Personnel Performing in the U.S. Southern Command Area of Responsibility
(18 February 2021)

Class Deviation 2021-O0003 - Prohibition Against Using Fiscal Year 2021 Funds to Maintain or Establish a Computer Network Unless Designed to
Block Access to Certain Websites
(2 April 2021)

- Attachment 1, Class Deviation 2021-O0003 - Prohibition Against Using Fiscal Year 2021 Funds to Maintain or Establish a Computer Network Unless Designed to Block Access to Certain Websites
(2 April 2021)

Rescission of Class Deviation 2021-O0001 - Combating Race and Sex Stereotyping
(28 January 2021)

Class Deviation 2020-O0016 - Original Documents, Signatures, Seals, and Notarization
(30 April 2020)

Class Deviation 2020-O0014 - Flexibilities for Electronic Delivery of Information Related to Suspensions and Debarments
(20 April 2020)

Class Deviation 2020-O0013 - Revision 4 - CARES Act Section 3610 Implementation
(23 March 2021)

- Attachment, Class Deviation 2020-O0013 - Revision 4 - CARES Act Section 3610 Implementation
(23 March 2021)

Rescission of Class Deviation 2020-O0011 - Revision 1 - Submission of Interim Vouchers Under Classified Contracts, effective December 31, 2022
(20 September 2022)

Class Deviation 2020-O0010 - Revision 2 - Progress Payment Rates
(8 May 2023)

- Attachment, Class Deviation 2020-O0010 - Revision 2 - Progress Payment Rates
(8 May 2023)

Class Deviation 2018-O0019 - Contractor Personnel Performing in Japan
(30 August 2018)

- Attachment, Class Deviation 2018-O0019 - Contractor Personnel Performing in Japan
(30 August 2018)

Class Deviation 2018-O0002 - One Time Deviations--Section 830(d) Pilot Program for Acceleration of Foreign Military Sales
(22 March 2018)

Class Deviation 2017-O0009 Products and Services from the African Host Nation-Djibouti
(15 September 2017)

Class Deviation 2017-O0004 - Contractor Personnel Performing in the United States Central Command Area

of Responsibility
(15 September 2017)

- Attachment, Class Deviation 2017-O0004 - Contractor Personnel Performing in the United States Central Command Area of Responsibility
(15 September 2017)

Class Deviation 2016-O0008 - Contractor Personnel Performing in United States Africa Command Area of Responsibility
(10 June 2016)

Class Deviation 2015-O0017 - Earned Value Management System Threshold
(28 September 2015)

- Attachment, Class Deviation 2015-O0017 - Earned Value Management System Threshold
(28 September 2015)

Class Deviation 2014-O0011 - Determination of Fair and Reasonable Prices When Using Federal Supply Schedule Contracts
(13 March 2014)

Class Deviation 2014-O0007 - Prohibition on the Use of the 8(a) Business Development Program for Acquisition of Military Simulation and Military Simulation
Training
(14 March 2014)

Class Deviation 2013-O0018 - Past Performance Evaluation Thresholds and Reporting Requirements
(24 September 2013)

- Attachment, Class Deviation 2013-O0018 - Past Performance Evaluation Thresholds and Reporting Requirements
(24 September 2013)

Class Deviation 2013-O0017 - Contractor Demobilization
(30 August 2013)

- Attachment, Class Deviation 2013-O0017 - Contractor Demobilization
(30 August 2013)

Class Deviation 2012-O0013 - DCAA Policy and Procedure for Sampling Low-Risk Incurred Cost Proposals
(24 July 2012)

Class Deviation 2012-O0010 - Prohibition on Collection of Political Information
(6 July 2012)

Class Deviation 2011-O0006 -- Utilities Privatization-Class Deviation from FAR Part 31
(31 March 2011)

Class Deviation 2011-O0002 -- Congressional Notification on Significant Contract Termination
(8 October 2010)

This page last updated: November 5, 2026
OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2026-O0051

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SUBJECT: Class Deviation--Implementation of Vendor Threat Mitigation Support Authorities
Effective immediately, contracting officers must include the contract clauses in attachments 1 and 2 in solicitations and contracts, including solicitations and contracts using Federal Acquisition Regulation (FAR) part 12 procedures for the acquisition of commercial products and commercial services, that will be performed outside the United States and its outlying areas. Heads of contracting activities (HCAs) may use the authorities in this class deviation in support of Vendor Threat Mitigation programs with respect to a covered person or entity identified as engaging in covered activities.
This class deviation implements section 823 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2024, which amends sections 841, 842, and 843 of the NDAA for FY 2015. Section 823 provides HCAs the authority to take covered procurement actions with respect to a person or entity identified by a combatant commander, or designated deputy, as engaging in a covered activity and to examine any records necessary to support Vendor Threat Mitigation programs.
(a) Definitions. As used in this class deviation--
"Covered activities" means activities in which a covered person or entity is--
(1) Engaging in acts of violence against personnel of the United States or its partners and allies;
DARS Tracking Number: 2026-O0051
Implementation of Vendor Threat Mitigation Support Authorities
(2) Providing financing, logistics, training, or intelligence to a person or entity engaging in acts of violence against personnel of the United States or its partners and allies;

(3) Engaging in foreign intelligence activities against the United States or its partners and allies;
(4) Engaging in transnational organized crime or criminal activities; or
(5) Engaging in other activities that present a direct or indirect risk to United States or partner and allied missions and forces.
"Covered contract" means a contract that is performed outside the United States, including its outlying areas.
"Covered person or entity" means any person, corporation, company, limited liability company, limited partnership, business trust, business association, or other similar entity outside of the United States or any foreign reporting company in accordance with 31 U.S.C. 5336(a)(11)(A)(ii) that is responding to a covered solicitation or performing work on a covered contract.
"Covered procurement action" means an action taken by a head of the contracting activity to--
(1) Exclude a person or commercial entity from an award with or without an existing contract;
(2) Terminate a contract for default or cause; or
(3) Void, in whole or in part, a contract.
(b) HCA authority to prevent or mitigate covered activities.
(1) Section 841 of the NDAA for FY 2015 and section 823 of the NDAA for FY 2024 provide HCAs the non-delegable authority to take covered procurement actions with respect to a person or entity identified by a combatant commander, or designated deputy, as engaging in a covered activity.
(2) HCAs are authorized to take covered procurement actions upon receipt of a formal notification from the Office of the Under Secretary of Defense for Acquisition and Sustainment (OUSD(A&S)) that a combatant commander, or the designated deputy, has identified covered person or entity that is or was engaging in a covered activity.
(i) HCAs who receive notification of an identification must verify prior to taking covered procurement actions that such identification and resulting notification include--

(A) The name of the combatant commander, or designated deputy, who made such identification;
(B) That such person or entity identified is a covered person or entity;
(C) That such person or entity identified is or was engaging in one or more covered activities; and
(D) That less intrusive measures are not reasonably available to manage the risk posed by such person or entity.
(ii) Upon determination by the HCA to take the covered procurement action to terminate or void contracts, the contracting officer must treat such actions as terminations for cause or default and report the termination in integrity records in the Contractor Performance Assessment Reporting System (CPARS).
(iii) Upon the HCA's determination to take the covered procurement action to exclude a person or commercial entity from future awards, the agency must follow its procedures for purposes of excluding contracts under their purview. The HCA must include such actions that warrant enterprise-wide exclusion in the System for Award Management (SAM). DoD Component HCAs can request Defense Pricing, Contracting, and Acquisition Policy (DPCAP) entry of the required data of ineligible persons or entities in SAM at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.
(iv) HCAs must work with the identifying combatant command to support their

determination to take covered procurement actions. HCAs should obtain additional information, to include classified information and intelligence summaries, from the combatant command as necessary to support such determinations.
(c) Notice of covered procurement actions and limitation on disclosure of information.
(1) Not later than 30 days prior to taking a covered procurement action, the HCA must notify the covered person or entity of the covered procurement action. The notice to the covered person or entity must inform them of their right to request, within 30 days, an administrative review of the action.
(i) If the covered person or entity requests an administrative review, the HCA must follow agency procedures in response to the request.
(ii) The HCA must work with the identifying combatant command throughout the administrative review process and obtain information needed to support the review.
(2) Do not disclose the following information to the identified covered person or entity or its representatives:

(i) The rationale of the identifying combatant commander to the extent that such disclosure would compromise national security or pose an unacceptable threat to personnel of the United States or its partners or allies.
(ii) Classified information relied upon to identify the covered person or entity and to take a covered procurement action, unless a protective order issued by a court of competent jurisdiction established under Article I or Article III of the Constitution of the United States specifically addresses the conditions under which such classified information may be disclosed.
(d) Special reporting requirements.
(1) The HCA who receives a notification from OUSD(A&S) must submit a report of the covered procurement action taken within 15 days of taking such action to DPCAP at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil. The HCA must also submit the report to the identifying combatant commander or designated deputy.
(2) The HCA must include the following in the report:
(i) The name of the HCA taking the covered procurement action.
(ii) An explanation of the basis for taking such action.
(iii) The value of the contract subject to the covered procurement action.
(iv) The value of all contracts DoD has with the person or entity at the time of taking the covered procurement action.
if applicable.

(v) An explanation of the determination not to take a covered procurement action,

(3) Reports may be submitted in unclassified form, but with a classified annex, or in classified form, as appropriate.
(e) Waiver.
(1) Section 841(f) of the NDAA for FY 2015 and section 823 of the NDAA for FY 2024 allow actions under section 841(b), to include covered procurement actions taken, to be waived if in the best interest of national security.
(2) The HCA or the DoD Component supported by the covered contract may submit a request for a waiver to the combatant commander concerned.
(f) Authorization to access contractor and subcontractor records.
(1) Section 842 of the NDAA for FY 2015 and section 823 of the NDAA for FY 2024 provide the authority to examine any records of persons or entities that have existing contracts or

DARS Tracking Number: 2026-O0051
Implementation of Vendor Threat Mitigation Support Authorities
subcontracts with DoD, to the extent necessary to support Vendor Threat Mitigation programs established in the combatant commands under section 841(a).
(2) The authority to examine contractor and subcontractor records may be exercised only upon a written determination by the contracting officer, based on a finding by the combatant commander, or designated deputy, that--
(i) The examination will support the combatant commander's Vendor Threat Mitigation program established under section 841(a); and
(ii) Less intrusive measures are not reasonably available to manage the risk.
This class deviation is in effect until December 31, 2033, unless otherwise rescinded.
Address inquiries regarding this class deviation to osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.
signed by
TENAGLIA.JOHN.M. Digitally
TENAGLIA.JOHN.M.1154945926
Date: 2026.06.11 08:19:49 -04'00'
1154945926

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy
Attachment:
As stated

5
Attachment 1
Class Deviation 2026-O0051
Implementation of Vendor Threat Mitigation Support Authorities
252.225-7962 Threat Mitigation Support to Operations. (DEVIATION 2026O0051)
Insert this clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that will be performed outside the United States and its outlying areas.
VENDOR THREAT MITIGATION SUPPORT TO OPERATIONS
(JUN 2026) (DEVIATION 2026-O0051)
(a) Definitions. As used in this clause--
"Covered activities" means activities in which a covered person or entity is--
(1) Engaging in acts of violence against personnel of the United States or its partners and allies;
(2) Providing financing, logistics, training, or intelligence to a person or entity engaging in acts of violence against personnel of the United States or its partners and allies;
(3) Engaging in foreign intelligence activities against the United States or its partners and allies;
(4) Engaging in transnational organized crime or criminal activities; or
(5) Engaging in other activities that present a direct or indirect risk to United States or partner and allied missions and forces.
"Covered contract" means a contract that is performed outside the United States, including its outlying areas.
"Covered person or entity" means any person, corporation, company, limited liability company, limited partnership, business trust, business association, or other

similar entity outside of the United States or any foreign reporting company in accordance with 31 U.S.C. 5336(a)(11)(A)(ii) that is responding to a covered solicitation or performing work on a covered contract.
"Covered procurement action" means an action taken by a head of contracting activity to--

(1) Exclude a person or commercial entity from an award with or without an existing contract;
(2) Terminate a contract for default or cause; or
(3) Void, in whole or in part, a contract.
(b) Authority. This clause implements section 841 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2015 (Pub. L. 113-291) and section 823 of the NDAA for FY 2024 (Pub. L. 118-31). Sections 841 and 823 provide the Government the authority to mitigate and prevent covered activities by taking covered procurement actions.
(c) Compliance.
with--

(1) The Contractor and its personnel must be familiar with and comply

(i) Vendor Threat Mitigation (VTM) policies, including but not limited to the Department of Defense Directive 3000.16, Vendor Threat Mitigation; and
(ii) The VTM program established by the respective combatant command, including the orders, directives, and instructions issued by the Combatant Commander relating to VTM support to operations.
(2) The Contractor and its personnel must not engage in covered activities.
(3) The Contractor must exercise due diligence to mitigate covered activities from occurring under this contract and all subcontracts. Due diligence includes but is not limited to--
(i) Checking the list of prohibited or restricted sources in the System for Award Management (SAM) at www.sam.gov prior to subcontract award and at least monthly thereafter to ensure subcontractor eligibility;
(ii) Terminating or voiding, in whole or in part, any subcontract with a person or entity listed in SAM as a prohibited or restricted source pursuant to section 841 of the NDAA for FY 2015 and section 823 of the NDAA for FY 2024, unless the Contracting Officer provides to the Contractor written approval to continue the subcontract; and
(iii) Leveraging all available resources and tools to mitigate engagement in covered activities.

(4) The Contractor must notify the Contracting Officer immediately upon a finding of covered activities taking place under this contract.
(d) Subcontracts. The Contractor must include the substance of this clause, including this paragraph (d), in subcontracts, including subcontracts for commercial products and commercial services, that will be performed outside the United States

and its outlying areas.
(End of clause)

3
Attachment 2
Class Deviation 2026-O0051
Implementation of Vendor Threat Mitigation Support Authorities
252.225-7975 Additional Access to Contractor and Subcontractor Records.
(DEVIATION 2026-O0051)
Insert this clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that will be performed outside the United States and its outlying areas.
ADDITIONAL ACCESS TO CONTRACTOR AND SUBCONTRACTOR RECORDS
(JUN 2026) (DEVIATION 2026-O0051)
(a) Authority. As authorized by sections 841 and 842 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2015 and section 823 of the NDAA for FY 2024, and in addition to any other existing examination-of-records authority, the Government is authorized to examine any records of the Contractor and its subcontractors to the extent necessary to support the Vendor Threat Mitigation Programs established by combatant commanders.
(b) Subcontracts. The Contractor must include the substance of this clause, including this paragraph (b), in subcontracts, including subcontracts for commercial products and commercial services, that will be performed outside the United States and its outlying areas.
(End of clause)

1
OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In
reply refer to
DARS Tracking Number: 2026-O0044
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SU
BJECT: Class Deviation--Contract Obligations in Advance of Fiscal Year 2026 Funds
E

ffective immediately, contracting officers shall use the attached deviation clause 252.232-7998, Obligations in Advance of Fiscal Year 2026 Funding (DEVIATION 2026-O0044), when awarding contracts, modifications to existing contracts including those exercising options, task orders, or delivery orders to obtain supplies and services necessary to carry out or support excepted activities in advance of the availability of fiscal year 2026 funds. This deviation does not apply to contract actions using existing appropriations that are currently available for obligation and liquidation of obligations, such as prior year funds.

C
ontracting officers shall ensure that each contract action awarded in advance of appropriations includes the attached deviation clause and complies with the following:

(1) Deputy Secretary of War memorandum, Guidance for Continuation of Operations During a Lapse of Appropriations, dated January 30, 2026;

(2)
Department of War (DoW) Contingency Plan Guidance for Continuation of Operations in the Absence of Available Appropriations, dated January 2026; and

(2) A pplicable military department or other DoW component guidance pertaining to the award of contracts in the absence of appropriations.

A
ll contract actions including deviation clause 252.232-7998, Obligations in Advance of Fiscal Year 2026 Funding (DEVIATION 2026-O0044), must be appropriately authorized in

accordance with Departmental or DoW component guidance. For those military departments or other DoW components that have not issued separate guidance, all actions that include this deviation clause must be authorized at a level not lower than the head of the contracting activity. Contracting officers shall place a copy of such authorization in the contract file. Contracting officers shall ensure that any contract action using the attached deviation clause is bilateral, reflecting the mutual agreement of the parties.

T
his class deviation remains in effect until rescinded. Inquiries regarding this class deviation can be addressed to osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.

J
ohn M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

A
ttachment:
As stated

Attachment
Class Deviation 2026-O0044
Contract Obligations in Advance of Fiscal Year 2026 Appropriations

252.
232-7998 Obligations in Advance of Fiscal Year 2026 Funding
(DEVIATION 2026-O0044)

Wh
en awarding contracts, modifications to existing contracts including those exercising options, task orders, or delivery orders to obtain supplies and services necessary to carry out or support excepted activities in advance of the availability of

fiscal year 2026 funds, use the following clause:
O
BLIGATIONS IN ADVANCE OF FISCAL YEAR 2026 FUNDING
(FEB 2026) (DEVIATION 2026-O0044)
T
he Department of Defense has the authority to enter into this contractual action and to obligate the Government in advance of appropriations; however, appropriated funds are not currently available to make payments under this contract to liquidate this obligation. When appropriated funds become available, the Government will make payment in accordance with the terms of this contract, including the payment of interest where applicable under the Prompt Payment Act. This clause supersedes conflicting terms of any other provision in this contract dealing with contract payment or financing until funds are made available to the Contracting Officer for this contractual action.
(
End of clause)

OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In
reply refer to
DARS Tracking Number: 2026-O0033
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SU
BJECT: Class Deviation--Acquisition of Dinnerware and Stainless- Steel Flatware
E
ffective January 1, 2026, contracting officers must incorporate the attached contract clause, 252.225-7965, Acquisition of Dinnerware and Stainless-Steel Flatware, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products, for the acquisition of dinnerware or stainless-steel flatware, unless an exception at DFARS 225.7002-2 applies. This class deviation implements section 842 of the National Defense Authorization Act for Fiscal Year 2025 (Pub. L. 118-159), which adds dinnerware and stainless-steel flatware to the list of covered items at 10 U.S.C. 4862 (commonly known as the "Berry Amendment").
T
his class deviation remains in effect until January 1, 2029, unless otherwise rescinded. Inquiries regarding this class deviation can be addressed to osd.pentagon.ousd-a-s.mbx.dpc-

cp@mail.mil.
J
ohn M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy
A
ttachment:
As stated

Attachment A1
Class Deviation 2026-O0033
Acquisition of Dinnerware and Stainless Steel Flatware
Page 1 of 1
252.225-7965 Acquisition of Dinnerware and Stainless-Steel Flatware.
(DEVIATION 2026-O0033)
Insert the following clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial produc ts, that are for acquisition of dinnerware or stainless-steel flatware, unless an exception at DFARS 225.7002-2 applies.
ACQUISITION OF DINNERWARE AND STAINLESS-STEEL FLATWARE (DEVIATION 2026-O0033) (JAN 2026)
(a) D efinitions . As used in thi s clause, "United States" means the 50 States, the District of Columbia, and outlying areas.
(b) Requirement. Any dinnerware or stainless-steel flatware delivered under this contract shall be produc ed in the United States, co nsistent with the requ irements of 10 U.S.C. 4862 (commonly known as the "Berry Amendment").
(c) Subc ontracts . The Contractor shall include the substance of this clause, including t
his paragraph (c), in subcontracts, including subcontracts for commercial items, that are for the acquisition of dinnerware or stainless-steel flatware.
(End of clau se)

OF
FICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2025-O0007
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: AQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)

DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SUB
JECT: Class Deviation 2025-O0007--Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei
Effe
ctive immediately, contracting officers shall--
(1)
Not enter into or renew a contract for the procurement of any covered semiconductor products and services for the Department of Defense with any entity that knowingly provides covered semiconductor products and services to Huawei; and
(2) Us
e the attached solicitation provision, 252.240-7998, Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei--Representation and contract clause 252.240-7999, Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei, in solicitations and contracts for the procurement of any covered semiconductor products and services, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, unless waived.
(A) De
finitions. As used in this class deviation--
"C
overed semiconductor products and services" means semiconductors, equipment for manufacturing semiconductors; and tools for designing semiconductors.
"Hu
awei" means--

(1) Huawei Technologies Company;
(2)
Any entity that is a subsidiary, owner, beneficial owner, affiliate, or successor of Huawei Technologies Company; and
(3)
Any entity that is directly or indirectly controlled by Huawei Technologies Company.
(B)
Waiver. The Secretary of Defense may waive the prohibition on a case-by-case basis by as necessary in the interest of national security, if the Secretary determines that the covered semiconductor products and services to be acquired are--
(1)
Only available from an entity otherwise covered by such prohibition; and
(2)
Are required for national security systems or priority missions of the Department of Defense.
T
his class deviation implements section 853(a) of the National Defense Authorization Act for Fiscal Year 2025 (Pub. L. 118-159) which prohibits the Department of Defense from entering into or renewing a contract for the procurement of any covered semiconductor products

and services with any entity that knowingly provides covered semiconductor products and services to Huawei.

This class deviation remains in effect until the effective date of the final rule for DFARS Case 2025-D010, Prohibition on Procurement of Covered Semiconductor Products and Services, or until otherwise rescinded. Inquiries regarding this class deviation can be addressed to osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

Attachments:
As stated

Attachment 1
Class Deviation 2025-O0007
Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei

252.240-7998

Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei--Representation. (DEVIATION 2025-O0007)

Use the following provision in solicitations that include the clause at 252.240-7999.

PROHIBITION ON THE PROCUREMENT OF COVERED SEMICONDUCTOR PRODUCTS AND SERVICES FROM COMPANIES PROVIDING COVERED SEMICONDUCTOR PRODUCTS AND SERVICES TO HUAWEI--REPRESENTATION (SEP 2025) (DEVIATION 2025-O0007)

(a) Prohibition. Section 853 of the National Defense Authorization Act for Fiscal Year 2025 (Pub. L. 118-159) prohibits DoD from entering into or renewing a contract for the procurement of any covered semiconductor products and services for the Department of Defense with any entity that knowingly provides covered semiconductor products and services to Huawei.

(b) Definitions.

(1) "Covered semiconductor products and services" means--

(i) Semiconductors;

(ii) Equipment for manufacturing semiconductors; and

(iii) Tools for designing semiconductors.

(2) "Huawei" means--

(

i) Huawei Technologies Company;
(
ii) Any entity that is a subsidiary, owner, beneficial owner, affiliate, or successor of Huawei Technologies Company; and
(
iii) Any entity that is directly or indirectly controlled by Huawei Technologies Company.
(c) R
epresentation. By submission of its offer, the Offeror represents that it will not knowingly provide covered semiconductor products and services to Huawei, as described in paragraphs (a) and (b) of this provision, in the performance of any contract resulting from this solicitation.

Attachment 1
Class Deviation 2025-O0007
Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei
Page 2 of 2
(
End of provision)

Attachment A2
Class Deviation 2025-O0007
Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei
Page 1 of 1
252
.240-7999 Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei. (DEVIATION 2025-O0007)
Us
e the following clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and services, for the procurement of any covered semiconductor products and services unless a waiver has been granted by the Secretary of Defense in accordance with section 853 of the National Defense Authorization Act for Fiscal Year 2025 (Pub. L. 118-159).
PRO
HIBITION ON THE PROCUREMENT OF COVERED SEMICONDUCTOR PRODUCTS AND SERVICES FROM COMPANIES PROVIDING COVERED SEMICONDUCTOR PRODUCTS AND SERVICES TO HUAWEI (SEP 2025) (DEVIATION 2025-O0007)
(a)
Prohibition. In accordance with section 853 of the National Defense Authorization Act for Fiscal Year 2025, during the performance of this contract, the Contractor shall not knowingly provide any covered semiconductor products and services to Huawei.
(b) D
efinitions.
(
1) "Covered semiconductor products and services" means--
(i) S

emiconductors;
(
ii) Equipment for manufacturing semiconductors; and
(
iii) Tools for designing semiconductors.
(2) "
Huawei" means--
(i) H
uawei Technologies Company;
(
ii) Any entity that is a subsidiary, owner, beneficial owner, affiliate, or
successor of Huawei Technologies Company; and
(
iii) Any entity that is directly or indirectly controlled by Huawei
Technologies Company.
(
End of clause)

O
FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
        ACQUISITION
 AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2025-O0005
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
    COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
     COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
     (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
     (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
     (CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SU
BJECT: Class Deviation--Prohibition on Procurement of Paper Straws
E
ffective immediately, contracting officers are prohibited from procuring paper straws
and shall eliminate requirements for paper straws in new solicitations and contracts. Contracting
officers shall amend open solicitations and modify existing contracts, as necessary, to remove
any requirement for the procurement of paper straws. Contracting officers are not, however,
required to modify contracts with six months or less remaining of the period of performance and
without options to extend.
T
his class deviation implements paragraph 2(a) of Executive Order 14208, Ending
Procurement and Forced Use of Paper Straws, of February 10, 2025 (90 FR 9585).
 T

his class deviation remains in effect until incorporated into the FAR or until otherwise rescinded. Direct questions to DPCAP/DARS at osd.dfars@mail.mil.

J
ohn M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

O
FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20 301-3000
ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2025-O0004

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

S
UBJECT: Class Deviation--Revocation of Executive Order on Sustainabil ity

E
ffective immediately, contracting officers shall--

(1
) For new solicitations and contracts--

(
a) Not use the following solicitation provision and contract clause:

(i)
52.223-19, Compliance with Environmental Management Systems.

(ii) 52.223-22, Public Disclosure of Greenhouse Gas Emissions and Reduction Goals--Representation .

(b
) Use the following contract clauses (see Attachment 1):

(i
) 52.223-10, Waste Reduction Program (DEVIATION 2025-O0004), in lieu of the clause at FAR 52.223-10.

(ii) 52.223-23, Sustainable Products and Services (DEVIATION 2025-O0004) in lieu of the clause at FAR 52.223-23.

(
c) Use the paragraphs in the solicitation provisions and contract clauses in Attachment 2 in lieu of those paragraphs in the following provisions and clauses in FAR part 52:

(i)

52.204-8, Annual Representations and Certifications.
(ii) 52.212-3, Offeror Representations and Certifications--Commercial Products and Commercial Services.
(iii) 52.212-5, Contract Terms and Conditions Required To Implement Statutes or Executive Orders--Commercial Products and Commercial Services .

Class Deviation 2024-O0004
Revocation of Executive Order on Sustainability

(iv) 52.213-4, Terms and Conditions--Simplified Acquisitions (Other Than Commercial Products and Commercial Services).

(2) Amend open solicitations and modify existing contracts, as applicable, to--

(a) Remove the solicitation provision and contract clause in paragraph (1)(a) of this class deviation;
(b) Use the contract clauses in paragraph (1)(b) of this class deviation in lieu of the provision and clause in FAR part 52; and
(c) Use the paragraphs in the solicitation provisions and contract clauses in paragraph (1)(c) of this class deviation in lieu of those paragraphs in FAR part 52.

(3) Consider whether to modify contract actions nearing the end of the period of performance (i.e., six months or less remaining) and without options to extend.

Contracting officers shall not consider or use the representations in the System for Award Management (SAM) for the provision at FAR 52.223-22 and paragraph (t) of FAR 52.212-3. Until it is updated, SAM may continue to require entities to complete representations based on provisions that are not included in agency solicitations. Entities are not required to, nor are they able to, update their entity registration to remove these representations in SAM.

Additionally, contracting officers are generally prohibited from requiring offerors, as a condition of being awarded a contract, to disclose a greenhouse gas inventory or any other report on greenhouse gas emissions. See Class Deviation 2024-O0009, Prohibition on Required Disclosure of Information Relating to Greenhouse Gas Emissions.

This class deviation implements section 2(rr) of Executive Order 14148, Initial Rescissions of Harmful Executive Orders and Actions, of January 20, 2025 (see 90 FR 8237), which revoked Executive Order 14057, Catalyzing Clean Energy Industries and Jobs Through Federal Sustainability, of December 8, 2021.

This class deviation remains in effect until incorporated into the FAR or until otherwise rescinded. Direct questions to DPCAP/DARS at osd.dfars@mail.mil.

John M. Tenaglia
Principal Director,

Defense Pricing, Contracting, and Acquisition
Policy
Attachments:
As stated

Attachment 1
Class Deviation 2025-O0004
Revocation of Executive Order on Sustainable Procurement
Changes are indicated by a change bar in the right-hand margin.

52.223-10 W aste Reduction Program. (DEVIATION 2025-O0004)
As prescribed in 23.406(c), insert the following clause:
W
ASTE REDUCTION PROGRAM (MAR 2025) (DEVIATION 2025-O0004)
(
a) Definitions. As used in this clause--
Recycling means the series of activities, including collection, separation, and processing, by which products or other materials are recovered from the solid waste stream for use in the form of raw materials in the manufacture of products other than fuel for producing heat or power by combustion.
Waste prevention means any change in the design, manufacturing, purchase, or use of materials or products (including packaging) to reduce their amount or toxicity before they are discarded. Waste prevention also refers to the reuse of products or materials.
Waste reduction means preventing or decreasing the amount of waste being generated through waste prevention, recycling, or purchasing recycled and environmentally preferable products.
(b) The Contractor shall establish a program to promote cost-effective waste reduction in all operations and facilities covered by this contract. The Contractor's programs shall comply with applicable Federal, State, and local requirements, specifically including Section 6002 of the Resource Conservation and Recovery Act (42 U.S.C. 6962, et seq.) and implementing regulations (40 CFR part 247).
(
End of clause)
* * * * *
52.223
-23 Sustainable Products and Services. (DEVIATION 2025-O0004)
As prescribed in 23.109(a), insert the following clause:
SUSTAINABLE PRODUCTS AND SERVICES (MAR 2025) (DEVIATION 2025-O0004)
(a) Definitions. As used in this clause--
Biobased product means a product determined by the U.S. Department of Agriculture (USDA) to be a commercial product or industrial product (other than food or feed) that is composed, in whole or in significant part, of biological products, including renewable domestic agricultural materials and forestry materials, or that is an intermediate ingredient or feedstock. The term includes, with respect to forestry materials, forest products that meet biobased content requirements, notwithstanding the market share the product holds, the age of the product, or whether the market for the product is new or emerging. (7 U.S.C. 8101) (7 CFR 3201.2).

Attachment 1
Class Deviation 2025-O0004
Revocation of Executive Order on Sustainable Procurement
Changes are indicated by a change bar in the right-hand margin.

Recovered material means waste materials and by-products recovered or diverted from solid waste, but the term does not include those materials and by-products generated from, and commonly reused within, an original manufacturing process. (42 U.S.C. 6903).
Sustainable products and services means:

(1) Products containing recovered material designated by the U.S. Environmental Protection Agency (EPA) under the Comprehensive Procurement Guidelines (42 U.S.C. 6962) (40 CFR part 247) (https://www.epa.gov/smm/comprehensive-procurement-guideline-cpg-program#products).

(2) Energy- and water-efficient products that are ENERGY STAR? certified or Federal Energy Management Program (FEMP)-designated products (42 U.S.C. 8259b) (10 CFR part 436, subpart C) (https://www.energy.gov/eere/femp/search-energy-efficient-products and https://www.energystar.gov/products?s=mega).

(3) Biobased products meeting the content requirement of the USDA under the BioPreferred? program (7 U.S.C. 8102) (7 CFR part 3201) (https://www.biopreferred.gov).

(4) Acceptable chemicals, products, and manufacturing processes listed under EPA's Significant New Alternatives Policy (SNAP) program, which ensures a safe and smooth transition away from substances that contribute to the depletion of stratospheric ozone (42 U.S.C. 7671l) (40 CFR part 82, subpart G) (https://www.epa.gov/snap).

(b) Requirements.
(1) The sustainable products and services, including the purchasing program and type of product or service, that are applicable to this contract, and any products or services that are not subject to this clause, will be set forth in the statement of work or elsewhere in the contract.
(2) The Contractor shall ensure that the sustainable products and services required by this contract are--
(i) Delivered to the Government;
(ii) Furnished for use by the Government;
(iii) Incorporated into the construction of a public building or public work; and
(iv) Furnished for use in performing services under this contract, where the cost of the products is a direct cost to this contract (versus costs which are normally applied to the Contractor's general and administrative expenses or indirect costs). This includes services performed by contractors performing management and operation of Government-owned facilities to the same extent that, at the time of award, an agency would be required to comply if an agency operated or supported the facility.

(3) [Reserved]
(c) Resource. The Green Procurement Compilation (GPC) available at https://sftool.gov/greenprocurement provides a comprehensive list of sustainable products and services and sustainable acquisition guidance. The Contractor should review the GPC when determining which statutory purchasing programs apply to a specific product or service.

(End of clause)

Attachment 2
Class Deviation 2025-O0004
Revocation of Executive Order on Sustainable Procurement
Changes are indicated by a change bar in the right-hand margin.

52.204-8 Annual Representations and Certifications.
Substitute the following paragraph (c)(1)(xix) for that paragraph in the provision at Federal Acquisition Regulation (FAR) 52.204-8:
ANNUAL REPRESENTATIONS AND CERTIFICATIONS (MAR 2025) (DEVIATION 2025-O0004)
* * * * *
(c)(1) The following representations or certifications in SAM are applicable to this solicitation as indicated:
* * * * *
(xix) [Reserved]

* * * * *
52.212-3 Offeror Representations and Certifications--Commercial Products and Commercial Services.
Substitute the following paragraph (t) for that paragraph in the provision at FAR 52.212-3:
OFFEROR REPRESENTATIONS AND CERTIFICATIONS--COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (MAR 2025) (DEVIATION 2025-O0004)
* * * * *
(t) [Reserved]

* * * * *
52.212-5 Contract Terms and Conditions Required To Implement Statutes or Executive Orders--Commercial Products and Commercial Services.
Substitute the following paragraph (b)(46) for that paragraph in the clause at FAR 52.212-5:
CONTRACT TERMS AND CONDITIONS REQUIRED TO IMPLEMENT STATUTES OR EXECUTIVE ORDERS--COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (MAR 2025) (DEVIATION 2025-O0004)
* * * * *
(b) The Contractor shall comply with the FAR clauses in this paragraph (b) that the Contracting Officer has indicated as being incorporated in this contract by reference to implement provisions of law or Executive orders applicable to acquisitions of commercial products and commercial services: [Contracting Officer check as appropriate.]

Attachment 2
Class Deviation 2025-O0004
Revocation of Executive Order on Sustainable Procurement
Changes are indicated by a change bar in the right-hand margin.

* * * * *
__(46) 52.223-23, Sustainable Products and Services (MAR 2025) (DEVIATION 2025-O0004)) (7 U.S.C. 8102, 42 U.S.C. 6962, 42 U.S.C. 8259b, and 42 U.S.C. 7671l).

* * * * *

52.213-4 Terms and Conditions-- Simplified Acquisitions (Other Than Commercial Products and Commercial Services).

Substitute the following paragraph (b)(1)(xvii) for that paragraph in the clause at FAR 52.213-4: TERMS AND CONDITIONS--SIMPLIFIED ACQUISITIONS (OTHER THAN COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES) (MAR 2025) (DEVIATION 2025-O0004)

* * * * *

(b) The Contractor shall comply with the following FAR clauses, incorporated by reference, unless the circumstances do not apply:

(1) The clauses listed below implement provisions of law or Executive order:

* * * * *

(xvii) 52.223-23, Sustainable Products and Services (MAR 2025) (DEVIATION 2025-O0004)) (7 U.S.C. 8102, 42 U.S.C. 6962, 42 U.S.C. 8259b, and 42 U.S.C. 7671l) (Applies to contracts when the agency identifies in the statement of work, or elsewhere in the contract, the sustainable products and services that apply to the acquisition).

* * * * *

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2025-O0003

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Restoring Merit -Based Opportunity in Federal Contracts

Effective immediately, contracting officers shall--

* Not take any action to implement or enforce Executive Order (E.O.) 11246, Equal Employment Opportunity, as implemented in Federal Acquisition Regulation (FAR) subpart 22.8;
* Not use the solicitation provisions and contract clauses prescribed at FAR 22.810 or 22.407(a)(4);
* Not review the representations in the System for Award Management that are based upon those solicitation provisions; and
* Not follow the procedures in Defense Federal Acquisition Regulation Supplement (DFARS) subpart 222.8 or DFARS Procedures, Guidance, and Information subpart 222.8.

Contracting officers shall--

(1) Not use the following solicitation provisions and contract clauses in new solicitations and contracts:

(a) 52.222-21, Prohibition of Segregated Facilities.
(b) 52.222-22, Previous Contracts and Compliance Reports.
(c) 52.222-23, Notice of Requirement for Affirmative Action To Ensure Equal Employment Opportunity for Construction.
(d) 52.222-24, Preaward On-Site Equal Opportunity Compliance Evaluation.
(e) 52.222-25, Affirmative Action Compliance.

Class Deviation 2025-O0003
Restoring Merit-Based Opportunity in Federal Contracts

(f) 52.222-26, Equal Opportunity.
(g) 52.222-27, Affirmative Action Compliance Requirements for Construction.
(h) 52.222-29, Notification of Visa Denial.

(2) For new solicitations and contracts, use the paragraphs in the attached solicitation provisions and contract clauses in lieu of those paragraphs in the provisions and clauses in FAR part 52, as appropriate.

(3) Amend open solicitations to--

(a) Remove the solicitation provisions and contract clauses in paragraph (1) of this class deviation; and
(b) Use the paragraphs in the attached solicitation provisions and contract clauses in lieu of those paragraphs in the provisions and clauses in FAR part 52, as appropriate.

(4) Modify existing contracts to remove the contract clauses in paragraph (1) of this class deviation and incorporate the paragraphs in the attached solicitation provisions and contract clauses in lieu of those paragraphs in the provisions and clauses in FAR part 52, as appropriate. Contracting officers are not required to modify contract actions nearing the end of the period of performance (i.e., less than 6 months remaining) and without options to extend.

This class deviation implements E.O. 14173, Ending Illegal Discrimination and Restoring

Merit-Based Opportunity, and E.O. 14168, Defending Women from Gender Ideology Extremism and Restoring Biological Truth to the Federal Government. E.O. 14173 revoked E.O. 11246, which was the source of the coverage at FAR subpart 22.8. E.O. 14168 directs the Government to not use the term "gender" in Federal policies and documents.

This class deviation remains in effect until implemented in the FAR and DFARS. Direct questions to DPCAP/DARS at osd.dfars@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

Attachment:
As stated

Attachment 1
Class Deviation 2025-O0003
Restoring Merit-Based Opportunity in Federal Contracts

52.204-8 Annual Representations and Certifications.
Substitute the following paragraphs (c)(1)(xiv) and (xv) for those paragraphs in the provision at Federal Acquisition Regulation (FAR) 52.204-8:

ANNUAL REPRESENTATIONS AND CERTIFICATIONS (MAR 2025) (DEVIATION 2025-O0003)

* * * * *

(c) * * *

(1) * * *

(xiv) [Reserved]

(xv) [Reserved]

* * * * *

52.212-3 Offeror Representations and Certifications--Commercial Products and Commercial Services.
Substitute the following paragraph (d) for that paragraph in the provision at FAR 52.212-3:

OFFEROR REPRESENTATIONS AND CERTIFICATIONS--COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (MAR 2025) (DEVIATION 2025-O0003)

* * * * *

(d) [Reserved]

* * * * *

52.212-5 Contract Terms and Conditions Required To Implement Statutes or Executive Orders--Commercial Products and Commercial Services.
Substitute the following paragraphs (b)(33), (34), and (e)(1)(ix) and (x) for those paragraphs in the clause at FAR 52.212-5:

CONTRACT TERMS AND CONDITIONS REQUIRED TO IMPLEMENT STATUTES OR EXECUTIVE ORDERS--COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES
(MAR 2025) (DEVIATION 2025-O0003)

* * * * *

 (b) * * *

* * * * *

Attachment 1
Class Deviation 2025-O0003
Restoring Merit-Based Opportunity in Federal Contracts

  __(33) [Reserved]

  __(34) [Reserved]

* * * * *

 (e)(1) * * *

* * * * *

   (ix) [Reserved]

   (x) [Reserved]

* * * * *

Alternate II (MAR 2025) (DEVIATION 2025-O0003). Substitute the following paragraphs (e)(1)(ii)(I) and (J) for those paragraphs in Alternate II of FAR 52.212-5:

* * * * *

 (e)(1) * * *

(ii) * * *

* * * * *

(I) [Reserved]

(J) [Reserved]

* * * * *

52.213-4 Terms and Conditions-- Simplified Acquisitions (Other Than Commercial Products and Commercial Services).
Substitute the following paragraphs (a)(1)(vii) and (viii) for those paragraphs in the clause at Federal Acquisition Regulation 52.213-4:

TERMS AND CONDITIONS--SIMPLIFIED ACQUISITIONS (OTHER THAN COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES)
(MAR 2025) (DEVIATION 2025-O0003)

* * * * *

(a) * * *

(1) * * *

* * * * *

(vii) [Reserved]

(viii) [Reserved]

* * * * *

52.222-9 Apprentices and Trainees.
Substitute the following paragraph (c) for that paragraph in the clause at Federal Acquisition Regulation 52.222-9:

APPRENTICES AND TRAINEES (MAR 2025) (DEVIATION 2025-O0003)

* * * * *

(c) [Reserved]

* * * * *

52.244-6 Subcontracts for Commercial Products and Commercial Services.
Substitute the following paragraphs (c)(1)(xi) and (xii) for those paragraphs in the clause at Federal Acquisition Regulation 52.244-6:

SUBCONTRACTS FOR COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (MAR 2025) (DEVIATION 2025-O0003)

* * * * *

(c)(1) * * *

* * * * *

(xi) [Reserved]

(xii) [Reserved]

* * * * *

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2025-O0002, Rescission

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Rescission of Class Deviation--Waiver of Project Labor Agreement Requirements

Effective immediately, this memorandum rescinds Class Deviation 2025-O0002 and its Revision 1. Contracting officers shall--

(a) Comply with the requirements for project labor agreements implemented at Federal Acquisition Regulation (FAR) subpart 22.5 and 36.104(c); and

(b) Amend pending solicitations to include the solicitation provisions and contract clauses prescribed at FAR 22.505, as appropriate.

Direct questions to DPCAP/DARS at osd.dfars@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

TENAGLIA.JOH
N.M.1154945926
Digitally signed by
TENAGLIA.JOHN.M.1154945926
Date: 2025.06.02 15:28:20 -04'00'

O
FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20 301-3000
ACQUISITION
AND SUSTAINMENT
I n reply refer to
DARS Tracking Number: 2024-O0014
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: AQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
S
UBJECT: Class Deviation--Prohibition on Procurement of Foreign- Made Unmanned Aircraft Systems
This class deviation rescinds and supersedes Class Deviation 2020-O0015. Effective immediately, unless an exception applies or a waiver is granted, contracting officers shall not enter into or renew a contract for the procurement of--

* A
n unmanned aircraft system (UAS), or any related services or equipment, that--
o I
s manufactured in a covered foreign country (i.e., the People's Republic of China, the Russian Federation, the Islamic Republic of Iran, the Democratic People's Republic of Korea), or by an entity domiciled in a covered foreign country;
o U
ses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;
o U
ses a ground control system or operating software developed in a covered foreign country or by an entity domiciled in a covered foreign country; or
o U
ses network connectivity or data storage located in, or administered by an entity domiciled in, a covered foreign country; or

* A system for the detection or identification of a UAS, or any related services or equipment, that is manufactured in a covered foreign country or by an entity domiciled in a covered foreign country.

On or after October 1, 2024, unless an exception applies or a waiver is gra nted, contracting officers shall not enter into or renew a contract with an entity that operates, as determined by the Secretary of Defense, equipment from a covered unmanned aircraft system company during performance of a DoD contract. A covered unmanned aircraft system company means any of the following--

* Da-Jiang Innovations, or any subsidiary or affiliate of Da-Jiang Innovations;

* Any entity that produces or provides unmanned aircraft systems and is included on the Consolidated Screening List maintained by the International Trade Administration of the Department of Commerce (https://www.trade.gov/consolidated-screening-list); and

* Any entity that produces or provides unmanned aircraft systems and--

o Is domiciled in a covered foreign country; or

o Is subject to unmitigated foreign ownership, control, or influence by a covered foreign country, as determined by the Secretary of Defense in accordance with the National Industrial Security Program.

This prohibition does not apply to procurements for the purposes of --

* Counter-UAS surrogate testing and training; or
* Intelligence, electronic warfare, and information warfare operations, testing, analysis, and

training.

Contracting officers shall use the solicitation provision and contract clause provided in the attachment, as prescribed. If a waiver (see subsequent paragraph) has been granted for a specific acquisition, the contracting officer shall obtain a copy of the waiver from the requiring activity or program manager prior to making the award. The contracting officer shall include a copy of the approved waiver in the contract file.

This class deviation implements the procurement prohibition under section 848 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 (Pub. L. 116-92) and section 817 of the NDAA for FY 2023 (Pub. L. 117-263). Pursuant to sections 848 and 817 the Secretary of Defense may waive the prohibition on a case-by-case basis by certifying in writing to the congressional defense committees that the procurement is required in the national interest of the United States.

This class deviation remains in effect until incorporated in the Defense Federal Acquisition Regulation Supplement or otherwise rescinded. The class deviation point of contact is Mr. Jeff Grover, who is available at (703) 697-6710 or jeffrey.c.grover.civ@mail.mil. Questions related to UAS policy can be submitted at osd.pentagon.ousd-a-s.mbx.cots-uas@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

Attachment:
As stated

TENAGLIA.JOHN
.M.1154945926
Digitally signed by
TENAGLIA.JOHN.M.1154945926
Date: 2024.08.28 18:22:23
-04'00'

Attachment
Class Deviation 2024-O0014
Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems

252.225-7973 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems--Representation. (DEVIATION 2024-O0014)

Use the following provision in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, unless--

(a) The acquisition is for--

(1) Counter-unmanned aircraft system surrogate testing and training; or

(2) Intelligence, electronic warfare, and information warfare operations, testing, analysis, and training; or

(b) A waiver has been granted by the Secretary of Defense in accordance with section 848 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 (Pub. L. 116-92) and section 817 of the NDAA for FY 2023 (Pub. L. 117-263).

PROHIBITION ON THE PROCUREMENT OF FOREIGN-MADE UNMANNED AIRCRAFT SYSTEMS--REPRESENTATION (AUG 2024) (DEVIATION 2024-O0014)

(a) Definition. As used in this provision, "covered foreign country" has the meaning given in the 252.225-7972, Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems (DEVIATION 2024-O0014), clause of this solicitation.

(b) Prohibition. Section 848 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 (Pub. L. 116-92) and section 817 of the NDAA for FY 2023 (Pub. L. 117-263) prohibit DoD from--

(1) Using or procuring an unmanned aircraft system (UAS), or any related services or equipment, that--

(i) Is manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;

(ii) Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;

(iii) Uses a ground control system or operating software developed in a covered foreign country, or by an entity domiciled in a covered foreign country; or

Attachment
Class Deviation 2024-O0014
Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems

(iv) Uses network connectivity or data storage located in, or administered by an entity domiciled in, a covered foreign country;

(2) Using or procuring a system for the detection or identification of a UAS, or any related services or equipment, that is manufactured in a covered foreign country or by an entity domiciled in a covered foreign country; or

(3) On or after October 1, 2024, entering into or renewing a contract with an entity that operates, as determined by the Secretary of Defense, equipment from--

(i) Da-Jiang Innovations (or any subsidiary or affiliate of Da-Jiang Innovations);

(ii) Any entity that produces or provides unmanned aircraft systems and is included on the Consolidated Screening List maintained by the International Trade Administration of the Department of Commerce (https://www.trade.gov/consolidated-screening-list); or

(iii) Any entity that produces or provides unmanned aircraft systems and--

(A) Is domiciled in a covered foreign country; or

(B) Is subject to unmitigated foreign ownership, control, or influence by a covered foreign country, as determined by the Secretary of Defense in accordance with the National Industrial Security Program.

(c) Representations.

(1) By submission of its offer, the Offeror represents that--

(i) It will not provide or use a UAS, as described in paragraph (b)(1) of this provision, in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation; and

(ii) It will not provide or use a system for the detection or identification of a UAS, as described in paragraph (b)(2) of this provision, in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation.

(2) It is not an entity described in paragraph (b)(3) of this provision.

(End of provision)

Attachment
Class Deviation 2024-O0014
Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems

252.225-7972 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems. (DEVIATION 2024-O0014)

Use the following clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, unless--

 (a) The acquisition is for--

  (1) Counter-unmanned aircraft system surrogate testing and training; or

  (2) Intelligence, electronic warfare, and information warfare operations, testing, analysis, and training; or

 (b) A waiver has been granted by the Secretary of Defense in accordance with section 848 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 (Pub. L. 116-92) and section 817 of the NDAA for FY 2023 (Pub. L. 117-263).

PROHIBITION ON THE PROCUREMENT OF FOREIGN-MADE UNMANNED AIRCRAFT SYSTEMS (AUG 2024) (DEVIATION 2024-O0014)

 (a) Definition. As used in this clause--

 Covered foreign country means any of the following:

  (1) The People's Republic of China.

  (2) The Russian Federation.

  (3) The Islamic Republic of Iran.

  (4) The Democratic People's Republic of Korea.

 (b) Prohibition. In accordance with section 848 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 and section 817 of the NDAA for FY 2023, the Contractor shall not--

  (1) Provide or use an unmanned aircraft system (UAS), or any related services or equipment, that--

   (i) Is manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;

Attachment
Class Deviation 2024-O0014
Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems

(ii) Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;

(iii) Uses a ground control system or operating software developed in a covered foreign country, or by an entity domiciled in a covered foreign country; or

(iv) Uses network connectivity or data storage located in, or administered by an entity domiciled in, a covered foreign country;

(2) Provide or use a system for the detection or identification of a UAS, or any related services or equipment, that is manufactured in a covered foreign country or by an entity domiciled in a covered foreign country; or

(3) On or after October 1, 2024, be an entity that operates equipment, as determined by the Secretary of Defense, from--

(i) Da-Jiang Innovations, or any subsidiary or affiliate of Da-Jiang Innovations;

(ii) Any entity that produces or provides unmanned aircraft systems and is included on the Consolidated Screening List maintained by the International Trade Administration of the Department of Commerce (https://www.trade.gov/consolidated-screening-list); or

(iii) Any entity that produces or provides unmanned aircraft systems and--

(A) Is domiciled in a covered foreign country; or

(B) Is subject to unmitigated foreign ownership, control, or influence by a covered foreign country, as determined by the Secretary of Defense in accordance with the National Industrial Security Program.

(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts or other contractual instruments, including subcontracts for the acquisition of commercial products and commercial services.

(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20 301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2024-O0013, Revision 1
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)

COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
S
UBJECT: Class Deviation--Revision 1, Safeguarding Covered Defense Information and Cyber Incident Reporting
E
ffective immediately, this class deviation revises and supersedes Class Deviation 2024-O0013, issued on May 2, 2024. The revision is necessary to make administrative updates to the links to the National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171 Revision 2 and the Federal Risk and Authorization Management Program (FedRAMP) Moderate baseline in the attached clause.
C
ontracting officers shall use the attached clause, 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting (DEVIATION 2024-O0013, Revision 1), in lieu of the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting.
The
deviation clause requires contractors, who are subject to 252.204-7012, to comply with NIST SP 800-171 Revision 2, instead of the version of NIST SP 800-171 in effect at the time the solicitation is issued or as authorized by the contracting officer.
T
his class deviation remains in effect until rescinded. Inquiries regarding this class deviation can be addressed to: osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.
J
ohn M. Tenaglia
Principal Director,
Defense Pricing and Contracting
Attachment:
As stated
TENAGLIA.JOHN.M.1154945926
Digitally signed by TENAGLIA.JOHN.M.1154945926
Date: 2024.05.22 17:25:46 -04'00'

Attachment
Class Deviation 2024-O0013, Revision 1
Safeguarding Covered Defense Information and Cyber Incident Reporting
Changes to the text are indicated by a change bar in the right-hand margin.

252.204-7012 Safeguarding Covered Defense Information and Cyber Incident

Reporting. (DEVIATION 2024-O0013 REVISION 1)

Use the following clause in lieu of the clause at DFARS 252.204-7012.

SAFEGUARDING COVERED DEFENSE INFORMATION AND CYBER INCIDENT
REPORTING (MAY 2024) (DEVIATION 2024-O0013, REVISION 1)

(a) Definitions. As used in this clause--

Adequate security means protective measures that are commensurate with the consequences and probability of loss, misuse, or unauthorized access to, or modification of information.

Compromise means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.

Contractor attributional/proprietary information means information that identifies the contractor(s), whether directly or indirectly, by the grouping of information that can be traced back to the contractor(s) (e.g., program description, facility locations), personally identifiable information, as well as trade secrets, commercial or financial information, or other commercially sensitive information that is not customarily shared outside of the company.

Controlled technical information means technical information with military or space application that is subject to controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination. Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F using the criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include information that is lawfully publicly available without restrictions.

Covered contractor information system means an unclassified information system that is owned, or operated by or for, a contractor and that processes, stores, or transmits covered defense information.

Covered defense information means unclassified controlled technical information or other information, as described in the Controlled Unclassified Information (CUI) Registry at http://www.archives.gov/cui/registry/category-list.html, that requires

safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide policies, and is--

(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on behalf of DoD in support of the performance of

the contract; or

(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the performance of the contract.

Cyber incident means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.

Forensic analysis means the practice of gathering, retaining, and analyzing computer-related data for investigative purposes in a manner that maintains the integrity of the data.

Information system means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.

Malicious software means computer software or firmware intended to perform an unauthorized process that will have adverse impact on the confidentiality, integrity, or availability of an information system. This definition includes a virus, worm, Trojan horse, or other code-based entity that infects a host, as well as spyware and some forms of adware.

Media means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or printed within a covered contractor information system.

Operationally critical support means supplies or services designated by the Government as critical for airlift, sealift, intermodal transportation services, or logistical support that is essential to the mobilization, deployment, or sustainment of the Armed Forces in a contingency operation.

Rapidly report means within 72 hours of discovery of any cyber incident.

Technical information means technical data or computer software, as those terms are defined in the clause at DFARS 252.227-7013, Rights in Technical Data-- Other

Than Commercial Products and Commercial Services, regardless of whether or not the clause is incorporated in this solicitation or contract. Examples of technical information include research and engineering data, engineering drawings, and associated lists, specifications, standards, process sheets, manuals, technical reports, technical orders, catalog-item identifications, data sets, studies and analyses and related information, and computer software executable code and source code.

(b) Adequate security. The Contractor shall provide adequate security on all covered

contractor information systems. To provide adequate security, the Contractor shall implement, at a minimum, the following information security protections:

(1) For covered contractor information systems that are part of an Information Technology (IT) service or system operated on behalf of the Government, the following security requirements apply:

(i) Cloud computing services shall be subject to the security requirements specified in the clause 252.239-7010, Cloud Computing Services, of this contract.

(ii) Any other such IT service or system (i.e., other than cloud computing) shall be subject to the security requirements specified elsewhere in this contract.

(2) For covered contractor information systems that are not part of an IT service or system operated on behalf of the Government and therefore are not subject to the security requirement specified at paragraph (b)(1) of this clause, the following security requirements apply:

(i) Except as provided in paragraph (b)(2)(ii) of this clause, the covered contractor information system shall be subject to the security requirements in National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, "Protecting Controlled Unclassified Information in Nonfederal Information Systems and Organizations", Revision 2 (available via the internet at https://nvlpubs.nist.gov/nistpubs/SpecialPublications/NIST.SP.800-171r2.pdf).

(ii)(A) The Contractor shall implement NIST SP 800-171, as soon as practical, but not later than December 31, 2017. For all contracts awarded prior to October 1, 2017, the Contractor shall notify the DoD Chief Information Officer (CIO), via email at osd.dibcsia@mail.mil, within 30 days of contract award, of any security requirements specified by NIST SP 800-171 not implemented at the time of contract award.

(B) The Contractor shall submit requests to vary from NIST SP 800-171 in writing to the Contracting Officer, for consideration by the DoD CIO. The Contractor

need not implement any security requirement adjudicated by an authorized representative of the DoD CIO to be nonapplicable or to have an alternative, but equally effective, security measure that may be implemented in its place.

(C) If the DoD CIO has previously adjudicated the contractor's requests indicating that a requirement is not applicable or that an alternative security measure is equally effective, a copy of that approval shall be provided to the Contracting Officer when requesting its recognition under this contract.

(D) If the Contractor intends to use an external cloud service provider to store, process, or transmit any covered defense information in performance of this

contract, the Contractor shall require and ensure that the cloud service provider meets security requirements equivalent to those established by the Government for the Federal Risk and Authorization Management Program (FedRAMP) Moderate baseline (https://www.fedramp.gov/documents-templates/) and that the cloud service provider complies with requirements in paragraphs (c) through (g) of this clause for cyber incident reporting, malicious software, media preservation and protection, access to additional information and equipment necessary for forensic analysis, and cyber incident damage assessment.

(3) Apply other information systems security measures when the Contractor reasonably determines that information systems security measures, in addition to those identified in paragraphs (b)(1) and (2) of this clause, may be required to provide adequate security in a dynamic environment or to accommodate special circumstances (e.g., medical devices) and any individual, isolated, or temporary deficiencies based on an assessed risk or vulnerability. These measures may be addressed in a system security plan.

(c) Cyber incident reporting requirement.

(1) When the Contractor discovers a cyber incident that affects a covered contractor information system or the covered defense information residing therein, or that affects the contractor's ability to perform the requirements of the contract that are designated as operationally critical support and identified in the contract, the Contractor shall--

(i) Conduct a review for evidence of compromise of covered defense information, including, but not limited to, identifying compromised computers, servers, specific data, and user accounts. This review shall also include analyzing covered contractor information system(s) that were part of the cyber incident, as well as other information systems on the Contractor's network(s), that may have been accessed as a

result of the incident in order to identify compromised covered defense information, or that affect the Contractor's ability to provide operationally critical support; and

(ii) Rapidly report cyber incidents to DoD at https://dibnet.dod.mil.

(2) Cyber incident report. The cyber incident report shall be treated as information created by or for DoD and shall include, at a minimum, the required elements at https://dibnet.dod.mil.

(3) Medium assurance certificate requirement. In order to report cyber incidents in accordance with this clause, the Contractor or subcontractor shall have or acquire a DoD-approved medium assurance certificate to report cyber incidents. For information on obtaining a DoD-approved medium assurance certificate, see https://public.cyber.mil/eca/.

(d) Malicious software. When the Contractor or subcontractors discover and isolate malicious software in connection with a reported cyber incident, submit the malicious software to DoD Cyber Crime Center (DC3) in accordance with instructions provided by DC3 or the Contracting Officer. Do not send the malicious software to the Contracting Officer.

(e) Media preservation and protection. When a Contractor discovers a cyber incident has occurred, the Contractor shall preserve and protect images of all known affected information systems identified in paragraph (c)(1)(i) of this clause and all relevant monitoring/packet capture data for at least 90 days from the submission of the cyber incident report to allow DoD to request the media or decline interest.

(f) Access to additional information or equipment necessary for forensic analysis. Upon request by DoD, the Contractor shall provide DoD with access to additional information equipment that is necessary to conduct a forensic analysis.

(g) Cyber incident damage assessment activities. If DoD elects to conduct a damage assessment, the Contracting Officer will request that the Contractor provide all of the damage assessment information gathered in accordance with paragraph (e) of this clause.

(h) DoD safeguarding and use of contractor attributional/proprietary information. The Government shall protect against the unauthorized use or release of information obtained from the contractor (or derived from information obtained from the contractor) under this clause that includes contractor attributional/proprietary information, including such information submitted in accordance with paragraph (c). To the maximum extent practicable, the Contractor shall identify and mark

attributional/proprietary information. In making an authorized release of such information, the Government will implement appropriate procedures to minimize the contractor attributional/proprietary information that is included in such authorized release, seeking to include only that information that is necessary for the authorized purpose(s) for which the information is being released.

(i) Use and release of contractor attributional/proprietary information not created by or for DoD. Information that is obtained from the contractor (or derived from information obtained from the contractor) under this clause that is not created by or for DoD is authorized to be released outside of DoD--

(1) To entities with missions that may be affected by such information;

(2) To entities that may be called upon to assist in the diagnosis, detection, or mitigation of cyber incidents;

(3) To Government entities that conduct counterintelligence or law enforcement investigations;

(4) For national security purposes, including cyber situational awareness and defense purposes (including with Defense Industrial Base (DIB) participants in the program at 32 CFR part 236); or

(5) To a support services contractor ("recipient") that is directly supporting Government activities under a contract that includes the clause at 252.204-7009, Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident Information.

(j) Use and release of contractor attributional/proprietary information created by or for DoD. Information that is obtained from the contractor (or derived from information obtained from the contractor) under this clause that is created by or for DoD (including the information submitted pursuant to paragraph (c) of this clause) is authorized to be used and released outside of DoD for purposes and activities authorized by paragraph (i) of this clause, and for any other lawful Government purpose or activity, subject to all applicable statutory, regulatory, and policy based restrictions on the Government's use and release of such information.

(k) The Contractor shall conduct activities under this clause in accordance with applicable laws and regulations on the interception, monitoring, access, use, and disclosure of electronic communications and data.

(l) Other safeguarding or reporting requirements. The safeguarding and cyber

incident reporting required by this clause in no way abrogates the Contractor's responsibility for other safeguarding or cyber incident reporting pertaining to its unclassified information systems as required by other applicable clauses of this contract, or as a result of other applicable U.S. Government statutory or regulatory requirements.

(m) Subcontracts. The Contractor shall--

(1) Include this clause, including this paragraph (m), in subcontracts, or similar contractual instruments, for operationally critical support, or for which subcontract performance will involve covered defense information, including subcontracts for commercial products or commercial services, without alteration, except to identify the parties. The Contractor shall determine if the information required for subcontractor performance retains its identity as covered defense information and will require protection under this clause, and, if necessary, consult with the Contracting Officer; and

(2) Require subcontractors to--

(i) Notify the prime Contractor (or next higher-tier subcontractor) when submitting a request to vary from a NIST SP 800-171 security requirement to the Contracting Officer, in accordance with paragraph (b)(2)(ii)(B) of this clause; and

(ii) Provide the incident report number, automatically assigned by DoD, to the prime Contractor (or next higher-tier subcontractor) as soon as practicable, when reporting a cyber incident to DoD as required in paragraph (c) of this clause.

(End of clause)

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FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20 301-3000
ACQUISITION
AND SUSTAINMENT

I
n reply refer to
DARS Tracking Number: 2024-O0011
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: AQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
S
UBJECT: Class Deviation--Special Acquisition Authority for Rapid Contracting for Combatant Commanders
E
ffective immediately and when approved in accordance with this class deviation, contracting officers may use the following temporary special acquisition authorities provided by section 843 of the National Defense Authorization Act of Fiscal Year 2024 (Pub. L. 118-31) for covered contracts issued in a rapid contracting response to covered operations.
(A)
Definitions. As used in this class deviation--
* "C
overed contract" means a contract action or a purchase and/or payment made using the Governmentwide commercial purchase card, for an acquisition approved by the head of the contracting activity (HCA) that directly supports covered operations.
* "
Covered operation" means a time sensitive or unplanned situation during--
(1)
A humanitarian or peacekeeping operation; or
(2
) Directed operations below the threshold of traditional armed conflict for the purposes of protecting the national security interests of the United States.
* "C

ombatant command" means any of the following:
(1
) United States Africa Command .

(2) United States Central Command .
(3) United States Cyber Command.
(4) United States European Command.
(5) United States Indo- Pacific Command.
(6) United States Northern Command.
(7) United States Southern Com mand.
(8) United States Space Command .
(9) United States Special Operations Command .
(10) United States Strategic Command .
(11) United States Transportation Command.
* "C
ombatant commander" means the individual who has the assignment of powers and
duties at 10 U.S.C. 164.
* "Se
nior contracting official" is defined in 10 U.S.C. 1737.
(B)
Special Acquisition Authority.
(1)
Notwithstanding FAR part 18 and DFARS part 218, and the definitions of micro-
purchase threshold and simplified acquisition threshold at FAR 2.101, contracting officers may
apply the special acquisition authorities to covered contracts at or below the following
thresholds:
(
a) The mi cro-purchase threshold:
(i)
$20,000 in the case of any contract to be awarded and performed, or purchase
to be made, in the United States.
(
ii) $35,000 in the case of any contract to be awarded and performed, or purchase
to be made, outside the United States.
(b
) The simplified acquisition threshold:
(i
) $800,000 for any contract to be awarded and performed, or purchase to be
made, in the United States.
(
ii) $1.5 million for any contract to be awarded and performed, or purchase to be
made, outside the United States.
(c)
The simplified procedures at FAR subpart 13.5 are authorized for purchases of
products and services for amounts greater than the simplified acquisition threshold but not
greater than $15 million.
(2)
Contracting officers may treat acquisitions of supplies or services made pursuant to
this deviation as acquisitions of commercial products or commercial services.

(C) P
rocedures.
(1) C
ombatant commanders will submit a written request and determination to the HCA that a covered operation requires a rapid response. The request and determination will include the following:
(
i) Identification of the covered operation(s).
(ii)
Identification of the HCA(s).
(
iii) The authority or authorities being requested.
(iv) The
rationale for the use of the authority or authorities.
(v
) An attestation that funds are available for each contract action.
(2) The HCA, not delegable below the senior contracting official, shall review and approve or disapprove the Combatant Commander's request and determination. If approved, the HCA shall provide the determination to the contracting officer and the applicable Governmentwide commercial purchase cardholders. If disapproved, the HCA shall notify the combatant commander of such disapproval.
(3) If the Combatant Commander's request and determination are approved by the HCA,
t
he contracting officer shall send a copy of the request and approved determination to Defense Pricing and Contracting (DPC) via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil within 7 days of receipt of the determination.
(4) The contracting officer shall include the request and approved determination in the
cont
ract file.
(5) Contracting officers shall enter "2024-O0011" in the "Description of Requirements"
da
ta element along with the actual description of what is being procured and the most appropriate value in the "Emergency Acquisition" data element in the contract action report for contracts awarded pursuant to this class deviation.
(6) Combatant commanders will notify contracting officers immediately upon the conclusion of a covered operation. Upon receipt of such notification, the contracting officer shall notify DPC via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil that the covered operation has ended.

This class deviation implements section 843 of the National Defense Authorization Act of Fiscal Year 2024 (Pub. L. 118-31) and remains in effect until September 30, 2028, unless otherwise rescinded. My point of contact is Col Adam Coyne, DPC/CP, who may be reached at adam.v.coyne.mil@mail.mil.
J
ohn M. Tenaglia

Principal Director,
Defense Pricing and Contracting
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OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20 301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2024-O0009, Revision 1
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND
(ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
S
UBJECT: Class Deviation--Prohibition on Required Disclosure of Information Relating to Greenhouse Gas Emissions
E
ffective immediately, this class deviation revises and supersedes Class Deviation 2024-O0009, issued on February 25, 2024. This revision is necessary to implement a statutory extension of the time-limited prohibition for traditional defense contractors.
DoD contracting officers shall not require, as a condition of contract award, certain defense contractors to disclose a greenhouse gas inventory or any other report on greenhouse gas emissions, unless an exception is made or a waiver is granted. Contracting officers shall not consider, as a condition for award, greenhouse gas emission information that may otherwise be provided in annual representations and certifications in response to the solicitation provision at Federal Acquisition Regulation 52.204-7, System for Award Management.
(A)
Definitions. As used in this class deviation--
(1) The term "greenhouse gas" means carbon dioxide, methane, nitrous oxide, nitrogen trifluoride, hydrofluorocarbons, perfluorocarbons, or sulfur hexafluoride.
(2) T
he term "greenhouse gas inventory" means, with respect to an entity or individual, a quantified list of the annual greenhouse gas emissions of the entity or individual.
(

B) Prohibition on Required Disclosure of Information Relating to Greenhouse Gas Emissions.

(1) Nontraditional defense contractors. Contracting officers shall not require that any nontraditional defense contractor, as a condition of being awarded a DoD contract, disclose a greenhouse gas inventory or any other report on greenhouse gas emissions.

(2) Traditional defense contractors. Through December 22, 2026, contracting officers shall not require that any individual or entity that is other than a nontraditional defense contractor, as a condition of being awarded a DoD contract, disclose a greenhouse gas inventory or any other report on greenhouse gas emissions.

(C) Exception. An exception to the prohibition in paragraphs (B)(1) and (2) of this class deviation may apply, where a contracting official at least one level above the contracting officer determines that requiring such disclosure is necessary to verify a voluntary disclosure of such inventory or other report.

(D) Waiver. The head of the contracting activity (HCA) may issue a waiver on a contract-by-contract basis provided that the information relating to greenhouse gas emissions is directly related to the performance of the contract. In issuing such a waiver, the HCA shall ensure that any such required information is clearly identifiable.

This class deviation implements section 318 of the National Defense Authorization Act for Fiscal Year 2024 (Pub. L. 118-31) as amended by section 316 of the National Defense Authorization Act for Fiscal Year 2025 (Pub. L. 118-159).

This class deviation remains in effect until December 22, 2026, for contract awards for both nontraditional defense contractors and traditional defense contractors. After December 22, 2026, this class deviation remains in effect only for nontraditional defense contractors until it is incorporated in the DFARS or is otherwise rescinded. Direct questions to DPCAP/DARS at osd.dfars@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

O
FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20 301-3000
ACQUISITION
AND SUSTAINMENT
I
n reply refer to
DARS Tracking Number: 2024-O0008, Revision 1

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: AQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
S
UBJECT: Class Deviation--Re vision 1, Revision of Small Purchase Exception for the Acquisition of U.S. Flags
E
ffective immediately, this class deviation revises and supersedes Class Deviation 2024-O0008, issued on February 8, 2024. This revision is necessary to correct a typographical error to the clause title cited in the Attachment 1. Contracting officers shall use the attached clause in lieu of the clause at DFARS 252.225-7006, Acquisition of the American Flag, in solicitations and contracts that exceed $10,000, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, unless a waiver is granted.
T
he Secretary of Defense may waive the restriction at DFARS 225.7002-1(a), for the purchase of U.S. flags in an amount greater than $10,000 if the Secretary determines such waiver is appropriate.
T
his class deviation implements section 832 of the National Defense Authorization Act of Fiscal Year 2024 (Pub. L. 118-31). Section 832 adds U.S. flags to the list of covered items in 10 U.S.C. 4862(b) and revises the exception for small purchases as provided in 10 U.S.C. 4862(h) for the acquisition of U.S. flags. The new restriction requires that contracting officers comply with 10 U.S.C. 4862, Requirement to buy certain articles from American sources (commonly known as the Berry Amendment), when acquiring U.S. flags under a DoD contract. In addition to the restriction at DFARS 225.7002-1(b), the restriction at 10 U.S.C. 4862(a)(5) now requires full domestic production of U.S. flags acquired by DoD and applies to acquisitions greater than $10,000 for contracts and subcontracts for the procurement of U.S. flags.

This class deviation remains in effect until incorporated into the Defense Federal Acquisition Regulation Supplement or until otherwise rescinded. My point of contact is Mr. Jeffrey Grover, DPC/CP who is available at jeffrey.c.grover.civ@mail.mil.
J
ohn M. Tenaglia
Principal Director,
Defense Pricing and Contracting
for
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Date: 2024.03.05
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Attachment 1
Class Deviation 2024-O0008, Revision 1
Revision of Small Purchase Exception for the Acquisition of U.S. Flags
Changes to the text are indicated by a change bar in the right-hand margin.

252.225-7006 Acquisition of the American Flag (DEVIATION 2024-O0008).

Use the following deviation clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that exceed $10,000 and that are for the acquisition of the American flag.

ACQUISITION OF THE AMERICAN FLAG (MAR 2024) (DEVIATION 2024-O0008)

(a) Definition. "United States," as used in this clause, means the 50 States, the District of Columbia, and outlying areas.

(b) If the Contractor is required to deliver under this contract one or more American flags (Product or Service Code 8345), such flag(s), including the materials and components thereof, shall be manufactured in the United States, consistent with the requirements at 10 U.S.C. 4862 (commonly known as the "Berry Amendment").

(c) This clause does not apply to the acquisition of any end items or components related to flying or displaying the flag (e.g., flagpoles and accessories).

(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), in all subcontracts, including subcontracts for the acquisition of commercial products and commercial services.

(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2024-O0007

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND
(ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
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DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Section 890 Pilot Program to Accelerate Contracting and Pricing Processes

Effective immediately, this class deviation rescinds and supersedes Class Deviation 2023-O0004, issued January 17, 2023. For contract actions approved for participation in the Section 890 Pilot Program (the Pilot Program), the contracting officer may determine the extent, structure, and level of detail of the historical actual cost data the offeror or contractor will be required to submit in lieu of providing complete certified cost or pricing data.

Contract actions must be approved by the Director, Defense Pricing and Contracting, Price, Cost, and Finance (DPC/PCF), to participate in the Pilot Program prior to the issuance of the solicitation. Contracting officers may request approval to participate in the pilot program by completing and submitting the attached application template (Attachment 1) to osd.pentagon.ousd-a-s-mbx.dpc-pcf@mail.mil. To be selected, contract actions must have an anticipated value exceeding $50 million.

Contract actions best suited for the pilot program are those of a recurring nature for which there is reliable, actual cost data, and with companies that have approved business systems. The Pilot Program entails no preference for contract type or specific contract requirements. While not a condition for participation, use of a fixed-price-incentive contract type can reduce the cost risk for the participating parties and provide measurable results at the conclusion of the acquisition in relation to a target cost.

For those contract actions approved by the Director, DPC/PCF, contracting officers shall--

* Use the deviation provision provided in Attachment 2, in lieu of the basic or alternate of the provision at DFARS 252.215-7010, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, and detail the subset of cost or pricing data and format to be required from the offeror and potential subcontractors participating in the Pilot Program, in lieu of complete cost or pricing data as defined at FAR 2.101;

* Use the deviation clause provided in Attachment 3, which will apply to modifications

approved for the Pilot Program in lieu of FAR 52.215-21, Requirements for Certified Cost or Pricing Data--Modifications, and detail in the request for proposa l for the modification the specific cost or pricing data required to be submitted by the contractor and subcontractors participating in the Pilot Program;

* Use the deviation clause provided in Attachment 4, 252.215-7998, Pilot Program to Accelerate Contracting and Pricing Processes, to ensure the contractor provides information necessary to evaluate the efficacy of the Pilot Program; and

* Make price reasonableness determinations based primarily on offeror or contractor actual cost data from prior acquisitions, in combination with more traditional certified cost or pricing data that may be required to support aspects of the current acquisition for which the contractor's historical cost experience may not be adequately representative of the current requirement.

The contracting officer may strategically establish the extent, structure, and level of detail of the historical actual cost data the offeror or contractor will be required to submit in lieu of complete certified cost or pricing data. It will be crucial for the contracting officer and offeror or contractor to have a detailed dialogue regarding the certified cost or pricing data that will be required under the authority of the pilot, to ensure that the offeror or contractor understands the contracting officer's expectations regarding the data necessary to support a price reasonableness determination, and the traceability of that data to the offeror's or contractor's proposal. Depending on the type and level of detail of certified cost or pricing data to be required in support of specific subcontracts under the Pilot Program, the same discussion should take place between the contracting officer, the offeror or contractor, and the applicable subcontractors.

The pilot program entails minimal reporting requirements for participants. Measurement of pilot results must be provided at two junctures, as described at 252.215-7998, Pilot Program to Accelerate Contracting and Pricing Processes (see Attachment 4). These two data submittal junctures are necessary for DoD to assess Pilot-Program effectiveness. The first measurement will occur within three months after the contract action approved for participation in the Pilot Program is awarded. The second measurement will occur upon completion of performance of the contract action to measure how closely the actual cost of performance aligned with the acquisition team's anticipated cost. Contracting officers shall submit both sets of results to osd.pentagon.ousd-a-s-mbx.dpc-pcf@mail.mil as they become available.

This class deviation extends the P ilot Program authority provided by section 890 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019 (Pub. L. 115-232), as amended by section 825 of the NDAA for FY 2020 (Pub. L. 116-92), section 818 of the NDAA

for FY 2023 (Pub. L. 117-263), and section 841 of the NDAA for FY 2024 (Pub. L. 118-31). Section 890 as amended authorizes DoD to conduct a Pilot Program for contract actions exceeding $50 million, allows price reasonableness determinations to be based on actual cost and pricing data for purchases of the same or similar products for DoD, and minimizes the cost and pricing data to be submitted in accordance with FAR 15.403-4 (10 U.S.C. 3702).

This class deviation remains in effect until January 2, 2028, or until otherwise rescinded. My point of contact is Ms. Gina Bova, who is available at 937-200-4020 or by email at

regina.m.bova.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

Attachments:
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Date: 2024.02.08 13:44:18 -05'00'

Attachment 1
Class Deviation 2024-O0007
Section 890 Pilot Program to Accelerate Contracting and Pricing Processes

Application to Participate in the Pilot Program Authorized under Section 890 of the National Defense Authorization Act (NDAA) For Fiscal Year 2019, as amended by section 825 of the NDAA for FY 2020, section 818 of the NDAA for FY 2023, and section 841 of the NDAA for FY 2024, for contract actions that exceed $50 million.

I. Program/Contract Information

Program Name: _____

Cognizant Contracting Activity: _____
(Buying office, Command, Department or Agency)

Description of Requirement: _____
(Product, quantity, period of performance)

Estimated value of the current requirement: _____

Anticipated contract type: _____

Anticipated award date: _____

List of relevant prior acquisitions to be used as the basis for projecting costs of the current acquisition under the pilot program:

Acquisition 1: _____
(Name, customer, product, quantity, period of performance, contract value, contract type)

Acquisition 2: _____
(Name, customer, product, quantity, period of performance, contract value, contract type)

(List the same information for additional acquisitions as appropriate. Notwithstanding the spaces provided in the fill-in blanks that follow in this application, provide narrative responses as appropriate.)

Please discuss the extent of commonality between current and prior acquisitions. Does the current acquisition include work not required in the prior acquisitions? Did the prior acquisitions include work

not required in the current buy? Are there any significant requirement changes? Were actuals from previous buys requested on these listed acquisitions? If so, how were they used in proposal evaluation
and/or negotiations?

_____

_____

_____

_____

II. Prime Contractor Information

Contractor Name and Location: _____

Contractor CAGE Code: _____

Status of Contractor's Accounting System as shown in CBAR: _____

III. Notional Approach to Data Requirements for the Bill of Materials

Please complete this section if the contracting officer plans to flow down the pilot authority to some or all first tier or lower tier subcontracts.

For each of the relevant prior acquisitions listed in Section I, above, please provide the total considered negotiated material and subcontract cost, in dollars and as a percentage of the total considered negotiated cost line.

Acquisition 1: _____

(Name, considered negotiated material/subcontract cost, in dollars and as a percent of the negotiated cost line)

Acquisition 2: _____

(Name, considered negotiated material/subcontract cost, in dollars and as a percent of the negotiated cost line)

List the same information for additional acquisitions as appropriate.

Please discuss any significant issues or challenges relating to material or subcontracts which were experienced in the context of the above-listed historical acquisitions.

_____

_____

_____

_____

Please discuss the extent of commonality between current and prior acquisitions with respect to the Bill
of Materials. Does the current acquisition include significant subcontracted effort not required in the
prior acquisitions? Did the prior acquisitions include significant subcontract effort not required in the
current buy? Are there any significant requirement changes with respect to subcontracted items? Were actuals from previous buys requested for major subcontracts? If so, how were they used in the Government's proposal evaluation and/or negotiations with the prime contractor?

_____

_____

_____

_____

Please describe the contracting officer's planned approach for flowing down the Section 890 pilot

authority to subcontracts. Please indicate whether the intent is to apply the authority to some or all first tier subcontracts subject to the Truth in Negotiations Act; the type and extent of data to be required; and whether the authority will be flowed down to lower tier subcontracts. If the type and extent of data to be required is expected to be scaled based on subcontract dollar value or other considerations, please explain. _____
_____
_____
_____

IV. Acquisition Team Information

Contracting Officer name and contact information: _____

Buyer/Contract specialist name and contact information: _____

Considerations with Respect to Type and Extent of Certified Cost or Pricing Data to Be Required

The intent of this implementation of the Section 890 pilot program is to provide the flexibility for contracting officers to strategically identify and require submission of the specific cost or pricing data, including actual cost history details, which are expected to be most relevant in establishing a fair and reasonable price for the recurring costs associated with a product which has meaningful price history under DoD acquisitions. Contracting officers requesting approval to utilize this pilot program authority should be prepared to develop a strategy which will facilitate analysis of the contractor's proposal for the current requirement, including any non-recurring or unique aspects. Considerations may include the following:

Actual costs for relevant prior acquisitions for which performance is not complete: If any of the prior acquisitions to be used to establish price reasonableness for the current requirement are not physically complete as of the date of issuance of the solicitation, the contracting officer should require the contractor to provide and support their estimate to complete (ETC). (Document the requirement in the deviation version of 252.215-7010 or the request for proposal for a contract modification in accordance with 252.215-7997, as applicable.) Additionally, for incomplete efforts at both the prime and the subcontract level, the contractor/subcontractor should be required to provide a data refresh prior to commencement of negotiations and prior to conclusion of negotiations between the Government and

the prime. Contractor refusals to disclose ETC values should be elevated through the management chain as described in DFARS PGI 215.404-1(a)(i)(A).

Non-recurring effort: The contracting officer will need to consider non-recurring effort from two perspectives. First, the contractor should be required to separately identify the non-recurring activity performed in prior acquisitions, and provide adequate actual cost details to ensure exclusion of that cost from cost estimates for the current requirement. Secondly, the contracting officer will need to work with the contractor to identify non-recurring requirements which are part of the current acquisition. The CO must then determine the type and extent of certified cost or pricing data required to support establishment of a fair and reasonable price for that portion of the effort.

Fixed vs variable cost: Where there are quantity differences between the current requirement and the prior acquisitions to be used to establish price reasonableness, it is critical that the contracting officer take into account the impact of fixed vs variable costs. The contractor should be required to separately identify the fixed and variable components of the historical actuals, and provide the cost of each at a level of detail that will support the Government's appropriate use of the historical actuals in the evaluation of the proposed cost for the current requirement.

Changed requirements: If there are significant requirement changes between the prior acquisitions and the current requirement, the contracting officer must develop an appropriate approach for segregating the costs associated with tasks performed in the prior acquisitions that are not required in the instant effort, to ensure those costs are not projected into estimates for the current requirements. Additionally, the contracting officer must determine what cost or pricing data will be required to support new work not required or performed under the prior acquisitions.

Labor: The contracting officer will need to ensure that the contractor provides adequate insight into the composition of the historical labor actuals to inform the Government's evaluation of the proposal for the current requirement. For example, the prior actuals may need to show hours by labor category by task. Where labor hours included in the historical acquisitions were proposed based on factors, and the contractor's proposal for the current requirement is expected to use the same or similar factors, it may be useful to compare proposed factors for prior acquisitions to actual outcomes for those efforts.

Subcontracts subject to the Truthful Cost or Pricing Data (Truth in Negotiations) act: For the purposes of this pilot, the authority provided under Section 890 of the FY19 NDAA may be flowed down to first-tier or lower-tier subcontracts subject to, the Truthful Cost or Pricing Data (Truth in Negotiations)

act, at
the discretion of the contracting officer. This means that, for those subcontracts for which the pilot
authority is flowed down, the contracting officer for acquisitions approved for participation in the pilot
will need to establish the extent, structure, and level of detail of the historical actual cost data which
subcontractors will be required to submit in lieu of traditional certified cost or pricing data, and must
ensure that the actuals are presented in a manner that will support efficient and effective evaluation of
the subcontract proposal for the current requirement. It may be useful to stratify the covered
subcontracts by proposed dollar value; for a subset of the subcontracts (generally, the major
subcontracts), the contracting officer may find it appropriate to require submission of actuals at a level
of detail similar to the types of breakout required for the prime contractor's prior actuals. For some
subcontracts it may be appropriate to obtain only limited insight into the total actuals, e.g., total cost,
total labor dollars/hours, and total material. For lower dollar subcontracts, it may be appropriate to
either require submission of the subcontractor's recurring actual cost for specified prior acquisitions in
support of DoD contracts, or simply obtain the prime's purchase order history for the specified prior
acquisitions. The contracting officer's insight into the quality of the prime's negotiated vendor pricing
in the context of the historical acquisitions may come into play in making this decision. For those
subcontracts for which the pilot authority is flowed down, consideration should be given to obtaining
subcontract cost breakouts segregating recurring and non-recurring effort, at a minimum. If there are
significant quantity variations between the prior subcontracts and the current requirement, it may also
be prudent to gain insight into the breakout of fixed and variable costs under the subcontract. Cost
implications of requirement changes between the prior subcontracts and the current requirement must
be considered: the cost of work performed under prior subcontracts but not currently required must be
segregated in the historical actuals, while new requirements must be adequately supported in the
subcontract proposal, since the cost history of prior subcontracts will not be informative with respect to
the new work. The contracting officer may wish to consider whether there is benefit in requiring
submission of the prime's cost analyses for select subcontracts, as these become available. In addition
to the historical actuals, the contracting officer should also consider requiring the prime contractor and
its subcontractors to disclose suppliers' quotes, offers, and agreed-to vendor pricing for the current
requirement as those data become available.

Material and subcontracts below the TINA threshold or meeting a TINA exception: The deviation

provision DFARS 252.215-7010(d)(5) and deviation clause 252.215-7997(c)(5) in support of this pilot address expectations with respect to subcontracts not subject to TINA. The Government has no entitlement to incurred cost data for these subcontracts. The PCO will need to consider whether data in addition to the prime contractor's purchase order history will be needed to support proposed pricing for these items. In particular, where the prime contractor has made a commerciality assertion with regard to a subcontractor, the contracting officer will need to consider whether data other than certified cost or pricing data will be required, and if so, the type and extent of data.

Interdivisional transfers: For interdivisional transfers subject to TINA, the PCO will need to determine the appropriate level of detail for supporting cost or pricing data. Considerations may include the dollar value of the interdivisional transfer and the complexity of the effort.

ODCs: While discrete ODCs are often proposed based on judgmental estimates, the contracting officer should consider whether the historical ODC cost experience from the prior acquisitions may provide an appropriate basis for projection of ODC cost for the current effort. The concepts of recurring vs non-recurring costs and fixed vs variable, discussed above, may also come into play.

Rates and factors: It may be useful to compare proposed rates and factors for prior acquisitions to actual outcomes, especially with respect to estimating factors which are not the subject of an FPRA or an FPRR. However, contracting officers would generally be expected to use prospective DCMA rate positions, when available, in the pricing of the current requirement.

Format and content of the proposal for the current requirement: The contracting officer should consider what traditional proposal content will still be required under the auspices of the Section 890 pilot, if the actual cost detail from prior acquisitions is provided, and what typical proposal content may be foregone. For example, the contractor should still be expected to submit a cost element summary at the CLIN level and in the aggregate, a priced bill of materials, and a time-phased breakdown of labor hours and rates by category. Labor basis of estimate (BOE) sheets may not be needed to support that portion of the current requirement which is identical to the requirements of prior buys, whereas the contractor should be expected to submit BOEs to support non-recurring effort which is not represented in the prior actuals. The contracting officer may elect to require submission of some prime cost analyses of subcontract proposals, while perhaps choosing to rely on the prime's PO history or the subcontractor's submission of prior actuals for other subcontracts. While the specifics will vary according to the circumstances of each pilot program acquisition, it is critical for the contracting officer to have a proposal evaluation plan in place in order to ensure that the optimal subset of data is obtained to permit efficient and effective proposal evaluation, negotiation, and establishment of a fair and reasonable price.

Attachment 2
Class Deviation 2024-O0007
Section 890 Pilot Program to Accelerate Contracting and Pricing Processes

Changes indicated by a change bar in the right-hand margin

252.215-7010 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data. (DEVIATION 2024-O0007)

U se the following deviation provision, in lieu of the basic or alternate of the provision at DFARS 252.215-7010, in solicitations that the Director, Price, Cost and Finance / Defense Pricing and Contracting, has authorized for participation in the Section 890 Pilot Program.

REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA (DEVIATION 20 24-O0007) (FEB 2024)

(a) Definitions. As used in this provision--

" Market prices" means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.

"Non-Government sales" means sales of the supplies or services to non-Governmental entities for purposes other than governmental purposes.

"Relevant sales data" means information provided by an offeror on sales of the same or similar items that can be used to establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any related discounts, refunds, rebates, offsets, or other adjustments).

"Sufficient non-Government sales" means relevant sales data that reflects market pricing and contains enough information to make adjustments covered by FAR 15.404-1(b)(2)(ii)(B).

"Uncertified cost data" means the subset of "data other than certified cost or pricing data" (see FAR 2.101) that relates to cost.

(b) Exceptions from certified cost or pricing data.

(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted and whether the price is fair and reasonable.

(i) Exception for price set by law or regulation - Identification of the law or regulation establishing the price offered. If the price is controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.

(ii) Commercial item exception. For a commercial item exception, the Offeror shall submit, at a minimum, information that is adequate for evaluating the

reasonableness of the price for this acquisition, including prices at which the same item

or similar items have been sold in the commercial market. Such information shall include--

(A) For items previously determined to be commercial, the contract number and military department, defense agency, or other DoD component that rendered such determination, and if available, a Government point of contact;

(B) For items priced based on a catalog--

(1) A copy of or identification of the Offeror's current catalog showing the price for that item; and

(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price (including any related discounts, refunds, rebates, offsets, or other adjustments);

(C) For items priced based on market pricing, a description of the nature of the commercial market, the methodology used to establish a market price, and all relevant sales data. The description shall be adequate to permit DoD to verify the accuracy of the description;

(D) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item; or

(E) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing and has not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement or transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.

(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and to determine the reasonableness of price.

(
c) Requirements for certified cost or pricing data. This acquisition is accomplished under the authority of section 890 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019 (Pub. L. 115-232), as amended by section 825 of the NDAA for

FY 2020 (Pub. L. 116-92), section 818 of the NDAA for FY 2023 (Pub. L. 117-263), and section 841 of the NDAA for FY 2024 (Pub. L. 118-31). The intent of this pilot program is to test the efficacy of basing price reasonableness determinations primarily on actual costs of performance for prior purchases of the same or similar products for the Department of Defense. If the Offeror is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:

Attachment 2
Class Deviation 2024-O0007
Section 890 Pilot Program to Accelerate Contracting and Pricing Processes
Changes indicated by a change bar in the right-hand margin

(1) In lieu of providing complet e cost or pricing data, as defined in FAR 2.101, the Offeror shall submit a subset of cost or pricing data and supporting attachments as follows: [Contracting Officer shall list the specific cost or pricing data deemed necessary to establish price reasonableness for this acquisition, and describe the required submission format for each type of data. At a minimum, the Contracting Officer shall identify the specific prior DoD purchases of the same or similar products for which the Offeror is required to submit the actual cost of performance. The Offeror is not required to submit cost or pricing data that is not listed within this provision. If the Contracting Officer finds that additional cost or pricing data are needed in order to determine that the price is fair and reasonable, the Contracting Officer shall issue an amendment to the solicitation, revising this paragraph as needed to require the submission of the additional data.]

(2)(i) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts), the Offeror shall submit a Certificate of Current Cost or Pricing Data, using the following language:

Certificate of Current Cost or Pricing Data for Acquisitions Accomplished under the Authority of Section 890 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019, as amended by Section 825 of the NDAA for FY 2020, Section 818 of the NDAA for 2023, and Section 841 of the NDAA for FY 2024

This is to certify that, to the best of my knowledge and belief, the cost or pricing data required by the provision at 252.215-7010, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data (DEVIATION 2024-O0007) of the Request for Proposal for this action, and submitted either actually or by specific identification in writing, to the Contracting Officer or to the Contracting Officer's Representative in support of _____* are accurate, complete, and current as of _____**. This certification includes the cost or pricing data supporting any advance agreements and forward pricing rate agreements between the Offeror and the Government that are part of the proposal.

Firm _____

Signature _____

Name _____

Title _____

Date of execution***_____

*Identify the proposal involved, giving the appropriate identifying number (e.g., RFP No.).

**Insert the day, month, and year when price negotiations were concluded and price agreement was reached or, if applicable, an earlier date agreed upon between the parties that is as close as practicable to the date of agreement on price.

***I nsert the day, month, and year of signing, which should be as close as practicable to the date when the price negotiations were concluded and the contract price was agreed to.

(ii) The certificate does not constitute a representation as to the accuracy of the Offeror's judgment on the estimate of future costs or projections. It applies to the data upon which the judgment or estimate was based. This distinction between fact and judgment should be clearly understood. With respect to the certified cost or pricing data required by paragraphs (c)(1) or (e) of this provision (as revised by solicitation amendment, if applicable), if the Offeror had information reasonably available at the time of agreement showing that the negotiated price was not based on accurate, complete, and current data, the Offeror's responsibility is not limited by any lack of personal knowledge of the information on the part of its negotiators.

(iii) The Contracting Officer and Offeror are encouraged to reach a prior agreement on criteria for establishing closing or cutoff dates when appropriate in order to minimize delays associated with proposal updates. Closing or cutoff dates applicable to the certified cost or pricing data required by paragraphs (c)(1) or (e) of this provision should be included as part of the data submitted with the proposal and, before agreement on price, data should be updated by the contractor to the latest closing or cutoff dates for which the data are available. Use of cutoff dates coinciding with reports is acceptable, as certain data may not be reasonably available before normal periodic closing dates (e.g., actual indirect costs). Data within the Offeror's or a subcontractor's organization on matters significant to contractor management and to the Government will be treated as reasonably available, if that data was required to be submitted by paragraph (c)(1) or (e) of this provision. What is significant depends upon the circumstances of each acquisition.

(iv) Possession of a Certificate of Current Cost or Pricing Data is not a substitute for examining and analyzing the Offeror's proposal.

(v) If certified cost or pricing data are requested by the Government and submitted by the Offeror, but an exception is later found to apply, the data shall not be considered certified cost or pricing data and shall not be certified in accordance with

this subsection.

(3) The Offeror is responsible for determining whether a subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government's expressed requirement in accordance with FAR 15.403-1(c)(1).

(d) Requirements for data other than certified cost or pricing data.

(1) Data other than certified cost or pricing data submitted in accordance with this provision shall include all data necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in DFARS 215.402(a)(i) and 215.404-1(b).

Attachment 2
Class Deviation 2024-O0007
Section 890 Pilot Program to Accelerate Contracting and Pricing Processes
Changes indicated by a change bar in the right-hand margin

(2) In cases in which uncertified cost data is required, the information shall be provided in the form in which it is regularly maintained by the Offeror or prospective subcontractor in its business operations.

(3) The Offeror shall provide information described as follows: [Insert description of the data and the format that are required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-3].

(4) Within 10 days of a written request from the Contracting Officer for additional information to support proposal analysis, the Offeror shall provide either the requested information, or a written explanation for the inability to fully comply.

(5) Subcontract price evaluation.

(i) The Offeror shall obtain from subcontractors the minimum information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.

(ii) No cost information may be required from a prospective subcontractor in any case in which there are sufficient non-Government sales of the same item to establish reasonableness of price.

(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror shall obtain only that technical information necessary--

(A) To support the conclusion that items are technically similar; and

(B) To explain any technical differences that account for variances

between the proposed prices and the sales data presented, but excluding paragraph (c), in all subcontracts exceeding the simplified acquisition threshold defined in FAR part 2.

(e) Subcontracts.

(1)
For subcontracts above the threshold for submission of certified cost or pricing data in FAR 15.403-4 to which the authority of the Section 890 pilot has been flowed down, in lieu of the requirements in paragraphs (a) and (b) of the clause at 52.215-12, Subcontractor Certified Cost or Pricing Data, of this solicitation, the Offeror shall require the subcontractor to submit a subset of cost or pricing data (actually or by specific identification in writing) as follows:

(i) [Contracting Officer shall add paragraphs as necessary to identify each first-tier subcontract to which the authority of the Section 890 pilot has been flowed down, and the specific certified cost or pricing data required for each subcontract. Contracting Officer shall list the specific cost or pricing data deemed necessary to determine that the price is fair and reasonable for each subcontract, and describe the required submission format for each type of data. The type and extent of data required may differ based on the dollar value of the subcontract proposal, or other appropriate considerations. At a minimum, the Contracting Officer shall identify the specific prior

subcontracts awarded in support of the DoD purchases of the same or similar products for which the subcontractor is required to submit the actual cost of performance. The Contracting Officer shall specify whether the authority of the Section 890 pilot is further flowed down to any lower-tier subcontract pertaining to each first-tier subcontract. Where the pilot authority is flowed down to lower-tier subcontracts, the Contracting Officer shall describe the specific certified cost or pricing data that is to be provided by each affected lower-tier subcontractor. The subcontractor and lower tier subcontractors to which the pilot authority is flowed down are not required to submit certified cost or pricing data that is not listed within this provision. If the Contracting Officer finds that additional certified cost or pricing data are needed in order to determine that the price is fair and reasonable, the Contracting Officer shall issue an amendment to the solicitation, revising this paragraph as needed to require the submission of the additional data.]

(ii) In the event a subcontractor denies the Offeror access to the data described in paragraph (e)(1)(i) of this provision, the data may be provided directly to the Contracting Officer.

(iii) If a subcontractor is unable to provide the extent of historical actual cost experience required by paragraph (e)(1)(i), then the Offeror shall require the subcontractor to provide certified cost or pricing data in accordance with paragraph (e)(2) of this clause.

(iv) The Offeror shall require the subcontractor to certify in substantially

the form prescribed in paragraph (c)(2) of this provision that, to the best of its knowledge and belief, the data submitted under paragraph (e)(1)(i) of this provision were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract.

(2) For subcontracts above the threshold for submission of certified cost or pricing data in FAR 15.403-4 to which the authority of the Section 890 pilot has not been flowed down, the Offeror shall require the subcontractor to provide certified cost or pricing data in accordance with the clause at 52.215-12, Subcontractor Certified Cost or Pricing Data, of this solicitation and shall require the subcontractor to certify in substantially the form prescribed in FAR 15.406-2 that, to the best of its knowledge and belief, the data submitted under paragraph (a) of the clause at 52.215-12 were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract.

(End of provision)

Attachment 3
Class Deviation 2024-O0007
Section 890 Pilot Program to Accelerate Contracting and Pricing Processes

252.215-7997 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data-- Modifications--Section 890 Pilot Program. (DEVIATION 2024-O0007)

Use the following deviation clause for contract modifications that the Director, Defense Pricing and Contracting/Price, Cost and Finance, has authorized for participation in the Section 890 Pilot Program. This deviation clause will apply to the modification in lieu of the basic or alternate I or IV of the clause at FAR 52.215-21.

REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA-- MODIFICATIONS-- SECTION 890 PILOT PROGRAM (DEVIATION 2024-O0007) (FEB 2024)

This deviation clause is only applicable to contract modifications that have been approved by the Director, Defense Pricing and Contracting/Price, Cost and Finance for participation in the pilot program implementing section 890 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019 (Pub. L. 115-232), as amended by section 825 of the NDAA for FY 2020 (Pub. L. 116-92), section 818 of the NDAA for FY 2023 (Pub. L. 117-263), and section 841 of the NDAA for FY 2024 (Pub. L. 118-31). The intent of this pilot program is to test the efficacy of basing price reasonableness determinations primarily on actual costs of performance for prior purchases of the same or similar products for the Department of Defense.

(a) Exceptions from certified cost or pricing data.

(1) In lieu of submitting certified cost or pricing data for modifications under this contract, for price adjustments expected to exceed the threshold set forth in Federal

Acquisition Regulation (FAR) 15.403-4(a)(1) on the date of the agreement on price or the date of the award, whichever is later, the Contractor may submit a written request for exception by submitting the information described in paragraphs (a)(1)(i) and (ii) of this clause. If the threshold for submission of certified cost or pricing data specified in FAR 15.403-4(a)(1) is adjusted for inflation as set forth in FAR 1.109(a), then pursuant to FAR 1.109(d) the changed threshold applies throughout the remaining term of the contract, unless there is a subsequent threshold adjustment. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted, and whether the price is fair and reasonable--

(i) Identification of the law or regulation establishing the price offered. If the price is controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.

(ii) Information on modifications of contracts or subcontracts for commercial items.

(A) If--

(1) The original contract or subcontract was granted an exception from certified cost or pricing data requirements because the price agreed upon was

based on adequate price competition or prices set by law or regulation, or was a contract or subcontract for the acquisition of a commercial item; and

(2) The modification (to the contract or subcontract) is not exempted based on one of these exceptions, then the Contractor may provide information to establish that the modification would not change the contract or subcontract from a contract or subcontract for the acquisition of a commercial item to a contract or subcontract for the acquisition of an item other than a commercial item.

(B) For a commercial item exception, the Contractor shall provide, at a minimum, information on prices at which the same item or similar items have previously been sold that is adequate for evaluating the reasonableness of the price of the modification. Such information may include--

(1) For catalog items, a copy of or identification of the catalog and its date, or the appropriate pages for the offered items, or a statement that the catalog is on file in the buying office to which the proposal is being submitted. Provide a copy or describe current discount policies and price lists (published or unpublished), e.g., wholesale, original equipment manufacturer, or reseller. Also explain the basis of each offered price and its relationship to the established catalog price, including how the proposed price relates to the price of recent sales in quantities similar to the proposed

quantities.

(2) For market-priced items, the source and date or period of the market quotation or other basis for market price, the base amount, and applicable discounts. In addition, describe the nature of the market.

(3) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item.

(2) The Contractor grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this clause, and the reasonableness of price. For items priced using catalog or market prices, or law or regulation, access does not extend to cost or profit information or other data relevant solely to the Contractor's determination of the prices to be offered in the catalog or marketplace.

(b) Requirements for certified cost or pricing data. If the Contractor is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:

(1) In lieu of providing complete cost or pricing data in accordance with the clause at FAR 52.215-21 of this contract, the Contractor shall submit a subset of cost or pricing data, data other than certified cost or pricing data, and supporting attachments as specified by the Contracting Officer in the request for proposal for the modification. The Contracting Officer will list the specific cost or pricing data deemed necessary to stablish price reasonableness for this contract modification, and describe the required submission format for each type of data. At a minimum, the Contracting Officer will identify the specific prior DoD purchases of the same or similar products for which the

contractor is required to submit the actual cost of performance. The Contractor is not required to submit cost or pricing data that is not listed within the request for proposal for the modification. If the Contracting Officer finds that additional cost or pricing data are needed in order to determine that the price is fair and reasonable, the Contracting Officer will issue an amendment to the request for proposal, and the Contractor will be required to submit the additional data.

(2)(i) As soon as practicable after agreement on price, but before award (except for unpriced actions), the Contractor shall submit a Certificate of Current Cost or Pricing Data, using the following language:

Certificate of Current Cost or Pricing Data for Contract Modifications Accomplished under the Authority of Section 890 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019, as amended by Section 825 of the NDAA for FY 2020, Section

818 of the NDAA for 2023, and Section 841 of the NDAA for FY 2024.

This is to certify that, to the best of my knowledge and belief, the cost or pricing data required for this contract modification, in accordance with the request for proposal for this contract modification and the deviation clause at 252.215-7997, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data--Modifications-- Section 890 Pilot Program (DEVIATION 2024-O0007), and submitted either actually or by specific identification in writing, to the Contracting Officer or to the Contracting Officer's Representative in support of _____* are accurate, complete, and current as of _____**. This certification includes the cost or pricing data supporting any advance agreements and forward pricing rate agreements between the Contractor and the Government that are part of the proposal.

Firm _____

Signature _____

Name _____

Title _____

Date of execution***_____

*Identify the proposal involved, giving the appropriate identifying number (e.g., RFP No.).

**Insert the day, month, and year when price negotiations were concluded and price agreement was reached or, if applicable, an earlier date agreed upon between the parties that is as close as practicable to the date of agreement on price.

***Insert the day, month, and year of signing, which should be as close as practicable to the date when the price negotiations were concluded and the contract price was agreed to.

(ii) The certificate does not constitute a representation as to the accuracy of the Contractor's judgment on the estimate of future costs or projections. It applies to the data upon which the judgment or estimate was based. This distinction between fact

and judgment should be clearly understood. With respect to the certified cost or pricing data required by paragraphs (b) or (d) of this clause, if the Contractor had information reasonably available at the time of agreement showing that the negotiated price was not based on accurate, complete, and current data, the Contractor's responsibility is not limited by any lack of personal knowledge of the information on the part of its negotiators.

(iii) The Contracting Officer and Contractor are encouraged to reach a prior agreement on criteria for establishing closing or cutoff dates when appropriate in order to minimize delays associated with proposal updates. Closing or cutoff dates applicable to the certified cost or pricing data required by paragraphs (b)(1) or (d) of this clause should be included as part of the data submitted with the proposal and, before agreement on price, data should be updated by the contractor to the latest closing or cutoff dates for which the data are available. Use of cutoff dates coinciding with reports is acceptable, as certain data may not be reasonably available before normal periodic closing dates (e.g., actual indirect costs). Data within the Contractor's or a subcontractor's organization on matters significant to contractor management and to the Government will be treated as reasonably available, if that data was required to be submitted by paragraph (b)(1) or (d)(1) and (d)(2) of this clause. What is significant depends upon the circumstances of each acquisition.

(iv) Possession of a Certificate of Current Cost or Pricing Data is not a substitute for examining and analyzing the Contractor's proposal.

(v) If certified cost or pricing data are requested by the Government and submitted by the Contractor, but an exception is later found to apply, the data shall not be considered certified cost or pricing data and shall not be certified in accordance with this subsection.

(3) The Contractor is responsible for determining whether a subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government's expressed requirement in accordance with FAR 15.403-1(c)(1).

(c) Requirements for data other than certified cost or pricing data.

(1) Data other than certified cost or pricing data submitted in accordance with this clause shall include all data necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in Defense Federal Acquisition Regulation Supplement (DFARS) 215.402(a)(i) and 215.404-1(b).

(2) In cases in which uncertified cost data is required, the information shall be provided in the form in which it is regularly maintained by the Contractor or prospective subcontractor in its business operations.

(3) The Contractor shall provide information described as follows: [Insert description of the data and the format that are required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-3].

(4) Within 10 days of a written request from the Contracting Officer for

additional information to support proposal analysis, the Contractor shall provide either the requested information, or a written explanation for the inability to fully comply.

(5) Subcontract price evaluation.

(i) The Contractor shall obtain from subcontractors the information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.

(ii) No cost information may be required from a prospective subcontractor in any case in which there are sufficient non-Government sales of the same item to establish reasonableness of price.

(iii) If the Contractor relies on relevant sales data for similar items to determine the price is reasonable, the Contractor shall obtain only that technical information necessary--

(A) To support the conclusion that items are technically similar; and

(B) To explain any technical differences that account for variances between the proposed prices and the sales data presented.

(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), but excluding paragraph (b), in all subcontracts exceeding the simplified acquisition threshold defined in FAR part 2.

(1) For subcontracts above the threshold for submission of certified cost or pricing data in FAR 15.403-4 to which the authority of the Section 890 pilot has been flowed down, in lieu of the requirements in paragraphs (a) and (b) of the clause at 52.215-13, Subcontractor Certified Cost or Pricing Data-- Modifications, of this contract, the Contractor shall require the subcontractor to submit a subset of cost or pricing data (actually or by specific identification in writing) as specified in the request for proposal for the modification.

(i) The Contracting Officer will add paragraphs in the request for proposal as necessary to identify each first-tier subcontract to which the authority of the Section 890 pilot has been flowed down, and the specific certified cost or pricing data required for each subcontract. Contracting Officer will list the specific cost or pricing data deemed necessary to determine that the price is fair and reasonable for each subcontract, and describe the required submission format for each type of data. The type and extent of data required may differ based on the dollar value of the subcontract proposal, or other appropriate considerations. At a minimum, the Contracting Officer will identify the specific prior subcontracts awarded in support of the DoD purchases of the same or similar products for which the subcontractor is required to submit the actual cost of performance. The Contracting Officer will specify whether the authority of the Section 890 pilot is further flowed down to any lower-tier subcontract pertaining to each first-tier subcontract. Where the pilot authority is flowed down to lower-tier subcontracts, the Contracting Officer will describe the specific certified cost or pricing data that is to be provided by each affected lower-tier subcontractor. The subcontractor and lower tier subcontractors to which the pilot authority is flowed down are not

required to submit certified cost or pricing data that is not listed within the request for proposal.

(ii) In the event a subcontractor denies the Contractor access to the data described in paragraph (d)(1)(i) of this clause, the data may be provided directly to the Contracting Officer.

(iii) If a subcontractor is unable to provide the extent of historical actual cost experience required by paragraph (d)(1)(i), then the Contractor shall require the subcontractor to provide certified cost or pricing data in accordance with paragraph (d)(2) of this clause.

(iv) The Contractor shall require the subcontractor to certify in substantially the form prescribed in paragraph (b)(2) of this clause that, to the best of its knowledge and belief, the data submitted under paragraph (d)(1)(i) of this clause were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract or subcontract modification.

(2) For subcontracts above the threshold for submission of certified cost or pricing data in FAR 15.403-4 to which the authority of the Section 890 pilot has not been flowed down, the Contractor shall require the subcontractor to provide certified cost or pricing data in accordance with the clause at 52.215-13, Subcontractor Certified Cost or Pricing Data-Modifications, of this contract and shall require the subcontractor to certify in substantially the form prescribed in FAR 15.406-2 that, to the best of its knowledge and belief, the data submitted under paragraph (a) of this clause were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract or subcontract modification.

(End of clause)

252.215-7998 Pilot Program to Accelerate Contracting and Pricing Processes. (DEVIATION 2024-O0007)

Use the following deviation clause in solicitations and resulting contracts or in a contract with a contract modification that the Director, Defense Pricing and Contracting/Price, Cost and Finance, has authorized for participation in the Section 890 Pilot Program.

PILOT PROGRAM TO ACCELERATE CONTRACTING AND PRICING PROCESSES (DEVIATION 2024-O0007) (FEB 2024)

(a) One or more contract actions under this acquisition is accomplished under the authority of section 890 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019 (Pub. L. 115-232), as amended by section 825 of the NDAA for FY 2020 (Pub. L. 116-92), section 818 of the NDAA for FY 2023 (Pub. L. 117-263), and section 841 of the NDAA for FY 2024 (Pub. L. 118-31). The intent of this pilot program is to test the efficacy of basing price reasonableness determinations primarily on actual costs of performance for prior purchases of the same or similar products for the Department of Defense.

(b) As a condition of participating in this pilot program, the Contractor shall submit to the Contracting Officer the following:

(1) Verifiable data documenting any proposal preparation and negotiation support savings (time and money) achieved as a result of this pilot program. This data shall be provided--

(i) For contracts that are subject to the pilot program, within 3 months after contract award; or

(ii) For contract modifications that are subject to the pilot program, within 3 months after execution of the modification.

(2) The actual cost of performance for the contract action that was subject to the pilot program. This information shall be provided within 3 months after completion of performance of the part of the contract action that was subject to the pilot program.

(End of clause)

OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2024-O0006, Revision 2

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)

DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SUBJECT: Class Deviation--Prohibition Regarding Russian Fossil Fuel and Fossil Fuel Business Operations
Effective immediately, this class deviation revises and supersedes Class Deviation 2024O0006, Revision 1, issued on March 5, 2024. This revision is necessary to update provision and clause language in light of a statutory change. Contracting officers must use the attached provision 252.225-7966, Prohibition Regarding Russian Fossil Fuel Business Operations--Representation, in solicitations that include the attached clause 252.225-7967, Prohibition Regarding Russian Fossil Fuel Business Operations. Contracting officers must use the clause 252.225-7967 in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, valued above the simplified acquisition threshold, except for contracts that--
*

The Secretary of Defense and Secretary of State jointly determine--
?

Are necessary for purposes of providing--
o Humanitarian assistance to the people of Russia; or
o Disaster relief and other urgent lifesaving measures;

?

Are vital to the military readiness, basing, or operations of the United States or the North Atlantic Treaty Organization; or

?

Are a business operation with a fossil fuel company in a country other than the Russian Federation that was entered into prior to the effective date of the prohibition (i.e., December 22, 2023);
Class Deviation 2024-O0006, Revision 2
Prohibition Regarding Russian Energy Fossil Fuel and Fossil Fuel Business Operations
*

Are related to the operation and maintenance of the U.S. Government's consular offices and diplomatic posts in Russia; or

*

Are licensed by the Office of Foreign Assets Control of the Department of the Treasury or otherwise authorized to operate in Russia by the U.S. Government.

Contracting officers must notify Defense Pricing, Contracting, and Acquisition Policy, Contract Policy via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil, upon entering into a contract on the basis of an exception. Include in the notification a copy of the joint determination made by the Secretary of Defense and the Secretary of State. Include a copy of the joint determination in the contract file.
This class deviation implements section 804 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2024 (Pub. L. 118-31) and section 846 of the NDAA for FY 2026 (Pub. L. 119-60). Section 804, and the amendments in section 846, prohibits contracting officers

from entering into a contract for the procurement of products or services with any entity or individual that is, or that knowingly has fossil fuel business operations with an entity or individual that is majority owned, individually or collectively, by--
*

An authority of the government of the Russian Federation; or

*

A fossil fuel company that has fossil fuel business operations in the Russian Federation, except if the fossil fuel company transports oil or gas--
?

Through the Russian Federation for sale outside of the Russian Federation; and

?

That was extracted from a country other than the Russian Federation with respect to the energy sector of which the President has not imposed sanctions as of the date on which the contract is awarded.

This class deviation remains in effect until December 31, 2029, or until otherwise rescinded. My point of contact is Mr. Jeffrey Grover, DPCAP/CP who is available at jeffrey.c.grover.civ@mail.mil.
signed by
TENAGLIA.JOHN Digitally
TENAGLIA.JOHN.M.1154945926
.M.1154945926 Date: 2026.10.07 16:23:07 -04'00'

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy
Attachment:
As stated
2
Attachment
Class Deviation 2024-O0006, Revision 2
Prohibition Regarding Russian Fossil Fuel and
Fossil Fuel Business Operations
Changes to the text are indicated by a change bar in the right-hand margin.
252.225-7966 Prohibition Regarding Russian Fossil Fuel Business Operations--Representation (Deviation 2024-O0006, Revision 2).
Use the following provision in solicitations that include the clause at 252.225-7967:
PROHIBITION REGARDING RUSSIAN FOSSIL FUEL BUSINESS OPERATIONS--
REPRESENTATION (OCT 2026) (DEVIATION 2024-O0006, REVISION 2)
(a) Definitions. The terms business operations and fossil fuel company have the meanings given in the 252.225-7967 clause of this solicitation.
(b) Representation. By submission of an offer, the Offeror represents that it is not, and that it does not knowingly have fossil fuel business operations with, an entity or individual that is majority owned,
individually or collectively, by--

(1) An authority of the government of the Russian Federation; or
(2) A fossil fuel company that has fossil fuel business operations in the Russian Federation, except if the fossil fuel company transports oil or gas--
(i) Through the Russian Federation for sale outside of the Russian Federation; and
(ii) That was extracted from a country other than the Russian Federation with respect to the energy sector of which the President has not imposed sanctions as of the date on which the contract is awarded.
(End of provision)
252.225-7967 Prohibition Regarding Russian Fossil Fuel Business Operations (Deviation 2024O0006, Revision 2).
As prescribed in Class Deviation 2024-O0006, Revision 2, use the following clause:
PROHIBITION REGARDING RUSSIAN FOSSIL FUEL BUSINESS OPERATIONS
(OCT 2026) (DEVIATION 2024-O0006, REVISION 2)
(a) Definitions. As used in this clause--
Business operations means knowingly engaging in commerce in any form, including acquiring, developing, maintaining, owning, selling, possessing, leasing, or operating equipment, facilities, personnel, products, services, personal property, real property, or any other known apparatus of business or commerce. The term does not include--
(1) Any shipment subject to price caps as specified in the--

Attachment
Class Deviation 2024-O0006, Revision 2
Prohibition Regarding Russian Fossil Fuel and
Fossil Fuel Business Operations
(i) "Statement of the G7 and Australia on a Price Cap for Seaborne Russian-Origin Crude Oil", issued on December 2, 2022, between member countries of that coalition; or
(ii) "Statement of the G7 and Australia on Price Caps for Seaborne Russian-Origin Petroleum Products Berlin, Brussels, Canberra, London, Ottawa, Paris, Rome, Tokyo, Washington", issued on February 4, 2023, between such members, if such shipment complies with the applicable price caps;
(2) Activities related to fulfilling contracts with a fossil fuel company that has fossil fuel business operations in the Russian Federation that were entered into prior to December 22, 2023, provided that such contracts are not--
(i) Extended beyond the established period of performance for such contract, including through the execution of any available option, task order, or modification; or
(ii) Renewed;
or

(3) Actions taken for the benefit of the country of Ukraine, as determined by the Secretary;

(4) Actions taken to support the suspension or termination of business operations for commercial activities during the period beginning on December 22, 2023, and ending on December 31, 2029, including--
(i) Any action to secure or divest from facilities, property, or equipment;
(ii) The provision of products or services provided to reduce or eliminate operations in territory internationally recognized as the Russian Federation or to comply with sanctions relating to the Russian Federation; and;
(iii) Activities that are incident to liquidating, dissolving, or winding down a subsidiary or legal entity in Russia.
Fossil fuel company means an entity or individual that--
(1) Carries out oil, gas, or coal exploration, development, or production activities;
(2) Processes or refines oil, gas, or coal; or

(3) Transports, or constructs facilities for the transportation of, Russian oil, gas, or coal.
(b) Prohibition. In accordance with section 804 of the National Defense Authorization Act for Fiscal Year 2024 (Pub. L. 118-31), the Contractor is prohibited from entering into a subcontract or other contractual instrument for the procurement of products or services with any

entity or individual that is known to be, or that knowingly has fossil fuel business operations with an entity or individual that is, majority owned, individually or collectively, by--
(1) An authority of the government of the Russian Federation; or
(2) A fossil fuel company that has fossil fuel business operations in the Russian Federation, except if the fossil fuel company transports oil or gas--
(i) Through the Russian Federation for sale outside of the Russian Federation; and
(ii) That was extracted from a country other than the Russian Federation with respect to the energy sector of which the President has not imposed sanctions as of the date on which the contract is awarded.
(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts and other contractual instruments, including those for the acquisition of commercial products or commercial services.
(End of clause)

252.225-7966 Prohibition Regarding Russian Fossil Fuel Business Operations--Representation (Deviation 2024-O0006, Revision 2).

Use the following provision in solicitations that include the clause at 252.225-7967:

PROHIBITION REGARDING RUSSIAN FOSSIL FUEL BUSINESS OPERATIONS--
REPRESENTATION (OCT 2026) (DEVIATION 2024-O0006, REVISION 2)

(a) Definitions. The terms business operations and fossil fuel company have the meanings given in the 252.225-7967 clause of this solicitation.

(b) Representation. By submission of an offer, the Offeror represents that it is not, and that it does not knowingly have fossil fuel business operations with, an entity or individual that is majority owned,
individually or collectively, by--

(1) An authority of the government of the Russian Federation; or

(2) A fossil fuel company that has fossil fuel business operations in the Russian Federation, except if the fossil fuel company transports oil or gas--

(i) Through the Russian Federation for sale outside of the Russian Federation; and

(ii) That was extracted from a country other than the Russian Federation with respect to the energy sector of which the President has not imposed sanctions as of the date on which the contract is awarded.

(End of provision)

252.225-7967 Prohibition Regarding Russian Fossil Fuel Business Operations (Deviation 2024-O0006, Revision 2).

As prescribed in Class Deviation 2024-O0006, Revision 2, use the following clause:

PROHIBITION REGARDING RUSSIAN FOSSIL FUEL BUSINESS OPERATIONS
(OCT 2026) (DEVIATION 2024-O0006, REVISION 2)

(a) Definitions. As used in this clause--

Business operations means knowingly engaging in commerce in any form, including acquiring, developing, maintaining, owning, selling, possessing, leasing, or operating equipment, facilities, personnel, products, services, personal property, real property, or any other known apparatus of business or commerce. The term does not include--

(1) Any shipment subject to price caps as specified in the--

(i) "Statement of the G7 and Australia on a Price Cap for Seaborne Russian-Origin Crude Oil", issued on December 2, 2022, between member countries of that coalition; or

(ii) "Statement of the G7 and Australia on Price Caps for Seaborne Russian-Origin Petroleum Products Berlin, Brussels, Canberra, London, Ottawa, Paris, Rome, Tokyo, Washington", issued on February 4, 2023, between such members, if such shipment complies with the applicable price caps;

(2) Activities related to fulfilling contracts with a fossil fuel company that has fossil fuel business operations in the Russian Federation that were entered into prior to December 22, 2023, provided that such contracts are not--

(i) Extended beyond the established period of performance for such contract, including through the execution of any available option, task order, or modification; or

(ii) Renewed;

(3) Actions taken for the benefit of the country of Ukraine, as determined by the Secretary; or

(4) Actions taken to support the suspension or termination of business operations for commercial activities during the period beginning on December 22, 2023, and ending on December 31, 2029, including--

(i) Any action to secure or divest from facilities, property, or equipment;

(ii) The provision of products or services provided to reduce or eliminate operations in territory internationally recognized as the Russian Federation or to comply with sanctions relating to the Russian Federation; and;

(iii) Activities that are incident to liquidating, dissolving, or winding down a subsidiary

or legal entity in Russia.

Fossil fuel company means an entity or individual that--

(1) Carries out oil, gas, or coal exploration, development, or production activities;

(2) Processes or refines oil, gas, or coal; or

(3) Transports, or constructs facilities for the transportation of, Russian oil, gas, or coal.

(b) Prohibition. In accordance with section 804 of the National Defense Authorization Act for Fiscal Year 2024 (Pub. L. 118-31), the Contractor is prohibited from entering into a subcontract or other contractual instrument for the procurement of products or services with any entity or individual that is known to be, or that knowingly has fossil fuel business operations with an entity or individual that is, majority owned, individually or collectively, by--

(1) An authority of the government of the Russian Federation; or

(2) A fossil fuel company that has fossil fuel business operations in the Russian Federation, except if the fossil fuel company transports oil or gas--

(i) Through the Russian Federation for sale outside of the Russian Federation; and

(ii) That was extracted from a country other than the Russian Federation with respect to the energy sector of which the President has not imposed sanctions as of the date on which the contract is awarded.

(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts and other contractual instruments, including those for the acquisition of commercial products or commercial services.

(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2024-O0005

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)

DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Temporary Authorizations for Covered Contracts Related to Ukraine, Taiwan, and Israel

Effective immediately, this class deviation rescinds and supersedes Class Deviation 2023-O0003, Revision 2, issued on September 18, 2023, which authorized temporary acquisition flexibilities for covered contracts related to Ukraine. Contracting officers may use the following temporary acquisition flexibilities for covered contracts related to Ukraine, Taiwan, and Israel provided by section 1244(a) and (c) of the James M. Inhofe National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2023, as amended by section 1242 of the NDAA for FY 2024.

(A) Definitions. As used in this class deviation--

"Covered contract" means a contract or modification of a contract awarded by DoD, or a subcontract or modification of a subcontract under a contract awarded by DoD, to--

(1) Build or replenish the stocks of critical munitions and other defense articles of DoD;

(2) Provide materiel and related services to foreign allies and partners that have provided support to Ukraine, Taiwan, or Israel; or

(3) Provide materiel and related services to Ukraine, Taiwan, or Israel.

"Head of an agency" means the Secretary of Defense; the Secretary of the Army; the Secretary of the Navy; or the Secretary of the Air Force.

(B) Use of Other Than Competitive Procedures.

(1) A covered contract may be presumed to be in the public interest for purposes of meeting the requirements of FAR 6.302-7, Public Interest. Contracting officers may award a covered contract under the authority of FAR 6.302-7 without providing for full and open competition. FAR 6.302-7(b) is not applicable to awards made under this authority. The documentation otherwise required by FAR 6.303 is not required in the case of a covered contract.

(2) Notwithstanding FAR 6.302-7(c) and DFARS 206.302-7(c), the head of an agency may delegate the authority to make the determination specified at FAR 6.302-7(a)(2) no lower than an officer or employee who--

(a) If a member of the Armed Forces, is a general or flag officer; or

(b) If a civilian, is serving in a position in a grade above GS-15 under the General Schedule (or in an equivalent or higher position under another schedule).

(3) In lieu of the requirement at FAR 6.302-7(c)(2), not later than 7 days before awarding a covered contract using the authority in paragraph (B)(1) of this deviation, the head of an agency shall submit written notification of use of this authority to the congressional defense committees.

(C) Special Emergency Procurement Authorities. Notwithstanding FAR part 18 and DFARS part 218, contracting officers may apply the special emergency procurement authorities to covered contracts in accordance with the following thresholds:

(1) Micro purchase threshold:

(a) $20,000 in the case of a covered contract to be awarded and performed, or purchase to be made, inside the United States; and

(b) $35,000 in the case of a covered contract to be awarded and performed, or purchase to be made, outside the United States.

(2) Simplified acquisition threshold:

(a) $800,000 in the case of a covered contract to be awarded and performed, or purchase to be made, inside the United States; and

(b) $1,500,000 in the case of a covered contract to be awarded and performed, or purchase to be made, outside the United States.

(3) Simplified procedures at FAR subpart 13.5 are authorized for purchases of products and services for amounts greater than the simplified acquisition threshold but not greater than

$15 million for which the contracting officer reasonably expects, based on the nature of the products or services sought and on market research, that offers will include only commercial products or commercial services.

(4) The head of an agency carrying out a procurement for a covered contract may treat the product or service as a commercial product or a commercial service for the purpose of carrying out the procurement. A covered contract in an amount of more than $20 million that is awarded on a sole-source basis for a product or service treated as a commercial product or a commercial service is not exempt from:

(a) Cost accounting standards, notwithstanding FAR 12.214; or

(b) Certified cost or pricing data requirements, notwithstanding FAR 15.403-1(b)(3).

(D) Undefinitized Contract Actions. Notwithstanding DFARS 217.7404-5(b), for covered contracts, the head of an agency may waive the limitations in DFARS 217.7404(a), Foreign military sales contracts; 217.7404-3, Definitization schedule; and 217.7404-4, Limitations on obligations.

(E) Temporary Exemption from Certified Cost or Pricing Data Requirements.

(1) The head of an agency may waive requirements for certified cost and pricing data requirements (FAR 15.403-4) for covered contracts and subcontracts if in awarding or modifying a covered contract the contracting officer determines price reasonableness based upon actual cost and pricing data of the same or similar products for DoD.

(2) An exemption for a covered contract also applies to subcontracts under that contract.

(F) Technical Data Packages for Large-Caliber Cannon. The requirements of section 7542 of title 10, United States Code, which include the funding restriction that DoD appropriated funds may not be used to transfer to a foreign country a technical data package for a defense item being manufactured or developed in an arsenal or to assist a foreign country in producing such a defense item, do not apply to the transfer of technical data to an international partner for the production of large-caliber cannons and associated parts produced for--

(1) The replacement of defense articles from stocks of the Department of Defense provided to Ukraine, Taiwan, or Israel or to foreign countries that have provided support to Ukraine, Taiwan, or Israel;

(2) Contracts awarded by the Department of Defense to provide materiel directly to Ukraine, Taiwan, or Israel; or

(3) Use by Ukraine, Taiwan, or Israel.

(G) Multiyear Procurement Authority For Certain Munitions.

(1) In accordance with sections 1244(c) and 1242, beginning in FY 2023 or FY 2024, the head of an agency may enter into one or more multiyear contracts to procure the systems, items, services, and logistics support associated with the systems listed in paragraph (G)(2) of this deviation within the specified limitations and may utilize existing contracts covering such programs. The requirements in the following paragraphs do not apply to these procurements:

(a) 217.170 paragraphs (a) through (c).

(b) 217.170 paragraphs (d)(1)(i) through (iii).

(c) 217.170 paragraph (d)(4).

(d) 217.172 paragraphs (a) and (b).

(e) 217.172 paragraphs (f) and (g).

(f) 217.172 paragraph (h)(2)(viii)(A), certification requirement. Although the certification is not required, the head of an agency is still required to provide the information listed at (h)(2)(viii)(A)(1) through (3) to the congressional defense committees.

(g) 217.172 paragraph (h)(2)(viii)(B).

(h) 217.172(h)(3) through 217.172(j).

The requirements at FAR 17.105-1(b) and 17.106-3 (except for 17.106-3(c)) do not apply to these procurements.

(2) Following is the list of items for which the authorities in sections 1244(c) and 1242 may be used:

(a) 864,000 XM1128, XM1113, M107, and M795 (155mm rounds);

(b) 12,000 AGM-179 Joint Air-to-Ground Missiles (JAGM);

(c) 700 M142 High Mobility Artillery Rocket Systems (HIMARS);

(d) 1,700 MGM-140 Army Tactical Missile Systems (ATACMS);

(e) 2,600 Harpoons;

(f) 1,250 Naval Strike Missiles;

(g) 106,000 Guided Multiple Launch Rocket Systems (GMLRS);

(h) 3,850 PATRIOT Advanced Capability-3 (PAC-3) Missile Segment Enhancement (MSE);

(i) 5,600 FIM-92 Stinger;

(j) 28,300 FGM-148 Javelin;

(k) 5,100 AIM-120 Advanced Medium-Range Air-to-Air Missile (AMRAAM);

(l) 2,250,000 Modular Artillery Charge System (MACS);

(m) 12,050 155m Excalibur M982A1;

(n) 950 Long Range Anti-Ship Missiles (LRASM);

(o) 3,100 Joint Air-to-Surface Standoff Missiles (JASSM);

(p) 1,500 Standard Missile-6 Missiles (SM-6);

(q) 5,100 Sidewinder Missiles (AIM-9X);

(r) 3,300 Tomahawk Cruise Missiles;

(s) 1,100 Precision Strike Missiles (PrSM);

(t) 550 Mark 48 Torpedoes;

(u) 1,650 RIM 162 Evolved Sea Sparrow Missiles (ESSM);

(v) 1,980 RIM 116 Rolling Airframe Missiles (RAM); and

(w) 11,550 Small Diameter Bomb IIs (SDB-II).

(3) To the extent and in such amounts as specifically provided in advance in appropriations Acts for the purposes described in paragraph (G)(2) of this deviation, the head of an agency may enter into one or more contracts for advance procurement associated with a program listed in paragraph (G)(2) of this deviation and for systems and subsystems associated with such program in economic order quantities when cost savings are achievable.

(4) A contract entered into under paragraph (G)(1) of this deviation shall provide that any obligation to make a payment under the contract for a fiscal year after fiscal year 2023 is subject to the availability of appropriations for that purpose for such later fiscal year.

(H) Special Reporting Requirements.

(1) Agencies using the authority at paragraph (B) of this deviation shall provide written notification, not later than 7 days before contract award, to the congressional defense committees and Defense Pricing and Contracting (DPC) at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil. The notification shall include the following:

(a) Program name.

(b) Contract number, and modification number, if applicable.

(c) Total estimated contract value (including options).

(d) Contracting activity name and DoDAAC.

(e) Contractor name and Commercial and Government Entity (CAGE) code.

(f) Quantities and/or period of performance.

(g) Reason for using the authority.

(h) Expected outcome of using the authority, including estimated reductions in schedule.

(2) When using the authorities provided in this deviation, agencies shall provide written notification, within 7 days after award, to the congressional defense committees and DPC at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil. The notification shall include the following:

(a) Program name.

(b) Contract number, and modification number, if applicable.

(c) Total estimated contract value (including options).

(d) Contracting activity name and DoDAAC.

(e) Contractor name and CAGE code.

(f) Quantities and/or period of performance.

(g) Specific authority used.

(h) Reason for use of the authority.

(i) Expected outcome of using the authority, including estimated reductions in schedule.

Class Deviation 2024-O0005
Temporary Authorizations for Covered Contracts Related to Ukraine, Taiwan, and Israel

This class deviation implements section 1244(a) and (c) of the NDAA for FY 2023, as amended by section 1242 of the NDAA for FY 2024, and remains in effect until September 30, 2028. My point of contact is Ms. Kimberly Ziegler, DPC/DARS, who may be reached at kimberly.r.ziegler.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

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OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2024-O0003

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Prohibition on Providing Funds to the Enemy and Authorization of Additional Access to Records

Effective immediately, this class deviation rescinds and supersedes Class Deviation 2020-O0022. Contracting officers shall include the clauses provided in Attachments 1 and 2 of this deviation in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, with an

estimated value in excess of $50,000 that will be performed outside the United States and its outlying areas in support of a contingency operation in which members of the Armed Forces are actively engaged in hostilities.

This class deviation implements sections 841 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2015 (Pub. L. 113-291), as amended by section 820 of the NDAA for FY 2023 (Pub. L. 117-263), and section 842 of the NDAA for FY 2015. Section 841 grants the authority to terminate or void contracts and to restrict future awards directly or indirectly to any person or entity that is actively opposing United States or coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities. Section 842 grants the authority for additional access to contractor and subcontractor records to the extent necessary to ensure that funds available under covered contracts are not provided directly or indirectly to any person or entity.

Heads of contracting activities shall follow the procedures in Attachment 3 when exercising the authorities provided by this class deviation, which may be exercised only upon written notification from a combatant commander identifying persons or entities within the combatant commander's area of responsibility that are believed to have--

* Provided funds, including goods and services, received under a covered contract, grant, or cooperative agreement of an executive agency directly or indirectly to any person or entity that is actively opposing United States or coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities; or

* Failed to exercise due diligence to ensure that none of the funds, including goods and services, received under a covered contract, grant, or cooperative agreement of an executive agency are provided directly or indirectly to any person or entity that is actively opposing United States or coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities.

This class deviation remains in effect until December 31, 2025, or otherwise rescinded. My point of contact is Col Adam Coyne who may be reached at (703) 693-5115 or at adam.v.coyne.mil@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

Attachments:
As stated

for
MESSER.LESLIE.DAWN.1082406898
Digitally signed by
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Attachment 1
Class Deviation 2024-O0003
Prohibition on Providing Funds to the Enemy and
Authorization of Additional Access to Records

252.225-7993 Prohibition on Providing Funds to the Enemy. (DEVIATION 2024-O0003)

Use this clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, with an estimated value in excess of $50,000 that will be performed outside the United States and its outlying areas in support of a contingency operation in which members of the Armed Forces are actively engaged in hostilities.

PROHIBITION ON PROVIDING FUNDS TO THE ENEMY
(DEVIATION 2024-O0003) (DEC 2023)

(a) The Contractor shall--

(1) Exercise due diligence to ensure that none of the funds, including supplies and services, received under this contract are provided directly or indirectly (including through subcontracts) to a person or entity who is actively opposing United States or Coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities;

(2) Check the list of prohibited/restricted sources in the System for Award Management (SAM) at www.sam.gov--

(i) Prior to subcontract award; and

(ii) At least on a monthly basis; and

(3) Terminate or void in whole or in part any subcontract with a person or entity listed in SAM as a prohibited or restricted source pursuant to section 841 of the National Defense Authorization Act for Fiscal Year 2015 (Pub. L. 113-291), as amended, unless the Contracting Officer provides to the Contractor written approval of the head of the contracting activity to continue the subcontract.

(b) The Head of the Contracting Activity has the authority to--

(1) Terminate any contract for default, in whole or in part, if the Head of the Contracting Activity determines in writing that the contractor failed to exercise due diligence, as required by paragraph (a) of this clause; or

(2)(i) Void any contract, in whole or in part, if the Head of the Contracting Activity determines in writing that any funds received under this contract have been

provided directly or indirectly to a person or entity who is actively opposing United

States or Coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities.

(ii) When voided in whole or in part, a contract is unenforceable as contrary to public policy, either in its entirety or with regard to a segregable task or effort under the contract, respectively.

(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in subcontracts, including subcontracts for commercial products and commercial services, under this contract that have an estimated value over $50,000 and will be performed outside the United States and its outlying areas.

(End of clause)

252.225-7975 Additional Access to Contractor and Subcontractor Records.
(DEVIATION 2024-O0003)

Use this clause in all solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, with an estimated value in excess of $50,000 that will be performed outside the United States and its outlying areas in support of a contingency operation in which members of the Armed Forces are actively engaged in hostilities.

ADDITIONAL ACCESS TO CONTRACTOR AND SUBCONTRACTOR RECORDS
(DEVIATION 2024-O0003) (DEC-2023)

(a) In addition to any other existing examination-of-records authority, the Government is authorized to examine any records of the Contractor and its subcontractors to the extent necessary to ensure that funds, including supplies and services, available under this contract are not provided, directly or indirectly, to a person or entity that is actively opposing United States or coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities.

(b) Subcontracts. The substance of this clause, including this paragraph (b), is required to be included in subcontracts, including subcontracts for commercial products and commercial services, under this contract that have an estimated value over $50,000 and will be performed outside the United States and its outlying areas.

(End of clause)

Attachment 3
Class Deviation 2024-O0003
Prohibition on Providing Funds to the Enemy and
Authorization for Additional Access to Records

Procedures--Prohibition on Providing Funds to the Enemy and Authorization for Additional Access to Records

1. United States Africa Command (USAFRICOM), United States Central Command (USCENTCOM), United States European Command (USEUCOM), United States Indo-Pacific Command (USINDOPACOM), United States Southern Command (USSOUTHCOM), and United States Transportation Command (USTRANSCOM) Commanders, or deputy commanders, will identify persons and entities within the area of responsibility of such command that--

* Provide funds, including goods and services, received under a covered contract, grant, or cooperative agreement of an executive agency directly or indirectly to a person or entity that is actively opposing United States or coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities; or
* Fail to exercise due diligence to ensure that none of the funds, including goods and services, received under a covered contract, grant, or cooperative agreement of an executive agency are provided directly or indirectly to a person or entity that is actively opposing United States or coalition forces involved in a contingency operation in which members of the Armed Forces are actively engaged in hostilities.

2. Upon the identification of a person or entity as described above, the combatant commander or deputy commander will, in consultation with the Under Secretary of Defense for Policy, the Under Secretary of Defense for Acquisition and Sustainment (USD(A&S)), and the appropriate Chiefs of Mission, notify in writing Defense Pricing and Contracting (DPC), Contract Policy and the appropriate heads of the contracting activity (HCAs) of such identification of the person or entity. Appropriate HCAs may include the HCA with purview over the covered contract that was identified as providing funds, goods, or services to the covered person or entity; any HCA with active contracts with the identified person or entity; or any HCA considering awarding a contract to the identified person or entity. DPC will assist combatant commands with notifying the appropriate HCAs.

3. Upon receipt of such notification, the appropriate HCA(s), without power of redelegation, will exercise this authority to determine in writing, whether to--

* Prohibit, limit, or otherwise place restrictions on the award of any DoD contracts to such identified persons or entities;
* Terminate for default any DoD contracts when the HCA determined that the contractor failed to exercise due diligence (see paragraph (a)(1) of the clause 252.225-7993 of this class deviation) to ensure that none of the funds received under

the contract are provided directly or indirectly to such identified person or entity; or

* Void, in whole or in part, any DoD contract that provided funds to such identified person or entity.

4. The HCA taking an action under paragraph 3. of these procedures to restrict, terminate, or void a contract shall, in writing, notify the affected contractor of the action. The notice to the contractor shall inform the contractor of the right to request, within 30 days, an administrative review of the action. If a contractor requests an administrative review of an HCA action under paragraph 3 of this class deviation, the HCA will follow Agency procedures in response to the administrative review. The covered combatant command will support the HCA through the administrative review process and provide information as required by the HCA to support the administrative review.

5. Classified information relied upon to make a decision in accordance with paragraph 3. of these procedures may not be disclosed to a contractor with respect to which an action is taken pursuant to the authority provided in paragraph 3. of these procedures, or to their representatives, in the absence of a protective order issued by a court of competent jurisdiction established under Article I or Article III of the Constitution of the United States that specifically addresses the conditions upon which such classified information may be so disclosed.

6. Senior procurement executives (SPEs) shall establish internal processes or guidance for restricting future award of contracts under the their purview. Upon determination by the HCA to restrict the future award of contracts or subcontracts to a person or entity, the contracting activity, through their SPE, shall notify Defense Pricing and Contracting, Contract Policy and request entry of the required data on the ineligible person or entity in the System for Award Management (SAM) Exclusions as follows (see FAR 9.404):

Classification = Special Entity Designation
Agency = DoD
Exclusion Status = Active
Exclusion Type = Prohibition/Restriction
Comments: Pursuant to Subtitle E, Title VIII of the NDAA for FY 2015

7. Upon termination or voiding of a contract, the contracting officer shall treat such action as a default for purposes of reporting in the Federal Awardee Performance and Integrity Information System (FAPIIS) (see FAR 42.1503(h)(1)).

8. For contracts awarded on or before December 31, 2025, to be performed outside the United States and its outlying areas, the contracting officer shall check the current list of prohibited or restricted persons or entities in SAM Exclusions prior to awarding the contract.

9. Contracting officers with contracts being performed outside the United States and its outlying areas in support of covered contingency operations shall also check SAM, at a minimum, on a monthly basis to ensure none of the existing contracts being performed in the covered combatant commands are associated with prohibited or restricted persons or entities.
10. The authority to examine records pursuant to 252.225-7975 (Attachment 2) may be exercised only upon a written determination by the contracting officer, upon a finding by the commanding officer of USAFRICOM, USCENTCOM, USEUCOM, USINDOPACOM, USSOUTHCOM, or USTRANSCOM that there is reason to believe that funds available under the contract may have been provided directly or indirectly to persons or entities that are actively opposing United States or coalition forces in a contingency operation in which members of the Armed Forces are actively engaged in hostilities.
11. Each HCA shall enforce inclusion of the attached clauses 252.225-7993 (Attachment 1) and 252.225-7975 (Attachment 2) as prescribed.
12. Reports on Prohibition on Providing Funds to the Enemy.

a. The HCA that receives a notice pursuant to paragraph 2. of these procedures shall submit to osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil and the commander of the combatant command concerned a report on the action, if any, taken by the HCA pursuant to paragraph 3. of these procedures, including a determination not to terminate, void, or restrict the contract as otherwise authorized. Include the following:
* The contracting activity taking such action.
* An explanation of the basis for the action taken or not taken.
* If applicable, the value of the contract voided or terminated and the value of all contracts of the contracting activity in force with the person or entity concerned at the time the contract was terminated or voided.
b. Reports may be submitted in unclassified form, but with a classified annex; or in classified form, as appropriate.

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2024-O0002, Revision 1

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)

COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--T he Service-Disabled Veteran-Owned Small Business Program

Effective immediately, this class deviation revises and supersedes Class Deviation 2024-O0002, issued on December 8, 2023. This class deviation provides an alternative to the use of the System for Award Management (SAM) as part of the procedures for contracting officers to verify the eligibility of concerns for awards made under the Service-Disabled Veteran-Owned Small Business (SDVOSB) Program.

Contracting officers shall use the procedures in this class deviation in lieu of the procedures at Federal Acquisition Regulation (FAR) 19.1403, 19.1405(c), and 19.1406(b) that require contracting officers to check SAM to verify the eligibility of an SDVOSB concern for a set-aside or sole-source award made under the SDVOSB Program. In lieu of checking SAM, contracting officers shall check the Dynamic Small Business Search (DSBS) at https://web.sba.gov/pro-net/search/dsp_dsbs.cfm to verify that the offeror is certified as an SDVOSB concern.

These alternate procedures are necessary until SAM and DSBS are updated to align with the revisions made to the FAR pursuant to the interim rule for FAR Case 2022-009, Certification of Service-Disabled Veteran-Owned Small Businesses. The interim rule was published in the Federal Register at 89 FR 13950 and was effective on February 23, 2024.

This deviation does not alter any requirements or procedures relating to pending applications for certification.

This class deviation remains in effect until SAM and DSBS are updated to align with the revisions to the FAR or until otherwise rescinded. My point of contact is Ms. Jeanette Snyder, who may be reached at jeanette.m.snyder4.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

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OFFICE OF THE UNDER SECRETARY OF DEFENSE
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WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2024-O0001

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: AQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Implementation of Injunction of Executive Order 14026, Increasing the Minimum Wage for Federal Contractors

Effective immediately, contrac ting officers shall not use the clause at Federal Acquisition Regulation (FAR) 52.222-55, Minimum Wages for Contractor Workers Under Executive Order 14026, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, with the States of Texas, Louisiana, or Mississippi or agencies of those States. Contracting officers also shall not use the clause in any extension or renewal of an existing contract or exercise of an option with the States of Texas, Louisiana, or Mississippi, or agencies of those States.

This class deviation applies only to these th ree States and their agencies as parties to Federal contracts, regardless of the place of performance. It does not apply geographically to all contractors or contracts within those three States.

This class deviation is re quired to implement a court injunction. On September 26, 2023, the U.S. District Court for the Southern District of Texas enjoined President Biden and the Department of Labor (DOL) from enforcing Executive Order (E.O.) 14026 or the DOL final rule (published in the Federal Register at 86 FR 67126) against the States of Texas, Louisiana, and Mississippi and their agencies. The minimum wage requirements of the final rule implementing E.O. 14026 are not currently being enforced as to contracts or subcontracts to which the states of Texas, Louisiana, or Mississippi (including their agencies) are a party. The injunction becomes effective on October 4, 2023.

Class Deviation 2024-O0001
Implementation of Injunction on Executive Order 14026,
Increasing Minimum Wage for Federal Contactors

E.O. 13658, Establishing a Minimum Wage for Contractors (signed on February 12, 2014, and published at 79 FR 9851 on February 20, 2014) established the minimum wage for certain Federal contractors at $10.10 per hour, to be increased annually thereafter by an amount determined by the Secretary of Labor. Subsequently, E.O. 13838, Exemption From Executive Order 13658 for Recreational Services on Federal Lands (signed on May 25, 2018, and published at 83 FR 25341 on June 1, 2018) exempted from the minimum wage requirements of E.O. 13658 contracts or contract-like instruments entered into with the Federal Government in connection with seasonal recreational services or seasonal recreational equipment rental for the general public on Federal lands. This exemption did not apply to lodging and food services associated with seasonal recreational services (e.g., seasonal recreational services include river running, hunting, fishing, horseback riding, camping, mountaineering activities, recreational ski services, and youth camps).

Following that exemption, on April 27, 2021, the President signed E.O. 14026, Increasing the Minimum Wage for Federal Contractors (published at 86 FR 22835 on April 30, 2021). E.O. 14026 not only increased the hourly minimum wage to $15 for Federal contract workers, but also, in Section 6, revoked E.O. 13838 in its entirety and superseded E.O. 13658 to the extent it may be inconsistent with E.O. 14026.

On November 24, 2021, the DOL Wage and H our Division published a final rule implementing E.O. 14026 (see 86 FR 67126). On January 26, 2022, DoD, GSA, and NASA published an interim rule (FAR Case 2021-014; see 87 FR 4117) amending the FAR to implement E.O. 14026 and the DOL implementing regulations. This interim FAR rule increased the minimum wage for Federal contractors to $15, effective January 30, 2022, and removed from the FAR the exemption previously authorized by E.O. 13838 for application of the minimum wage requirements for certain seasonal recreational services or the rental of seasonal recreational equipment for the general public on Federal lands.

This class deviation remains in effect until rescinded. My point of contact is Mr. Larry McLaury, who is available at larry.j.mclaury2.civ@mail.mil.

John M. Tenaglia

Principal Director,
Defense Pricing and Contracting

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OFFICE OF THE UNDER SECRETARY OF DEFENSE
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WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2023-O0008

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
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(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--
Commercial Products and Commercial Services Omnibus
Clause for Acquisitions Using the Procurement Desktop-Defense System

Effective October 1, 2023, this class deviation rescinds and supersedes Class Deviation 2018-O0021. When using the Procurement Desktop-Defense System (PD2) to contract for commercial products or commercial services, contracting officers may deviate from the requirements at Federal Acquisition Regulation (FAR) 12.301(b)(4) and the clause at FAR 52.212-5, Contract Terms and Conditions Required To Implement Statutes or Executive Orders--Commercial Products and Commercial Services.

The clause at FAR 52.212-5 requires the contracting officer to "check a box" to identify the clauses that are applicable to the specific acquisition of commercial products and commercial services. Rather than requiring contracting officers to "check a box" to identify the clauses, PD2 has a clause logic capability that automatically selects the clauses under FAR clause 52.212-5.

Contracting officers may use the PD2 clause logic capability to automatically select the clauses that are applicable to the specific solicitation and contract. Contracting officers shall incorporate the attached deviation clause into these solicitations and contracts because the deviation clause fulfills the statutory requirements on auditing and subcontract clauses applicable to commercial products and commercial services. This deviation also authorizes adjustments to the attached deviation clause required by future changes to the clause at FAR 52.212-5 that are published in the FAR.

Class Deviation 2023-O0008
Commercial Products and Commercial Services Omnibus Clause for Acquisitions
Using the Procurement Desktop-Defense System

This class deviation remains in effect for three years, or until otherwise rescinded. My point of contact is Mr. Jay Olson who may be reached at jay.c.olson6.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

Attachment:
As stated
TENAGLIA.JOHN
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Attachment
Class Deviation 2023-O0008
Commercial Products and Commercial Services Omnibus Clause for Acquisitions
Using the Procurement Desktop-Defense System
Changes are indicated by a change bar in the right-hand margin.

FAR 52.212-5 Contract Terms and Conditions Required To Implement Statutes or Executive Orders--Commercial Products and Commercial Services (DEVIATION 2023-O0008)

In lieu of the clause at FAR 52.212-5, use the following clause in solicitations and contracts when utilizing FAR part 12 procedures for the acquisition of commercial products and commercial services and the clause logic capability available in the Standard Procurement System.

CONTRACT TERMS AND CONDITIONS REQUIRED TO IMPLEMENT STATUTES OR EXECUTIVE ORDERS--COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (DEVIATION 2023-O0008) (OCT 2023)

(a) Comptroller General Examination of Record. The Contractor shall comply with the provisions of this paragraph (a) if this contract was awarded using other than sealed bid, is in excess of the simplified acquisition threshold, as defined in FAR 2.101, on the date of award of this contract, and does not contain the clause at 52.215-2, Audit and Records--Negotiation.

(1) The Comptroller General of the United States, or an authorized representative of the Comptroller General, shall have access to and right to examine any of the Contractor's directly pertinent records involving transactions related to this contract.

(2) The Contractor shall make available at its offices at all reasonable times the records, materials, and other evidence for examination, audit, or reproduction, until 3 years after final payment under this contract or for any shorter period specified in FAR Subpart 4.7, Contractor Records Retention, of the other clauses of this contract. If this contract is completely or partially terminated, the records relating to the work terminated shall be made available for 3 years after any resulting final termination settlement. Records relating to appeals under the disputes clause or to litigation or the settlement of claims arising under or relating to this contract shall be made available until such appeals, litigation, or claims are finally resolved.

(3) As used in this clause, records include books, documents, accounting procedures and practices, and other data, regardless of type and regardless of form. This does not require the Contractor to create or maintain any record that the Contractor does not maintain in the ordinary course of business or pursuant to a provision of law.

(b)(1) Notwithstanding the requirements of any other clauses of this contract, the Contractor is not required to flow down any FAR clause, other than those in this paragraph (b)(1) in a

subcontract for commercial products or commercial services. Unless otherwise indicated below, the extent of the flow down shall be as required by the clause--

(i) 52.203-13, Contractor Code of Business Ethics and Conduct (NOV 2021) (41 U.S.C. 3509).
(ii) 52.203-19, Prohibition on Requiring Certain Internal Confidentiality Agreements or Statements (JAN 2017) (section 743 of Division E, Title VII, of the Consolidated and Further Continuing Appropriations Act, 2015 (Pub. L. 113-235) and its successor provisions in subsequent appropriations acts (and as extended in continuing resolutions)).
(iii) 52.204-23, Prohibition on Contracting for Hardware, Software, and Services

Developed or Provided by Kaspersky Lab and Other Covered Entities (NOV 2021) (Section 1634 of Pub. L. 115-91).
(iv) 52.204-25, Prohibition on Contracting for Certain Telecommunications and Video Surveillance Services or Equipment. (NOV 2021) (Section 889(a)(1)(A) of Pub. L. 115-232).
(v) 52.204-27, Prohibition on a ByteDance Covered Application (JUN 2023) (Section 102 of Division R of Pub. L. 117-328).
(vi) 52.219-8, Utilization of Small Business Concerns (SEP 2023) (15 U.S.C. 637(d)(2) and (3)), in all subcontracts that offer further subcontracting opportunities. If the subcontract (except subcontracts to small business concerns) exceeds the applicable threshold specified in FAR 19.702(a) on the date of subcontract award, the subcontractor must include 52.219-8 in lower tier subcontracts that offer subcontracting opportunities.
(vii) 52.222-21, Prohibition of Segregated Facilities (APR 2015).
(viii) 52.222-26, Equal Opportunity (SEP 2016) (E.O. 11246).
(ix) 52.222-35, Equal Opportunity for Veterans (JUN 2020) (38 U.S.C. 4212).
(x) 52.222-36, Equal Opportunity for Workers with Disabilities (JUN 2020) (29 U.S.C. 793).
(xi) 52.222-37, Employment Reports on Veterans (JUN 2020) (38 U.S.C. 4212).
(xii) 52.222-40, Notification of Employee Rights Under the National Labor Relations Act (DEC 2010) (E.O. 13496). Flow down required in accordance with paragraph (f) of FAR clause 52.222-40.
(xiii) 52.222- 41, Service Contract Labor Standards (AUG 2018) (41 U.S.C. chapter 67).
(xiv)__(A) 52.222-50, Combating Trafficking in Persons (NOV 2021) (22 U.S.C. chapter 78 and E.O. 13627).
__(B) Alternate I (Mar 2015) of 52.222-50 (22 U.S.C. chapter 78 and E.O. 13627).

Attachment
Class Deviation 2023-O0008
Commercial Products and Commercial Services Omnibus Clause for Acquisitions
Using the Procurement Desktop-Defense System
Changes are indicated by a change bar in the right-hand margin.

(xv) 52.222-51, Exemption from Application of the Service Contract Act to Contracts for Maintenance, Calibration, or Repair of Certain Equipment-Requirements (MAY 2014) (41 U.S.C. chapter 67).
(xvi) 52.222-53, Exemption from Application of the Service Contract Act to Contracts for Certain Services-Requirements (MAY 2014) (41 U.S.C. chapter 67).
(xvii) 52.222-54, Employment Eligibility Verification (MAY 2022) (E.O. 12989).
(xviii) 52.222-55, Minimum Wages for Contractor Workers Under Executive Order 14026 (JAN 2022).
(xix) 52.222-62 Paid Sick Leave Under Executive Order 13706 (JAN 2022) (E.O. 13706).
(xx)(A) 52.224-3, Privacy Training (JAN 2017) (5 U.S.C. 552a).
(B) Alternate I (JAN 2017) of 52.224-3.
(xxi) 52.225-26, Contractors Performing Private Security Functions Outside the United States (OCT 2016) (Section 862, as amended, of the National Defense Authorization Act for Fiscal Year 2008; 10 U.S.C. Subtitle A, Part V, Subpart G Note).
(xxii) 52.226-6, Promoting Excess Food Donation to Nonprofit Organizations (JUN 2020) (42 U.S.C. 1792). Flow down required in accordance with paragraph (e) of FAR clause 52.226-6.

(xxiii) 52.232-40, Providing Accelerated Payments to Small Business Subcontractors (MAR 2023) (31 U.S.C. 3903 and 10 U.S.C. 3801). Flow down required in accordance with paragraph (c) of 52.232-40.

(xxiv) 52.247-64, Preference for Privately Owned U .S.-Flag Commercial Vessels (NOV 2021) (46 U.S.C. 55305 and 10 U.S.C. 2631). Flow down required in accordance with paragraph (d) of FAR clause 52.247-64.

(2) While not required, the Contractor may include in its subcontracts for commercial products and commercial services a minimal number of additional clauses necessary to satisfy its contractual obligations.

(End of clause)

Alternate I (2023-OZZZZ) (OCT 2023). As prescribed in 12.301(b)(4)(i), delete paragraph (a) from the basic deviation clause, redesignate paragraph (b)(1) as paragraph (a), and redesignate paragraphs (b)(1)(i) through (b)(1)(xxiv) as paragraphs (a)(1) through (a)(24) and redesignate paragraph (b)(2) as paragraph (b).

Alternate II (2023-OZZZZ) (OCT 2023). As prescribed in 12.301(b)(4)(ii), substitute the following paragraphs (a)(1) and (b)(1) for paragraphs (a)(1) and (b)(1) of the basic deviation clause as follows:

(a)(1) The Comptroller General of the United States, an appropriate Inspector General appointed under section 3 or 8G of the Inspector General Act of 1978 (5 U.S.C. App.), or an authorized representative of either of the foregoing officials shall have access to and right to--

(i) Examine any of the Contractor's or any subcontractors' records that pertain to, and involve transactions relating to, this contract; and

(ii) Interview any officer or employee regarding such transactions.

(b)(1) Notwithstanding the requirements of any other clause in this contract, the Contractor is not required to flow down any FAR clause in a subcontract for commercial products or commercial services, other than--

(i) Paragraph (a) of this clause. This paragraph flows down to all subcontracts, except the authority of the Inspector General under paragraph (a)(1)(ii) does not flow down; and

(ii) Those clauses listed in this paragraph (b)(1). Unless otherwise indicated below, the extent of the flow down shall be as required by the clause--

(A) 52.203-13, Contractor Code of Business Ethics and Conduct (NOV 2021)(41 U.S.C. 3509).

(B) 52.203-15, Whistleblower Protections Under the American Recovery and Reinvestment Act of 2009 (JUN 2010) (Section 1553 of Pub. L. 111-5).

(C) 52.204-23, Prohibition on Contracting for Hardware, Software, and Services Developed or Provided by Kaspersky Lab and Other Covered Entities (NOV 2021)(Section 1634 of Pub. L. 115-91).

(D) 52.204-25, Prohibition on Contracting for Certain Telecommunications and Video Surveillance Services or Equipment. (NOV 2021) (Section 889(a)(1)(A) of Pub. L. 115-232).

(E) 52.204-27, Prohibition on a ByteDance Covered Application (JUN 2023) (Section 102 of Division R of Pub. L. 117-328).

(F) 52.219-8, Utilization of Small Business Concerns (SEP 2023) (15 U.S.C. 637(d)(2) and (3)), in all subcontracts that offer further subcontracting opportunities. If the subcontract (except subcontracts to small business concerns) exceeds the applicable threshold specified in FAR 19.702(a) on the date of subcontract award, the subcontractor must include 52.219-8 in lower tier subcontracts that offer subcontracting opportunities.

(G) 52.222-21, Prohibition on Segregated Facilities (A PR 2015)

(H) 52.222-26, Equal Opportunity (SEP 2016) (E.O. 11246).

(I) 52.222-35, Equal Opportunity for Veterans (JUN 2020) (38 U.S.C. 4212).

(J) 52.222-36, Equal Opportunity for Workers with Disabilities (JUN 2020) (29 U.S.C. 793).

Attachment
Class Deviation 2023-O0008
Commercial Products and Commercial Services Omnibus Clause for Acquisitions
Using the Procurement Desktop-Defense System
Changes are indicated by a change bar in the right-hand margin.

(K) 52.222-40, Notification of Employee Rights Under the National Labor Relations Act (DEC 2010) (E.O. 13496). Flow down required in accordance with paragraph (f) of FAR clause 52.222-40.

(L) 52.222- 41, Service Contract Labor Standards (AUG 2018) (41 U.S.C. Chapter 67).

(M)__(1) 52.222-50, Combating Trafficking in Persons (NOV 2021) (22 U.S.C. Chapter 78 and E.O. 13627).

__(2) Alternate I (MAR 2015) of 52.222-50 (22 U.S.C. Chapter 78 and E.O. 13627).

(N) 52.222-51, Exemption from Application of the Service Contract Labor Standards to Contracts for Maintenance, Calibration, or Repair of Certain Equipment--Requirements (MAY 2014) (41 U.S.C. Chapter 67).

(O) 52.222-53, Exemption from Application of the Service Contract Labor Standards to Contracts for Certain Services--Requirements (M AY 2014) (41 U.S.C. chapter 67).

(P) 52.222-54, Employment Eligibility Verification (MAY 2022)(E.O. 12989).

(Q) 52.222-55, Minimum Wages Under Executive Order 13658 (JAN 2022).

(R) 52.222-62, Paid Sick Leave Under Executive Order 13706 (JAN 2022)(E.O. 13706).

(S)__(1) 52.224-3, Privacy Training (JAN 2017)(5 U.S.C. 552a).

__(2) Alternate I (Jan 2017) of 52.224-3.

(T) 52.225- 26, Contractors Performing Private Security Functions Outside the United States (OCT 2016)(Section 862, as amended, of the National Defense Authorization Act for Fiscal Year 2008; 10 U.S.C. Subtitle A, Part V, Subpart G Note).

(U) 52.226-6, Promoting Excess Food Donation to Nonprofit Organizations. (JUN 2020) (42 U.S.C. 1792). Flow down required in accordance with paragraph (e) of FAR clause 52.226-6.

(V) 52.232-40, Providing Accelerated Payments to Small Business Subcontractors (MAR 2023) (31 U.S.C. 3903 and 10 U.S.C. 3801). Flow down required in accordance with paragraph (c) of 52.232-40.

(W) 52.247-64, Preference for Privately Owned U.S.- Flag Commercial Vessels (NOV 2021) (46 U.S.C. 55305 and 10 U.S.C. 2631). Flow down required in accordance with paragraph (d) of FAR clause 52.247-64.

(End of clause)

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ACQUISITION
AND SUSTAINMENT
Page 1 of 2

In reply refer to
DARS Tracking Number: 2023-O0006

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Limitations on the Procurement of DoD Non-Tactical Vehicles

Effective immediately, contracting officers shall not obligate any of the funds authorized to be appropriated by the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2023 (Pub. L. 117-263) or otherwise made available to DoD for the procurement of DoD non-tactical vehicles that are electric vehicles, advanced-biofuel-powered vehicles, or hydrogen-powered vehicles, or any components or spare parts associated with such vehicles, that do not comply with Federal Acquisition Regulation (FAR) subpart 22.15, Prohibition of Acquisition of Products Produced by Forced or Indentured Child Labor.

While FAR subpart 22.15 applies to the acquisition of supplies that exceed the micro-purchase threshold, this class deviation implements section 328(c) of the NDAA for FY 2023. Section 328(c) provides the prohibition described in the paragraph above.

As used in this deviation--

* "Advanced-biofuel-powered vehicle" includes a vehicle that uses a fuel described in section 9001(3)(A) of the Farm Security and Rural Investment Act of 2022 (7 U.S.C. 8101(3)(A)).

* "Electric vehicle" includes a plug-in hybrid electric vehicle that uses a combination of electric and gas-powered engine that can use either gasoline or electricity as a fuel

source; and a plug-in electric vehicle that runs solely on electricity and does not contain an internal combustion engine or gas tank.

* "Hydrogen-powered vehicle" means a vehicle that uses hydrogen as the main source of motive power, either through a fuel cell or internal combustion.

Class Deviation 2023-O0006
Limitations on the Procurement DoD Non-Tactical Vehicles

* "Non-tactical vehicle" means a vehicle other than a tactical vehicle.

* "Tactical vehicle" means a motor vehicle designed to military specification, or a commercial design motor vehicle modified to military specification, to provide direct transportation support of combat or tactical operations, or for the training of personnel for such operations.

This class deviation remains in effect until incorporated in the Defense Federal Acquisition Regulation Supplement or until otherwise rescinded. My point of contact is Ms. Jeanette Snyder, DPC/DARS, who may be reached at jeanette.m.snyder4.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

OFFICE OF THE UNDER SECRETARY OF DEFENSE
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ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2022-O0010, Revision 1

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)

DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation-Prohibition on Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid

Effective immediately, this class deviation revises and supersedes Class Deviation 2022-O0010, issued on September 23, 2022. The revision is necessary to clarify the prescriptions for the provision and clause.

Effective April 1, 2023, contracting officers shall not procure covered items that contain perfluorooctane sulfonate (PFOS) or perfluorooctanoic acid (PFOA). Therefore, effective immediately, for awards anticipated to occur on or after April 1, 2023, contracting officers shall include the attached solicitation provision and contract clause in all solicitations for acquisition of covered items. Furthermore, contracting officers shall include the attached clause in contracts, task orders, delivery orders, and blanket purchase agreement orders for acquisition of covered items awarded on or after April 1, 2023.

For the purpose of this deviation covered items means--

1. Nonstick cookware or cooking utensils for use in galleys or dining facilities.

2. Upholstered furniture, carpets, and rugs that have been treated with stain-resistant coatings.

This class deviation implements section 333 of the William M. (Mac) Thornberry National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283) that prohibits DoD

from procuring any covered items containing PFOS or PFOA effective April 1, 2023, and defines "covered items."

This class deviation remains in effect until incorporated in the Defense Federal Acquisition Regulation Supplement or is otherwise rescinded. My point of contact is Barbara J. Salcido, who may be reached at 571-230-0492 or barbara.j.salcido.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

Attachments:
As stated

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Attachment 1
Class Deviation 2022-O0010, Revision 1
Prohibition on Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid

252.223-7997 Prohibition on Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid --Representation.

Effective immediately, for awards anticipated to occur on or after April 1, 2023, include the following provision in all solicitations, including solicitations for the acquisition of commercial products (including commercially available off-the-shelf items) and commercial services using FAR part 12 procedures, for acquisition of covered items.

PROHIBITION ON PROCUREMENT OF CERTAIN ITEMS CONTAINING PERFLUOROOCTANE SULFONATE OR PERFLUOROOCTANOIC ACID -- REPRESENTATION--REPRESENTATION (DEVIATION 2022-O0010)
(SEP 2022)

(a) Effective April 1, 2023, in accordance with section 333 of the William M. (Mac) Thornberry National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283) the Department of Defense may not procure any covered items that contain perfluorooctane sulfonate (PFOS) or perfluorooctanoic acid (PFOA). A covered item is defined as:

(1) Nonstick cookware or cooking utensils for use in galleys or dining facilities; and

(2) Upholstered furniture, carpets, and rugs that have been treated with stain-resistant coatings.

(b) Representation. By submission of its offer, the Offeror represents that it is not providing as part of its offer any covered items containing PFOS or PFOA.

(End of provision)

Attachment 1

Class Deviation 2022-O0010, Revision 1
Prohibition on Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid

252.223-7998 Prohibition on Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid.

Effective April 1, 2023, include the following clause in contracts, task orders, delivery orders, and blanket purchase agreement orders including contracts, task orders, delivery orders, and blanket purchase agreement orders, for the acquisition of commercial products (including commercially available off-the-shelf items) and commercial services using FAR part 12 procedures, for acquisition of covered items.

PROHIBITION ON PROCUREMENT OF CERTAIN ITEMS CONTAINING PERFLUOROOCTANE SULFONATE OR PERFLUOROOCTANOIC ACID
(DEVIATION 2022-O0010)
(APR 2023)

(a) Effective April 1, 2023, in accordance with section 333 of the William M. (Mac) Thornberry National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283), the Department of Defense may not procure any covered items that contain perfluorooctane sulfonate (PFOS) or perfluorooctanoic acid (PFOA).

(b) A covered item means the following:

(1) Nonstick cookware or cooking utensils for use in galleys or dining facilities.

(2) Upholstered furniture, carpets, and rugs that have been treated with stain-resistant coatings.

(c) The Contractor shall not provide any covered items containing PFOS or PFOA in performance of this contract, task order, delivery order, or blanket purchase agreement order.

(d) The Contractor shall include the substance of this clause, including this paragraph (d), in subcontracts for any covered item, including subcontracts for commercial products (including commercially available off-the-shelf items) and commercial services.

(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to

DARS Tracking Number: 2022-O0005, Revision 2

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Pilot Program for Streamlining Awards for Innovative Technology Projects

Effective immediately, this class deviation revises and supersedes Class Deviation 2022-O0005, Revision 1, issued on September 20, 2022. This revision clarifies the application of requirements in the clause at Federal Acquisition Regulation (FAR) 52.215-2, Audit and Records--Negotiations .

Effective immediately, the list of exceptions to certified cost or pricing data requirements at FAR 15.403-1(b) is expanded to include contracts, subcontracts, or modifications of contracts or subcontracts valued at less than $7.5 million awarded to a small business concern or nontraditional defense contractor pursuant to--

* A technical, merit-based selection procedure, such as a broad agency announcement (see FAR 35.016(b)(2));

* The Small Business Innovation Research Program; or

* The Small Business Technology Transfer Program.

In order to implement the data collection requirement of section 862 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2022, when awarding a contract, task order, delivery order, or modification using this exception to certified cost or pricing data, contracting officers will enter 873Authority (exactly as shown, without spaces) in the Description of Requirements data field of the associated contract action report. Contracting

officers may also submit comments regarding the use and benefits of this authority to osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil. Submission of comments is permissive, instead of mandatory, in order to avoid overly burdensome reporting requirements for contracting officers.
I
n addition, to clarify the audit and record keeping requirements, contracts, subcontracts,

and modifications of contracts or subcontracts valued at less than $7.5 million awarded to a small business concern or nontraditional defense contractor pursuant to a technical, merit-based selection procedure or the Small Business Innovation Research Program are exempt from the requirements for audit and records examination under paragraphs (c)(1) through (c)(3) of the clause at FAR 52.215-2. This exemption is not extended to covered contracts, subcontracts, or modifications under the Small Business Technology Transfer Program.

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otwithstanding the exemptions provided by this deviation, the head of the contracting activity (HCA) may determine that the requirements for submission of certified cost or pricing data or audit and records examination is required based on the past performance of the specific small business or nontraditional defense contractor, or based on analysis of other information specific to the award. If the HCA makes a determination not to apply the exemption from audit and records examination requirements, the performance audit shall be initiated within 18 months of the contract completion. Contracting officers shall notify the small business concern or nontraditional defense contractor of the HCA's determination.

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his deviation implements section 873 of the NDAA for FY 2016 (Pub. L. 114-92) for the Pilot Program for Streamlining Awards for Innovative Technology Projects, as modified by sections 896 of the NDAA for FY 2017 (Pub. L. 114-328), 832 of the NDAA for FY 2021 (Pub. L. 116-283), and 862 of the NDAA for FY 2022 (Pub. L. 117-81).

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his class deviation remains in effect until October 1, 2024, or otherwise rescinded. My point of contact is Mr. Larry McLaury, who may be reached at osd.pentagon.ousd-a-s.mbx.dpc-pcf@mail.mil.

J

ohn M. Tenaglia
Principal Director,
Defense Pricing and Contracting

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WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to

DARS Tracking Number: 2022- O0004

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY

(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Requirements for Nonavailability Waiver Determinations Under the Buy American Statute

Effective November 16, 2021, in accordance with the memorandum titled "Improving the Transparency of Made in America Waivers," dated October 26, 2021, issued by the Made in America Office (MIAO) within the Office of Management and Budget (OMB) and the Office of Federal Procurement Policy (OFPP), prior to contract award, contracting officers shall--

* In lieu of the exception at Federal Acquisition Regulation (FAR) 25.103(b)(3), execute an individual nonavailability waiver determination if no offer for a domestic end product is received in response to an acquisition that was conducted using full and open competition and synopsized in accordance with FAR 5.201;

* Submit all proposed individual nonavailability waiver determinations to be made in accordance with FAR 25.103(b)(2), or in lieu of the exception at FAR 25.103(b)(3) as described above, digitally to MadeinAmerica.gov via System for Award Management (SAM.gov) for MIAO review, unless one of the following exceptions applies--

o The acquisition is conducted under reduced competition due to urgency (see FAR 6.302-2 and 13.106-1(b) and DFARS 206.302-2) or where the contracting officer is obligated by law to act more quickly than the MIAO nonavailability waiver determination review timeframes allow. In these instances, contracting officers shall report such waivers through the digital waiver portal accessed via SAM.gov within 30 days of award. The MIAO will not make a determination on these individual nonavailability waiver determinations; or

o The acquisition is for products that have been determined to be nonavailable on a class basis and are listed in FAR 25.104; and

* In lieu of the of exception in paragraph (C) of the prescription at DFARS 225.1101(2)(i), insert the DFARS clause 252.225-7001, Buy American and Balance of Payments Program, instead of the clause at FAR 25.225-1, Buy American--Supplies, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial items, when the acquisition is for supplies for use within the United States and an exception, in the form of an individual nonavailability waiver determination, to the Buy American statute applies.

Upon submission of a proposed individual nonavailability waiver determination to the

MIAO for review, contracting officers shall not make an award until receiving confirmation that the MIAO--

* Completed its review of the proposed nonavailability waiver determination; or
* Waived its review of the proposed nonavailability waiver determination.

When posting the proposed individual nonavailability waiver determination for MIAO review, contracting officers must input information into a digital waiver, in accordance with the Made in America Digital Waiver Portal User Guide at SAM.gov. The digital waiver requires the the standardized nonavailability waiver determination information listed in the Attachment to the OMB Memorandum M-21-26, dated June 11, 2021.

Certain information from the individual nonavailability waiver determination will be available to the public at MadeinAmerica.gov immediately upon posting of the proposed waiver and prior to review by MIAO. The digital waiver and the Made in America Digital Waiver Portal User Guide identify those fields that are public and those fields that are for government use only. Contracting officers shall not enter source selection information (see FAR 2.101 and 3.104) in any digital waiver field. In addition, contracting officers must not enter in a public digital waiver fields any information that cannot be made public.

The final decision to execute an individual nonavailability waiver determination shall be approved in accordance with DFARS 225.103(b)(ii).

This class deviation implements the requirements of the memorandum titled "Improving the Transparency of Made in America Waivers," dated October 26, 2021, and OMB Memorandum M-21-26, Increasing Opportunities for Domestic Sourcing and Reducing the Need for Waivers from Made in America Laws, dated June 11, 2021. OMB Memorandum M-21-26 outlined initial process management steps to help agencies prepare for and support a centralized strategic nonavailability waiver determination review process as required by Executive Order 14005, Ensuring the Future Is Made in All of America by All of America's Workers (86 FR 7475, January 28, 2021). Together, these documents work to establish a more transparent Federal marketplace that demonstrates a priority to support Made in America purchasing, increase public trust and confidence in the Federal Government's commitment to an expanded U.S.

manufacturing base, and establish a domestic supplier base that is more robust and resilient to market volatility and manipulation.

This class deviation remains in effect unt il incorporated into the FAR or DFARS or otherwise rescinded. My point of contact is Mr. Jeff Grover, who is available at 703-697-9352 or jeffrey.c.grover.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

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3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2022-O0001, Revision 1

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Threshold for Obtaining Certified Cost or Pricing Data for Subcontracts and Price Adjustments

Effective immediately, this class deviation revises and supersedes Class Deviation 2022-O0001 issued on October 5, 2021. The revision is necessary to correct the TINA threshold expressed at 52.214-27 (DEVIATION) paragraph (a).

Effective immediately, contracting officers shall use $2 million, in lieu of $750,000 at Federal Acquisition Regulation (FAR) 15.403-4(a)(1), as the threshold for obtaining certified cost or pricing data for the award of a subcontract, at any tier, or a change or modification made

to a prime contract or subcontract, at any tier.

Contracting officers shall use the clauses provided in Attachment 1 of this deviation in lieu of the following FAR clauses:

? 52.214-27 Price Reduction for Defective Certified Cost or Pricing Data--Modifications--Sealed Bidding.
? 52.214-28, Subcontractor Certified Cost or Pricing Data--Modifications--Sealed Bidding.
? 52.215-11, Price Reduction for Defective Certified Cost or Pricing Data--Modifications.
? 52.215-12, Subcontractor Certified Cost or Pricing Data.
? 52.215-13, Subcontractor Certified Cost or Pricing Data--Modifications.

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Attachment 1
Class Deviation 2022-O0001, Revision 1
Threshold for Obtaining Certified Cost or Pricing Data for
Subcontracts and Price Adjustments
Changes to the text are indicated by a change bar in the right-hand margin.

52.214-27 Price Reduction for Defective Certified Cost or Pricing Data--Modifications--
Sealed Bidding (DEVIATION 2022-O0001).

Use the following clause, when contracting by sealed bidding, in lieu of the clause at FAR 52.214-27, Price Reduction for Defective Certified Cost or Pricing Data-Modifications, in solicitations and contracts if the contract amount is expected to exceed $2 million:

PRICE REDUCTION FOR DEFECTIVE CERTIFIED COST OR PRICING DATA--
MODIFICATIONS--SEALED BIDDING
(DEVIATION 2022-O0001) (OCT 2021)

(a) This clause shall become operative only for any modification to this contract involving aggregate increases and/or decreases in costs, plus applicable profits, expected to exceed $2 million on the date of execution of the modification, except that this clause does not apply to a modification if an exception under FAR 15.403-1(b) applies.

(b) If any price, including profit, negotiated in connection with any modification under this clause, was increased by any significant amount because (1) the Contractor or a subcontractor furnished certified cost or pricing data that were not complete, accurate, and current as certified in its Certificate of Current Cost or Pricing Data, (2) a subcontractor or prospective subcontractor furnished the Contractor certified cost or pricing data that were not complete, accurate, and current as certified in the Contractor's Certificate of Current Cost or Pricing Data, or (3) any of these parties furnished data of any description that were not accurate, the price shall be reduced accordingly and the contract shall be modified to reflect the reduction. This right to a price reduction is limited to that resulting from defects in data relating to modifications for which this clause becomes operative under paragraph (a) of this clause.

(c) Any reduction in the contract price under paragraph (b) of this clause due to defective data from a prospective subcontractor that was not subsequently awarded the subcontract shall be limited to the amount, plus applicable overhead and profit markup, by which (1) the actual subcontract or (2) the actual cost to the Contractor, if there was no subcontract, was less than the prospective subcontract cost estimate submitted by the Contractor; provided, that the actual subcontract price was not itself affected by defective certified cost or pricing data.

(d)(1) If the Contracting Officer determines under paragraph (b) of this clause that a price or cost reduction should be made, the Contractor agrees not to raise the following matters as a defense--

(i) The Contractor or subcontractor was a sole source supplier or otherwise was in a superior bargaining position and thus the price of the contract would not have been modified even if accurate, complete, and current certified cost or pricing data had been submitted;

(ii) The Contracting Officer should have known that the certified cost or pricing data in issue were defective even though the Contractor or subcontractor took no affirmative action to bring the character of the data to the attention of the Contracting Officer;

(iii) The contract was based on an agreement about the total cost of the contract and there was no agreement about the cost of each item procured under the contract; or

(iv) The Contractor or subcontractor did not submit a Certificate of Current Cost or Pricing Data.

(2)(i) Except as prohibited by subdivision (d)(2)(ii) of this clause, an offset in an amount determined appropriate by the Contracting Officer based upon the facts shall be allowed against the amount of a contract price reduction if--

(A) The Contractor certifies to the Contracting Officer that, to the best of the Contractor's knowledge and belief, the Contractor is entitled to the offset in the amount requested; and

(B) The Contractor proves that the certified cost or pricing data were available before the date of agreement on the price of the contract (or price of the modification) and that the data were not submitted before such date.

(ii) An offset shall not be allowed if--

(A) The understated data was known by the Contractor to be understated when the Certificate of Current Cost or Pricing Data was signed; or

(B) The Government proves that the facts demonstrate that the contract price would not have increased in the amount to be offset even if the available data had been submitted before the date of agreement on price.

(e) If any reduction in the contract price under this clause reduces the price of items for which payment was made prior to the date of the modification reflecting the price reduction, the Contractor shall be liable to and shall pay the United States at the time such overpayment is repaid--

(1) Interest compounded daily, as required by 26 U.S.C. 6622, on the amount of such overpayment to be computed from the date(s) of overpayment to the Contractor to the date the Government is repaid by the Contractor at the applicable underpayment rate effective for each quarter prescribed by the Secretary of the Treasury under 26 U.S.C. 6621(a)(2); and

(2) A penalty equal to the amount of the overpayment, if the Contractor or subcontractor knowingly submitted certified cost or pricing data which were incomplete, inaccurate, or noncurrent.
(End of clause)

52.214-28 Subcontractor Certified Cost or Pricing Data--Modifications--Sealed Bidding (DEVIATION 2022-O0001).

Use the following clause, when contracting by sealed bidding, in lieu of the clause at FAR 52.214-28, Price Reduction for Defective Certified Cost or Pricing Data-Modifications, in solicitations and contracts if the contract amount is expected to exceed $2 million:

SUBCONTRACTOR CERTIFIED COST OR PRICING DATA--MODIFICATIONS--
SEALED BIDDING
(DEVIATION 2022-O0001) (OCT 2021)

(a) The requirements of paragraphs (b) and (c) of this clause shall--

(1) Become operative only for any modification to this contract involving aggregate increases and/or decreases in costs, plus applicable profits, expected to exceed $2 million on the

date of execution of the modification, and

(2) Be limited to such modifications.

(b) Before awarding any subcontract expected to exceed $2 million, on the date of agreement on price or the date of award, whichever is later, or before pricing any subcontract modifications involving aggregate increases and/or decreases in costs, plus applicable profits, expected to exceed $2 million, the Contractor shall require the subcontractor to submit certified cost or pricing data (actually or by specific identification in writing), as part of the subcontractor's proposal in accordance with Federal Acquisition Regulation (FAR) 15.408, Table 15-2 (to include any information reasonably required to explain the subcontractor's estimating process such as the judgmental factors applied and the mathematical or other methods used in the estimate, including those used in projecting from known data, and the nature and amount of any contingencies included in the price), unless an exception under FAR 15.403-1(b) applies. If the $2 million threshold for submission of certified cost or pricing data specified is adjusted for inflation as set forth in FAR 1.109(a), then pursuant to FAR 1.109(d) the changed threshold applies throughout the remaining term of the contract, unless there is a subsequent threshold adjustment.

(c) The Contractor shall require the subcontractor to certify in substantially the form prescribed in subsection 15.406-2 of the Federal Acquisition Regulation that, to the best of its knowledge and belief, the data submitted under paragraph (b) above were accurate, complete,

and current as of the date of agreement on the negotiated price of the subcontract or subcontract modification.

(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in each subcontract that, when entered into, exceeds $2 million.

(End of clause)

52.215-11 Price Reduction for Defective Certified Cost or Pricing Data --Modifications (DEVIATION 2022-O0001).

Use the following clause, when contracting by negotiation, in lieu of the clause at FAR 52.215-11, Price Reduction for Defective Certified Cost or Pricing Data-Modifications, in solicitations and contracts when it is contemplated that certified cost or pricing data will be required from the contractor or any subcontractor for the pricing of contract modifications and FAR clause 52.215-10, Price Reduction for Defective Certified Cost or Pricing Data, has not been included:

PRICE REDUCTION FOR DEFECTIVE CERTIFIED COST OR PRICING DATA--
MODIFICATIONS
(DEVIATION 2022-O0001) (OCT 2021)

(a) This clause shall become operative only for any modification to this contract involving a pricing adjustment expected to exceed $2 million on the date of execution of the modification, except that this clause does not apply to any modification if an exception under Federal Acquisition Regulation (FAR) 15.403-1(b) applies.

(b) If any price, including profit or fee, negotiated in connection with any modification under this clause, or any cost reimbursable under this contract, was increased by any significant amount because--

(1) The Contractor or a subcontractor furnished certified cost or pricing data that were not complete, accurate, and current as certified in its Certificate of Current Cost or Pricing Data;

(2) A subcontractor or prospective subcontractor furnished the Contractor certified cost or pricing data that were not complete, accurate, and current as certified in the Contractor's Certificate of Current Cost or Pricing Data; or

(3) Any of these parties furnished data of any description that were not accurate, the price or cost shall be reduced accordingly and the contract shall be modified to reflect the reduction. This right to a price reduction is limited to that resulting from defects in data relating to modifications for which this clause becomes operative under paragraph (a) of this clause.

(c) Any reduction in the contract price under paragraph (b) of this clause due to defective data from a prospective subcontractor that was not subsequently awarded the subcontract shall be limited to the amount, plus applicable overhead and profit markup, by which--

(1) The actual subcontract price; or

(2) The actual cost to the Contractor, if there was no subcontract awarded, was less than the prospective subcontract cost estimate submitted by the Contractor; provided, that the actual subcontract price was not itself affected by defective certified cost or pricing data.

(d)(1) If the Contracting Officer determines under paragraph (b) of this clause that a price or cost reduction should be made, the Contractor agrees not to raise the following matters as a defense:

(i) The Contractor or subcontractor was a sole source supplier or otherwise was in a superior bargaining position and thus the price of the contract would not have been modified even if accurate, complete, and current certified cost or pricing data had been submitted.

(ii) The Contracting Officer should have known that the certified cost or pricing data in issue were defective even though the Contractor or subcontractor took no affirmative action to bring the character of the data to the attention of the Contracting Officer.

(iii) The contract was based on an agreement about the total cost of the contract and there was no agreement about the cost of each item procured under the contract.

(iv) The Contractor or subcontractor did not submit a Certificate of Current Cost or Pricing Data.

(2)(i) Except as prohibited by subdivision (d)(2)(ii) of this clause, an offset in an amount determined appropriate by the Contracting Officer based upon the facts shall be allowed against the amount of a contract price reduction if--

(A) The Contractor certifies to the Contracting Officer that, to the best of the Contractor's knowledge and belief, the Contractor is entitled to the offset in the amount requested; and

(B) The Contractor proves that the certified cost or pricing data were available before the "as of" date specified on its Certificate of Current Cost or Pricing Data, and that the data were not submitted before such date.

(ii) An offset shall not be allowed if--

(A) The understated data were known by the Contractor to be understated before the "as of" date specified on its Certificate of Current Cost or Pricing Data; or

(B) The Government proves that the facts demonstrate that the contract price would not have increased in the amount to be offset even if the available data had been submitted before the "as of" date specified on its Certificate of Current Cost or Pricing Data.

(e) If any reduction in the contract price under this clause reduces the price of items for which payment was made prior to the date of the modification reflecting the price reduction, the Contractor shall be liable to and shall pay the United States at the time such overpayment is repaid--

(1) Interest compounded daily, as required by 26 U.S.C. 6622, on the amount of such overpayment to be computed from the date(s) of overpayment to the Contractor to the date the Government is repaid by the Contractor at the applicable underpayment rate effective for each quarter prescribed by the Secretary of the Treasury under 26 U.S.C. 6621(a)(2); and

(2) A penalty equal to the amount of the overpayment, if the Contractor or subcontractor knowingly submitted certified cost or pricing data that were incomplete, inaccurate, or noncurrent.

(End of clause)

52.215-12 Subcontractor Certified Cost or Pricing Data (DEVIATION 2022-O0001).

Use the following clause, in lieu of the clause at FAR 52.215-12, Price Reduction for Defective Certified Cost or Pricing Data-Modifications, in solicitations and contracts when FAR clause 52.215-10, Price Reduction for Defective Certified Cost or Pricing Data, is included:

SUBCONTRACTOR CERTIFIED COST OR PRICING DATA (DEVIATION 2022-O0001)
(OCT 2021)

(a) Before awarding any subcontract expected to exceed $2 million, on the date of agreement on price or the date of award, whichever is later; or before pricing any subcontract modification involving a pricing adjustment expected to exceed $2 million, the Contractor shall require the subcontractor to submit certified cost or pricing data (actually or by specific identification in writing), in accordance with Federal Acquisition Regulation (FAR) 15.408, Table 15-2 (to include any information reasonably required to explain the subcontractor's estimating process such as the judgmental factors applied and the mathematical or other methods used in the estimate, including those used in projecting from known data, and the nature and amount of any contingencies included in the price), unless an exception under FAR 15.403-1(b) applies. If the $2 million threshold for submission of certified cost or pricing data is adjusted for inflation as set

forth in FAR 1.109(a), then pursuant to FAR 1.109(d) the changed threshold applies throughout the remaining term of the contract, unless there is a subsequent threshold adjustment.

(b) The Contractor shall require the subcontractor to certify in substantially the form prescribed in FAR 15.406-2 that, to the best of its knowledge and belief, the data submitted under paragraph (a) of this clause were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract or subcontract modification.

(c) In each subcontract that, when entered into, exceeds $2 million, the Contractor shall insert either--

(1) The substance of this clause, including this paragraph (c), if paragraph (a) of this clause requires submission of certified cost or pricing data for the subcontract; or

(2) The substance of the clause at 52.215-13, Subcontractor Certified Cost or Pricing Data--Modifications (DEVIATION 2022-O0001).

(End of clause)

52.215-13 Subcontractor Certified Cost or Pricing Data--Modifications (Deviation 2022-O0001).

Use the following clause in lieu of the clause at FAR 52.215-13, Price Reduction for Defective

Certified Cost or Pricing Data--Modifications, in solicitations and contracts when clause 52.215-11, Price Reduction for Defective Certified Cost or Pricing Data--Modifications (DEVIATION 2022-O0001) is included:

SUBCONTRACTOR CERTIFIED COST OR PRICING DATA--MODIFICATIONS
(DEVIATION 2022-O0001) (OCT 2021)

(a) The requirements of paragraphs (b) and (c) of this clause shall--

(1) Become operative only for any modification to this contract involving a pricing adjustment expected to exceed $2 million on the date of execution of the modification; and

(2) Be limited to such modifications.

(b) Before awarding any subcontract expected to exceed $2 million, on the date of agreement on price or the date of award, whichever is later; or before pricing any subcontract modification involving a pricing adjustment expected to exceed $2 million, the Contractor shall require the subcontractor to submit certified cost or pricing data (actually or by specific identification in writing), in accordance with Federal Acquisition Regulation (FAR) 15.408, Table 15-2 (to

include any information reasonably required to explain the subcontractor's estimating process such as the judgmental factors applied and the mathematical or other methods used in the estimate, including those used in projecting from known data, and the nature and amount of any contingencies included in the price), unless an exception under FAR 15.403-1(b) applies. If the $2 million threshold for submission of certified cost or pricing data is adjusted for inflation as set forth in FAR 1.109(a), then pursuant to FAR 1.109(d) the changed threshold applies throughout the remaining term of the contract, unless there is a subsequent threshold adjustment.

(c) The Contractor shall require the subcontractor to certify in substantially the form prescribed in FAR 15.406-2 that, to the best of its knowledge and belief, the data submitted under paragraph (b) of this clause were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract or subcontract modification.

(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in each subcontract that exceeds $2 million on the date of agreement on price or the date of award, whichever is later.

(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2021-O0009, Recission

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Rescission of Class Deviation--Ensuring Adequate COVID -19 Safety Protocols for Federal Contractors

Effective immediately, this memorandum rescinds Class Deviation 2021-O0009 and its Revisions 1 and 2. Class Deviation 2021-O0009 implemented Executive Order (E.O.) 14042, Ensuring Adequate COVID Safety Protocols for Federal Contractors. E.O. 14099, Moving Beyond COVID-19 Vaccination Requirements for Federal Workers, dated May 9, 2023, effective May 12, 2023, and published on May 15, 2023, at 88 FR 30891, revoked E.O. 14042.

Therefore, effective immediately, to ensure compliance with E.O. 14099, contracting officers shall not include the class deviation clause in new solicitations, contracts, task orders, and delivery orders, and shall not enforce the requirements of the class deviation clause in existing contracts, task orders, and delivery orders. In addition, and in accordance with Federal Acquisition Regulation 1.108(d), contracting officers may modify existing contracts, task orders, and delivery orders to remove the class deviation clause (i.e., with the next modification). The class deviation clause is not enforceable even if contracting officers do not modify existing contracts, task orders, and delivery orders to remove it.

My point of contact is Ms. Jeanette Snyder, DPC/DARS, who may be reached at jeanette.m.snyder4.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

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OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2021-O0008, Revision 1

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Limitations on Subcontracting for Small Business

This class deviation revises and supersedes Class Deviation 2021-O0008, issued on September 10, 2021. Effective immediately, contracting officers shall use the clause in the Attachment, 52.219-14, Limitations on Subcontracting (DEVIATION 2021-O0008), in lieu of the clause at Federal Acquisition Regulation (FAR) 52.219-14.

This class deviation implements the Small Business Administration's (SBA's) final rule issued on November 29, 2019 (84 FR 65647), which amended its regulations to include certain exclusions to the limitations on subcontracting for services contracts. These exclusions are addressed in paragraph (e)(1) of the attached deviation clause. The final rule for FAR Case 2017-019 published in the Federal Register on September 23, 2022 (87 FR 58219), and effective October 28, 2022, modified the FAR to incorporate the limitations on subcontracting requirements for small business joint ventures in SBA's final rule issued on July 25, 2016 (81 FR 48558), resulting in revisions to paragraph (g) of FAR clause 52.219-14. These revisions are included in the attached deviation clause.

This class deviation remains in effect until incorporated into the FAR or until otherwise rescinded. My point of contact is Ms. Jeanette Snyder, who is available via email at jeanette.m.snyder4.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

Attachment:
As stated

TENAGLIA.JOHN
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Attachment
Class Deviation 2021-O0008, Revision 1
Limitations on Subcontracting for Small Business
Changes are indicated by a change bar in the right-hand margin.

52.219-14 Limitations on Subcontracting (DEVIATION 2021-O0008)
Use the following clause in lieu of the Federal Acquisition Regulation (FAR) clause 52.219-14, as prescribed at FAR 19.507(e):
LIMITATIONS ON SUBCONTRACTING (FEB 2023) (DEVIATION 2021-O0008)

(a) This clause does not apply to the unrestricted portion of a partial set-aside.

(b) Definition. Similarly situated entity, as used in this clause, means a first-tier subcontractor, including an independent contractor, that--

(1) Has the same small business program status as that which qualified the prime contractor for the award (e.g., for a small business set-aside contract, any small business concern, without regard to its socioeconomic status); and

(2) Is considered small for the size standard under the North American Industry Classification System (NAICS) code the prime contractor assigned to the subcontract.

(c) Applicability. This clause applies only to--

(1) Contracts that have been set aside for any of the small business concerns identified in 19.000(a)(3);

(2) Part or parts of a multiple-award contract that have been set aside for any of the small business concerns identified in 19.000(a)(3);

(3) Contracts that have been awarded on a sole-source basis in accordance with subparts 19.8, 19.13, 19.14, and 19.15;

(4) Orders expected to exceed the simplified acquisition threshold and that are--

(i) Set aside for small business concerns under multiple-award contracts, as described in 8.405-5 and 16.505(b)(2)(i)(F); or

(ii) Issued directly to small business concerns under multiple-award contracts as described in 19.504(c)(1)(ii);

(5) Orders, regardless of dollar value, that are--

(i) Set aside in accordance with subparts 19.8, 19.13, 19.14, or 19.15 under multiple-award contracts, as described in 8.405-5 and 16.505(b)(2)(i)(F); or

(ii) Issued directly to concerns that qualify for the programs described in subparts 19.8, 19.13, 19.14, or 19.15 under multiple-award contracts, as described in 19.504(c)(1)(ii); and

(6) Contracts using the HUBZone price evaluation preference to award to a HUBZone small business concern unless the concern waived the evaluation preference.

Attachment
Class Deviation 2021-O0008, Revision 1
Limitations on Subcontracting for Small Business
Changes are indicated by a change bar in the right-hand margin.

(d) Independent contractors. An independent contractor shall be considered a subcontractor.

(e) Limitations on subcontracting. By submission of an offer and execution of a contract, the Contractor agrees that in performance of a contract assigned a North American Industry Classification System (NAICS) code for--

(1) Services (except construction), it will not pay more than 50 percent of the amount paid by the Government for contract performance, excluding certain other direct costs and certain work performed outside the United States (see paragraph (e)(1)(i)), to subcontractors that are not similarly situated entities. Any work that a similarly situated entity further subcontracts will count towards the prime contractor's 50 percent subcontract amount that cannot be exceeded. When a contract includes both services and supplies, the 50 percent limitation shall apply only to the service portion of the contract. The following services may be excluded from the 50 percent limitation:

(i) Other direct costs, to the extent they are not the principal purpose of the acquisition and small business concerns do not provide the service. Examples include airline travel, work performed by a transportation or disposal entity under a contract assigned the environmental remediation NAICS code 562910), cloud computing services, or mass media purchases.

(ii) Work performed outside the United States on awards made pursuant to the Foreign Assistance Act of 1961, or work performed outside the United States required to be performed by a local contractor.

(2) Supplies (other than procurement from a nonmanufacturer of such supplies), it will not pay more than 50 percent of the amount paid by the Government for contract performance, excluding the cost of materials, to subcontractors that are not similarly situated entities. Any work that a similarly situated entity further subcontracts will count towards the prime contractor's 50 percent subcontract amount that cannot be exceeded. When a contract includes both supplies and services, the 50 percent limitation shall apply only to the supply portion of the contract;

(3) General construction, it will not pay more than 85 percent of the amount paid by the Government for contract performance, excluding the cost of materials, to subcontractors that are not similarly situated entities. Any work that a similarly situated entity further subcontracts will count towards the prime contractor's 85 percent subcontract amount that cannot be exceeded; or

(4) Construction by special trade contractors , it will not pay more than 75 percent of the amount paid by the Government for contract performance, excluding the cost of materials, to subcontractors that are not similarly situated entities. Any work that a similarly situated entity further subcontracts will count towards the prime contractor's 75 percent subcontract amount that cannot be exceeded.

(f) The Contractor shall comply with the limitations on subcontracting as follows:
(1) For contracts, in accordance with paragraphs (c)(1), (2), (3) and (6) of this clause -

Attachment
Class Deviation 2021-O0008, Revision 1
Limitations on Subcontracting for Small Business
Changes are indicated by a change bar in the right-hand margin.

[Contracting Officer check as appropriate.]
__ By the end of the base term of the contract and then by the end of each subsequent option period; or
__ By the end of the performance period for each order issued under the contract.
(2) For orders, in accordance with paragraphs (c)(4) and (5) of this clause, by the end of the performance period for the order.
(g) A joint venture agrees that, in the performance of the contract, the applicable percentage specified in paragraph (e) of this clause will be performed by the aggregate of the joint venture participants.
(1) In a joint venture comprised of a small business prot?g? and its mentor approved by the Small Business Administration, the small business prot?g? shall perform at least 40 percent of the work performed by the joint venture. Work performed by the small business prot?g? in the joint venture must be more than administrative functions.
(2) In an 8(a) joint venture, the 8(a) participant(s) shall perform at least 40 percent of the work performed by the joint venture. Work performed by the 8(a) participants in the joint venture must be more than administrative functions.
(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DA
RS Tracking Number: 2021-O0004

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation--Requirements for Contractor Personnel Performing in the U.S. Southern Command Area of Responsibility

Effective immediately, this class deviation rescinds and supersedes class deviation 2014-O0016. Contracting officers shall use the attached clause in lieu of the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in solicitations and contracts that require performance in the U.S. Southern Command (USSOUTHCOM) area of responsibility.

This deviation continues to support USSOUTHCOM operational requirements and helps implement the President's March 13, 2020, "Proclamation on Declaring a National Emergency Concerning the Novel Coronavirus Disease (COVID-19) Outbreak."

Specifically, in addition to continued operational requirements, this class deviation implements critical combatant commander requirements for contracts supporting USSOUTHCOM, as follows--

* Recertification of medical fitness for medical suitability screening;
* Requirements for Synchronized Predeployment and Operational Tracker data for contractor personnel support and tracking; and
* Personnel recovery requirements.

Class Deviation 2021-O0004
Requirements for Contractor Personnel Performing in the
U.S. Southern Command Area of Responsibility
2

This class deviation remains in effect until incorporated in the DFARS or until otherwise rescinded. My point of contact is Lt Col Karen Landale, who may be reached at 571-372-8778 or at karen.a.landale.mil@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

Attachments:
As stated

TENAGLIA.JOHN.M.1154945926
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Attachment
Class Deviation 2021-O0004
Requirements for Contractor Personnel Performing in the
U.S. Southern Command Area of Responsibility

252.225-7987 Requirements for Contractor Personnel Performing in the
U.S. Southern Command Area of Responsibility (DEVIATION 2021-O0004)
Use this clause, in lieu of the clause at Defense Federal Acquisition Regulation Supplement 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in solicitations and contracts that require contractor performance in the U.S. Southern Command area of responsibility.

REQUIREMENTS FOR CONTRACTOR PERSONNEL PERFORMING IN THE
U.S. SOUTHERN COMMAND AREA OF RESPONSIBILITY
(DEVIATION 2021-O0004) (FEB 2021)

(a) Definition. As used in this clause--

" The U.S. Southern Command (USSOUTHCOM) area of responsibility (AOR)" is as defined in the Foreign Clearance Guide, https://www.fcg.pentagon.mil.

(b) General.

(1) Contract performance in support of U.S. Armed Forces outside the United States may require work in dangerous or austere conditions. Except as otherwise provided in the contract, the Contractor accepts the risks associated with required contract performance in such conditions.

(2) When authorized in accordance with paragraph (j) of this clause to carry arms for personal protection, Contractor personnel are only authorized to use force for individual self-defense.

(3) The applicable agreements and arrangements set forth whether Contractor personnel are subject to host-nation jurisdiction for prosecution or civil liability stemming from inappropriate use of force. Contractor personnel may also be subject to U.S. prosecution and civil liability for inappropriate use of force.

(c) Support.

(1) U.S. citizen and third country national (TCN) Contractor personnel must have in their possession a letter of authorization generated in the Synchronized Predeployment and Operational Tracker (SPOT) and signed by the Contracting Officer in order to travel to, from, or within the USSOUTHCOM AOR. The letter of authorization identifies any additional authorizations, privileges, or Government support to which Contractor personnel are entitled under this contract.

(2) Unless specified elsewhere in this contract, the Contractor is responsible for all other support required for its personnel engaged in the USSOUTHCOM AOR under this contract.

(d) Requirements for travel to, from, or within the USSOUTHCOM AOR. The Contractor shall ensure that the following requirements are met prior to Contractor personnel travel and performance in the USSOUTHCOM AOR and maintained

throughout the duration of the contract. Specific requirements for each category are as outlined in the contract.

(1) All required security and background checks are complete and acceptable (applies to U.S., TCN, and local national (LN) personnel).

(2) The Contractor shall ensure personnel complete annual USSOUTHCOM human rights awareness training identified in SOUTHCOM (SC), SC Regulations 1-20, Human Rights Policy and Procedures, and 51-1, DoD Leahy Law Reporting Procedures, at https://www.southcom.mil/Work-With-Us/Operational-Contract-Support/ , and understand their obligation to respect and protect human rights, and to immediately report all suspected gross violations of human rights, including suspected incidents of trafficking in persons (applies to U.S., TCN, and LN personnel) through the Contracting Officer's Representative (COR) and Contracting Officer.

(3) The Contractor shall collect a DNA record for all U.S. citizen Contractor personnel traveling to or within the USSOUTHCOM AOR and shall have arrangements for storage of the DNA reference specimen through a private facility or arrange for the storage of the specimen through the Armed Forces Repository of Specimen Samples for the Identification of Remains at https://health.mil/Military-Health-Topics/Combat-Support/Armed-Forces-Medical-Examiner-System/DoD-DNA-Registry/Repository-of-Specimen-Samples-for-the-Identification-of-Remains#:~:text=The%20Armed%20Forces%20Repository%20of,retrieval%20for%20human%20remains%20identification. In addition, U.S. citizen Contractor personnel shall comply with the requirements of DoD Instruction (DoDI) 3020.41, Operational Contract Support, Enclosure 3, paragraph 8.b., or its successor.

(4) U.S. citizen Contractor personnel and TCN Contractor personnel traveling to, from, or within the USSOUTHCOM AOR must follow the requirements identified in the Electronic Foreign Clearance Guide available at https://www.fcg.pentagon.mil and must have all necessary passports, visas, and other documents required to enter, exit, or work in the USSOUTHCOM AOR; and must also have the appropriate DoD identity credential(s).

(5) Special area, country, and theater clearance must be obtained for U.S. citizen Contractor personnel and TCN Contractor personnel traveling to, from, or within the USSOUTHCOM AOR. Clearance requirements are in DoD Directive 4500.54E, DoD Foreign Clearance Program, at https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodd/450054E.pdf?ver=2019-02-04-122604-257. For this purpose, U.S. citizen and TCN Contractor personnel are considered non-DoD Contractor personnel traveling under DoD sponsorship.

(6) Provide to all U.S. citizen Contractor personnel and TCN Contractor personnel personal security training. At a minimum, the training shall--

(i) Cover safety and security issues facing employees within the USSOUTHCOM AOR;

(ii) Identify safety and security contingency planning activities; and

(iii) Identify ways to utilize safety and security personnel and other resources appropriately.

(7) All U.S. citizen DoD-sponsored Contractor personnel must comply with current force protection, personnel recovery, and theater entry requirements as provided in DoDI 3020.41; DoDI 3002.03, DoD Personnel Recovery - Reintegration of Recovered Personnel; DoDI O-3002.05, Personnel Recovery (PR) Education and Training; the DoD Foreign Clearance Guide at https://www.fcg.pentagon.mil/; and current USSOUTHCOM guidance prior to travel to the USSOUTHCOM AOR. U.S. citizens who become DoD-sponsored Contractor personnel while already residing in the USSOUTHCOM AOR must also comply with the requirements listed in this paragraph. All U.S. citizen Contractor personnel must complete the following:

(i) Anti-Terrorism Level 1 Training course available at https://jkodirect.jten.mil
(log in and search for the course on the Course Catalog tab via the number or key word, enroll, and launch). Anti-Terrorism Level I training must be completed within 12 months prior to entry into the USSOUTHCOM AOR, and annually thereafter.

(ii) Survival, Evasion, Resistance, and Escape 100.2 course available at https://jkodirect.jten.mil
. The Survival, Evasion, Resistance, and Escape 100.2 course is required to obtain theater entry approval, in accordance with the Personnel Entry Requirements for Official Travel listed in section 3 of the DoD Foreign Clearance Guide.

(iii) The requirements for personnel at high risk of isolation listed in the DoD Foreign Clearance Guide, when Contractor personnel are determined to be at high risk of isolation or exploitation based on their mission (as determined by their COR, Component Personnel Recovery Subject Matter Expert, and/or the USSOUTHCOM Personnel Recovery Branch). In accordance with the DoD Foreign Clearance Guide and USSOUTHCOM theater entry requirements, DoD-sponsored Contractor personnel entering the theater on official business will have a DD Form 1833, Isolated Personnel Report, on file in Personnel Recovery Mission Software. The Isolated Personnel Report will be reviewed within 6 months prior to theater entry and every 6 months while in the AOR.

(i v) For more information or specific questions regarding completion of these requirements, please contact the designated COR. The COR will contact the appropriate Defense Agency or Military Service component for additional guidance.

(e) Personnel data.

(1) The Contractor shall use the SPOT web-based system at https://spot.dmdc.mil , to enter and maintain the data for Contractor personnel in accordance with the current USSOUTHCOM Policy Memorandum 6-19, Synchronized Pre-Deployment and Operational Tracker (SPOT) in the United States Southern Command (USSOUTHCOM) Area of Responsibility (AOR) posted at https://www.southcom.mil/Work-With-Us/Operational-Contract-Support/. The Contractor shall comply with the SPOT Business Rules at https://www.acq.osd.mil/log/PS/spot.html and shall routinely check, at a minimum every 30 days, the SPOT Business Rules for up-to-date information.

(2) The Contractor shall enter the required information about its Contractor personnel prior to deployment and shall continue to use the SPOT web-based system to maintain accurate, up-to-date information throughout the deployment for all Contractor personnel. Changes to the status of individual Contractor personnel relating to their in-theater arrival date and their duty location, including closing out the deployment with their proper status (e.g., mission complete, killed, wounded), shall be annotated within SPOT in accordance with the timelines established in the SPOT Business Rules. The USSOUTHCOM Policy Memorandum 6-19 includes registration requirements of--

(i) U.S. citizen, TCN, and LN Contractor personnel; and

(ii) All Contractor personnel authorized to carry weapons regardless of proximity to U.S. Armed Forces personnel or the length of the period of performance of their contract.

(f) Compliance with laws and regulations.

(1) The Contractor shall comply with, and shall ensure that its personnel performing in the USSOUTHCOM AOR are familiar with and comply with, all applicable--

(i) United States, host country, and third country national laws;

(ii) United States regulations, directives, instructions, policies, and procedures; and

(iii) Orders, directives, and instructions issued by the USSOUTHCOM Commander, or subordinate commanders with operations or activities within the USSOUTHCOM AOR, including those relating to force protection, security, health, safety, environment, or relations and interaction with local nationals.

(2) The Contractor shall notify all personnel who are not a host country national, or who are not ordinarily resident in the host country, that--

(i) Such employees, and dependents residing with such employees, who engage in conduct outside the United States that would constitute an offense punishable by imprisonment for more than one year if the conduct had been engaged in within the special maritime and territorial jurisdiction of the United States, may potentially be subject to the criminal jurisdiction of the United States in accordance with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3261, et seq.);

(ii) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal jurisdiction also extends to conduct that is determined to constitute a war crime when committed by a civilian national of the United States;

(iii) Other laws may provide for prosecution of U.S. nationals who commit offenses on the premises of U.S. diplomatic, consular, military, or other U.S. Government missions outside the United States (e.g., 18 U.S.C. 7(9));

(iv) In time of declared war or a contingency operation, Contractor personnel accompanying the Armed Forces are subject to the jurisdiction of the Uniform Code of Military Justice under 10 U.S.C. 802(a)(10);

(v) Such employees are required to report offenses alleged to have been committed by or against Contractor personnel to appropriate investigative authorities; and

(vi) In appropriate circumstances, such employees will be provided victim and witness protection as necessary.

(g) Medical fitness and insurance.

(1) All Contractor personnel must be medically, dentally, and psychologically fit for performance of their contracted duties for the duration of their contractual duties. In the event a Contractor employee has or develops a disqualifying medical, dental, or psychological condition, or they are unable to perform duties (e.g. sickness or quarantine), the Contractor must report the employee and condition promptly to the Contracting Officer or the COR. If medical, dental, or psychological screening by an accredited healthcare provider is required (or directed by the Contracting Officer) at any time during contract performance to determine fitness for contracted duties, the Contractor will bear the cost of such screenings. The Contractor must also replace any personnel who has or develops a disqualifying medical, dental, or psychological condition at no cost to the Government.

(2) All U.S. citizen and TCN Contractor personnel must meet the medical screening requirements established by the USSOUTHCOM Commander in the SC Regulation 40-501, Medical Suitability Screening Regulation, or its successor (https://www.southcom.mil/Work-With-Us/Operational-Contract-Support/), as well as

the requirements identified in Force Health Protection Guidance for Deployment in the USSOUTHCOM AOR or their successors, and follow immunization and health protection guidelines outlined therein. All immunizations must be obtained prior to traveling to or within the USSOUTHCOM AOR.

(3) U.S. citizen and TCN Contractor personnel traveling from a country outside of the USSOUTHCOM AOR must travel into the USSOUTHCOM AOR country with a copy of the U.S. Centers for Disease Control and Prevention (CDC) Form 731, International Certificate of Vaccination or Prophylaxis as Approved by the World Health Organization, (also known as "shot record" or "Yellow Card") that shows vaccinations are current. The Government will provide, at no cost to the Contractor, any military-specific immunizations and medications not available to the general public as described in SC Regulation 40-501.

(4) When required by their contractual duties (e.g., food service workers), all LN and TCN employees must also comply with mandatory screening and vaccination requirements per SC Regulation 40-501 for the duration of their contractual duties.

(5) All Contractor personnel subject to screening in accordance with the preceding paragraphs, must be re-screened annually for potential Force Health Protection and medical risks pursuant to SC Regulation 40-501 and supplementing Medical Directives.

(6) U.S. citizen and TCN Contractor personnel traveling to or within the USSOUTHCOM AOR are required to be beneficiaries of health care insurance that provides Global Health Coverage with an Emergency Evacuation Rider back to their country of origin or nearest medical center.

(h) Contractor personnel.

(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor personnel who jeopardize or interfere with mission accomplishment, or who violate or fail to comply with applicable requirements of this contract. Such action may be taken at the Government's discretion without prejudice to its rights under any other provision of this contract, including the Termination for Default clause.

(2) The Contractor shall ensure that all personnel follow any specific Combatant Commander guidance on reporting offenses alleged to have been committed by or against Contractor personnel to appropriate investigative authorities.

(3) Contractors working at USSOUTHCOM will comply with common access card (CAC) procedures identified in USOUTHCOM Policy Memorandum 02-10, Contractor Common Access Card Procedures, or its successor (https://www.southcom.mil/Work-With-Us/Operational-Contract-Support/

).
Contractors shall return all U.S. Government-issued identification, to include the CAC, to appropriate U.S. Government authorities at the end of their contractual duties. Any change in Contractor employment status will be recorded in SPOT and reported in accordance with USSOUTHCOM Policy Memorandum 12-12, Contractor Change of Status, or its successor (https://www.southcom.mil/Work-With-Us/Operational-Contract-Support/).

(i) Evacuation.

(1) If the Combatant Commander orders a mandatory evacuation of some or all personnel, the Government will provide assistance, to the extent available, to U.S. citizens and TCN Contractor personnel.

(2) In the event of a non-mandatory evacuation order, unless authorized in writing by the Contracting Officer, the Contractor shall maintain personnel on location sufficient to meet obligations under this contract.

(j) Weapons.

(1) If the Contractor requests that its personnel performing in the designated operational area be authorized to carry weapons for individual self-defense, the request shall be made through the Contracting Officer to the Component Command to the Combatant Commander, in accordance with DoDI 3020.41. The Combatant Commander will determine whether to authorize in-theater Contractor personnel to carry weapons and which weapons and ammunition will be allowed.

(2) If Contractor personnel are authorized to carry weapons, after the Contracting Officer coordinates with the USSOUTHCOM J341 Protection Branch to

ensure that all training and qualification standards, as well as weapons, ammunition, and equipment storage and protection standards are understood, then, the Contracting Officer will notify the Contractor which weapons and ammunition are authorized. The Contractor shall enter weapons into SPOT in accordance with SPOT Business Rules (https://www.acq.osd.mil/log/PS/spot.html).

(3) The Contractor shall ensure that any personnel authorized to carry weapons meet all DoDI 3020.50, Private Security Contractors Operating in Contingency Operations, Humanitarian or Peace Operations, or Other Military Operations or Exercises, requirements regardless of private security contractor status.

(k) Personnel Recovery. DoD Directive 3002.01, Personnel Recovery in the Department of Defense, prescribes policy for when, in the case of isolated, missing, detained, captured, or abducted Contractor personnel, the Government will assist in personnel recovery actions.

(l) Mortuary affairs. Contractor personnel who die while in support of the U.S. Armed Forces shall be covered by the DoD mortuary affairs program as described in DoD Directive 1300.22, Mortuary Affairs Policy, DoD Instruction 3020.41, and SC Regulation 0638-2, Mortuary Affairs Program (https://www.southcom.mil/Work-With-Us/Operational-Contract-Support/).

(m) Next of kin notification, illness, injury, and disqualifying medical condition reporting.

(1) The Contractor shall be responsible for notification of the employee-designated next of kin in the event an employee dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.

(2) The following conditions require the Contractor to notify the Contracting Officer for USSOUTHCOM notification and perform complete reporting within SPOT:

(i) Casualty or death.

(ii) Illness or injury that requires medical attention, and may or may not require hospitalization, but renders the employee unable to complete their contractual duties (see DoDI 1300.18).

(iii) Disqualifying medical conditions identified in SC Regulation 40-501, or USSOUTHCOM Force Health Protection Standards, or other applicable USSOUTHCOM Guidance.

(n) Subcontracts. The Contractor shall incorporate the substance of this clause, including this paragraph (n), in all subcontracts.

(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
D
ARS Tracking Number: 2021-O0003

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION

COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation-Prohibition Against Using Fiscal Year 2021 Funds to Maintain or Establish a Computer Network Unless Designed to Block Access to Certain Websites

Effective immediately, none of the funds appropriated or otherwise made available by the Consolidated Appropriations Act, 2021 (Pub. L. 116-260), or any other Act that extends to fiscal year 2021 funds the same prohibitions as contained in section 8116, division C, title VIII, of Public Law 116-260, may be used to enter into a contract to maintain or establish a computer network unless such network is designed to block access to pornography websites. These prohibitions apply to all fiscal year 2021 DoD funds appropriated by Public Law 116-260, excluding those funds necessary for any Federal, State, tribal, or local law enforcement agency or any other entity carrying out criminal investigations, prosecution, or adjudication activities, or for any activity necessary for the national defense, including intelligence activities.

This class deviation partially implements section 8116, division C, title VIII, of Public Law 116-260, by requiring offerors to represent, by submission of their offer, that they are not providing as part of their offer a proposal to maintain or establish a computer network unless such network is designed to block access to pornography websites.

When using funds made available by Public Law 116-260, or any other Act that extends to fiscal year 2021 funds the same prohibitions as contained in section 8116, division C, title VIII, of Public Law 116-260, contracting officers shall include the attached provision at 252.239-7098, Prohibition on Contracting to Maintain or Establish a Computer Network Unless Such Network is Designed to Block Access to Certain Websites--Representation (DEVIATION 2021-O0003) (APRIL 2021), in all solicitations, including solicitations for the acquisition of commercial items under FAR part 12.

This class deviation remains in effect until incorporated in the DFARS or otherwise rescinded. My point of contact is Lt Col Bryan Lamb, who may be reached at 703-693-0497, or bryan.d.lamb.mil@mail.mil.
John M. Tenaglia
Principal Director,
Defense Pricing and Contracting
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Attachment 1
Class Deviation 2021-O0003
Prohibition Against Using Fiscal Year 2021 Funds to Maintain or Establish a Computer Network Unless Designed to Block Access to Certain Websites

252.239-7098 Prohibition on Contracting to Maintain or Establish a Computer Network Unless Such Network is Designed to Block Access to Certain Websites-- Representation.

Include the following provision in all solicitations, including solicitations for the acquisition of commercial items under FAR part 12, that will use funds made available by the Consolidated Appropriations Act, 2021 (Pub. L. 116-260), or any other Act that extends to fiscal year 2021 funds the same prohibitions as contained in section 8116, division C, title VIII, of the Consolidated Appropriations Act, 2021 (Pub. L. 116-260).

PROHIBITION ON CONTRACTING TO MAINTAIN OR ESTABLISH A COMPUTER NETWORK UNLESS SUCH NETWORK IS DESIGNED TO BLOCK ACCESS TO CERTAIN WEBSITES-- REPRESENTATION (DEVIATION 2021-O0003) (APRIL 2021)

(a) In accordance with section 8116 of Division C of the Consolidated Appropriations Act, 2021 (Pub. L. 116-260), or any other Act that extends to fiscal year 2021 funds the same prohibitions, none of the funds appropriated (or otherwise made available) by this or any other Act for DoD may be used to enter into a contract to maintain or establish a computer network unless such network is designed to block access to pornography websites. This prohibition does not limit the use of funds necessary for any Federal, State, tribal, or local law enforcement agency or any other entity carrying out criminal investigations, prosecution, or adjudication activities, or for any activity necessary for the national defense, including intelligence activities.

(b) Representation. By submission of its offer, the Offeror represents that it is not providing as part of its offer a proposal to maintain or establish a computer network unless such network is designed to block access to pornography websites.

(End of provision)

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
D
ARS Tracking Number: 2021-O0001 Rescission

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Rescission of Class Deviation--Combating Race and Sex Stereotyping

This memorandum rescinds Class Deviation 2021- O0001, Combating Race and Sex Stereotyping, and its Revision 1. Effective immediately, contracting officers shall:

* Remove the clause 252.222-7999 (DEVIATION 2021-O0001) (JAN 2021), and the clause 252.222-7999 (DEVIATION 2021-O0001) (NOV 2020), from existing contracts, so that neither clause remains in contracts.

* Ensure that existing solicitations do not contain either the clause 252.222-7999 (DEVIATION 2021-O0001) (JAN 2021) or the clause 252.222-7999 (DEVIATION 2021-O0001) (NOV 2020); and

* Ensure that new solicitations do not contain either the clause 252.222-7999 (DEVIATION 2021-O0001) (JAN 2021) or the clause 252.222-7999 (DEVIATION 2021-O0001) (NOV 2020).

Executive Order 13985, Advancing Racial Equity and Support for Underserved Communities Through the Federal Government, revoked Executive Order 13950, Combating Race and Sex Stereotyping, on January 20, 2021.

My point of contact is Mr. Michael Pelkey, who is available by telephone at (703) 614-1253 or by email at michael.f.pelkey.civ@mail.mil.
John M. Tenaglia
Principal Director,
Defense Pricing and Contracting
TENAGLIA.JOHN
.M.1154945926

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OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2020-O0016
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS, DEFENSE AGENCIES
DIRECTORS, DEFENSE FIELD ACTIVITIES
SUBJECT: Class Deviation--Original Documents, Signatures, Seals, and Notarization
Effective immediately, to respond to the Coronavirus Disease 2019 (COVID-19) national emergency, contracting officers shall utilize the deviations from the Federal Acquisition Regulation (FAR) and the Defense Federal Acquisition Regulation Supplement (DFARS) authorized in attachments 1 and 2, respectively, to provide flexibility with regard to original documents, manual signatures, seals, and notarization in order to facilitate certain essential contracting procedures.
Specifically, when obtaining financial protection against losses under contracts per FAR part 28--
? Electronic signatures and electronic, mechanically-applied, or printed dates may be used and shall be considered original signatures and dates, without regard to the order in which they are affixed for all of part 28, not just 28.101-3;
? A corporate seal is not required on any form listed at FAR 28.106-1;
? The signed statement by the contractor that payment is due and owed referenced at FAR 28.106-8 is not required to be notarized;
? The Standard Form 28 executed by the individual surety pursuant to FAR 28.203(b) is not required to be sworn and notarized as indicated on the form;
? A written authorization of the release signed by the surety is acceptable, in lieu of the notarized authorization of release by the surety required by FAR 28.203-5(a); and
? Use the following deviation clauses, in lieu of the corresponding FAR clauses:
? 52.228-11, Pledges of Assets (DEVIATION 2020-O0016), which removes the requirement for the Standard Form 28 to be sworn and notarized.

Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization

? 52.228-15, Performance and Payment Bonds--Construction (DEVIATION 2020-O0016), which removes the requirements for seals on Standard Forms.
? 52.228-16, Performance and Payment Bonds--Other than Construction (DEVIATION 2020-O0016), which removes requirements for seals on Standard Forms.

When processing assignment of claims per FAR subpart 32.8 --
x A copy of the assignment instrument is acceptable, in lieu of a true copy of the assignment instrument as required by FAR 32.802(e); and
x Electronic signatures by responsible parties and electronic filing of assignment instruments and notices of assignments as outlined in attachments 1 and 2 are acceptable, in lieu of the requirements at FAR 32.805 and DFARS 232.805.

When executing novation agreements and change-of-name agreements per FAR part 42--
x Copies of the documents listed at FAR 42.1204(f) are acceptable in lieu of authenticated or certified copies; and
x Novation Agreements as described at FAR 42.1204(i) and Change-of-Name Agreements as described at FAR 42.1205(b) do not require corporate seals.

This class deviation remains in effect until rescinded. My point of contact is Larry McLaury, who is available by telephone at 703-697-6710 or by email at Larry.j.mclaury2.civ@mail.mil.

Kim Herrington
Acting Principal Director,
Defense Pricing and Contracting
Attachments:
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Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

FEDERAL ACQUISITION REGULATION

PART 28--BONDS AND INSURANCE

* * * * *

28.002 Policy. (DEVIATION 2020-O0016)
For purposes of this part, electronic signatures and electronic, mechanically-applied, or printed dates may be used and shall be considered original signatures and dates, without regard to the order in which they were affixed.

SUBPART 28.1--BONDS AND OTHER FINANCIAL PROTECTIONS

* * * * *

28.106 Administration.

28.106-1 Bonds and bond-related forms. (DEVIATION 2020-O0016)
The following Standard Forms (SF's) and Optional Forms (OF's), shall be used, except in foreign countries, when a bid bond, performance or payment bond, or an individual surety is required. The bond forms shall be used as indicated in the instruction portion of each form, except that a seal is not required. For SF 28 also see 28.203(b).

* * * * *

28.106-8 Payment to subcontractors or suppliers. (DEVIATION 2020-O0016)
The contracting officer will only authorize payment to subcontractors or suppliers from an ILC (or any other cash equivalent security) upon a judicial determination of the rights of the parties, a signed statement by the contractor that the payment is due and owed, or a signed agreement between the parties as to amount due and owed.

* * * * *

SUBPART 28.2 - SURETIES AND OTHER SECURITY FOR BONDS

* * * * *

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

28.203 Acceptability of individual sureties. (DEVIATION 2020-O0016)

* * * * *

(b) An individual surety must execute the bond, and the unencumbered value of the assets (exclusive of all outstanding pledges for other bond obligations) pledged by the individual surety, must equal or exceed the penal amount of each bond. The individual surety shall provide a security interest in accordance with 28.203-1 and execute the Standard Form 28, except that the words "being duly sworn, depose and say" on the Standard Form 28 are replaced with the word "affirm" and such Standard Form 28 is not required to be sworn and notarized. One individual surety is adequate support for a bond, provided the unencumbered value of the assets pledged by that individual surety equal or exceed the amount of the bond. An offeror may submit up to three individual sureties for each bond, in which case the pledged assets, when combined, must equal or exceed the penal amount of the bond. Each individual must accept both joint and several liability to the extent of the penal amount of the bond.

* * * * *

28.203-5 Release of lien. (DEVIATION 2020-O0016)

(a) After consultation with legal counsel, the contracting officer shall release the security interest on the individual surety's assets using the Optional Form 90, Release of Lien on Real Property, or Optional Form 91, Release of Personal Property from Escrow, or a similar release as soon as possible consistent with the conditions in subparagraphs (a)(1) and (2) of this subsection. A surety's assets pledged in support of a payment bond may be released to a subcontractor or supplier upon Government receipt of a Federal district court judgment, or a sworn statement by the subcontractor or supplier that the claim is correct along with a written authorization of the release signed by the surety saying that it approves of such release.

* * * * *

PART 32 - CONTRACT FINANCING

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

* * * * *

SUBPART 32.8 - ASSIGNMENT OF CLAIMS

* * * * *

32.802 Conditions. (DEVIATION 2020-O0016)

* * * * *

(e) The assignee sends a written notice of assignment together with a copy of the assignment instrument to the--

(1) Contracting officer or the agency head;

(2) Surety on any bond applicable to the contract; and

(3) Disbursing officer designated in the contract to make payment.

* * * * *

32.805 Procedure. (DEVIATION 2020-O0016)

(a) Assignments.

(1) Assignments by corporations shall be-

(i) Signed by an authorized representative;

(ii) Signed by the secretary or the assistant secretary of the corporation; and

(iii) Accompanied by a copy of the resolution of the corporation's board of directors authorizing the signing representative to sign the assignment.

* * * * *

(3) Assignments by an individual shall be signed by that individual.

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

(b) Filing. The assignee shall forward by email or other

electronic means the notice of assignment and a copy of the instrument of assignment to each party specified in 32.802(e). See DFARS 232.805 (DEVIATION 2020-O0016).

(c) Format for notice of assignment. The following is a suggested format for use by an assignee in providing the notice of assignment required by 32.802(e).

Notice of Assignment

To: _____ [Name, address and email address for one of the parties specified in 32.802(e)].

This has reference to Contract No. _____ dated _____, entered into between _____ [Contractor's name and address] and _____ [Government agency, name of office, and address], for _____ [Describe nature of the contract].

Monies due or to become due under the contract described above have been assigned to the undersigned under the provisions of the Assignment of Claims Act of1940, as amended, (31 U.S.C. 3727, 41 U.S.C.6305).

A copy of the instrument of assignment executed by the Contractor on _____ [Date], is attached to this notice.

Payments due or to become due under this contract should be made to the undersigned assignee.

Please acknowledge receipt on behalf of the addressee by return email or other electronic means to the undersigned.

Very truly yours,

_____ [Name of Assignee]

By _____ [Signature of Signing Officer]

_____ [Title of Signing Officer]

_____ [Address of Assignee]

_____ [Email Address of Assignee]

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

* * * * *

(e) Release of assignment.

* * * * *

(2) The assignee, under a further assignment or reassignment, in order to establish a right to receive payment from the Government, must send to the addressees listed in 32.802(e) a-

(i) Written notice of release of the contractor by the assigning financing institution;

(ii) Copy of the release instrument;

(iii) Written notice of the further assignment or reassignment; and

(iv) Copy of the further assignment or reassignment instrument.

(3) If the assignee releases the contractor from an assignment of claims under a contract, the contractor, in order to establish a right to receive payment of the balance due under the contract, must send a written notice of release together with a copy of the release of assignment instrument to the addressees noted in 32.802(e).

* * * * *

PART 42--CONTRACT ADMINISTRATION AND AUDIT SERVICES

* * * * *

SUBPART 42.12--NOVATION AND CHANGE-OF-NAME AGREEMENTS

* * * * *

42.1204 Applicability of novation agreements. (DEVIATION 2020-O0016)

* * * * *

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

(f) Except as provided in paragraph (g) of this section, the

contractor shall submit to the responsible contracting officer one copy of each of the following documents, as applicable, as the documents become available:

(1) A copy of the instrument effecting the transfer of assets; e.g., bill of sale, certificate of merger, contract, deed, agreement, or court decree.

(2) A copy of each resolution of the corporate parties' boards of directors authorizing the transfer of assets.

(3) A copy of the minutes of each corporate party's stockholder meeting necessary to approve the transfer of assets.

(4) A copy of the transferee's certificate and articles of incorporation, if a corporation was formed for the purpose of receiving the assets involved in performing the Government contracts.

* * * * *

(i) The responsible contracting officer shall use the following format for agreements when the transferor and transferee are corporations and all the transferor's assets are transferred. This format may be adapted to fit specific cases and may be used as a guide in preparing similar agreements for other situations.

NOVATION AGREEMENT

* * * * *

(b) * * *

(9) The contracts shall remain in full force and effect, except as modified by this Agreement. Each party has executed this Agreement as of the day and year first above written.

UNITED STATES OF AMERICA,

By _____
Title _____

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

ABC Corporation,

By _____
Title _____

XYZ Corporation,
By _____
Title _____

CERTIFICATE

I, _____, certify that I am the Secretary of ABC Corporation, that _____, who signed this Agreement for this corporation, was then _____ of this corporation; and that this Agreement was duly signed for and on behalf of this corporation by authority of its governing body and within the scope of its corporate powers.

Witness my hand this day of _____ 20 ___.
By _____

CERTIFICATE

I, _____, certify that I am the Secretary of XYZ Corporation, that _____, who signed this Agreement for this corporation, was then _____ of this corporation; and that this Agreement was duly signed for and on behalf of this corporation by authority of its governing body and within the scope of its corporate powers.

Witness my hand this day of _____20___.
By _____

* * * * *

42.1205 Agreement to recognize contractor's change of name.
(DEVIATION 2020-O0016)

* * * * *

(b) * * *
CHANGE-OF-NAME AGREEMENT
* * * * *

(b) In consideration of these facts, the parties agree that-

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

(1) The contracts covered by this Agreement are amended by substituting the name "ABC Corporation" for the name "XYZ Corporation" wherever it appears in the contracts; and

(2) Each party has executed this Agreement as of the day and year first above written.

UNITED STATES OF AMERICA,

By _____
Title _____

ABC CORPORATION,

By _____
Title _____

CERTIFICATE

I, _____, certify that I am the Secretary of ABC Corporation; that _____, who signed this Agreement for this corporation, was then _____ of this corporation; and that this Agreement was duly signed for and on behalf of this corporation by authority of its governing body and within the scope of its corporate powers.

Witness my hand this _____ day of _____ 20___.
By _____

* * * * *

PART 52 - SOLICITATION PROVISIONS AND CONTRACT CLAUSES

* * * * *

52.228-11 Pledges of Assets. (DEVIATION 2020-O0016)
As prescribed in 28.203-6, insert the following clause:

PLEDGES OF ASSETS (APR 2020)(DEVIATION 2020-O0016)

(a) Offerors shall obtain from each person acting as an individual surety on a bid guarantee, a performance bond, or a payment bond--

(1) Pledge of assets; and

(2) Standard Form 28, Affidavit of Individual Surety, except that the words "being duly sworn, depose and say" on the Standard Form 28 are replaced with the word "affirm" and the Standard Form 28 is not required to be sworn and notarized in block 12.

(b) Pledges of assets from each person acting as an individual surety shall be in the form of--

(1) Evidence of an escrow account containing cash, certificates of deposit, commercial or Government securities, or other assets described in FAR 28.203-2 (except see 28.203-2(b)(2) with respect to Government securities held in book entry form); and/or

(2) A recorded lien on real estate. The offeror will be required to provide--

(i) A mortgagee title insurance policy, in an insurance amount equal to the amount of the lien, or other evidence of title that is consistent with the requirements of Section 2 of the United States Department of Justice Title Standards at https://www.justice.gov/enrd/page/file/922431/download. This title evidence must show fee simple title vested in the surety along with any concurrent owners; whether any real estate taxes are due and payable; and any recorded encumbrances against the property, including the lien filed in favor of the Government as required by FAR 28.203-3(d);

(ii) Evidence of the amount due under any encumbrance shown in the evidence of title;

(iii) A copy of the current real estate tax assessment of the property or a current appraisal dated no earlier than 6 months prior to the date of the bond, prepared by a professional appraiser who certifies that the appraisal has been conducted in accordance with the generally accepted appraisal standards as reflected in the Uniform Standards of Professional Appraisal Practice, as promulgated by the Appraisal Foundation.

(End of clause)

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

52.228-15 Performance and Payment Bonds-Construction.
As prescribed in 28.102-3(a), insert a clause substantially as follows:

PERFORMANCE AND PAYMENT BONDS-CONSTRUCTION (APR 2020)
(DEVIATION 2020-O0016)

(a) Definitions. As used in this clause--

Original contract price means the award price of the contract; or, for requirements contracts, the price payable for the estimated total quantity; or, for indefinite-quantity contracts, the price payable for the specified minimum quantity. Original contract price does not include the price of any options, except those options exercised at the time of contract award.

(b) Amount of required bonds. Unless the resulting contract price is $150,000 or less, the successful offeror shall furnish performance and payment bonds to the Contracting Officer as follows:

(1) Performance bonds (Standard Form 25, except that no seal is required). The penal amount of performance bonds at the time of contract award shall be 100 percent of the original contract price.

(2) Payment bonds (Standard Form 25A, except that no seal is required). The penal amount of payment bonds at the time of contract award shall be 100 percent of the original contract price.

(3) Additional bond protection.

(i) The Government may require additional performance and payment bond protection if the contract price is increased. The increase in protection generally will equal 100 percent of the increase in contract price.

(ii) The Government may secure the additional protection by directing the Contractor to increase the penal amount of the existing bond or to obtain an additional bond.

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

(c) Furnishing executed bonds. The Contractor shall furnish all executed bonds, including any necessary reinsurance agreements, to the Contracting Officer, within the time period specified in the Bid Guarantee provision of the solicitation, or otherwise specified by the Contracting Officer, but in any event, before starting work.

(d) Surety or other security for bonds. The bonds shall be in the form of firm commitment, supported by corporate sureties whose names appear on the list contained in Treasury Department Circular 570, individual sureties, or by other acceptable security such as postal money order, certified check, cashier's check, irrevocable letter of credit, or, in accordance with Treasury Department regulations, certain bonds or notes of the United States. Treasury Circular 570 is published in the Federal Register or may be obtained from the U.S. Department of the Treasury, Financial Management Service, Surety Bond Branch, 3700 East West Highway, Room 6F01, Hyattsville, MD 20782. Or via the internet at http://www.fms.treas.gov/c570/.

(e) Notice of subcontractor waiver of protection (40 U.S.C. 3133(c)). Any waiver of the right to sue on the payment bond is void unless it is in writing, signed by the person whose right is waived, and executed after such person has first furnished labor or material for use in the performance of the contract.

(End of clause)

* * * * *

52.228-16 Performance and Payment Bonds-Other Than Construction.
As prescribed in 28.103-4, insert a clause substantially as follows:

PERFORMANCE AND PAYMENT BONDS-OTHER THAN CONSTRUCTION (APR 2020)
(DEVIATION 2020-O0016
(a) Definitions. As used in this clause--

Original contract price means the award price of the contract or, for requirements contracts, the price payable for the estimated quantity; or, for indefinite-quantity contracts, the price payable for the specified minimum quantity. Original contract price does not include the price of any options, except those options exercised at the time of contract award.

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

(b) The Contractor shall furnish a performance bond (Standard Form 1418), except that a seal is not required) for the protection of the Government in an amount equal to _____ percent of the original contract price and a payment bond Standard Form 1416, except that s seal is not required) in an amount equal to _____ percent of the original contract price.

(c) The Contractor shall furnish all executed bonds, including any necessary reinsurance agreements, to the Contracting Officer, within __ days, but in any event, before starting work.

(d) The Government may require additional performance and payment bond protection if the contract price is increased. The Government may secure the additional protection by directing the Contractor to increase the penal amount of the existing bonds or to obtain additional bonds.

(e) The bonds shall be in the form of firm commitment, supported by corporate sureties whose names appear on the list contained in Treasury Department Circular 570, individual sureties, or by other acceptable security such as postal money order, certified check, cashier's check, irrevocable letter of credit, or, in accordance with Treasury Department regulations, certain bonds or notes of the United States. Treasury Circular 570 is published in the Federal Register, or may be obtained from the U.S. Department of the Treasury, Financial Management Service, Surety Bond Branch, 3700 East West Highway, Room 6F01, Hyattsville, MD 20782. Or via the internet at http://www.fms.treas.gov/c570/.

(End of clause)

Alternate I (APR 2020) (2020-O0016). As prescribed in 28.103-4 , substitute the following paragraphs (b) and (d) for paragraphs (b) and (d) of the basic clause:

(b) The Contractor shall furnish a performance bond (Standard Form 1418, except that a seal is not required) for the protection of the Government in an amount equal to _____ percent of the original contract price.

Attachment 1
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

(d) The Government may require additional performance bond protection if the contract price is increased. The Government may secure the additional protection by directing the Contractor to increase the penal amount of the existing bond or to obtain an additional bond.

Attachment 2
Class Deviation 2020-O0016
Original Documents, Signatures, Seals, and Notarization
Changes to the text are indicated by a change bar in the right-hand margin.

DEFENSE FEDERAL ACQUISITION REGULATION SUPPLEMENT

PART 232--ASSIGNMENT OF CLAIMS

* * * * *

SUBPART 232.8--ASSIGNMENT OF CLAIMS

* * * * *

232.805 Procedure. (DEVIATION 2020-O0016)

(b) The assignee shall forward by email or other electronic means, the notice of assignment and a copy of the instrument of assignment--

(i) To the administrative contracting officer (ACO). The ACO shall acknowledge receipt by signing and dating the notice of assignment and shall--

(A) File the copy of the instrument of assignment and signed and dated notice in the contract file;

(B) Forward a copy of the signed and dated notice to the disbursing officer of the payment office cited in the contract;

(C) Return a copy of the signed and dated notice to the assignee; and

(D) Advise the contracting officer of the assignment;

(ii) To the surety or sureties, if any. The surety shall acknowledge receipt by signing and dating the notice of assignment and shall return a copy of the signed and dated notice to the assignee, who shall forward a copy to the disbursing officer designated in the contract.

(iii) To the disbursing officer of the payment office cited in the contract. The disbursing officer shall acknowledge receipt by signing and dating the notice of assignment and return to the assignee the copy of the signed and dated notice and shall file the copy of the instrument and original notice.

* * * * *

O
FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2020-O0015
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS, DEFENSE AGENCIES
DIRECTORS, DEFENSE FIELD ACTIVITIES
SU
BJECT: Class Deviation--Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems
E
ffective immediately, unless an exception applies or a waiver is granted, contracting officers shall not enter into or renew a contract for the procurement of--
* An unmanned aircraft system (UAS), or any related services or equipment, that--
o Is manufactured in the People's Republic of China or by an entity domiciled in the People's Republic of China;
o Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in the People's Republic of China or by an entity domiciled in the People's Republic of China;
o Uses a ground control system or operating software developed in the People's Republic of China or by an entity domiciled in the People's Republic of China; or
o Uses network connectivity or data storage located in, or administered by an entity domiciled in, the People's Republic of China; or
* A system for the detection or identification of a UAS, or any related services or equipment, that is manufactured--
o In the People's Republic of China; or
o By an entity domiciled in the People's Republic of China.

DARS Tracking Number: 2020-O0015

This prohibition does not apply to procurements for the purposes of: counter-UAS surrogate testing and training; or intelligence, electronic warfare, and information warfare operations, testing, analysis, and training.

Contracting officers shall use the solicitation provision provided in Attachment 1 and the contract clause provided in Attachment 2, as prescribed in the attachments.

This class deviation implements the procurement prohibition under section 848 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92). Pursuant to section 848, the Secretary of Defense may waive the prohibition on a case-by-case basis by certifying in writing to the congressional defense committees that the procurement is required in the national interest of the United States. If a waiver has been granted for a specific acquisition in accordance with section 848, the contracting officer shall obtain a copy of the waiver from the requiring activity or program manager prior to making the award. A copy of the approved waiver shall be included in the contract file.

This class deviation remains in effect until it is incorporated in the Defense Federal Acquisition Regulation Supplement or otherwise rescinded. My point of contact is Mr. Jeff Grover, who is available at (703) 697-9352 or jeffrey.c.grover.civ@mail.mil.

Kim Herrington
Acting Principal Director,
Defense Pricing and Contracting

Attachment 1
Class Deviation 2020-O0015
Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems

252.225-7973 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems--Representation. (DEVIATION 2020- O0015)

Use the following provision in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial items, unless--

(a) The acquisition is for--

(1) Counter-unmanned aircraft system surrogate testing and training; or

(2) Intelligence, electronic warfare, and information warfare operations, texting, analysis, and training; or

(b) A waiver has been granted by the Secretary of Defense in accordance with section 848 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92).

PROHIBITION ON THE PROCUREMENT OF FOREIGN-MADE UNMANNED AIRCRAFT SYSTEMS--REP RESENTATION (MAY 2020) (DEVIATION 2020-O0015)

(a) Prohibition. Section 848 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92) prohibits DoD from using or procuring--

(1) An unmanned aircraft system (UAS), or any related services or equipment, that--

(i) Is manufactured in the People's Republic of China or by an entity domiciled in the People's Republic of China;

(ii) Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in the People's Republic of China or by an entity domiciled in the People's Republic of China;

(iii) Uses a ground control system or operating software developed in the People's Republic of China or by an entity domiciled in the People's Republic of China; or

(iv) Uses network connectivity or data storage located in, or administered by an entity domiciled in, the People's Republic of China; or

(2) A system for the detection or identification of a UAS, or any related services or equipment, that is manufactured--

(i) In the People's Republic of China; or

(ii) By an entity domiciled in the People's Republic of China.

(b) Representations. By submission of its offer, the Offeror represents that it will not provide or use--

(1) A UAS, as described in paragraph (a)(1) of this provision, in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation; and

(2) A system for the detection or identification of a UAS, as described in paragraph (a)(2) of this provision, in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation.

(End of provision)

Attachment 2
Class Deviation 2020-O0015
Prohibition on Procurement of Foreign-Made Unmanned Aircraft Systems

252.225-7972 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems. (DEVIATION 2020-O0015)

Use the following clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial items, unless--

(a) The acquisition is for--

(1) Counter-unmanned aircraft system surrogate testing and training; or

(2) Intelligence, electronic warfare, and information warfare operations, texting, analysis, and training; or

(b) A waiver has been granted by the Secretary of Defense in accordance with section 848 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92).

PROHIBITION ON THE PROCUREMENT OF FOREIGN-MADE UNMANNED AIRCRAFT SYSTEMS (MAY 2020)
(DEVIATION 2020-O0015)

(a) Prohibition. In accordance with section 848 of the National Defense Authorization Act for Fiscal Year 2020, the Contractor shall not provide or use in the performance of this contract--

(1) An unmanned aircraft system (UAS), or any related services or equipment, that--

(i) Is manufactured in the People's Republic of China or by an entity domiciled in the People's Republic of China;

(ii) Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in the People's Republic of China or by an entity domiciled in the People's Republic of China;

(iii) Uses a ground control system or operating software developed in the People's Republic of China or by an entity domiciled in the People's Republic of China; or

(iv) Uses network connectivity or data storage located in, or administered by an entity domiciled in, the People's Republic of China; or

(2) A system for the detection or identification of a UAS, or any related

services or equipment, that is manufactured--

(i) In the People's Republic of China; or

(ii) By an entity domiciled in the People's Republic of China.

(b) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (b), in all subcontracts or other contractual instruments, including subcontracts for the acquisition of commercial items.

(End of clause)

OFFICE OF THE UNDER SECRETARY OF DEFE
NSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2020-O0014
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS, DEFENSE AGENCIES
DIRECTORS, DEFENSE FIELD ACTIVITIES
SUBJECT: Class Deviation 2020-O0014--Flexib
ilities for Electronic Delivery of Information
Related to Suspensions and Debarments
Effective immediately, in response to the Novel Coronavirus Disease 2019 (COVID-19) outbreak, debarring and suspending officials may deviate from the requirements at Federal Acquisition Regulation (FAR) 9.406-3(c) and (e) and 9.407-3(c) and (d)(4) to provide notices of proposed debarment or suspension and debarring and suspension official decisions to contractors via certified mail, return receipt requested. In addition to these forms of notification, debarring and suspending officials are also authorized to provide such notices and decisions to contractors electronically via e-mail and/or secure file exchange service.

Initial notices of suspension or proposed debarment sent via email shall make available copies of the record which formed the basis for the decision, as required by Defense Federal Acquisition Regulation Supplement (DFARS) Appendix H-101. In addition, as a deviation to the above provisions of the FAR, suspending and debarring officials shall include instructions for a contractor to present matters in opposition or evidence relevant to the facts, as authorized by DFARS Appendix H-103 and H-104, either in writing via mail or email or in person or through a representative and, as deemed appropriate by the suspending and debarring official, via telephone or video-teleconference.

This class deviation remains in effect until rescinded. My point of contact is Mr. Jeff Grover, who is available at 703-697-9352 or jeffrey.c.grover.civ@mail.mil.

Kim Herrington
Acting Principal Director,
Defense Pricing and Contracting
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719313
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HERRINGTON.KIM.1507719313
Date: 2020.04.20 17:41:20 -04'00'

OFF
ICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2020-O0013, Revision 4

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS, DEFENSE AGENCIES
DIRECTORS, DEFENSE FIELD ACTIVITIES

SUBJECT: Class Deviation--C ARES Act Section 3610 Implementation

Effective immediately, this class deviation revises and supersedes Class Deviation 2020-O0013 Revision 3 issued on January 13, 2021. The purpose of this revision is to extend the date through which paid leave may be taken to be eligible for reimbursement under section 3610, pursuant to section 4015 of the American Rescue Plan Act of 2021 (Pub. L. 117-2), enacted on March 11, 2021. Where appropriate, the time period for which paid leave must be taken is changed from March 27, 2020, through March 31, 2021, to March 27, 2020, through September 30, 2021.

Pursuant to FAR 31.101, Objectives, this class deviation to FAR 31 and DFARS 231 is effective immediately and authorizes contracting officers to use the attached DFARS 231.205-79, CARES Act Section 3610 Implementation, as a framework for implementation of section

3610, Federal Contractor Authority, of the Coronavirus Aid, Relief, and Economic Security (CARES) Act (Pub. L. 116-136).
The CARES Act was enacted on March 27, 2020, in response to the Coronavirus Disease 2019 (COVID-19) national emergency. Section 3610 of the CARES Act allows agencies to reimburse, at the minimum applicable contract billing rates (not to exceed an average of 40 hours per week), any paid leave, including sick leave, a cont ractor provides to keep its employees or subcontractors in a ready state from March 27, 2020, through September 30, 2021, including to pr
otect the life and safety of Government and contractor personnel, during the publi c health emergency declared for COVID-19 on January 31, 2020.
As expressed in the OUSD(A&S) Defense Pricing and Contracting Memorandum, Managing Defense Contracts Impacts of the Novel Coronavirus, dated March 30, 2020, it is important that our military, civilian, and contractor communities work together to withstand the

effects of COVID-19 and maintain mission readiness. Currently, many Department of Defense (DoD) contractors are struggling to maintain a mission-ready workforce due to work site closures, personnel quarantines, and state and local restrictions on movement related to the COVID-19 pandemic that cannot be resolved through remote work. It is imperative that we support affected contractors, using the acquisition tools available to us, to ensure that, together, we remain a healthy, resilient, and responsive total force.

It is also important that our contracting officers are good stewards of taxpayer funds while supporting contractor resiliency. Therefore, contracting officers shall use the attached DFARS 231.205-79, CARES Act Section 3610--Implementation, when implementing section 3610, to appropriately balance flexibilities and limitations.

Some contractors may receive compensation from other provisions of the CARES Act, or other COVID-19 relief scenarios, including tax credits, and contracting officers must avoid duplication of payments. For example, the Paycheck Protection Program (PPP) established pursuant to sections 1102 and 1106 of the CARES Act may provide, in some cases, a direct means for a small business to obtain relief. A small business contractor that is sheltering-in-place and unable to telework could use the PPP to pay its employees and then have the PPP loan forgiven, pursuant to the criteria established in the interim rule published by the Small Business Administration. In such a case, the small business should not seek reimbursement for the payment from DoD using the provisions of section 3610.

Contractors are responsible for supporting any claimed costs, including claimed leave costs for their employees, with appropriate documentation and for identifying credits that may reduce reimbursement under section 3610. Contracting officers are encouraged to work with contractors to understand how they are using or plan to use the COVID-19 relief provisions and encourage contractors to use existing contract terms or the relief provisions available to them in response to COVID-19. In addition, it is important that contracting officers secure representations from contractors regarding any other relief claimed or received stemming from COVID-19, including an affirmation that the contractor has not or will not pursue reimbursement for the same costs accounted for under their request, to support their requests for reimbursement under section 3610.

When implementing section 3610, contracting officers shall consider the immediacy of the specific circumstances of the contractor involved and respond accordingly. The survival of many of the businesses the CARES Act is designed to assist may depend on this efficiency. For example, the impact of COVID-19 on a contractor providing labor services will differ from the impact on a contractor that develops information systems. Some contractors may be unable to conduct any business during the COVID-19 pandemic. As a result, such contractors would generate no new revenue, and may have difficulties making payroll, retaining employees, and meeting other financial obligations. In contrast, other contractors may still have incoming revenue, and be able to conduct work remotely. While impacts will certainly be experienced by many contractors, some will have a more immediate need for relief than others.

Section 3610 seeks to provide many flexibilities for contracting officers, including the authority to:

* Enable the contractor to stay in a ready state (i.e., able to mobilize in a timely manner) by treating as allowable paid leave costs a contractor incurs to keep its employees and subcontractor employees in such a state.

* Use any "funds made available to the agency" by Congress to reimburse contractors for workers' lost time, not otherwise reimbursable, between March 27, 2020, and September 30, 2021, if the contractor provides leave to its employees or subcontractor employees "to maintain a ready state, including to protect the life and safety of Government and contractor personnel," which include, but are not limited to, quarantining, social distancing, or other COVID-19 related interruptions, as discussed in Office of Management and Budget Memorandum M-20-18, Managing Federal Contract Performance Issues Associated with the Novel Coronavirus, dated March 20, 2020;

* Modify contracts to provide for reimbursement of allowable paid leave costs, not otherwise reimbursable, without securing additional consideration; and

* Provide such reimbursement on any contract type.

Section 3610 also provides limitations on reimbursements:

* A contractor may only receive reimbursement if its employees or subcontractor employees:

o Cannot perform work on a government-owned, government-leased, contractor-owned, or contractor-leased facility or site approved by the Federal Government for contract performance due to closures or other restrictions; and

o Are unable to telework because their job duties cannot be performed remotely during the public health emergency declared on January 31, 2020, for COVID-19.

* Reimbursement is authorized only:

o At the appropriate rates under the contract for up to an average of 40 hours per week; and

o For contractor or subcontractor payments made for costs incurred, not otherwise reimbursable, not earlier than March 27, 2020, and not later than September 30, 2021;

* The Government must reduce the maximum reimbursement authorized by the amount of credit the contractor is allowed pursuant to division G of the Families First Coronavirus Response Act (Pub. L. 116-127) and any applicable credits the contractor is allowed under the CARES Act or other credit allowed by law that is specifically identifiable with the public health emergency declared on January 31, 2020 for COVID-19; and

x Reimbursement is contingent upon the availability of funds.

We anticipate the need for additional guidance and will continue to provide answers to frequently asked questions and provide additional implementation information and guidance as appropriate.

This class deviation remains in effect until rescinded. My point of contact is Mr. Greg Snyder, who is available by telephone at (703) 614-0719 or by email at gregory.d.snyder.civ@mail.mil.

John M. Tenaglia
Principal Director,
Defense Pricing and Contracting

Attachment
As stated
TENAGLIA.JOH
N.M.1154945926
Digitally signed by
TENAGLIA.JOHN.M.1154945926
Date: 2021.03.23 17:58:37 -04'00'

Attachment
Class Deviation 2020-O0013, Revision 4
CARES Act Section 3610 Implementation
Changes are indicated by a change bar in the right-hand margin.

DFARS 231.205-79 CARES Act Section 3610 - Implementation

(a) Applicability.

(1) This cost principle applies only to a contractor:

(i) That the cognizant contracting officer has established in writing to be an affected contractor;

(ii) Whose employees or subcontractor employees:

(A) Cannot perform work on a government-owned, government-leased, contractor-owned, or contractor-leased facility or site approved by the federal government for contract performance due to closures or other restrictions, and

(B) Are unable to telework because their job duties cannot be performed remotely during the public health emergency declared on January 31, 2020, for Coronavirus (COVID-19).

(2) The maximum reimbursement authorized by section 3610 shall be reduced by the amount of credit a contractor is allowed pursuant to division G of the Families First Coronavirus Response Act (Pub. L. 116- 127) and any applicable credits a contractor is allowed under the CARES Act (Pub. L. 116-136) or other credit allowed by law that is specifically identifiable with the public health emergency declared on January 31, 2020 for COVID-19.

(b) Allowability.

(1) Notwithstanding any contrary provisions of FAR subparts 31.2, 31.3, 31.6, 31.7 and DFARS 231.2, 231.3, 231.6, and 231.7, costs of paid leave (including sick leave), are allowable at the appropriate rates under the contract for up to an average of 40 hours per week, and may be charged as direct charges, if appropriate, if incurred for the purpose of:

(i) Keeping contractor employees and subcontractor employees in a ready state, including to protect the life and safety of Government and contractor personnel, notwithstanding the risks of the public health emergency declared on January 31, 2020, for COVID-19, or

(ii) Protecting the life and safety of Government and contractor personnel against risks arising from the COVID-19 public health emergency.

(2) Costs covered by this section are limited to those that are incurred as a consequence of granting paid leave as a result of the COVID-19 national emergency and that would not be incurred in the normal course of the contractor's business. Costs of paid leave that would be incurred without regard to the existence of the COVID-19 national emergency

Attachment
Class Deviation 2020-O0013, Revision 4
CARES Act Section 3610 Implementation
Changes are indicated by a change bar in the right-hand margin.

remain subject to all other applicable provisions of FAR subparts 31.2, 31.3, 31.6, 31.7 and DFARS 231.2, 231.3, 231.6, and 231.7. In order to be allowable under this section, costs must be segregated and identifiable in the contractor's records so that compliance with all terms of this section can be reasonably ascertained. Segregation and identification of costs can be performed by any reasonable method as long as the results provide a sufficient audit trail.

(3) Covered paid leave is limited to leave taken by employees who otherwise would be performing work on a site that has been approved for work by the Federal Government, including on a government-owned, government-leased, contractor-owned, or contractor-leased facility approved by the federal government for contract performance; but

(i) The work cannot be performed because such facilities have been closed or made practically inaccessible or inoperable, or other restrictions prevent performance of work at the facility or site as a result of the COVID-19 national emergency; and

(ii) Paid leave is granted because the employee is unable to telework because their job duties cannot be performed remotely during public health emergency declared on January 31, 2020, for COVID-19.

(4) The facility at which work would otherwise be performed is deemed inaccessible for purposes of paragraph (b)(3) of this subpart to the extent that travel to the facility is prohibited or made impracticable by applicable Federal, State, or local law, including temporary orders having the effect of law.

(5) The paid leave made allowable by this section must be taken no earlier than March 27, 2020, and no later than September 30, 2021.

(6) Costs made allowable by this section are reduced by the amount the contractor is eligible to receive under any other Federal payment, allowance, or tax or other credit allowed by law that is specifically identifiable with the public health emergency declared on January 31, 2020, for COVID-19, such as the tax credit allowed by division G of Public Law 116-127.

(7) The allowable amount is limited to the amount of funds specifically obligated on a separate line item that cites the purpose of the funds is for reimbursement under section 3610 of the CARES Act.

O
FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2020-O0011,
Extension of Rescission Effective Date
for Class Deviation, 2020-O0011, Revision 1
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)

COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SU
BJECT: Extension of Rescission Effective Date for Class Deviation, 2020-O0011, Revision 1--Submission of Interim Vouchers Under Classified Contracts
E
ffective immediately, this memorandum rescinds and supersedes the rescission of Class Deviation 2020-O0011, Revision 1, dated September 1, 2022 (enclosed). This memorandum extends the rescission effective date from October 1, 2022, to December 31, 2022. Not later than December 31, 2022, contractors will be required to submit, using an appropriate method, interim vouchers under classified contracts to the Defense Contract Audit Agency in accordance with Federal Acquisition Regulation (FAR) 42.803(b)(1) and Defense Federal Acquisition Regulation Supplement (DFARS) 242.803(b)(i)(A) and (B).
Contracting officers are reminded to take appropriate actions, to include providing copies of any resulting contractual modifications to the appropriate payment office, to facilitate timely payment. My point of contact is Mr. David E. Johnson, Senior Procurement Analyst, OUSD(A&S) DPC/DARS at david.e.johnson3.civ@mail.mil.
J
ohn M. Tenaglia
Principal Director,
Defense Pricing and Contracting
E
nclosure: As stated.
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OFFICE OF THE UNDER SECRETARY OF DEFENSE3000 DEFENSE PENTAGONWASHINGTON, DC 20301-3000ACQUISITIONAND SUSTAINMENT
In reply refer toDARS Tracking Number: 2020-O0011, Revision 1, RescissionMEMORANDUM FOR COMMANDER, UNITED STATES CYBERCOMMAND (ATTN: ACQUISITION EXECUTIVE)COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORSSUBJECT: Rescission of Class Deviation, Revision 1--Submission of Interim Vouchers Under Classified ContractsEffective October 1, 2022, this memorandum rescinds Class Deviation 2020-O0011 and its Revision 1. In response to the Coronavirus Disease 2019 (COVID-19) national emergency, Class Deviation 2020-O0011, Revision 1, required contracting officers to direct contractors to submit interim

vouchers under classified contracts, using an appropriate method, directly to the payment office listed in the contract and accordingly to consider the interim vouchers provisionally approved by the Defense Contract Audit Agency (DCAA). The deviation therefore relieved the requirement to submit interim vouchers to DCAA prior to payment.Effective October 1, 2022, contractors will be required to submit, using an appropriate method, interim vouchers to DCAA in accordance with Federal Acquisition Regulation (FAR)42.803(b)(1) and Defense Federal Acquisition Regulation Supplement (DFARS)242.803(b)(i)(A) and (B). My point of contact is Mr. David E. Johnson, Senior Procurement Analyst, OUSD(A&S) DPC/DARS at david.e.johnson3.civ@mail.mil.John M. TenagliaPrincipal Director,Defense Pricing and Contracting

O
FFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20 301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2020-O0012 Rescission
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
S
UBJECT: Rescission of Class Deviation--Undefinitized Contract Actions During the National Emergency for the Coronavirus Disease 2019
Thi
s memorandum rescinds Class Deviation 2020-O0012, Undefinitized Contract Actions During the National Emergency for the Coronavirus Disease 2019, and its Revision 1. In accordance with H.J. Res 7, which was signed into law on April 10, 2023, the national emergency declared by the President on March 13, 2020, has been terminated. As a result, and effective immediately, contracting officers shall follow the policies and procedures at Defense Federal Acquisition Regulation Supplement (DFARS) subpart 217.74 for undefinitized contract actions.
M
y point of contact is David Johnson, who is available by telephone at (202) 913-5764 or by email at david.e.johnson3.civ@mail.mil.
J ohn M. Tenaglia
Principal Director,
Defense Pricing and Contracting
TENAGLIA.J
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Date: 2023.04.19
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OFFICE OF THE UNDER SECRETARY OF DEFENSE3000 DEFENSE PENTAGONWASHINGTON, DC 20301-3000ACQUISITIONAND SUSTAINMENT
In reply refer toDARS Tracking Number: 2020-O0011, Revision 1, RescissionMEMORANDUM FOR COMMANDER, UNITED STATES CYBERCOMMAND (ATTN: ACQUISITION EXECUTIVE)COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORSSUBJECT: Rescission of Class Deviation, Revision 1--Submission of Interim Vouchers Under Classified ContractsEffective October 1, 2022, this memorandum rescinds Class Deviation 2020-O0011 and its Revision 1. In response to the Coronavirus Disease 2019 (COVID-19) national emergency, Class Deviation 2020-O0011, Revision 1, required contracting officers to direct contractors to submit interim vouchers under classified contracts, using an appropriate method, directly to the payment office listed in the contract and accordingly to consider the interim vouchers provisionally approved by the Defense Contract Audit Agency (DCAA). The deviation therefore relieved the requirement to submit interim vouchers to DCAA prior to payment.Effective October 1, 2022, contractors will be required to submit, using an appropriate method, interim vouchers to DCAA in accordance with Federal Acquisition Regulation (FAR)42.803(b)(1) and Defense Federal Acquisition Regulation Supplement (DFARS)242.803(b)(i)(A) and (B). My point of contact is Mr. David E. Johnson, Senior Procurement Analyst, OUSD(A&S) DPC/DARS at david.e.johnson3.civ@mail.mil.John M. TenagliaPrincipal Director,Defense Pricing and Contracting

OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
ACQUISITION
AND SUSTAINMENT
In reply refer to
DARS Tracking Number: 2020-O0010, Revision 2
MEMORANDUM FOR COMMANDER, UNITED STATES CYBER
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS
SUB
JECT: Class Deviation--Progress Payment Rates
This
Revision 2 supersedes and revises Class Deviation 2020-O0010, Revision 1,
Progress Payment Rates, to remove the clause 52.232-16, Progress Payments (DEVIATION

2020-O0010, from the deviation. Effective July 7, 2023, contracting officers shall--
* For large business concerns: When providing for progress payments, use the clause at Federal Acquisition Regulation (FAR) 52.232-16, Progress Payments, in solicitations and contracts when award is anticipated on or after July 7, 2023. Notwithstanding FAR 1.108(d)(3), contracting officers shall not amend existing contracts, task orders, and delivery orders to remove clause 52.232-16, Progress Payments (DEVIATION 2020-O0010).
* For small business concerns: When providing for progress payments, continue to use the attached clause 252.232-7004, DoD Progress Payment Rates (DEVIATION 2020-O0010), in lieu of the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.232-7004.
When pr oviding for progress payments in unrestricted solicitations that could result in award to either small or large business concerns, contracting officers are reminded to include both the clauses at FAR 52.232-16 and at DFARS 252.232-7004 (DEVIATION 2020-O0010) in the solicitation to enable use of the appropriate clause in the eventual award.

On March 20, 2020, in response to the Coronavirus D isease 2019 (COVID-19) national e mergency, DoD issued Class De viation 2020-0010, and subsequently Revision 1, to increase the progress payment rates at DFARS 232.501-1 to 90 percent for large business concerns and 95 percent for small business concerns. In accordance with H.J. Res 7, which was signed into law on April 10, 2023, the national emergency declared by the President on March 13, 2020, has been terminated. This Revision 2 reinstates the progress payment rat e of 8 0 percent in the clause a t FAR 52.232-16, Progress Payments for new contracts with large businesses and retains the temporary increase to the progress payment rate of 95 percent for small business concerns to enable their continued access to cash flow through this financing method.
This class deviation remains in effect until incorporated into the FAR or DFARS or otherwise rescinded. Please send questions and requests for additional information to osd.pentagon.ousd-a-s.mbx.dpc-pcf@mail.mil .
John M. Tena glia
Principal Director,
Defense Pricing and Contracting
Attachme nt:
As stated
TENAGLIA.JOHN.M.1 154945926
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Date: 2023.05.08 13:18:15 -04'00'

252.
232-7004 DoD Progress Payment Rates. (DEVIATION 2020-O0010)
Use the following deviation clause in lieu of the clause at DFARS 252.232-7004 as prescribed in DFARS 232.502-4-70(b), if the contractor is a small business or small disadvantaged business concern:
DOD
 PROGRESS PAYMENT RATES (MAR 2020) (DEVIATION 2020-O0010)
If t
he Contractor is a small business concern, the Progress Payments clause of this contract is modified to change each mention of the progress payment rate and liquidation rate (excepting paragraph (k), Limitations on Undefinitized Contract Actions) to 95 percent.
(E
nd of clause)

ACQUISITIO N
AND SUSTAINM E NT
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON , DC 20301 -3000
AUG 3 0 2018.
In reply refer to
DARS Tracking Number: 2018-000 19
MEMORANDUM FOR COMMANDER UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER UNITED STATES TRANSPORTATION COMMAND
(ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY ,
(PROCUREMENT), DASA(P)
DEPUTY ASSIST ANT SECRETARY OF THE NA VY (ACQUISITION
& LOGISITICS MANAGEMENT) ,
DASN (A&LM)
DEPUTY ASSIST ANT SECRETARY OF THE AIR FORCE
(CONTRACTING), SAF/AQC
DIRECTORS , DEFENSE AGENCIES
DIRECTORS , DOD FIELD ACTIVITIE S
SUBJECT: Class Deviation- Contractor Personnel Perform ing in Japan
Effecti ve immediately , contractin g officers shall use the attached clause 252.225 -7976, Contractor Personnel Performing in Japan (DEVIATION 2018-00019) , in solicitations and contracts , including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial items, that will require contractor personnel to perform in Japan.
This class deviation impl ements changes made on January 16, 2017, to the "Agreem ent under Article VI of the Treaty of Mutua l Cooperation and Secur ity betwee n Japan and the United States of Ameri ca, Regarding Fac ilities and Areas and the Status of United States Armed Forces in Japan " (SOFA) , dated January 19, 1960. The deviation clause requir es DoD contractors to account for contractor personnel and depend ents in the Synchroniz ed Predeployment and Operational Trac ker, in order for the contractor personnel and depend ents to be eligib le for covera ge under the SOFA.
This class deviation remains in effect until incorpora ted in the DF ARS or otherw ise rescinded . My point of contact is Patri cia Foley, DPC/CP, at 703-693-1145 or patricia. g.foley.civ@mail.mil.

Attachment:
As stated

Attachment
Class Deviation 2018-O0019
Contractor Personnel Performing in Japan
Page 1 of 14
252.225-7976 Contractor Personnel Performing in Japan. (DEVIATION 2018-O0019)
Use this clause in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial items, that will require contractor personnel to perform in Japan.
CONTRACTOR PERSONNEL PERFORMING IN JAPAN
(DEVIATION 2018-O0019)(AUG 2018)
(a) Definitions. As used in this clause--
"C omma
nder" means the Commander of the United States Forces Japan (USFJ).
 "Dependent " means spouse, and children under 21; and parents, and children over 21, if dependent for over half their support upon a member of the United States Armed Forces or civilian component.
 "L aw
 of war" means that part of international law that regulates the conduct of armed hostilities. The law of war encompasses the international law related to the conduct of hostilities that is binding on the United States or its individual citizens, including treaties and international agreements to which the United States is a party, and applicable customary international law.
 "S OF
A Article I(b) status" means a designation by the Commander of contractor personnel as Members of the Civilian Component under Article I(b) of the Status of Forces Agreement (SOFA), in accordance with agreement by the Joint Committee.
To receive such a designation, an individual must--
(1) Be a United States national;
(2) Not be ordinarily resident in Japan (or if ordinarily resident, complete the procedures set forth in USFJ Instruction 36-2611 (Change of Status by Persons in Japan to One of the Categories Authorized by the Status of Forces Agreement, available at
http://www.usfj.mil/Portals/80/Documents/Instructions/36-2611%20(USFJI).pdf
(3) Be pr
esent in Japan at the official invitation of the United States Government and solely for official purposes in connection with the United States Armed Forces;
(4) Not have SOFA Article XIV status; and

Attachment
Class Deviation 2018-O0019
Contractor Personnel Performing in Japan
Page 2 of 14
(5) Be essential to the mission of the United States Armed Forces and has a high degree of skill or knowledge for the accomplishment of mission requirements by fulfilling the following:
(i) Has acq

uired the skill and knowledge through a process of higher
education or specialized training and experience; or
(ii) Possesses a security clearance recognized by the United States to
perform his or her duties; or
(iii) Possesses a license or certification issued by a U.S. Federal
department or agency, U.S. state, U.S. Territory, or the District of Columbia to
perform his or her duties; or
(iv) Be i dentified by the United States Ar med Forces as necessary in an
emergent situation and will remain in Japan for less than 91 days to fulfill
specialized duties; or
(v) Is
 an employee of a military banking facility; or
(vi) Is
 specifically authorized by the Joint Committee.
 "SOFA Article XIV status" means designation by the Commander to persons,
including corporations organized under the laws of the United States and its
personnel, that are ordinarily resident in the United States and whose presence in
Japan is solely for the purpose of executing contracts with the United States for the
benefit of the United States Armed Forces. Such designations are made in
extremely limited circumstances and only after consultation with the Government
of Japan. Article XIV designations are restricted to cases where open competitive
bidding is not practicable due to--
(1)
Sec
urity considerations;
(2) Th
e technical qualification of the contractors involved;
(3) The
 unavailability of materials or services required by United States
standards; and
(4) Lim
itations of United States law.
 "SOFA-covered contractor personnel" means contractor personnel who have been
designated as having SOFA Article I(b) status or SOFA Article XIV status, which is
documented on a Letter of Authorization (LOA) signed by the Contracting Officer.

 "SOFA status" means either SOFA Article I(b) status or SOFA Article XIV
status or a dependent under Article I(c).
 "Status of Forces Agreement" means the "Agreement under Article VI of the
Treaty of Mutual Cooperation and Security between Japan and the United States of
America, Regarding Facilities and Areas and the Status of United States Armed
Forces in Japan," dated January 19, 1960, and all supplementary agreements to the
SOFA, including the agreement signed on January 16, 2017.
 " United States national" means a citizen of the United States, or a person who,
though not a citizen of the United States, owes permanent allegiance to the United
States.
(b) General.
(1) This clause applies to SOFA-covered contractor personnel when performing

in Japan. The requirements of paragraph (c)(2) and (e)(1) of this clause must be specified in the statement of work to be applied to non-SOFA-covered contractor personnel.
(2) The Contractor shall comply with the instructions of the Contracting Officer concerning the entry of its personnel, equipment, and supplies into Japan, applicable Japanese laws and regulations, and USFJ and USFJ-component policies and instructions during the performance of this contract. Specifically, the Contractor shall comply with--
(i) USFJ Instruction 64-100, Contract Performance in Japan;
(ii) USFJ Instruction 36-2811, Indoctrination Training Programs;
(iii) USFJ Instruction 36-2611, Change of Status by Persons in Japan to One of the Categories Authorized by the Status of Forces Agreement; and
(iv) USFJ Instruction 64-102, United States Official Contractors and Their Employees, as applicable to contractors and contractor personnel with SOFA Article XIV status.
(3) Application for status under the SOFA shall be in accordance with USFJ Instruction 64-100 and, in specific and limited circumstances, USFJ Instruction 64-102.
(i) The Contracting Officer, through consultation with their legal counsel and the USFJ/J06 office, makes the determination of status under SOFA Article I(b)

for contractor personnel.
(ii) If the Contracting Officer makes a request for status as a United States Official Contractor under Article XIV, USFJ Headquarters (HQ USFJ) shall make the final determination on the Contractor's SOFA status upon consultation with the government of Japan.
(iii) T he C
ontractor shall request a determination of status under the SOFA for its eligible personnel through the Synchronized Predeployment and Operational Tracker (SPOT) system (see paragraph (f) of this clause). The Contracting Officer will approve a LOA generated in SPOT (see paragraph (c)(2) of this clause) indicating the SOFA status of the contractor personnel only after verifying that eligibility criteria described in USFJ Instruction 64-100 are met.
(iv) Contractor personnel dependent information is also required to be entered into SPOT as part of the employee record.
(4) The
 importation and personal possession of firearms, swords, and other weapons is highly restricted and controlled in Japan. Contractor personnel considering bringing personal firearms, swords, or other weapons into Japan must comply with USFJ Instruction 31-207, "Firearms and Other Weapons in Japan" available from USFJ/J023 at pacom.yokota.usfj.mbx.j023@mail.mil
. The importation and possession of firearms and weapons to perform services under a contract will be addressed separately in the contract.
(5) O
ffenses committed by the Contractor or contractor personnel may be subject to United States or host nation prosecution and/or civil liability (see paragraph (d) of this clause). Japan authorities have the right to exercise jurisdiction over SOFA-

covered contractor personnel, including dependents, in relation to offenses committed in Japan and punishable by the law of Japan. In those cases in which the Japanese authorities have the primary right to exercise jurisdiction but decide not to do so, the United States shall have the right to exercise such jurisdiction as is conferred on it by the law of the United States.
(c) S
uppo
rt.
(1) Security plan. The Commander will develop a security plan that identifies contingency procedures and potential evacuation of nonessential SOFA-covered contractor personnel.
(2) Letter of authorization. A SPOT-generated LOA signed by the Contracting Officer is required for SOFA-covered contractor personnel travel to, from, or within Japan.

Attachment
Class Deviation 2018-O0019
Contractor Personnel Performing in Japan
Page 5 of 14
(i) The LOA will identify any additional authorizations, privileges, or Government support that contractor personnel are entitled to under this contract. USFJ has limited capability to provide Government-furnished routine medical services to contractors in Japan. In instances where Government-furnished routine medical services are neither available nor authorized in the contract, the SPOT-generated LOA shall be annotated with "None" checked for Government-furnished routine medical services.
(ii) Contractor personnel shall present a valid LOA to Japanese immigration officials upon entry into and exit from Japan to receive government of Japan recognition as a Member of the Civilian Component under the SOFA or as a contractor with Article XIV status.
(iii) Con
tractor personnel who are issued a LOA shall maintain possession a DoD-issued identification credential at all times while performing under this contract in Japan. If the contractor personnel does not possess a DoD-issued identification credential, he or she shall maintain possession of a copy of the LOA and their passport at all times while performing under this contract in Japan.
(3) SOFA-status contractor personnel privileges. Contractor personnel and their dependents granted authority to enter Japan under SOFA Article I(b) may be accorded the following benefits of the SOFA:
(i) Access to and movement between facilities and areas in use by the United States Armed Forces and between such facilities and areas and the ports or airports of Japan as provided for in paragraph 2 of the SOFA Article V.
(ii) Entry into Japan and exemption from Japanese laws and regulations on the registration and control of aliens as provided for in SOFA Article IX.
(iii) Acceptance as valid by Japan, without a driving test or fee, a USFJ Operator's Permit for Civilian Vehicle as provided for in SOFA Article X. Issuance of such permit shall be subject to applicable military regulation.
(iv) Exemption from customs duties and other such charges on materials, supplies, and equipment which are to be incorporated into articles or facilities used by the United States Armed Forces; furniture, household goods for private use imported by person when they first arrive to work in Japan; vehicles and parts imported for private use; and reasonable quantities of clothing and household goods for everyday private use,

which are mailed into Japan through United States military post offices as provided for in paragraphs 2 and 3 of SOFA Article XI.

(v) Exemption from the laws and regulations of Japan with respect to terms and conditions of employment as provided for in paragraph 7 of SOFA Article XII, except that such exemption shall not apply to the employment of local nationals in Japan.

(vi) Exemption from Japanese taxes to the government of Japan or to any other taxing agency in Japan on income received as a result of their service with the United States Armed Forces as provided for in SOFA Article XIII. The provisions of Article XIII do not exempt such persons from payment of Japanese taxes on income derived from Japanese sources.

(vii) If authorized by the installation commander or designee, permission to use exchanges, commissaries, messes, social clubs, theaters, newspapers and other non-appropriated fund organizations regulated by United States military authorities as provided for in SOFA Article XV and DoD Manual 1000.13-V2, DoD Identification (ID) Cards: Benefits for Members of the Uniformed Services, Their Dependents, and Other Eligible Individuals.

(viii) The transmission into or outside of Japan of United States dollar or dollar instruments realized as a result of contract performance as provided for in paragraph 2 of SOFA Article XIX.

(ix) Exemption from taxation in Japan on the holding, use transfer by death, or transfer to person or agencies entitled to tax exemption under the SOFA, of movable property, tangible or intangible, the presence of which in Japan is due solely to the temporary presence of these persons in Japan, provided such exemption shall not apply to property held for the purpose of investment or the conduct of other business in Japan or to any intangible property registered in Japan.

(4) Logistical Support.

(i) Logistical support may be authorized, when the Contracting Officer determines it necessary and appropriate, for contractor personnel in Japan. Generally, the full range of logistical support listed below is not necessary for contractor personnel performing services in Japan on a short-term basis, less than 91 days. Contractor personnel granted SOFA Article I(b) status and their dependents may be provided logistical support, subject to availability as determined by the installation commander or designee. Logistical support includes the following:

(A) Base Exchange, including exchange service stations, theaters, and commissary.

(B) Military banking facilities.

(C) Transient billeting facilities.

(D) Open mess (club) membership, as determined by each respective club.

(E) Casualty assistance (mortuary services), on a reimbursable basis.
(F) Emergency medical care, on a reimbursable basis.
(G) Dental care, limited to relief of emergencies, on a reimbursable basis.
(H) Department of Defense Dependent Schools, on a space-created and tuition-paying basis.
(I) Postal support, as authorized by military postal regulations.
(J) Local recreation services, on a space-available basis.
(K) Issuance of USFJ Operator's Permit, if the Contracting Officer determines it necessary based on the length of contract performance.
(L) Issuance of personal vehicle license plates.
(ii) No other logistical support is authorized for contractor personnel in Japan unless the Contracting Officer obtains a specific authorization from the installation commander where the support will be provided, after coordination with USFJ/J06.
(5) Unless specified elsewhere in this contract, the Contractor is responsible for all other support required for its personnel engaged in Japan under this contract. This support includes the Contractor responsibility for entry and exit from Japan to ensure compliance with Japanese laws concerning foreign personnel in their country.
(d) Compliance with laws and regulations.
(1) The Contractor shall comply with, and shall ensure that its personnel performing in Japan are familiar with and comply with, all applicable--
(i) United States, host country, and third-country national laws;
(ii) Provisions of applicable treaties and international agreements;

(iii) United States regulations, directives, instructions, policies, and procedures; and
(iv) Orders, directives, and instructions issued by the USFJ Commander and installation commanders, including those relating to force protection, security, health, safety, or relations and interaction with local nationals.
(2) If required by the contract, the Contractor shall institute and implement an effective program to prevent violations of the law of war by its employees and subcontractors, including law of war training.
(3) The Contractor shall ensure that all contractor personnel are aware--
(i) Of the DoD definition of "sexual assault" in DoD Directive 6495.01, Sexual Assault Prevention and Response Program; and
(ii) That sexual misconduct may constitute offenses under the law of Japan, Uniform Code of Military Justice, Federal law, such as the Military Extraterritorial Jurisdiction Act, or both. All offenses have consequences for contractor personnel, including dependents.
(4) The Contractor shall report to the appropriate investigative authorities, identified in paragraph (d)(6) of this clause, any alleged offenses under the Military Extraterritorial Jurisdiction Act (chapter 212 of title 18, United States Code) or other Federal or local laws.
(5) The Contractor shall provide to all contractor personnel who will perform work on a contract in the operational area, before beginning such work, information on the following:
(i) How and where to report an alleged crime described in paragraph (d)(4)

of this clause.
(ii) Where to seek victim and witness protection and assistance available to contractor personnel in connection with an alleged offense described in paragraph (d)(4) of this clause.
(iii) That this section does not create any rights or privileges that are not authorized by law or DoD policy.
(6) The appropriate investigative authorities to which suspected crimes shall be reported include the following--

(i) US Army Criminal Investigation Command at http://www.cid.army.mil/report-a-crime.html;
(ii) Air Force Office of Special Investigations at http://www.osi.af.mil;
(iii) Navy Criminal Investigative Service at http://www.ncis.navy.mil/ContactUs/Pages/ReportaCrime.aspx;
(iv) Defense Criminal Investigative Service at http://www.dodig.mil/Components/Administrative-Investigations/DoD-Hotline/; or
(v) To any command of any supported military element or the command of any base.
(7) Personnel seeking whistleblower protection from reprisals for reporting criminal acts shall seek guidance through the DoD Inspector General hotline at 800-424-9098 or http://www.dodig.mil/Components/Administrative-Investigations/DoD-Hotline/. Personnel seeking other forms of victim or witness protections should contact the nearest military law enforcement office.
(8)(i) The Contractor shall ensure that contractor personnel supporting the U.S. Armed Forces in Japan are aware of their rights to--
(A) Hold their own identity or immigration documents, such as passport or driver's license;
(B) Receive agreed upon wages on time;
(C) Take lunch and work-breaks;
(D) Elect to terminate employment at any time;
(E) Identify grievances without fear of reprisal;
(F) Have a copy of their employment contract in a language they understand;
(G) Receive wages that are not below the legal in-country minimum wage;
(H) Be notified of their rights, wages, and prohibited activities prior to signing their employment contract; and

(I) If housing is provided, live in housing that meets host-country

housing and safety standards.
(ii) The Contractor shall post these rights in work spaces in English and in any foreign language(s) spoken by a significant portion of the workforce.
(iii) The Contractor shall enforce the rights of contractor personnel and subcontractor personnel supporting the United States Armed Forces.
(e) Preliminary personnel requirements.
(1) The Contractor shall ensure that the following requirements are met prior to departure of SOFA-covered contractor personnel and, as specified in the statement of work, non-SOFA-covered contractor personnel (specific requirements for each category will be specified in the statement of work or elsewhere in the contract):
(i) All required security and background checks are complete and acceptable.
(ii) All required USFJ Form 27, Contractor Employee Acknowledgement Forms.
(iii) All such personnel performing in support of an applicable operation--
(A) Meet the minimum medical screening requirements, including theater-specific medical qualifications as established by the United States Indo-Pacific Command (USINDOPACOM) Combatant Commander (as posted to the USINDOPACOM Combatant Commander's website or other venue); and
(B) Have received all required immunizations as specified in the foreign clearance guide.
(1) All immunizations shall be obtained prior to arrival in Japan.
(2) All such personnel, as specified in the statement of work, shall bring to Japan a copy of the U.S. Centers for Disease Control and Prevention (CDC) Form 731, International Certificate of Vaccination or Prophylaxis as approved by the World Health Organization, (also known as "shot record" or "Yellow Card") that shows vaccinations are current.
(iv) Contractor personnel have all necessary passports, visas, and other documents required to enter and exit Japan, and other appropriate DoD identity credential.

(v) Special area, country, and theater clearance is obtained for all personnel. Clearance requirements are in DoD Directive 4500.54E, DoD Foreign Clearance Program. For this purpose, SOFA-covered contractor personnel are considered non-DoD personnel traveling under DoD sponsorship.
(2) The Contractor shall notify its personnel, including dependents, who are not a host country national, or who are not ordinarily resident in the host country, that--
(i) Such personnel, and dependents, who engage in conduct outside the United States that would constitute an offense punishable by imprisonment for more than one year if the conduct had been engaged in within the special maritime and territorial jurisdiction of the United States, may potentially be subject to the criminal jurisdiction of the United States in accordance with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3621, et seq.);
(ii) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal jurisdiction also extends to conduct that is determined to constitute a war crime when committed by a civilian national of the United States;

(iii) Other laws may provide for prosecution of U.S. nationals who commit offenses on the premises of U.S. diplomatic, consular, military or other U.S. Government missions outside the United States (18 U.S.C. 7(9));
(iv) In time of declared war or a contingency operation, SOFA-covered contractor personnel and selected non-SOFA covered contractor personnel may be subject to the jurisdiction of the Uniform Code of Military Justice under 10 U.S.C. 802(a)(10);
(v) Contractor personnel are required to report offenses alleged to have been committed by or against other contractor personnel to appropriate investigative authorities; and
(vi) Contractor personnel will be provided victim and witness protection and assistance.
(f) Personnel data.
(1) The Contractor shall--
(i) Use the SPOT web-based system, or its successor, to account for all SOFA-covered contractor personnel performing in Japan under the contract;

(ii) Register for a SPOT account at https://spot.dmdc.mil for unclassified contracts and at https://spot.dmdc.osd.smil.mil for classified contracts using one of the following log-in methods, after which the SPOT Customer Support Team will contact the Contractor to validate user needs:
(A) A Co
mmon Access Card (CAC) or a SPOT-approved digital certificate.
(B) A Government-sponsored SPOT user ID and password. This type of log-in method is only allowed for those individuals who are not authorized to obtain a CAC or an external digital certificate, and requires SPOT Program Management Office approval;
(iii) Comply with the SPOT Business Rules located at https://www.acq.osd.mil/log/PS/spot.html;
(iv) Ent
er into the SPOT the required information on contractor personnel, accompanying dependents and equipment prior to departure and continue to use the SPOT to maintain accurate, up-to-date information throughout performance in Japan for all applicable contractor personnel. Changes to status of individual contractor personnel relating to their in-theater arrival date and their duty location, including closing out the deployment with their proper status (e.g., mission complete, killed, wounded) shall be annotated within the SPOT database in accordance with the timelines established in the SPOT Business Rules at http://www.acq.osd.mil/log/PS/ctr_mgt_accountability.html; and
(v) Ens
ure the in-theater arrival date, closeout dates, and changes of the status of individual contractor personnel relating to their in-theater arrival date and their duty location, to include closing out the performance in the operational area with their proper status, are updated in the system in accordance with the processes and timelines established in the SPOT business rules.
(2) SPOT non-compliance and deficiencies will be relevant to past performance evaluations for future contract opportunities, in accordance with Federal Acquisition

Regulation subpart 42.15.
(g) C on
tractor personnel.
(1) Civilian personnel supporting the Unite States Armed Forces in Japan are guests in a foreign country and must at all times conduct themselves in an honorable and credible manner. Criminal conduct and dishonorable personal behavior, committed either on or off duty, adversely impacts Unite States and Japanese relations, tarnishes the image of the DoD and USFJ, and hampers the Force's military readiness.

(i) Compliance with laws and regulations. The Contractor shall comply with, and shall ensure that its personnel are familiar with, and comply with, all applicable--
(A) United States and host country laws;
(B) Treaties and international agreements;
(C) United States regulations, United States Armed Forces directives, instructions, policies, and procedures; and
(D) Orders, directives, and instructions issued by supported commanders, including those relating to force protection, security, health, safety, liberty policies, alcohol-related incidents, or relations and interaction with local nationals, should serve as guideposts in all on and off duty conduct and will be used as general principles in the application of the Government's discretion with regard to paragraph (ii), below.
(ii) Removal and replacement of Contractor personnel. The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor personnel who fail to comply with or violate applicable requirements of the contract, including those stipulated in this section. Such action may be taken at the Government's discretion without prejudice to its rights under any other provision of this contract, including the termination for default or cause.
(2) The Contractor shall identify all personnel who occupy a position designated as mission essential and ensure the continuity of essential Contractor services during designated operations, unless, after consultation with the Contracting Officer, Contracting Officer's Representative, or installation commander, the Contracting Officer directs withdrawal due to security conditions.
(3) The Contractor shall ensure that contractor personnel follow the guidance at paragraph (e)(2)(v) of this clause and any specific Commander guidance on reporting offenses alleged to have been committed by or against contractor personnel to appropriate investigative authorities.
(4) Contractor personnel shall return all U.S. Government-issued identification, including the Common Access Card, to appropriate U.S. Government authorities at the end of their employment under this contract.
(h) Protective equipment.

(1) Contractor personnel may wear military-unique organizational clothing and individual equipment required for safety and security, such as ballistic, nuclear,

biological, or chemical protective equipment. Any required protective equipment should be identified in the statement of work in the contract.
(2) The Commander may issue organizational clothing and individual equipment and provide training, if necessary, as part of the security plan.
(3) The Contractor shall ensure that any issued organizational clothing is returned to the point of issue, unless otherwise directed by the Contracting Officer.
(j) Evacuation.
(1) If the Commander orders a mandatory evacuation of some or all personnel, the Government will provide assistance, to the extent available, to contractor personnel who are U.S. citizens and third-country nationals.
(2) In the event of a non-mandatory evacuation order, unless authorized in writing by the Contracting Officer, the Contractor shall maintain personnel on location sufficient to meet obligations under this contract.
(k) Next of kin notification and personnel recovery.
(1) The Contractor shall be responsible for notification of its personnel's designated next of kin in the event an individual dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.
(2) The Government will assist in personnel recovery actions in accordance with DoD Directive 3002.01, Personnel Recovery in the Department of Defense.
(l) Mortuary affairs. Contractor personnel authorized to accompany United States Armed Forces may be covered by the DoD mortuary affairs program in accordance with DoD Directive 1300.22, Mortuary Affairs Policy, and DoD Instruction 3020.41, Operational Contract Support.
(m) Subcontracts. The Contractor shall incorporate the substance of this clause, including this paragraph (m), in all subcontracts that will require subcontractor personnel to perform in Japan.
(End of clause)

ACQUISITION
ANO SUSTAINMENT
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
MAR 2 2 2018
In reply refer to
DARS Tracking Number: 2018-00002
MEMORANDUM FOR COMMANDER, UNITED ST A TES SPECIAL OPERATIONS COMMAND
(ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND
(ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSIST ANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (ACQUISITION AND PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: One Time Deviations-Section 830(d) Pilot Program for Acceleration of Foreign Military Sales
It is imperative that we find ways to reduce procurement administrative lead time (PAL T). In that vein, Congress provided the Department an authority that enables us to significantly improve our ability

to respond to Foreign Military Sales (FMS) requirements. Section 830(d) of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L. 114-328), authorizes a pilot program to refo1m and accelerate the contracting and pricing processes for certain FMS requirements.

The Director, Defense Pricing (DP)/Defense Procurement and Acquisition Policy (DP AP), is conducting a comprehensive pilot program to accelerate the contracting and pricing process for up to 10 FMS contracts for full rate production of major weapon systems. To participate, contracting officers shall obtain prior approval by the Director, DP/ DPAP, using the attached application template. Submit applications to: osd. pentagon. ousd-atl .m bx.dpap@mail.mil.

Once the deviation is granted for a particular contract action in lieu of using the procedures at FAR 15.4, Contract Pricing, contracting officers participating in the pilot shall base price reasonableness determinations on actual cost and pricing data for purchases of the same product for the Department of Defense; and shall reduce the cost and pricing data to be submitted in accordance with 10 U.S.C. 2306a.

This pilot authority provides contracting officers broad discretion in determining the amount of certified cost and pricing data required to support any particular applicable procurement.

My point of contact is Ms. Jill Stiglich who is available at 703-571-901 , or at jill.e.stiglich.civ@mail.mil.

a ? -----------

S?ssad,

Director, Defense Pricing/Defense
Procurement and Acquisition Policy

nO

DARS Tracking Number: 2018-00002

Section 830(d) Pilot Program for Acceleration of Foreign Military Sales

Attachment

Section 830(d) Pilot Program for Foreign Military Sales (FMS)

Contracting Officer Application for Participation

I. Identify Major Weapon System Program.

a. Program Manager name and contact information.

b. Contracting Officer name and contact information.

2. Identify existing DoD full rate production contracts.

3. Identify Contract Business Analysis Repository (CBAR) point of contact, if available.

4. FMS Case Identifier Code and point of contact.

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFF ICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON. DC 20301-3000

SEP 1 5 2017

In reply refer to
OARS Trackjng Number: 2017-00009

MEMORANDUM FOR COMMANDER, UNITED ST A TES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STA TES TRANSPORTATION COMMAND, (ATTN: ACQUISITION EXECUTIVE)

DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSIST ANT SECRETARY OF THE NA VY
(ACQUISITION AND PROCUREME T)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation-Products and Services from the African Host Nation-Djibouti
Effective immediately, contracting officers shall use the procedures and clauses provided in this class deviation when acquiring products or services from the African host nation? Djibouti in support of covered activities in Djibouti. This class deviation implements section 899 A of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2017. This enhanced authority is to limit competition to, or provide a preference for, products or ser vices from the African host nation-Djibouti when in support of operations in Djibouti. Section 899A of the NDAA for FY 2017 repeals section 1263 of the NOAA for FY 2015; therefore, this class deviation rescinds and supersedes Class Deviation 20 l 6-00005, dated February 4, 2016.
Section 899A provides enhanced procurement authority to limit competition to, or provide a preference for, products and services from an African host nation or a covered African country other than the African host nation, for acquisitions in suppot1 of Department of Defense activities in a covered African country. Currently, Djibouti is the only Af rican country that has adequate processes in place to function as an African host nation or covered African country, as those terms are defined in section 899A. As provided in section 899A, however, this authority is not available for the procurement of any product on the AbilityOne Procurement List, if such a product can be delivered by a qualified nonprofit agency for the blind or a qualified nonprofit agency for other severely disabled in a timely fashion to support mission requirements. When utilizing this authority, the contracting officer shall-
* Follow the procedures in attaclunent 1, which addresses the use of appropriate solicitation provisions, contract clauses, and evaluation of offers;

Class Deviation 2017-00009
Products and Services from the Africa Host Nation-Djibouti
* Prepare a written individual or class determination, using a format substantially the same as provided at attachments 2 and 3 respectively, to be executed by the appropriate official;
* Report to DPAP/PACC, the following information within 10 calendar days of award when an individual or class determination is used during calendar year 201 7:
a) Whether the acquisition procedure at 225.7798-3(a)(l) or (a)(2) was used.
b) A description of the products and services acquired.
c) The extent to which the use of the authority has met the one or more of the objectives of section 899A of the NDAA for FY 2017; and
* Submit all repo11s no later than I ov 2017 to DPAP/PACC at contingencycontractin!l.@osd.mil for required Secretary of Defense report to Congress.
This class deviation remains in effect until it is incorporated in the OF ARS or otherwise rescinded. My point of contact is COL Ralph B01ja, DPAP/PACC, at 703-697-9351 or ralph.t.borja.mil@mail.mil.
Attachments:
As stated

Defense Pricing

P
ART 206--COMPETITION REQUIREMENTS
* * * * *
SUBPART 206.3--OTHER THAN FULL AND OPEN COMPETITION
*
* * * *
206.303 Justifications.
* * * * *
206.303-71 Acquisitions in support of operations in Africa. (DEVIATION 2017-O0009)
The justification and approval addressed in FAR 6.303 is not required for acquisitions conducted using a procedure specified in 225.7798-3(a) (DEVIATION 2017-O0009)
* * * * *
PART 225--FOREIGN ACQUISITION
* * * * *
SUBPART 225.4--TRADE AGREEMENTS
*
* * * *
225.401 Exceptions. (DEVIATION 2017-O0009)
(a)(2)***
(S-70) If using a procedure specified in 225.7798-3(a)(1) (DEVIATION 2017-O0009) to acquire products or services in support of DoD activities in Djibouti, the procedures of FAR subpart 25.4 are not applicable.
*
* * * *

SUBPART 225.5--EVALUATING FOREIGN OFFERS--SUPPLY CONTRACTS
*
* * * *
225.502 Application. (DEVIATION 2017-O0009)
* * * * *
(c) Use the following procedures instead of those in FAR 25.502(c) for acquisitions subject to the Buy American statute or the Balance of Payments Program:
* * * * *
(v) If the solicitation includes the provision at 252.225-7985, Preference for Products or Services from the African Host Nation-Djibouti (DEVIATION 2017-O0009), use the evaluation procedures at 225.7798-5 (DEVIATION 2017-O0009).
* * * * *
SUBPART 225.75--BALANCE OF PAYMENTS PROGRAM
* * * * *
225.7501 Policy. (DEVIATION 2017-O0009)
Acquire only domestic end products for use outside the United States, and use only domestic construction material for construction to be performed outside the United States, including end products and construction material for foreign military sales,

unless--
(a) Before issuing the solicitation--
* * * * *
(8) Use of a procedure specified in 225.7798-3(a) (DEVIATION 2017-O0009) is authorized for an acquisition in support of DoD activities in Djibouti.
* * * * *

Attachment 1
DARS Tracking Number 2017-O0009
Products and Services from the African Host Nation-Djibouti
Page 3 of 10
SUBPART 225.77--ACQUISITIONS IN SUPPORT OF OPERATIONS IN AFGHANISTAN AND AFRICA (DEVIATION 2017-O0009)
*
* * * *
225.7798 Enhanced authority to acquire products and services from Djibouti in support of DoD activities in Djibouti. (DEVIATION 2017-O0009)
225.7798-1 Scope.
This subpart implements section 899A of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L. 114-328).
225.7798-2 Definitions.
As used in this subpart--
"African host nation'' means the African nation in which there is a requirement for supplies or services in support of DoD activities in a covered African country, and which allows the Armed Forces and supplies of the United States to be located on, to operate in, or to be transported through its territory.
"Covered African country'' means a country in Africa that has signed a long-term agreement with the United States related to the basing or operational needs of the United States Armed Forces. Djibouti is a covered African country.
''Product or service from the African host nation--Djibouti'' means-
(1) A product from Djibouti that is wholly grown, mined, manufactured, or produced in Djibouti; or
(2) A service, including construction, from Djibouti that is performed by a person or entity that--
(i) Is properly licensed or registered by appropriate authorities of Djibouti; and
(ii) As determined by the Chief of Mission concerned--
(A) Is operating primarily in Djibouti; or
(B) Is making a significant contribution to the economy of Djibouti through payment of taxes or use of products, materials, or labor that are primarily grown, mined, manufactured, produced, or sourced from Djibouti.

Attachment 1
DARS Tracking Number 2017-O0009
Products and Services from the African Host Nation-Djibouti
Page 4 of 10
2
25.7798-3 Acquisition procedures.
(a) Subject to the requirements of 225.7798-4 and except as provided in paragraph (c) of this section, a product or service to be acquired in support of DoD activities in a covered African country--Djibouti may be obtained by-
(1) Limiting competition to products or services from the African host nation--Djibouti; or

(2) Providing a preference for products or services from the African host nation--Djibouti, in accordance with the evaluation procedures at 225.7798-5.
(b) For acquisitions conducted using a procedure specified in paragraph (a) of this section--
(1) The justification and approval addressed in FAR subpart 6.3 is not required; and
(2) The Balance of Payments Program (see 225.7501) does not apply when use of a procedure specified in paragraph (a) of this section is authorized for an acquisition in support of DoD activities in Djibouti.
(c) The authority under paragraph (a) of this section is not available for the procurement of any product that is contained in the Procurement List described in 41 U.S.C. 8503(a) (see FAR subpart 8.7), if such product can be produced and delivered by a qualified nonprofit agency for the blind or a nonprofit agency for other severely disabled in a timely fashion to support mission requirements.
225.7798-4 Determination requirements.
Before use of a procedure specified in 225.7798-3 (a) , a written determination must be prepared and executed as provided in this section.
(a) T
he appropriate official authorized to make the determination, as specified in paragraph (b) of this section, shall determine in writing that--
(1) At least one of the following applies:
(i) The product or service concerned is to be used only in support of DoD activities in Djibouti.
(ii) It is in the national security interests of the United States to limit competition or provide a preference as described in paragraph (a) of this section because such limitation or preference is necessary to--

(A) Re
duce overall United States transportation costs and risks in shipping products in support of operations, exercises, theater security cooperation activities, and other missions in the African region;
(B) Reduce delivery times in support of DoD activities in Djibouti; or
(C) Promote regional security and stability in Africa.
(iii) The product or service is of equivalent quality to a product or service that would have otherwise been acquired without such limitation or preference;
(2) In the case of air transportation, an air carrier holding a certificate under 49 U.S.C. 41102 is not reasonably available to provide the air transportation; and
(3) The limitation or preference will not adversely affect--
(i) United States military operations or stability operations in the African region; or
(ii) T he United States industrial base. The approving official may contact the following officials in order to obtain factual information to meet this statutory element of the determination:
(A) For Army: SAAL -PA, Army Industrial Base Policy, telephone 703-695-2488.
(B) For DLA: DLA J-74, Acquisition Programs and Industrial Capabilities Division, telephone 703-767-1427.
(C) For Navy: Ship Programs, DASN Ships, telephone 703-697-

1710.
(D) For Air Force: Air Force Research Laboratory, Materials Manufacturing Directorate, telephone 703-588-7777.
(E) Fo r other Defense Agencies: Personnel at defense agencies without industrial base expertise on staff should contact the Office of the Deputy Assistant Secretary of Defense for Manufacturing and Industrial Base Policy, telephone 703-697-0051, or email osd.mibp.inquiries@mail.mil.
(b)(1) Determinations may be made for an individual acquisition or a class of acquisitions meeting the criteria in paragraph (a) of this subsection as follows:
(i) The contracting officer is authorized to make a determination that applies to an individual acquisition with a value of less than $93 million.

(ii) The head of the contracting activity, without power of re-delegation, is authorized to make a determination that applies to an individual acquisition with a value of $93 million or more or to a class of acquisitions.
(2) The contracting officer shall-
(i) I nclude the applicable written determination in the contract file; and
(ii) Ensure that each contract action taken pursuant to the authority of a class determination is within the scope of the class determination, and document the contract file for each action accordingly.
225.7798-5 Evaluating offers.
Evaluate offers submitted in response to solicitations that include the provision at 252.225-7985, Preference for Products or Services from the African Host Nation-Djibouti (DEVIATION 2017-O0009) as follows:
(a) For supplies, when evaluating offers, consider the total price of the supplies, including any transportation costs that would be incurred if shipped via the Defense Transportation System, and compare this total price to the price of the local items plus any transportation costs, if separately broken out by contract line item.
(b) If the solicitation specifies award on the basis of non-price factors in addition to cost or price, apply the evaluation percentage as specified in the solicitation and use the evaluated cost or price in determining the offer that represents the best value to the Government.
(c) If the solicitation does not specify non-price factors in addition to cost or price, apply the evaluation percentage as specified in the solicitation, if applicable, and then award to the lowest evaluated offer.
225.7798-6 Solicitation provisions and contract clauses.
Use the following provisions and clauses in solicitations and contracts that meet the specified criteria, including solicitations and contracts for the acquisition of commercial items using FAR part 12 procedures:
(a)(1) Use the provision at 252.225-7985, Preference for Products or Services from the African Host Nation-Djibouti (DEVIATION 2017-O0009), in solicitations that include the clause at 252.225-7986, Requirement for Products or Services from the African Host Nation--Djibouti (DEVIATION 2017-O0009).
(2) In sert in paragraph (d) of the provision, in accordance with the USAFRICOM Commander's policy and contracting activity procedures, the price evaluation factor to be applied to offers of products or services that are not products or services from the African host nation--Djibouti.

(b)
Use the clause at 252.225-7986, Requirement for Products or Services from the African Host Nation-Djibouti (DEVIATION 2017-O0009), in solicitations and contracts that provide a preference for products or services from the African host nation--Djibouti in accordance with 225.7798-3(a)(2) (DEVIATION 2017-O0009).
(c) Use the clause at 252.225-7977, Acquisition Restricted to Products or Services from the African Host Nation-Djibouti (DEVIATION 2017-O0009), in solicitations and contracts that limit competition to products or services from the African host nation--Djibouti in accordance with 225.7798-3(a)(1) (DEVIATION 2017-O0009).
(d) Except as provided in paragraph (e)(2) of this section, when the Trade Agreements Act applies to the acquisition, use the appropriate provision and clause as prescribed at 225.1101(5) and (6).
(e)(1) Do not use any of the following provisions or clauses in solicitations or contracts that include the provision at 252.225-7985 (DEVIATION 2017-O0009), the clause at 252.225-7986 (DEVIATION 2017-O0009), or the clause at 252.225-7977 (DEVIATION 2017-O0009):
(i) 252.225-7000, Buy American--Balance of Payments Program Certificate.
(ii) 252.225-7001, Buy American and Balance of Payments Program.
(iii) 252.225-7002, Qualifying Country Sources as Subcontractors.
(iv) 252.225-7035, Buy American--Free Trade Agreements--Balance of Payments Program Certificate.
(v) 252.225-7036, Buy American--Free Trade Agreements--Balance of Payments Program.
(vi) 252.225-7044, Balance of Payments Program--Construction Material.
(vii) 252.225-7045, Balance of Payments Program--Construction Material Under Trade Agreements.
(2) Do not use the following provision or clause in solicitations or contracts that include the clause at 252.225-7977 (DEVIATION 2017-O0009):
(i) 252.225-7020, Trade Agreements Certificate.
(ii) 252.225-7021, Trade Agreements.
* * * * *

P
ART 252--SOLICITATION PROVISIONS AND CONTRACT CLAUSES
* * * * *
252.225-7985 Preference for Products or Services from the African Host Nation-Djibouti. (DEVIATION 2017-O0009)
As prescribed in 225.7798-6(a), use the following provision:
PREFERENCE FOR PRODUCTS OR SERVICES FROM THE AFRICAN HOST NATION-DJIBOUTI (SEP 2017) (DEVIATION 2017-O0009)
(a) Definitions. "African host nation" and "products or services from the African host nation--Djibouti," as used in this provision, are defined in the clause of this solicitation entitled "Requirement for Products or Services from the African Host

Nation--Djibouti" (252.225-7986) (DEVIATION 2017-O0009).
(b) Representation. By submission of its offer, the Offeror represents that all products or services to be delivered under a contract resulting from this solicitation are products or services from the African host nation--Djibouti, unless, in its offer, the Offeror specifies that it will provide products or services other than products or services from the African host nation--Djibouti.
(c) Other products or services. Offerors that include products or services in their offer that are not products or services from the African host nation--Djibouti shall identify in the offer the solicitation line item number and the country of origin for the product or service that is not a product or service from the African host nation--Djibouti, unless the product is listed in paragraph (c)(2) of the provision entitled "Trade Agreements Certificate," if included in this solicitation.
(d) Evaluation. For the purpose of evaluating competitive offers, the Contracting Officer will increase by [Contracting Officer to specify percent in accordance with the USAFRICOM Commander's policy and contracting activity procedures_____] percent the prices of offers of products or services that are not products or services from the African host nation--Djibouti.
(End of provision)

Attachment 1
DARS Tracking Number 2017-O0009
Products and Services from the African Host Nation-Djibouti
Page 9 of 10
252.225-7986 Requirement for Products or Services from the African Host Nation-Djibouti. (DEVIATION 2017-O0009)
As prescribed in 225.7798-6(b), use the following clause:
R
EQUIREMENT FOR PRODUCTS OR SERVICES FROM THE AFRICAN HOST NATION-DJIBOUTI (SEP 2017) (DEVIATION 2017-O0009)
(a) Definitions. As used in this clause-
"African host nation'' means the African nation in which there is a requirement for supplies or services in support of DoD activities in a covered African country, and which allows the Armed Forces and supplies of the United States to be located on, to operate in, or to be transported through its territory.
"Covered African country'' means a country in Africa that has signed a long-term agreement with the United States related to the basing or operational needs of the United States Armed Forces. Djibouti is a covered African country.
''Product or service from the African host nation--Djibouti'' means-
(1) A product from Djibouti that is wholly grown, mined, manufactured, or produced in Djibouti; or
(2) A service, including construction, from Djibouti that is performed by a person or entity that--
(i) Is properly licensed or registered by appropriate authorities of Djibouti; and
(ii) As determined by the Chief of Mission concerned--
(A) Is operating primarily in Djibouti; or
(B) Is making a significant contribution to the economy of Djibouti through payment of taxes or use of products, materials, or labor that are primarily grown, mined, manufactured, produced, or sourced from Djibouti.
(b)(1) The Contractor shall provide only products or services f
rom the African host
nation--Djibouti, unless, in its offer, it specified that it would provide products or

services other than products or services from the African host nation--Djibouti.
(2) For construction contracts, the Contractor is encouraged, but not required,
to use construction material from the African host nation--Djibouti).
(End of clause)

Attachment 1
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Products and Services from the African Host Nation-Djibouti
Page 10 of 10
252.225-7977 Acquisition Restricted to Products or Services from the African
Host Nation-Djibouti. (DEVIATION 2017-O0009)
As prescribed in 225.7798-6(c), use the following clause:
A
CQUISITION RESTRICTED TO PRODUCTS OR SERVICES FROM THE AFRICAN
HOST NATION-DJIBOUTI (SEP 2017) (DEVIATION 2017-O0009)
(a) Definition. As used in this clause--
"African host nation'' means the African nation in which there is a requirement for
supplies or services in support of DoD activities in a covered African country, and which
allows the Armed Forces and supplies of the United States to be located on, to operate
in, or to be transported through its territory.
''Product or service from the African host nation--Djibouti'' means-
(1) A product from Djibouti that is wholly grown, mined, manufactured, or
produced in Djibouti; or
(2) A service, including construction, from Djibouti that is performed by a
person or entity that--
(i) I s properly licensed or registered by appropriate authorities of Djibouti;
and
(ii) As determined by the Chief of Mission concerned--
(A) Is operating primarily in Djibouti; or
(B) Is making a significant contribution to the economy of Djibouiti
through payment of taxes or use of products, materials, or labor that are primarily
grown, mined, manufactured, produced, or sourced from Djibouti.
(b)(1) The Contractor shall provide only products or services from the African host
nation--Djibouti.
(2) For construction contracts, the Contractor is encouraged, but not required,
to use construction material from the African host nation--Djibouti.
(End of clause)

Attachment 2
DARS Tracking Number 2017-O0009
Products and Services From the African Host Nation-Djibouti
Page 1 of 3
DEPAR
TMENT OR AGENCY
Authority to Acquire Products or Services from the African Host Nation-
Djibouti
Individual Determination and Findings
Upon the basis of the following findings and determination, which I hereby make in
accordance with the provisions of DFARS 225.7798-4 (DEVIATION 2017-O0009),
the acquisition of products or services from the African host nation--Djibouti) may
be made as follows:
1. The [contracting office] proposes to award under solicitation/contract number

[provide solicitation/contract number], [describe the types of products or services]. The total estimated cost of this acquisition is [provide total estimated value].

2. The product or service is to be used in support of the following DoD activity(ies) in Djibouti: [Describe the DoD activities being supported]. The products or services to be acquired under this solicitation/contract are to be used by [describe the entity(ies) intended to use the products or services].

3. The contracting officer recommends conducting the acquisition using the following procedure, which, given this determination, is authorized by section 899A of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L. 114-328): [Select one of the following:]

[ ] Limit competition to products or services from the African host nation-- Djibouti; or

[ ] Provide a preference for products or services from the African host nation-- Djibouti.

4. To implement the recommended procedure, the solicitation will contain [title and number of the applicable provision and/or clause prescribed at DFARS 225.7798-6 (DEVIATION 2017-O0009)].

Attachment 2
DARS Tracking Number 2017-O0009
Products and Services From the African Host Nation-Djibouti
Page 2 of 3

5. The limitation or preference under paragraph 3 above will not adversely affect United States military operations or stability operations in Africa or the United States industrial base. [If this acquisition involves air transportation, include the following:] An air carrier holding a certificate under 49 U.S.C. 41102 is not reasonably available to provide the air transportation. [For this paragraph, also select at least one of the following:]

The product or service to be acquired is to be used or performed only in support of the covered activities.

OR

Use of this procedure to limit competition to, or provide a preference for, products or services from the African host nation-Djibouti is--

Vital to the national security interests of the United States, because use of the procedure [Select at least one of the following:]

(a) Reduces overall United States transportation costs and/or risks in shipping products in support of operations, exercises, theater security cooperate activities and other missions in the African region;

(b) Reduces delivery times in support of covered activities; or

(c) Promotes regional security and stability in Africa.

OR

The product or service to be acquired is of equivalent quality of a product or service that would have otherwise been acquired. [Provide a description of market research.]

6. Acquisitions conducted using the procedures specified in DFARS 225.7798-3(a) (DEVIATION 2017-O0009) (see paragraph 3 above) are authorized to use other than full and open competition procedures and do not require the justification and approval addressed in FAR subpart 6.3. [Include a description of efforts made to ensure offers are solicited from as many potential sources as is practicable.]

7. [Identify whether a notice was or will be publicized as required by FAR subpart 5.2 and, if not, which exception in FAR 5.202 applies.]

Attachment 2
DARS Tracking Number 2017-O0009
Products and Services From the African Host Nation-Djibouti
Page 3 of 3
DETERMINATION
In accordance with the authorization outlined in DFARS 225.7798-3 (DEVIATION 2017-O0009) and under the authority of section 899A of the National Defense Authorization Act for Fiscal Year 2017, I have hereby determined that limiting competition to, or providing procurement preference for, goods or services from the African host nation-- Djibouti is necessary to support the USAFRICOM mission in the region and is in the best interest of the United States.

_____ Date: _____

CONTRACTING OFFICER (Individual acquisitions valued at less than $93M)
Name: _____
Office Symbol: _____

_____ Date: _____

HEAD OF CONTRACTING ACTIVITY (Individual acquisitions valued at $93M or more)
Name: _____
Contracting Activity: _____

Attachment 3
DARS Tracking Number 2017-O0009
Products and Services From the African Host Nation-Djibouti
Page 1 of 3
DEPAR
TMENT OR AGENCY
Authority to Acquire Products or Services from the African Host Nation--Djibouti
Class Determination and Findings
Upon the basis of the following findings and determination, which I hereby make in accordance with the provisions of DFARS 225.7798-4 (DEVIATION 2017-O0009), the acquisition of products or services from the African host nation (Djibouti) may be made as follows:
1. The [contracting office] proposes to award under solicitation/contract number [provide solicitation/contract number], [describe the types of products or services]. The total estimated cost of this acquisition is [provide total estimated value].
2. The product or service is to b e used in support of the following DoD activity(ies) in Djibouti: [Describe the DoD activities being supported]. The products or services to be acquired under this solicitation/contract are to be used by [describe the entity(ies) intended to use the products or services].
3. The contracting officer recommends conducting the acquisition using the following procedure, which, given this determination, is authorized by section 899A of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L. 114-328): [Select one of the following:]
[ ] Limit competition to products or services from the African host nation (Djibouti); or
[ ] Provide a preference for products or services from the African host nation country (Djibouti).
4. To implement the recommended procedure, the solicitation will contain [title and number of the applicable provision and/or clause prescribed at DFARS

225.7798-6 (DEVIATION 2017-O0009)].

Attachment 3
DARS Tracking Number 2017-O0009
Products and Services From the African Host Nation-Djibouti
Page 2 of 3
5. The limitation or preference under paragraph 3 above will not adversely affect United States military operations or stability operations in Africa or the United States industrial base. [If this acquisition involves air transportation, include the following:] An air carrier holding a certificate under 49 U.S.C. 41102 is not reasonably available to provide the air transportation. [For this paragraph, select at least one of the following:]
The product or service to be acquired is to be used or performed only in support of the covered activities.
OR
Use of this procedure to limit competition to, or provide a preference for, products or services from the African host nation-- Djbouti is--
Vital to the national security interests of the United States, because use of the procedure [Select at least one of the following:]
(a) Re
duces overall United States transportation costs and/or risks in shipping products in support of operations, exercises, theater security cooperate activities and other missions in the African region; or
(b) Red
uces delivery times in support of covered activities; or
(c) Pro
motes regional security and stability in Africa.
OR
The product or service to be acquired is of equivalent quality of a product or service that would have otherwise been acquired. [Provide a description of market research.]
6. Acquisitions conducted using the procedures specified in DFARS 225.7798-3(a) (DEVIATION 2017-O0009) (see paragraph 3 above) are authorized to use other than full and open competition procedures and do not require the justification and approval addressed in FAR subpart 6.3. [Include a description of efforts made to ensure offers are solicited from as many potential sources as is practicable.]
7. [Identify whether a notice was or will be publicized as required by FAR subpart 5.2 and, if not, which exception in FAR 5.202 applies.]

Attachment 3
DARS Tracking Number 2017-O0009
Products and Services From the African Host Nation-Djibouti
Page 3 of 3
DETERMINATION
In accordance with the authorization outlined in DFARS 225.7798-3 (DEVIATION 2017-O0009) and under the authority of section 899A of the National Defense Authorization Act for Fiscal Year 2017, I have hereby determined that limiting competition to, or providing procurement preference for, goods or services of an African host nation is necessary to support the USAFRICOM mission in the region and is in the best interest of the United States.
_____ Date: _____
HEAD OF CONTRACTING ACTIVITY
Name: _____

Contracting Activity: _____

ACQUISIT ION,
TECHNO LOGY.
AND LOGISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON. DC 20301 -3000
SEP 1 5 2017
In reply refer to
DARS Track ing Number: 20 17-00004
MEMORANDUM FOR COMMANDER , UNITED ST A TES SPEC IAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER , UNITED STATES TRANSPORTAT ION
COMMAND (ATTN : ACQU ISITION EXECUTIVE)
DEPUTY ASS ISTANT SECRETARY OF THE ARMY
(PROC UREMEN T)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(ACQU ISITION AND PRO CUREMEN T)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF DEFENSE AGENC IES
DIRE CTORS OF DOD FIELD ACTIVITI ES
SUBJ ECT : Class Deviation-Contractor Personnel Performing in the United States Central Command Area of Responsibility.
Effective immediately, contract ing officers shall use the attac hed clause 252.225 -7995 , Contracto r Personnel Performi ng in the United States Central Command Area of Responsib ility (DEV IATION 20 17-00004), in lieu of the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252 .225-7040 , Contractor Personnel Suppo rting U.S. Armed Forces Deployed Outside the United States , in contracts that require perfo rmance in the United States Centra l Command area ofresponsibil ity.
This class deviat ion rescinds and supersedes Class Deviat ion 20 15-00009 , dated Januar y 12, 20 15. The deviation include s changes at parag raph (g) of the devi ation claus e to require contractors to account for all contractor personnel in the Synchronized Predeployment and Operation al Tracker , regardless of contract value or length of performance.
This class deviation remains in effect until incorporated in the DF ARS or otherw ise rescinded. My point of contact is COL Ralph B01ja, DPAP/PACC, at 703-697 -935 1 or ralph.t.b01ja.mil@mail.mil.
Attachments:
As stated

Attachment
Class Deviation 2017-00004
Contractor Personnel Performing in the United States Central Command Area of Responsibility
252.225-7995 Contractor Personnel Performing in the United States Central Command Area of Responsibility. (DEVIATION 2017-00004)
Use this clause, in lieu of the clause at Defense Federal Acquisition Regulation Supplement 252.225- 7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in solicitations and contracts that will require contractor personnel to perform in the United States Central Command area of responsibility.
CONTRACTOR PERSONNEL PERFORMING IN THE UNITED STATES CENTRAL

COMMAND AREA OF RESPONSIBILITY (DEVIATION 2017-00004) (SEP 2017)

(a) Definitions. As used in this clause-

"Combatant Commander" means the Commander of the United States Central Command Area of Responsibility.

"Contractors authorized to accompany the Force," or "CAAF," means contractor personnel, including all tiers of subcontractor personnel, who are authorized to accompany U.S. Armed Forces in applicable operations and have been afforded CAAF status through a letter of authorization. CAAF generally include all U.S. citizen and third-country national employees not normally residing within the operational area whose area of performance is in the direct vicinity of U.S. Armed Forces and who routinely are collocated with the U.S. Armed Forces (especially in non-permissive environments). Personnel collocated with U.S. Armed Forces shall be afforded CAAF status through a letter of authorization. In some cases, Combatant Commander subordinate commanders may designate mission-essential host nation or local national contractor employees (e.g., interpreters) as CAAF. CAAF includes contractors previously identified as contractors deploying with the U.S. Armed Forces. CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries and territories of the United States.

"Designated reception site" means the designated place for the reception, staging, integration, and onward movement of contractors deploying during a contingency. The designated reception site includes assigned joint reception centers and other Service or private reception sites.

"Law of war'' means that part of international law that regulates the conduct of armed hostilities. The law of war encompasses all international law for the conduct of hostilities binding on the United States or its individual citizens, including treaties and international agreements to which the United States is a party, and applicable customary international law.

"Non-CAAF' means personnel who are not designated as CAAF, such as local national (LN) employees and non-LN employees who are permanent residents in the operational area or third-country nationals not routinely residing with U.S. Armed Forces (and third-country national expatriates who are permanent residents in the operational area) who perform support functions away from the close proximity of, and do not reside with, U.S. Armed Forces. Government-furnished support to non-CAAF is typically limited to force protection, emergency medical care, and basic human needs (e.g., bottled water, latrine facilities, security, and food when necessary) when performing

their jobs in the direct vicinity of U.S. Armed Forces. Non-CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries and territories of the United States.

"Subordinate joint force commander" means a sub-unified commander or joint task force commander.

(b) General.

(1) This clause applies to both CAAF and non-CAAF when performing in the United States Central Command (USCENTCOM) Area of Responsibility (AOR).

(2) Contract performance in USCENTCOM AOR may require work in dangerous or austere conditions. Except as otherwise provided in the contract, the Contractor accepts the risks associated with required contract performance in such operations.

? (3) When authorized in accordance with paragraph (i) of this clause to carry arms for personal protection, contractor personnel are only authorized to use force for individual self-defense.
(4) Unless immune from host nation jurisdiction by virtue of an international agreement or international law, inappropriate use of force by contractor personnel authorized to accompany the U.S. Armed Forces can subject such personnel to United States or host nation prosecution and civil liability (see paragraphs (d) and (j)(3) of this clause).
(5) Service performed by contractor personnel subject to this clause is not active duty or service under 38 U.S.C. 106 note.
(c) Support.
(l)(i) The Combatant Commander will develop a security plan for protection of contractor personnel in locations where there is not sufficient or legitimate civil authority, when the Combatant Commander decides it is in the interests of the Government to provide security because-
(A) The Contractor cannot obtain effective security services;
(B) Effective security services are unavailable at a reasonable cost; or
(C) Threat conditions necessitate security through military means.
(ii) In appropriate cases, the Combatant Commander may provide security through military means, commensurate with the level of security provided DoD civilians.
(2)(i) Generally, CAAF will be afforded emergency medical and dental care if injured while supporting applicable operations. Additionally, non-CAAF employees who are injured while in the vicinity ofU. S. Armed Forces will normally receive emergency medical and dental care. Emergency medical and dental care includes medical care situations in which life, limb, or eyesight is jeopardized. Examples of emergency

medical and dental care include examination and initial treatment of victims of sexual assault; refills of prescriptions for life-dependent drugs; repair of broken bones, lacerations, infections; and traumatic injuries to the dentition. Hospitalization will be limited to stabilization and short-term medical treatment with an emphasis on return to duty or placement in the patient movement system.
(ii) When the Government provides emergency medical treatment or transportation of Contractor personnel to a selected civilian facility, the Contractor shall ensure that the Government is reimbursed for any costs associated with such treatment or transportation.
(iii) Medical or dental care beyond this standard is not authorized.
(3) Contractor personnel must have a Synchronized Predeployment and Operational Tracker (SPOT)-generated letter of authorization signed by the Contracting Officer in order to process through a deployment center or to travel to, from, or within the USCENTCOM AOR. The letter of authorization also will identify any additional authorizations, privileges, or Government support that Contractor personnel are entitled to under this contract. Contractor personnel who are issued a letter of authorization shall carry it with them at all times while deployed.
(4) Unless specified elsewhere in this contract, the Contractor is responsible for all other support required for its personnel engaged in the USCENTCOM AOR under this contract.
(d) Compliance with laws and regulations.

(1) The Contractor shall comply with, and shall ensure that its personnel performing in the USCENTCOM AOR are familiar with and comply with, all applicable-
(i) United States, host country, and third country national laws;
(ii) Provisions of the law of war, as well as any other applicable treaties and international agreements;
(iii) United States regulations, directives, instructions, policies, and procedures; and
(iv) Orders, directives, and instructions issued by the Combatant Commander, including those relating to force protection, security, health, safety, or relations and interaction with local nationals.
(2) The Contractor shall institute and implement an effective program to prevent violations of the law of war by its employees and subcontractors, including law of war training in accordance with paragraph (e)(l)(vii) of this clause.
(3) The Contractor shall ensure that CAAF and non-CAAF are aware?
(i) Of the DoD definition of"sexual assault" in DoDD 6495.01, Sexual Assault Prevention and Response Program;

(ii) That the offenses addressed by the definition are covered under the Uniform Code of Military Justice (see paragraph (e)(2)(iv) of this clause). Other sexual misconduct may constitute offenses under the Uniform Code of Military Justice, or another Federal law, such as the Military Extraterritorial Jurisdiction Act, or host nation laws; and
(iii) That the offenses not covered by the Uniform Code of Military Justice may nevertheless have consequences to the contractor employees (see paragraph (h)(l) of this clause).
(4) The Contractor shall report to the appropriate investigative authorities, identified in paragraph (d)(6) of this clause, any alleged offenses under-
(i) The Uniform Code of Military Justice (chapter 47 of title 10, United States Code) (applicable to contractors serving with or accompanying an armed force in the field during a declared war or contingency operations); or
(ii) The Military Extraterritorial Jurisdiction Act (chapter 212 of title 18, United States Code).
(5) The Contractor shall provide to all contractor personnel who will perform work on a contract in the deployed area, before beginning such work, information on the following:
(i) How and where to report an alleged crime described in paragraph (d)(4) of this clause.
(ii) Where to seek victim and witness protection and assistance available to contractor personnel in connection with an alleged offense described in paragraph (d)(4) of this clause.
(iii) This section does not create any rights or privileges that are not authorized by law or DoD policy.
(6) The appropriate investigative authorities to which suspected crimes shall be reported include the following-
(i) US Army Criminal Investigation Command at http://www.cid.army.mil/index.html;
(ii) Air Force Office of Special Investigations at http://www.osi.af.mil;

(iii) Navy Criminal Investigative Service at
http://www.ncis.navy.mil/Pages/publicdefault.aspx;
(iv) Defense Criminal Investigative Service at
http://www.dodig.mil/HOTLINE/index.html;
(v) Any command of any supported military element or the command of any
base.

(7) Personnel seeking w histleblower protection from reprisals for reporting
criminal acts shall seek guidance through the DoD Inspector General hotline at 800-
424-9098 or www.dodig.mil/HOTLINE/index.html. Personnel seeking other forms of
victim or witness protections should contact the nearest military law enforcement office.
(8) The Contractor shall ensure that Contractor employees supporting the U.S.
Armed Forces deployed outside the United States are aware of their rights to-
(i) Hold their own identity or immigration documents, such as passport or
driver's license;
(ii) Receive agreed upon wages on time;
(iii) Take lunch and work-breaks;
(iv) Elect to terminate employment at any time;
(v) Identify grievances without fear of reprisal;
(vi) Have a copy of their employment contract in a language they
understand;
(vii) Receive wages that are not below the legal in-country minimum wage;
(viii) Be notified of their rights, wages, and prohibited activities prior to
signing their employment contract; and
(ix) If housing is provided, live in housing that meets host-country housing
and safety standards.
(e) Preliminary personnel requirements.
(1) The Contractor shall ensure that the following requirements are met prior
to deploying CAAF (specific requirements for each category will be specified in the
statement of work or elsewhere in the contract):
(i) All required security and background checks are complete and
acceptable.
(ii) All CAAF deploying in support of an applicable operation-
(A) Are medically, dentally, and psychologically fit for deployment and
performance of their contracted duties;
(B) Meet the minimum medical screening requirements, including
theater-specific medical qualifications as established by the geographic Combatant
Commander (as posted to the Geographic Combatant Commander's website or other
venue); and
(C) Have received all required immunizations as specified in the
contract.

(1) During predeployment processing, the Government will provide,
at no cost to the Contractor, any military-specific immunizations and/or medications not

available to the general public.
(2) All other immunizations shall be obtained prior to arrival at the deployment center.
(3) All CAAF and, as specified in the statement of work, select non?
CAAF shall bring to the USCENTCOM AOR a copy of the U.S. Centers for Disease Control and Prevention (CDC) Form 731, International Certificate of Vaccination or Prophylaxis as approved by the World Health Organization, (also known as "shot record" or "Yellow Card") that shows vaccinations are current.
(iii) Deploying personnel have all necessary passports, visas, and other documents required to enter and exit the USCENTCOM AOR and have a Geneva Conventions identification card, or other appropriate DoD identity credential, from the deployment center.
(iv) Special area, country, and theater clearance is obtained for all personnel deploying. Clearance requirements are in DoD Directive 4500.54E, DoD Foreign Clearance Program. For this purpose, CAAF are considered non-DoD contractor personnel traveling under DoD sponsorship.
(v) All deploying personnel have received personal security training. At a minimum, the training shall-
(A) Cover safety and security issues facing employees overseas;
(B) Identify safety and security contingency planning activities; and
(C) Identify ways to utilize safety and security personnel and other resources appropriately.
(vi) All personnel have received isolated personnel training, if specified in the contract, in accordance with DoD Instruction 1300.23, Isolated Personnel Training for DoD Civilian and Contractors.
(vii) Personnel have received law of war training as follows:
(A) Basic training is required for all CAAF. The basic training will be provided through-
(1) A military-run training center; or
(2) A web-based source, if specified in the contract or approved by the Contracting Officer.
(B) Advanced training, commensurate with their duties and responsibilities, may be required for some Contractor personnel as specified in the contract.

(2) The Contractor shall notify all personnel who are not a host country national, or who are not ordinarily resident in the host country, that such employees, and dependents residing with such employees, who engage in conduct outside the United States that would constitute an offense punishable by imprisonment for more than one year if the conduct had been engaged in within the special maritime and territorial jurisdiction of the United States, may potentially be subject to the criminal jurisdiction of the United States in accordance with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3261, et seq.);
(3) The Contractor shall notify all personnel that-
(i) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal jurisdiction also extends to conduct that is determined to constitute a war crime;
(ii) Other laws may provide for prosecution of U.S. nationals who commit offenses on the premises of U.S. diplomatic, consular, military or other U.S.

Government missions outside the United States (18 U.S.C. 7(9)) or non-U.S. nationals who commit crimes against U.S. nationals in those places; and
(iii) In time of declared war or a contingency operation, CAAF are subject to the jurisdiction of the Uniform Code of Military Justice under 10 U.S.C. 802(a)(10).
(iv) Such employees are required to report offenses alleged to have been committed by or against contractor personnel to appropriate investigative authorities.
(v) Such employees will be provided victim and witness protection and assistance.
(f) Processing and departure points. CAAF shall-
(1) Process through the deployment center designated in the contract, or as otherwise directed by the Contracting Officer, prior to deploying. The deployment center will conduct deployment processing to ensure visibility and accountability of contractor personnel and to ensure that all deployment requirements are met, including the requirements specified in paragraph (e)(l) of this clause;
(2) Use the point of departure and transportation mode directed by the Contracting Officer; and
(3) Process through a designated reception site (DRS) upon arrival at the deployed location. The DRS will validate personnel accountability, ensure that specific USCENTCOM AOR entrance requirements are met, and brief contractor personnel on theater-specific policies and procedures.
(g) Contractor Accountability and Personnel Data.
The Synchronized Predeployment and Operational Tracker (SPOT) is the joint web-based database to assist the Combatant Commanders in maintaining awareness of the nature, extent, and potential risks and capabilities associated with contracted support for contingency operations, humanitarian assistance and peacekeeping operations, or military exercises designated by USCENTCOM.

Attachment
Class Deviation 2017-00004
Contractor Personnel Performing in the United States Central Command Area of Responsibility
(1) Contractors shall account for all CAAF and non-CAAF personnel in SPOT by name. .
(2) Registration. The Contractor shall comply with SPOT registration requirements.
(i) Contractor appointed company administrators for unclassified contracts shall register for a SPOT account at https://spot.dmdc.mil. For classified contracts, users shall access SPOT at https://spot.dmdc.osd.smil.mil. ?
(ii) Register in SPOT using one of the following log-in methods?
(A) A Common Access Card (CAC) or a SPOT-approved digital certificate; or
(B) A Government-sponsored SPOT user ID and password. This type of log-in method is only allowed for those individuals who are not authorized to obtain a CAC or an external digital certificate, and requires SPOT Program Management Office approval.
(iii) The SPOT Customer Support Team must validate user need. This process may take 2 business days. Contractor representatives will be contacted to validate contractor administrator account requests and determine the appropriate level of user access.
(iv) Refer to the OSD Program Support website at http://www.acg.osd.mil/log/PS/spot.html for the SPOT Business Rules, additional training resources, documentation regarding registration, and use of SPOT.

(3) Compliance with SPOT.
(i) The Contractor shall comply with the SPOT Business Rules located at http://www.acg.osd.mil/log/PS/spot.html.
(A) The Contractor shall enter into the SPOT web-based system the required information on Contractor personnel prior to deployment to the designated operational area and shall continue to use the SPOT web-based system to maintain accurate, up-to-date information throughout the deployment for applicable Contractor personnel.
(B) The Contractor shall ensure the in-theater arrival date (ITAD), deployment closeout dates and changes to the status of individual Contractor personnel relating to their ITAD and their duty location, to include closing out the deployment with their proper status (e.g., mission complete, killed, wounded) are updated in the system in accordance with the processes and timelines established in the SPOT business rules.
(ii) SPOT non-compliance and deficiencies will be relevant to past performance evaluations for future contract opportunities in accordance with FAR subpart 42.15, Contractor Performance Information.

(h) Contractor personnel.
(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any contractor personnel who jeopardize or interfere with mission accomplishment or who fail to comply with or violate applicable requirements of this contract. Such action may be taken at the Government's discretion without prejudice to its rights under any other provision of this contract, including the Termination for Default clause.
(2) The Contractor shall identify all personnel who occupy a position designated as mission essential and ensure the continuity of essential Contractor services during designated operations, unless, after consultation with the Contracting Officer, Contracting Officer's representative, or local commander, the Contracting Officer directs withdrawal due to security conditions.
(3) The Contractor shall ensure that contractor personnel follow the guidance at paragraph (e)(2)(v) of this clause and any specific Combatant Commander guidance on reporting offenses alleged to have been committed by or against contractor personnel to appropriate investigative authorities.
(4) Contractor personnel shall return all U.S. Government-issued identification, to include the Common Access Card, to appropriate U.S. Government authorities at the end of their deployment (or, for non-CAAF, at the end of their employment under this contract).
(i) Military clothing and protective equipment.
(1) Contractor personnel are prohibited from wearing military clothing unless specifically authorized in writing by the Combatant Commander. If authorized to wear military clothing, contractor personnel must-
(i) Wear distinctive patches, arm bands, nametags, or headgear, in order to be distinguishable from military personnel, consistent with force protection measures; and
(ii) Carry the written authorization with them at all times.
(2) Contractor personnel may wear military-unique organizational clothing and individual equipment (OCIE) required for safety and security, such as ballistic, nuclear,

biological, or chemical protective equipment.
(3) The deployment center, or the Combatant Commander, shall issue OCIE and shall provide training, if necessary, to ensure the safety and security of contractor personnel.
(4) The Contractor shall ensure that all issued OCIE is returned to the point of issue, unless otherwise directed by the Contracting Officer.
(j) Weapons.
(1) If the Contractor requests that its personnel performing in the USCENTCOM AOR be authorized to carry weapons for individual self-defense, the

Attachment
Class Deviation 2017-00004
Contractor Personnel Performing in the United States Central Command Area of Responsibility
request shall be made through the Contracting Officer to the Combatant Commander, in accordance with DoD Instruction 3020.41. The Combatant Commander will determine whether to authorize in-theater contractor personnel to carry weapons and what weapons and ammunition will be allowed.
(2) If contractor personnel are authorized to carry weapons in accordance with paragraph (j)(l) of this clause, the Contracting Officer will notify the Contractor what weapons and ammunition are authorized.
(3) The Contractor shall ensure that its personnel who are authorized to carry weapons-
(i) Are adequately trained to carry and use them?
(A) Safely;
(B) With full understanding of, and adherence to, the rules of the use of force issued by the Combatant Commander; and
(C) In compliance with applicable agency policies, agreements, rules, regulations, and other applicable law;
(ii) Are not barred from possession of a firearm by 18 U.S.C. 922;
(iii) Adhere to all guidance and orders issued by the Combatant Commander regarding possession, use, safety, and accountability of weapons and ammunition;
(iv) Comply with applicable Combatant Commander and local commander force-protection policies; and
(v) Understand that the inappropriate use of force could subject them to U.S. or host-nation prosecution and civil liability.
(4) Whether or not weapons are Government-furnished, all liability for the use of any weapon by contractor personnel rests solely with the Contractor and the Contractor employee using such weapon.
(5) Upon redeployment or revocation by the Combatant Commander of the Contractor's authorization to issue firearms, the Contractor shall ensure that all Government-issued weapons and unexpended ammunition are returned as directed by the Contracting Officer.
(k) Vehicle or equipment licenses. Contractor personnel shall possess the required licenses to operate all vehicles or equipment necessary to perform the contract in the USCENTCOM AOR.
(1) Purchase of scarce goods and services. If the Combatant Commander has established an organization for the USCENTCOM AOR whose function is to determine that certain items are scarce goods or services, the Contractor shall coordinate with that organization local purchases of goods and services designated as scarce, in accordance with instructions provided by the Contracting Officer.

Attachment
Class Deviation 2017-00004
Contractor Personnel Performing in the United States Central Command Area of Responsibility
(m) Evacuation.
(1) If the Combatant Commander orders a mandatory evacuation of some or all personnel, the Government will provide assistance, to the extent available, to United States and third country national contractor personnel.
(2) In the event of a non-mandatory evacuation order, unless authorized in writing by the Contracting Officer, the Contractor shall maintain personnel on location sufficient to meet obligations under this contract.
(n) Next of kin notification and personnel recovery.
(1) The Contractor shall be responsible for notification of the employee? designated next of kin in the event an employee dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.
(2) The Government will assist in personnel recovery actions in accordance with DoD Directive 3002.0lE, Personnel Recovery in the Department of Defense.
(o) Mortuary affairs. Contractor personnel who die while in support of the U.S. Armed Forces shall be covered by the DoD mortuary affairs program as described in DoD Directive 1300.22, Mo~uary Affairs Policy, and DoD Instruction 3020.41, Operational Contractor Support.
(p) Changes. In addition to the changes otherwise authorized by the Changes clause of this contract, the Contracting Officer may, at any time, by written order identified as a change order, make changes in the place of performance or Government? furnished facilities, equipment, material, services, or site. Any change order issued in accordance with this paragraph (p) shall be subject to the provisions of the Changes clause of this contract.
(q) Subcontracts. The Contractor shall incorporate the substance of this clause, including this paragraph (q), in all subcontracts when subcontractor personnel are performing in the USCENTCOM AOR.
(End of clause)

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFFICE OF THE UNDER SECRET ARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
JUN 1 0 2016
In reply refer to
DARS Tracking Nw11ber: 2016-00008
MEMORANDUM FOR COMMANDER, UNITED STA TES SPECIAL OPERATIONS
COMMAND (A TIN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STA TES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(ACQUISITION AND PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE

(CONTRACTfNG)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation-Contractor Personnel Performing in the United States Africa Command Area of Responsibility
Effective immediately, this class deviation rescinds and supersedes Class Deviation 2016-00006. Contracting officers shall incorporate the attached clause 252.225-7980, Contractor Personnel Performing in the United States Africa Command Area of Responsibility (DEVIATION 2016-00008), in lieu of the clause at DF ARS 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in all solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial items, that will require contractor personnel to perform in the United States Africa Cornn1and (USAFRICOM) area of responsibility (AOR). In addition, to the extent practicable, contracting officers shall modify current, active contracts with performance in the USAFRICOM AOR to incorporate the attached clause 252.225-7980.
The USAFRICOM Commander has identified a need to utilize the Synchronized Predeployment and Operational Tracker to identify contractors employed under all contracts performed in their area of responsibility, regardless of the length of performance or contract value, during all operational phases (including Phase 0), and not limited to contracts in support of declared contingency operations. This clause facilitates enforcement of the USAFRICOM Commander's requirement.

This class deviation remains in effect until incorporated in the DF ARS, or otherwise rescinded. My point of contact is Mr. Scott Calisti, DPAP/PACC, at 571-256-7011, or scott.r.calisti.civ@mail.mil.
Attachments:
As stated
??,?
Claire M. Grady
Director, Defense Procurement
and Acquisition Policy

Attachment I
Class Deviation 2016-00008
Contractor Personnel Performing in the USAFRICOM AOR
252.225-7980 Contractor Personnel Performing in the United States Africa Command Area of Responsibility. (DEVIATION 2016-000008)
Use this clause, in lieu of the clause at DFARS 252.225-7_040, Contra?tor Per?o?eJ Supporting U.S. Armed Forces Deployed Outside the ?mted States, m all solicitations and contracts, including solicitations and c?ntract? usmg FAR part 12 procedures for the acquisition of commercial items, that will reqmre contractor pe?s??el to perform m the United States Africa Command (USAFRICOM) area of responsibility.
CONTRACTOR PERSONNEL PERFORMING IN THE UNITED STATES AFRICA COMMAND AREA OF RESPONSIBILITY
(DEVIATION 2016-O000S)(JUN 2016)
(a) Definitions. As used in this clause---
"Combatant Commander" means the Commander of the United States Africa Command (USAFRICOM).
"Contractors authorized to accompany the Force," or "CAAF," means contractor personnel, including all tiers of subcontractor personnel, who are authorized to accompany U.S. Armed Forces in applicable operations and have been afforded CAAF

status through a letter of authorization. CAAF generally include all U.S. citizen and third-country national employees not normally residing within the operational area whose area of performance is in the direct vicinity of U.S. Armed Forces and who routinely are collocated with the U.S. Armed Forces (especially in non-permissive environments). Personnel collocated with U.S. Armed Forces in applicable operations shall be afforded CAAF status through a letter of authorization. In some cases, Combatant Commander or subordinate joint force commanders may designate mission? essential host nation or local national contractor employees (e.g., interpreters) as CAAF. CAAF includes contractors previously identified as contractors deploying with the U.S. Armed Forces. CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries and territories of the United States.
"Designated reception site" means the designated place for the reception, staging, integration, and onward movement of contractors deploying to the USAFRICOM area of responsibility. The designated reception site includes assigned joint reception centers and other Service or private reception sites.
"Law of war" means that part of international law that regulates the conduct of armed hostilities. The law of war encompasses the international law related to the conduct of hostilities that is binding on the United States or its individual citizens, including treaties and international agreements to which the United States is a party, and applicable customary international law.
"Non-CAAF'' means personnel in applicable operations who are not designated as CAAF, such as local national employees and non-local national employees who are permanent residents in the operational area or third-country nationals not routinely residing with U.S. Armed Forces (and third-country national expatriates who are permanent residents in the operational area) who perform support functions away from the close proximity of, and do not reside with, the U.S. Armed

Forces Government-furnished support to non-CAAF is typica lly limited to force protection, emergency medical care, and basic human needs (e.g., ?ottled ?8:ter,. latrine facilities, security, and food when necessary} when performing their Jobs 1n the direct vicinity of U.S. Armed Forces. Non-CAA? statu? d?es not apply t? contractor personnel in support of applicable operations w1th1n the boundaries and territories of the United States.
"Subordinate joint force commander" means a sub-unified commander or joint task force commander.
"U.S. Africa Command (USAFRICOM) area of responsibil ity," as used in this clause, means-
(1) The entire continent of Africa, excluding Egypt;
(2) The Atlantic Ocean east and south of the line from Antarctica at 024 ?W, north to 4 ?N/024 ?W, west to 30?W, then north to 21 ?N/030?W, then east to the African continent; and
(3) The Indian Ocean west and south of the line from Antarctica at 68?E, north to 01 ?40'S/068?E, and west to the African coast at 01 ?40'8.
(b) General.
(1) This clause applies to all contractor personnel when performing in the USAFRICOM area of responsibility.
(2) Certain requirements in paragraphs (c)(3}, (e)(I), and (f) must be specified in the statement of work to be applied to non-CAAF personnel.

(3) Contract performance in the USAFRI COM area of responsibility may require work in dangerous or austere conditions. Except as otherwise provided in the contract, the Contractor accepts the risks associated with required contract performance in
such operations.
(4) When authorized in accordance with paragraph (j) of this clause to carry arms for personal protection, contractor personnel are only authorized to use force for individual self-defense.
(5) Unless immune from host nation jurisdiction by virtue of an international agreement or international law, inappropriate use of force by contractor personnel authorized to accompany the U.S. Armed Forces can subject such personnel to United States or host nation prosecution and civil liability (see paragraphs (d) and (j)(3) of this clause).
(6) Service performed by contractor personnel subject to this clause is not active duty or service under 38 U.S.C. 106 note.
(c) Support.
(l)(i) The Combatant Commander will develop a security plan for protection of

Attachment 1
Class Deviation 2016-00008
Contractor Personnel Performing in the USAFRICOM AOR
contractor personnel in locations where there is not sufficient or legitimate civil authority, when the Combat?nt Commander decides it is in the interests of the Government to provide secunty because-
(A) The Contractor cannot obtain effective security services;
(B) Effective security services are unavailable at a reasonable cost; or
(C) Threat conditions necessitate security through military means.
(ii) In appropriate cases, the (?ombatant Commall:der maf provide security through military means, commensurate with the level of secunty provided DoD civilians.
(2)(i) Generally, CAAF will be afforded emergency medical and dental care if injured while supporting applicable operations. Additionally, all non-CAAF who are injured while in the vicinity ofU. S. Armed Forces will normally receive emergency medical and dental care. Emergency medical and dental care includes medical care situations in which life, limb, or eyesight is jeopardized. Examples of emergency medical and dental care include examination and initial treatment of victims of sexual assault; refills of prescriptions for life-dependent drugs; repair of broken bones, lacerations, infections; and traumatic injuries to the dentition. Hospitalization will be limited to stabilization and short-term medical treatment with an emphasis on return to duty or placement in the patient movement system.
(ii)When the Government provides medical treatment or transportation of contractor personnel to a selected civilian facility, the Contractor shall ensure that the Government is reimbursed for any costs associated with such treatment or transportation.
(iii)Medical or dental care beyond this standard is not authorized.
(3)(i) A Synchronized Predeployment and Operational Tracker (SPOT)? generated letter of authorization signed by the Contracting Officer is required for certain contractor personnel to process through a deployment center or to travel to, from, or within the USAFRICOM area of responsibility. The requirement applies to CAAF and, as specified in the statement of work, non-CAAF personnel.

(ii)The letter of authorization will identify any additional authorizations privileges, or Government support that contractor personnel are entitled to under this contract. USAFRI COM has limited capability to provide Government-furnished life? support services to contractors in the USAFRICOM area of responsibility. In instances where Government-furnished life support services are neither available nor authorized in the contract, the SPOT-generated letter of authorization, signed by the Contracting Offi.?er, shall be annotated with "None" checked for Government-furnished life-support services.
(iii)Contractor personnel who are issued.a letter of authorization shall carry it with them at all times while deployed.
(4) Unless specified elsewhere in this contract, the Contractor is responsible for all other support required for its personnel engaged in the USAFRICOM area of

Attachment l
Class Deviation 2016-00008
Contractor Personnel Performing in the USAFRICOM AOR
responsibility under this contract.
(d) Compliance with laws and regulations.
(1) The Contractor shall comply with, a?d _ s_hall ensur? ?hat i?s personnel performing in the USAFRICOM area of responsibility are familiar with and comply with, all applicable-
(i) United States, host country, and third country national laws;
(ii) Provisions of the law of war, as well as any other applicable treaties and international agreements;
(iii) United States regulations, directives, instructions, policies, and procedures; and
(iv) Orders, directives, and instructions issued by the Combatant Commander, including those relating to force protection, security, health, safety, or relations and interaction with local nationals.
(2) The Contractor shall institute and implement an effective program to prevent violations of the law of war by its employees and subcontractors, including law of war training in accordance with paragraph (e)(l)(vii) of this clause.
(3) The Contractor shall ensurn that all contractor personnel are aware?
(i) Of the DoD definition of"sexual assault" in DoDD 6495.01, Sexual Assault Prevention and Response Program;
(ii) That the offenses addressed by the definition are covered under the Uniform Code of Military Justice (see paragraph (e)(2)(iv) of this clause). Other sexual misconduct may constitute offenses under the Uniform Code of Military Justice, Federal law, such as the Militaiy Extraterritorial Jurisdiction Act, or host nation laws; and
(iii)
That the offenses not covered by the Uniform Code of Military Justice may nevertheless have consequences for the contractor employees (see paragraph (h)(l) of this clause).
(4) The Contractor shall report to the appropriate investigative authorities, identified in pai?agraph (d)(6) of this clause, any alleged offenses under-
(i) The Uniform Code of Military Justice (chapter 47 of title 10, United States
Code) (applicable to contractors serving with or accompanying an armed force in the field during a declai?ed wai? or contingency operations); or

(ii) The Militaiy Extraterritorial Jurisdiction Act (chapter 212 of title 18, United States Code).
(5) The Contractor shall provide to all contractor personnel who will perform work on a contract in the deployed area, before beginning such work, information on the following:

(i) How and where to report an alleged crime described in paragr aph (d)(4) of this clause.
(ii) Where to seek victim and witness protection and_ assi?tance available to contractor personnel in connection with an alleged offense described m paragr aph (d)(4) of this clause.
(iii)This section does not create any rights or privileges that are not authorized by law or DoD policy.
(6) The appropriate investigative authorities to which suspected crimes shall be reported include the following-
(i) US Army Criminal Investigation Command at http://www.cid.army.mil/reportacrime .html;
(ii) A.iJ: Force Office of Special Investigations at http://www.osi.af.mil;
(iii)Navy Criminal Investigative Service at http://www.ncis.navy.mil/Pages/pu blicdefa ult .aspx;
(iv) Defense Criminal Investigative Service at http://www.dodig.mil/HOTLINE/ind ex.html; and
(v) To any command of any supported military element or the command of any base.
(7) Personnel seeking whistleblower protection from reprisals for reporting criminal acts shall seek guidance tlu:ough the DoD Inspector General hotline at 800-424-9098 or www.dodig.mil/HOTLINE /index.html. Personnel seeking other forms of victim or witness protections should contact the nearest military law enforcement office.
(8) The Contractor shall ensure that Contractor employees supporting the U.S. Armed Forces deployed outside the United States are aware of their rights to-
(i) Hold their own identity or immi gr ation documents, such as passport or driver's license;
(ii) Receive agr eed upon wages on time;
(iii)Take lunch and work-breaks;
(iv) Elect to terminate employment at any time;
(v) Identify grievances without fear of reprisal;
(vi) Have a copy of their employment contract in a language they understand;
(vii) Receive wages that are not below the legal in-country minimum wage;

(viii) Be notified of their rights, wages, and prohibited activities prior to signing their employment contract; and
(ix) If housing is provided, live in housing that meets host-country housing and safety standards.

(e) Preliminary personnel requirements.
(1) The Contractor shall ensure that the following requirements are met prior to deploying CAAF and, as specified in the statement of work, non-CAAF (specific requirements for each category will be specified in the statement of work or elsewhere in the contract):
(i) All required security and background checks are complete and acceptable.
(ii) All such personnel deploying in support of an applicable operation?
(A) Are medically, dentally, and psychologically fit for deployment and performance of their contracted duties;
(B) Meet the minimum medical screening requirements, including theater-specific medical qualifications as established by the Geographic Combatant Commander (as posted to the Geographic Combatant Commander's website or other venue); and
(C) Have received all required immunizations as specified in the contract.
(1) During predeployment processing, the Government will provide, at no cost to the Contractor, any military-specific immunizations and/or medications not available to the general public.
(2) All other immunizations shall be obtained prior to arrival at the deployment center.
(3) All such personnel, as specified in the statement of work, shall bring to the USAFRICOM area of responsibility a copy of the U.S. Centers for Disease Control and Prevention (CDC) Form 731, International Certificate of Vaccination or Prophylaxis as approved by the World Health Organization, (also known as "shot record" or "Yellow Card") that shows vaccinations are current.
(iii) Deploying personnel have all necessary passports, visas, and other documents required to enter and exit the USAFRICOM area of responsibility and have a Geneva Conventions identification card, or other appropriate DoD identity credential, from the deployment center.
(iv) Special area, country, and theater clearance is obtained for all personnel deploying. Clearance requirements are in DoD Directive 4500.54E, DoD Foreign Clearance Program. For this purpose, CAAF are considered non-DoD personnel traveling under DoD sponsorship.

(v) All deploying personnel have received personal security training. At a minimum, the training shall-
(A) Cover safety and security issues facing employees overseas;
(B) Identify safety and security contingency planning activities; and
(C) Identify ways to utilize safety and security personnel and other resources appropriately.
(vi) All personnel have received is?lated personnel training, if specifie? ? the contract, in accordance with DoD Instruction 1300.23, Isolated Personnel Tra1mng for DoD Civilian and Contractors.
(vii) Personnel have received law of war training as follows:
(A) Basic training is required for all such personnel. The basic training will be provided through-
(]) A military-run training center; or

(2) A web-based source, if specified in the contract or approved by the Contracting Officer.
(B) Advanced training, commensurate with their duties and responsibilities, may be required for some Contractor personnel as specified in the contract.
(2) The Contractor shall notify all personnel who are not a host country national, or who are not ordinarily resident in the host country, that-
(i) Such employees, and dependents residing with such employees, who engage in conduct outside the United States that would constitute an offense punishable by imprisonment for more than one year if the conduct had been engaged in within the special maritime and territorial jurisdiction of the United States, may potentially be subject to the criminal jurisdiction of the United States in accordance with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3621, et seq.);
(ii) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal jurisdiction also extends to conduct that is determined to constitute a war crime when committed by a civilian national of the United States;
(iii) Other laws may provide for prosecution of U.S. nationals who commit offenses on the premises of U.S. diplomatic, consular, military or other U.S. Government missions outside the United States (18 U.S.C. 7(9));
(iv) In time of declared war or a contingency operation, CAAF and selected non-CAAF are subject to the jurisdiction of the Uniform Code of Military Justice under 10 U.S.C. 802(a)(10);
(v) Such employees are required to report offenses alleged to have been committed by or against contractor personnel to appropriate investigative authorities;

and,
Attachment l
Class Deviation 2016-00008
Contractor Personnel Performing in the USAFRICOM AOR
(vi) Such employees will be provided victim and witness protection and assistance.
(f) Processing and departU,re points. CAAF and, as specified in the statement of work, non-CAAF personnel shall-
(1) Process through the deployment center designated in the contract, or as otherwise directed by the Contracting Officer, prior to deploying. The deployment center will conduct deployment processing to ensure visibility and accountability of contractor personnel and to ensure that all deployment requirements are met, including the requirements specified in paragraph (e)(l) of this clause;
(2) Use the point of departure and transportation mode directed by the Contracting Officer; and
(3) Process through a designated reception site upon arrival at the deployed location. The designated reception site will validate personnel accountability, ensU1?e that specific USAFRICOM area of responsibility entrance requirements are met, and brief contractor personnel on theater-specific policies and procedU1?es.
(g) Personnel data. The Contractor shall-
(1) Use the SPOT web-based system, or its successor, to account for-
(i) Data for all CAAF supporting the U.S. Armed Forces deployed outside the United States.
(ii) All contractor personnel who are United States citizens and thil:d? country nationals, when the personnel will be performing in the USAFRICOM area of responsibility regardless of the length of performance or contract value; and

(iii) All private sectu-ity contractor personnel and their equipment, and all other contractor personnel authorized to carry weapons, when the personnel are performing in the USAFRICOM area of responsibility regardless of the length of performance or contract value.
(2) Enter the required information about then: Contractor personnel and their equipment prior to deployment and shall continue to use the SPOT web-based system at https ://spot.dmdc.mil to maintain accurate, up-to-date information throughout the deployment for all Contractor personnel. Changes to status of individual Contractor personnel relating to their in-theater arrival date and their duty location, including closing out the deployment with their proper status (e.g., mission complete, killed, wounded) shall be annotated withil1 the SPOT database in accordance with the timelines established in the SPOT Business Rules at http ://www.acg.osd.mil/log/PS/cb.? mgt accoun tability.h tml .
(3) The Contractor shall submit to the Contracting Officer for SPOT reporting, not later than the 10th day of each month, an aggregate count of all local national employees performing in the USAFRICOM area of responsibility, by country of peiformance, for 30 days or longer under a contract valued at or above $150,000

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annually. Contractors using local national day laborers shall count each individual hired dtu-ing the 30-day period only once.
(4) For classified contracts, users shall access SPOT at https://spot. dmdc. osd. smil. mil. To obtain access, contact the SPO,T C?stomer Support Team via email: dodhra . beau- alex.dmdc. mbx. spot-helpdesk@mail. mil.
(h) Contractor personnel.
(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any contractor personnel who jeopardize or interfere with mission accomplishment or who fail to comply with or violate applicable requirements of this contract. Such action may be taken at the Government's discretion without prejudice to its rights under any other provision of this contract, including the Termination for Default clause.
(2) The Contractor shall identify all personnel who occupy a position designated as mission essential and ensure the continuity of essential Contractor services during designated operations, unless, after consultation with the Contracting Officer, Contracting Officer's Representative, or local commander, the Contracting Officer directs withdrawal due to security conditions.
(3) The Contractor shall ensure that contractor personnel follow the guidance at paragraph (e)(2)(v) of this clause and any specific Combatant Commander guidance on reporting offenses alleged to have been committed by 01? against contractor personnel to appropriate investigative authorities.
(4) Contractor personnel shall retm?n all U.S. Government-issued identification, including the Common Access Card, to appropriate U.S. Government authorities at the end of their deployment (or, for non-CAAF, at the end of their employment under this contract).
(i) Military clothing and protective equipment.
(1) Contractor personnel are prohibited from wearing militaiy clothing unless specifically authorized in writing by the Combatant Commander or subordinate joint

force commanders. If authorized to wear military clothing, contractor personnel must-
(i) Wear distinctive patches, arm bands, nametags, or headgear, in order to be distinguishable from milita1y personnel, consistent with force protection measm?es; and
(ii) Carry the written authorization with them at all times.
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. . (2) Cor:itractor per?onnel may weai? militar.y-unique organizational clothing and md.ividual eqwpment requ i
red for safety and secunty, such as ballistic nuclear biological, or chemical protective equipment. ' '
(3) The deployment center, or the Combatant Commander, shall issue organizational
clothing and individual equipment and shall provide training, if necessary, to ensure the safety and secm?ity of contractor personnel.

Attachment l
Class Deviation 2016-00008
Contractor Personnel Perfom1ing in the USAFRICOM AOR
(4) The Contractor shall ensure that_ all i?sued organizational cl?thing is retU1?ned to the point of issue, unless otherwise directed by the Contract mg Officer.
(j) Weapons.
(1) If the Contractor requests that its personnel performing in the USAFRICOM area of responsibility be authorized to cany weapons for individual self? defense, the request shall be made through the Contracting Officer to the Combatant Commander, in accordance with DoD Instruction 3020.41. The Combatant Commander will determine whether to authorize in-theater contractor personnel to carry weapons and what weapons and ammunition will be allowed.
(2) If contractor personnel are authorized to cany weapons in accordance with paragraph (j)(l) of this clause, the Contracting Officer will notify the Contractor what weapons and ammunition are authorized.
(3) The Contractor shall ensU1?e that its personnel who are authorized to cany weapons-
(i) Are adequately trained to cany and use them?
(A) Safely;
(B) With full understanding of, and adherence to, the rules of the use of force issued by the Combatant Commander; and
(C) In compliance with applicable agency policies, agreements, rules, regulations, and other applicable law;
(ii) Are not barred from possession of a firearm by 18 U.S.C. 922;
(iii)Adhere to all guidance and orders issued by the Combatant Commander regarding possession, use, safety, and accountability of weapons and ammunition;
(iv) Comply with applicable Combatant Commander, subordinate joint force commander, and local commander force-protection policies; and
(v) Understand that the inappropriate use of force could subject them to U.S. or host-nation prosecution and civil liability.
(4) Whether or not weapons are Government-furnished, all liability for the use of any weapon by contractor personnel rests solely with the Contractor and the Contractor employee using such weapon.
(5) Upon redeployment or revocation by the Combatant Commander of the Contractor's authorization to issue firearms, the Contractor shall ensU1?e that all

Government-issued weapons and unexpended ammunition are retU1?ned as directed by the Contracting Officer.
(k) Vehicle or equipment licenses. Contractor personnel shall possess the required licenses to operate all vehicles or equipment necessa1y to perform the contract in the

r

Attachment 1
Class Deviation 2016-00008
Contractor Personnel Performing in the USAFRICOM AOR
USAFRICOM area of responsibility.
(1) Purchase of scarce goods and services. If the Combatant Commander has established an organization for the USAFRICOM area of responsibility whose function is to determine that certain items are scarce goods or services, the Contractor shall coordinate with that organization local purchases of goods and services designated as scarce, in accordance with instructions provided by the Contracting Officer.
(m) Evacuation.
(1) If the Combatant Commander orders a mandatory evacuation of some or all personnel, the Government will provide assistance, to the extent available, to contractor personnel who are U.S. citizens and third country nationals.
(2) In the event of a non-mandatory evacuation order, unless authorized in writing by the Contracting Officer, the Contractor shall maintain personnel on location sufficient to meet obligations under this contract.
(n) Next of kin notification and personnel recovery.
(1) The Contractor shall be responsible for notification of the employee? designated next of kin in the event an employee dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.
(2) The Government will assist in personnel recovery actions in accordance with DoD Directive 3002.0lE, Personnel Recovery in the Department of Defense.
(o) Mortuary affairs. Contractor personnel who die while in support of the U.S. Armed Forces shall be covered by the DoD mortuary affairs program as described in DoD Directive 1300.22, Mortuary Affairs Policy, and DoD Instruction 3020.41, Operational Contract Support.
(p) Changes. In addition to the changes otherwise authorized by the Changes clause of this contract, the Contracting Officer may, at any time, by written order identified as a change order, make changes in the place of performance or Government? furnished facilities, equipment, material, services, or site. Any change order issued in accordance with this paragraph (p) shall be subject to the provisions of the Changes clause of this contract.
(q) Subcontracts. The Contractor shall incorporate the substance of this clause, including this paragraph (q), in all subcontracts that require subcontractor personnel to perform in the USAFRICOM area of responsibility.
(End of clause)

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000DEFENSEPENTAGON
WASHINGTON, DC 20301-3000
SEP 2 8 2015

In reply refer to
DARS Tracking Number: 2015-00017
MEMORANDUM FOR COMMANDER, UNITED ST A TES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTA T SECRETARY OF THE NAVY
(ACQUISITIO AND PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation- Earned Value Management System Threshold
This class deviation rescinds and supersedes Class Deviation 2015-00015. Effective immediately, the Earned Value Management System (EVMS) compliance review threshold at DFARS 234.201(1)(ii), DFARS provision 252.234-7001, and DFARS clause 252.234-7002 is raised from $50 million to $100 million. In lieu ofDFARS provision 252.234-7001, Notice of Earned Value Management System (APR 2008), and OF ARS clause 252.234-7002, Earned Value Management System (MAY 2011), contracting officers shall use the attached DF ARS provision 252.234-7001, Notice of Earned Value Management System (DEVIATION 2015-O0017)(SEP 2015), and DFARS Clause 252.234-7002, Earned Value Management System (DEVIATION 2015-00017)(SEP 20 I 5), in accordance with the current solicitation provision and contract clause prescriptions at OF ARS 234.203.
This $100 million threshold applies to cost or incentive contracts and subcontracts for which the contractor is required to have an Earned Value Management System that has been determined by the Cognizant Federal Agency (CF A) to be in compliance with the guidelines in the Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748).
For cost or incentive contracts and subcontracts valued greater than $20 million, the contractor is required to utilize an EVMS that complies with the guidelines in the EIA-748 to provide Earned Value Management (EVM) reporting to the progran1 management office. However no EVMS compliance surveillance activities will be routinely conducted by the Defense Contract Management Agency (DCMA) on cost or incentive contracts and subcontracts valued from $20 million to $100 million.
Nevertheless, the Government reserves the right to review the EVMS if the EVM reporting data quality appears suspect, e.g., when a contracting officer, program office, buying

command, or higher headquarters asks for DCMA assistance due to a concern about the quality of EVM data reported on a given contract, or when the EVM data is not in compliance with one or more of the 32 EIA-748 guidelines.
This class deviation is effective until it is incorporated in the DF ARS or is otherwise rescinded. My point of contact is Mr. Mark Gomersall, who may be reached at 571-3 72-6099, or mark.r.gomersall.civ@mail.mil.
Attachment:
As stated
Q;:.:;'?
Director, Defense Procurement
and Acquisition Policy

Attachment

252.234
-7001 Notice of Earned Value System.
As prescribed in 234.203(1), use the following provision:
 NOTICE OF EARNED VALUE MANAGEMENT SYSTEM (DEVIATION 2015-
O0017)(SEP 2015)
(a) If the offeror submits a proposal in the amount of $100,000,000 or more--
(1) The offeror shall provide documentation that the Cognizant Federal Agency (CFA) has determined that the proposed Earned Value Management System (EVMS) complies with the EVMS guidelines in the American National Standards Institute/Electronic Industries Alliance Standard 748, Earned Value Management Systems (ANSI/EIA-748) (current version at time of solicitation). The Government reserves the right to perform reviews of the EVMS when deemed necessary to verify compliance.
(2) If the offeror proposes to use a system that has not been determined to be in compliance with the requirements of paragraph (a)(1) of this provision, the offeror shall submit a comprehensive plan for compliance with the guidelines in ANSI/EIA-748.
(i) The plan shall--
(A) Describe the EVMS the offeror intends to use in performance of the contract, and how the proposed EVMS complies with the EVMS guidelines in ANSI/EIA-748;
(B) Distinguish between the offeror's existing management system and modifications proposed to meet the EVMS guidelines;
(C) Describe the management system and its application in terms of the EVMS guidelines;
(D) Describe the proposed procedure for administration of the EVMS guidelines as applied to subcontractors; and
(E) Describe the process the offeror will use to determine subcontractor compliance with ANSI/EIA-748.
(ii) The offeror shall provide information and assistance as required by the Contracting Officer to support review of the plan.
(iii) The offeror's EVMS plan must provide milestones that indicate when the offeror anticipates that the EVMS will be compliant with the guidelines in ANSI/EIA-748.
(b) If the offeror submits a proposal in an amount less than $100,000,000--
(1) The offeror shall submit a written description of the management procedures it will use and maintain in the performance of any resultant contract to comply with the requirements

of
the Earned Value Management System clause of the contract. The description shall include--
(i) A matrix that correlates each guideline in ANSI/EIA-748 (current version at time of solicitation) to the corresponding process in the offeror's written management procedures; and
(ii) The process the offeror will use to determine subcontractor compliance with ANSI/EIA-748.
(2) If the offeror proposes to use an EVMS that has been determined by the CFA to be in compliance with the EVMS guidelines in ANSI/EIA-748, the offeror may submit a copy of the

documentation of such determination instead of the written description required by paragraph (b)(1) of this provision.
(c) The offeror shall identify the subcontractors (or the subcontracted effort if subcontractors have not been selected) to whom the EVMS requirements will apply. The offeror and the Government shall agree to the subcontractors or the subcontracted effort selected for application of the EVMS requirements. The offeror shall be responsible for ensuring that the selected subcontractors comply with the requirements of the Earned Value Management System clause of the contract.
(End of provision)
252.234
-7002 Earned Value Management System.
As prescribed in 234.203(2), use the following clause:
EARNED VAL
UE MANAGEMENT SYSTEM (DEVIATION 2015-O0017)(SEP 2015)
(a) Definitions. As used in this clause----
"Acceptable earned value management system" means an earned value management system that generally complies with system criteria in paragraph (b) of this clause.
"Earned value management system" means an earned value management system that complies with the earned value management system guidelines in the ANSI/EIA-748.
"Significant deficiency" means a shortcoming in the system that materially affects the ability of officials of the Department of Defense to rely upon information produced by the system that is needed for management purposes.
(b) System criteria. In the performance of this contract, the Contractor shall use--
(1) An Earned Value Management System (EVMS) that complies with the EVMS guidelines in the American National Standards Institute/Electronic Industries Alliance Standard 748, Earned Value Management Systems (ANSI/EIA-748); and

(2) Management procedures that provide for generation of timely, reliable, and v
erifiable information for the Contract Performance Report (CPR) and the Integrated Master Schedule (IMS) required by the CPR and IMS data items of this contract.
(c) If t
his contract has a value of $100 million or more, the Contractor shall use an EVMS that has been determined to be acceptable by the Cognizant Federal Agency (CFA). If, at the time of award, the Contractor's EVMS has not been determined by the CFA to be in compliance with the EVMS guidelines as stated in paragraph (b)(1) of this clause, the Contractor shall apply its current system to the contract and shall take necessary actions to meet the milestones in the Contractor's EVMS plan.
(d) If this contract has a value of less than $100 million, the Government will not make a formal determination that the Contractor's EVMS complies with the EVMS guidelines in ANSI/EIA-748 with respect to the contract. The use of the Contractor's EVMS for this contract does not imply a Government determination of the Contractor's compliance with the EVMS guidelines in ANSI/EIA-748 for application to future contracts. The Government will allow the use of a Contractor's EVMS that has been formally reviewed and determined by the CFA to be in compliance with the EVMS guidelines in ANSI/EIA-748.
(e) The Contractor shall submit notification of any proposed substantive changes to

the EVMS procedures and the impact of those changes to the CFA. If this contract has a value of $100 million or more, unless a waiver is granted by the CFA, any EVMS changes proposed by the Contractor require approval of the CFA prior to implementation. The CFA will advise the Contractor of the acceptability of such changes as soon as practicable (generally within 30 calendar days) after receipt of the Contractor's notice of proposed changes. If the CFA waives the advance approval requirements, the Contractor shall disclose EVMS changes to the CFA at least 14 calendar days prior to the effective date of implementation.

(f)

Th

e Government will schedule integrated baseline reviews as early as practicable, and the review process will be conducted not later than 180 calendar days after--

(1) Contract award;

(2) The exercise of significant contract options; and

(3) The incorporation of major modifications.

During such reviews, the Government and the Contractor will jointly assess the Contractor's baseline to be used for performance measurement to ensure complete coverage of the statement of work, logical scheduling of the work activities, adequate

resourcing, and identification of inherent risks.

(g

) The Contractor shall provide access to all pertinent records and data requested by the Contracting Officer or duly authorized representative as necessary to permit Government surveillance to ensure that the EVMS complies, and continues to comply, with the performance criteria referenced in paragraph (b) of this clause.

(h) When indicated by contract performance, the Contractor shall submit a request for approval to initiate an over-target baseline or over-target schedule to the Contracting Officer. The request shall include a top-level projection of cost and/or schedule growth, a determination of whether or not performance variances will be retained, and a schedule of implementation for the rebaselining. The Government will acknowledge receipt of the request in a timely manner (generally within 30 calendar days).

(i) Significant deficiencies. (1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any significant deficiencies. The initial determination will describe the deficiency in sufficient detail to allow the Contractor to understand the deficiency.

(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies significant deficiencies in the Contractor's EVMS. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.

(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer's final determination concerning--

(i) Remaining significant deficiencies;

(ii) The adequacy of any proposed or completed corrective action;

(iii) System noncompliance, when the Contractor's existing EVMS fails to comply with the earned value management system guidelines in the ANSI/EIA-748;

and
(iv) System disapproval, if initial EVMS validation is not successfully completed within the timeframe approved by the Contracting Officer, or if the Contracting Officer determines that the Contractor's earned value management system contains one or more significant deficiencies in high-risk guidelines in ANSI/EIA-748 standards (guidelines 1, 3, 6, 7, 8, 9, 10, 12, 16, 21, 23, 26, 27, 28, 30, or 32). When the Contracting Officer determines that the existing earned value management system contains one or more significant deficiencies in one or more of the remaining 16

guidelines in ANSI/EIA-748 standards, the Contracting Officer will use discretion to disapprove the system based on input received from functional specialists and the auditor.
(4) If the Contractor receives the Contracting Officer's final determination of significant deficiencies, the Contractor shall, within 45 days of receipt of the final determination, either correct the significant deficiencies or submit an acceptable corrective action plan showing milestones and actions to eliminate the significant deficiencies.
(j) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor's EVMS, and the contract includes the clause at 252.242-
7005, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
(k)
With the exception of paragraphs (i) and (j) of this clause, the Contractor shall require its subcontractors to comply with EVMS requirements as follows:
(1) For subcontracts valued at $100 million or more, the following subcontractors shall comply with the requirements of this clause:
[Co
ntracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected) designated for application of the EVMS requirements of this clause.]
(2) Fo
r subcontracts valued at less than $100 million, the following subcontractors shall comply with the requirements of this clause, excluding the requirements of paragraph (c) of this clause:
[Co
ntracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected) designated for application of the EVMS requirements of this clause.]
(End of clause)

ACQUISITTON,
TECHNOLOGY
ANO LOGISTICS
OFFICE OF THE UND E R S E C RETA RY OF DEFENSE
3000DEFENSEPENTAGON
WASHINGTON, DC 20301-3000

I ,A 1 3 2014
In reply refer to
DARS Tracking Number: 2014-00011
MEMORANDUM FOR COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (A TIN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTA T SECRETARY OF THE ARMY
(PROCUREME T)
DEPUTY ASSIST ANT SECRETARY OF THE NA VY
(ACQUISITION AND PROCUREMENT)
DEPUTY ASSIST ANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation-D etermination of Fair and Reasonable Prices When Using Federal Supply Schedule Contracts
Effective immediately, contracting officers shall comply with the following policy, in lieu of FAR 8.404(d), Pricing, when using Federal Supply Schedules. This class deviation clarifies that ordering activity contracting officers are responsible for making a determination of f air and reasonable pricing when using Federal Supply Schedules.
8.404(d) Pricing. (DEVIATION)
Supplies offered on the schedule are listed at fixed prices. Services offered on the schedule are priced either at hourly rates, or at a fixed price for performance of a specific task (e.g., installation, maintenance, and repair). GSA has determined the prices of supplies and fixed-price services, and rates for services offered at hourly rates, to be fair and reasonable for the purpose of establishing the schedule contract. GSA's dete1mination does not relieve the ordering activity contracting officer from the responsibility of making a detem1ination of fair and reasonable pricing for individual orders, BP As, and orders under BP As, using the proposal analysis techniques at 15.404-1. The complexity and circumstances of each acquisition should determine the level of detail of the analysis required.
This class deviation remains in effect until incorporated in the DF ARS or otherwise rescinded. My point of contact is Mr. Mark Gomersall who may be reached at 571-372-6099, or at Mark.R.Gomersall.civ@mail.mil. J 1
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Director De rement
and Acquisiti icy

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
.U?} 14 2014
In reply refer to
DARS Tracking Number: 2014-00007
MEMORANDUM FOR COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY

(PROCUREMENT)
DEPUTY ASSIST ANT SECRET ARY OF THE NA VY
(ACQUISITION AND PROCUREMENT)
DEPUTY ASSIST ANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation- Prohibition on the Use of the 8(a) Business Development Program for Acquisition of Military Simulation and Military Simulation Training

Effective January 30, 2014, in accordance with the Stipulation and Agreement of Settlement in DynaLantic Corporation v. United States Department of Defense, et al., No. 95-2301 (EGS)(D.D.C.) (DynaLantic v. Department of Defense) approved by the Court on January 30, 2014 (Attachment), contracting officers are prohibited from awarding "prime contracts under the Section 8(a) program (competitive and sole source) for the purchase of military simulation and military simulation training contracts .... 'Military simulation' and 'military simulation training' contracts are contracts for (i) the provision or sale of devices where the primary purpose of the device or devices is instruction for the use, operation and/or maintenance of military equipment of any nature or kind (including, but not limited to, aircraft, ships, tanks, etc.), and (ii) the training in the use, operation or maintenance with all military simulator equipment." Accordingly, contracting officers shall not use FAR subpart 19.8, Contracting with the Small Business Administration (The 8(a) Program), in the case of such procurements.

The injunction entered by the Cou11 in its August 15, 2012, decision and order, as modified by the Stipulation and Agreement of Settlement, remains in effect. The modifications are described in this class deviation. The memorandum from the Director of Defense Procurement and Acquisition Policy, dated August 22, 2012, subject: "Immediate Cessation of Small Business Development Progran1 (8(a) Program) Procurement Contracts for Military Simulators or Services m the Military Simulator Industry," advised addressees of the decision, provided instructions effective August 15, 2012, based on the decision, and included as attachments the Court's decision and order dated August 15, 2012.

This class deviation remains in effect until further notice. My point of contact is Ms. Lee Renna, who may be reached at 571-372-6905, or at marylee.renna.civ@mail.mil.

Attachment:
As stated

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Director. Defer{se PyLcurement
and Acquisition/Policy

Case 1:95-cv-02301-EGS Document 260 Filed 01/31/14 Page 1 of 5
OARS Tracking Number: 2014-00007
Attachment
UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLUMBIA
FILED
DYNALANTIC CORP.,
JAN 3 1 2014
?ieik. LJ & Oi?1rict & fscil1k, 1JPtC)
, :01,rts to-? the OiEtriu o: Columo,,* Plaintiff,
v.
UNITED STATES DEPARTMENT OF
DEFENSE, et al.,

Defendants.
Civil Action No. 95-2301-EGS
STIPULATION AND AGREEMENT OF SETTLEMENT
WHEREAS, by Order entered on August 15, 2012, the Court denied in part and granted in part the parties' respective motions for summary judgment, and ordered '''that the Small Business Administration and the Department of Defense are hereby enjoined from awarding procurements for military simulators under the Section 8(a) program without first articulating a strong basis in evidence for doing so" [ECF Document 247]; and
WHEREAS, Plaintiffs appeal from the Court's August 15, 2012 Order is currently pending before the United States Court of Appeals for the District of Columbia Circuit in Case No. 12-5330; and
WHEREAS, the parties have agreed to settle this case on the terms and conditions set forth herein.

NOW, THEREFORE, Plaintiff and Defendants stipulate and agree as follows:
I. Subject to the Court's approval, the injunction entered by the Court in its August 15, 2012 Order shall be modified to read as follows: ''Defendants shall not award prim? contracts under the Section 8(a) program (competitive and sole source) for the purchase of military simulation and military simulation training contracts without first articulating a strong basis in evidence for doing so. "Military simulation' and 'military simulation training' contracts are contracts for (i) the provision or sale of devices where the primary purpose of the device or devices is instruction for the use, operation and/or maintenance of military equipment of any nature or kind (including, but not limited to, aircraft, ships, tanks, etc.), and (ii) the training in the use, operation or maintenance with all military simulator equipment.,. The injunction, as so modified, shall not apply to contracts already in effect as of the date this Stipulation and Agreement of Settlement is signed by Plaintiff and Defendants.
2. The provisions contained in this Paragraph are contingent upon the Court's approval of the modifications to its injunction set forth in Paragraph I above, and shall become effective only upon the Court?s entry of this Stipulation and Agreement as a Court order:
A. Defendants shall pay Plaintiff the sum of One Million and 00/100 Dollars ($1,000,000.00) in full and final satisfaction of Plaintiffs claims for attorney's fees, costs, and other litigation expenses on account of (i) this action from its inception up to the date this Stipulation and Agreement of

Settlement is signed by Plaintiff and Defendants, (ii) Plaintiffs pending appeal in D.C. Circuit Case No. 12-5330, (iii) Defendants' appeal in D.C. Circuit Case 12-5329, (iv) Plaintiffs appeal in D.C. Circuit Case No. 96-5260, and (v) Plaintiffs petition for writ of mandamus in D.C. Circuit Case No .. 12-5220, and Defendants shall have no further liability for any such fees, costs, or expenses. Payment shall be made as promptly as practicable, consistent with the nonnal processing procedures followed by Defendants, the Department of Justice, and the Department of the Treasury,

by electronic transfer of funds as specified in instructions provided to
Defendants' counsel by Plaintiffs counsel in writing.
B. Plaintiff shall promptly dismiss its pending appeal in D.C. Circuit Case No.
12-5330.
C. Defendants shall refrain from seeking to vacate the injunction entered by
the Court in this
case for a period of at least two years after the date on
which this Stipulation and Agreement of Settlement is signed by Plaintiff
and Defendants. At any time after the expiration of that two-year period,
Defendants may give notice to the Court and to Plaintiff of Defendants'
intent to begin re-using the Section 8(a) program for military simulation
and military simulation training contracts. Such notice (i) shall be in
writing, (ii) shall be given at least thirty days prior to the date on which
Defendants propose to begin such contracting activities, and (iii) shall be
3

Case 1:95-cv-02301-EGS Document 260 Filed 01/31/14 . Page 4 of 5
OARS Tracking Number: 2014-00007
Attachment
filed and served through the Court" s electronic case filing system or as
otherwise permitted by the Federal Rules of Civil Procedure and the
local civil rules. The injunction shall remain in effect until further action is
taken by the Court modifying or dissolving it.
3. Except as expressly set forth herein, Plaintiff reserves all of its rights (i)
with respect to the injunction entered by the Court in this case, and (ii) to oppose any
request to vacate the injunction.
4. If Plaintiff at any time believes that any contracting action or proposed
contracting action by Defendants has violated or would violate the Court's injunction,
Plaintiff shall notify Defendants of the alleged violation and Defendants shall then have
ten days to cure the violation or otherwise respond to the claim. The parties shall make a
good faith effort to resolve any dispute arising from or regarding the injunction's scope or
applicability before bringing the dispute to the Court's attention.
5. The Court shall retain jurisdiction over this case.
6. Each signatory hereto represents and warrants that he is fully authorized to
enter into this Stipulation.
4

Case 1:95-cv-02301-EGS Document 260 Filed 01/31/14 Page 5 of 5
OARS Tracking Number: 2014-00007
Attachment
IN WITNESS WHEREOF, Plaintiff and Defendants, intending to be legally
bound, have executed this Stipulation on this 28th day of January 2014.
I? E. 2;>?"""'
MICHAEL E. ROSMAN
D.C. Bar #454002
Center for Individual Rights
1233 20th St. N.W., Suite 300
Washington, D.C. 20036
(202) 833-8400
Counsel for Plaintiff
5
JOCELYN SAMUELS

Acting Assistant Attorney General
Civil Rights Division
United States Department of Justice
RONALD C. MACHEN Jr.
United States Attorney
District of Columbia
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DANIELF. VAN HORN
D.C. Bar #924092
Chief, Civil Division
United States Attorney's Office
555 Fourth St., N.W. - Room E4226
Washington, D.C. 20530
(202) 252-2506
Counsel for Defendants

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
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In reply refer to
OARS Tracking Number: 2013-00018
MEMORANDUM FOR COMMANDER, UNITED ST A TES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(ACQUISITION AND PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation-Past Performance Evaluation Thresholds and Reporting
Requirements
Effective immediately, all contracting officers shall comply with the attached language, in lieu of FAR 15.304(c)(3)(i) and 42.1502, when collecting and using past performance information. This class deviation updates the DoD thresholds that identify when contracting officers must evaluate a contractor's performance.
The Guidance for CPARS, dated September 2013, includes revisions to the categorization of "fuels" and "health care." These two categories previously were listed separately in Table 1 of the Guidance. The threshold for "fuels" has been raised to $5,000,000 and is included under the "operations support" business sector. The threshold for "health care" has been raised to "$1,000,000, and is included under the "services" business sector.
This class deviation requires past performance reporting for contracts awarded under FAR subpart 8.7, Acquisition from Nonprofit Agencies Employing People Who are Blind or Severely Handicapped, when the thresholds in this class deviation are exceeded, and it applies these thresholds to reporting requirements for FAR subpart 8.6, Acquisition from Federal Prison

Industries, Inc. The thresholds in this class deviation also apply to reporting requirements for individual task or delivery orders, when past performance evaluations are required for orders by FAR subpart 42.15.
Contracting officers are encouraged to manually register and complete assessment reports on science and technology contracts and delivery/task orders under budget accounts 6.1 (basic research), 6.2 (applied research), and 6.3 (advanced technology development) over $1,000,000,

con
sistent with the threshold for services, although the completion of past performance evaluations is not mandatory for these types of contracts.
This class deviation supersedes Class Deviations 2012-O0017 and 2012-O0018. This class deviation is effective upon signature, and remains in effect until incorporated in the FAR or DFARS or otherwise rescinded. My point of contact is Sandra Ross, who may be reached at 703-695-9774, or sandra.k.ross28.civ@mail.mil.
Attac
hment:
As stated
Director, De
andAcq

Attachment
DARS Tracking Number 2013-O0018
Class Deviation--Past Evaluation Thresholds and Reporting Requirements
Revised past performance thresholds to be used in lieu of the thresholds at FAR 15.304(c)(3)(i) and 42.1502(b):
215.304 Evaluation factors and significant subfactors (DEVIATION).
(c)(3)(i) In lieu of the threshold specified at FAR 15.304(c)(3)(i), except as provided at FAR 15.304(c)(3)(iii), evaluate past performance in source selections for negotiated competitive acquisitions as follows:
(A)
For systems and operations support acquisitions expected to exceed $5,000,000;
(B) For services and information technology acquisitions expected to exceed $1,000,000; and
(C) For ship repair and overhaul acquisitions expected to exceed $500,000.
242.1502 Policy (DEVIATION).
In lieu of the threshold specified at FAR 42.1502(b), 42.1502(c), and 42.1502(d), except as provided at FAR 42.1502(e), (f), and (h), prepare an evaluation of contractor performance as follows:
(i)
For systems and operations support contracts that exceed $5,000,000;
(ii) For services and information technology contracts that exceed $1,000,000; and
(iii) For ship repair and overhaul contracts that exceed

$500,000.
NOTE: The Governmentwide CPARS guidance lists various business sectors. DoD includes health care under the services business sector and includes fuels under the operations support business sector.

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ACQ UISITION ,
T ECHNO L OGY
AN D LOG ISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON , DC 20301 -3000
'UG 3 O 2013
In reply refer to
OARS Tracking Number: 201 -00017
MEMORANDUM FOR COMMANDER , UNITED STATES CENTRAL COMMAND (ATTN: JOINT THEATER SUPPORT CONTRACTING COMMAND)
COMMANDER , UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER , UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (ACQUISITION AND PROCUREMENT)
DEPUTY ASSIST ANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation - Contractor Demobilization
Effective immediately , contracting officers shall use the attached clause in all solicitations and contracts with performance in Afghanistan , except solicitations and contracts for commodities.
This class deviation remains in effect ?until it is incorporated in the DFARS , or is otherwise rescinded. My point of contact is Ms. Barbara J. Trujillo , who may be reached at 571-256-7010 , or at barbara .j.truillo2 .civ@mail.mil.
Jc~
Director , rocurement
and Acqms1t n olicy
Attachment:
As stated

Attachment
OARS Tracking Number 2013-00017
Class Deviation-Contractor Demobilization
252.225-7998 Contractor Demobilization. (DEVIATION 2013-00017)
Insert the following clause in all solicitations and contracts with performance in Afghanistan, except solicitations and contracts for commodities:
CONTRACTOR DEMOBILIZATION
(DEVIATION 2013-00017) (AUGUST 2013)
(a) Generally, the Contractor is responsible for demobilizing all of its personnel

and equipment from the Afghanistan Combined Joint Operations Area (CJOA).
(b) Demobilization plan. The Contractor shall submit a demobilization plan to the Contracting Officer for approval a minim1tm of 120 calendar days prior to the end of the current contract performance period or as otherwise directed by the Contracting Officer. Upon acceptance of the demobilization plan by the Contracting Officer, the demobilization plan becomes a material part of the contract and the Contractor agrees to fully perform its demobilization in accordance with that plan. The demobilization plan shall address the items specified in this clause and must demonstrate the Contractor's plans and ability to remove its personnel and equipment from the CJOA and to return Government property no later than 30 days after the expiration of the current period of performance.
(c) Demobilization plan implementation. Every 30 calendar days after incorporation of the plan into the contract, or as otherwise directed by the Contracting Officer, the Contractor shall provide written information to the Contracting Officer and Contrac?g Officer Representative that addresses the Contractor's progress in implementing the plan. The Contractor shall continue to provide the information in the preceding sentence until the Contractor has completely and properly demobilized. If the Contracting Officer or Contracting Officer Representative identifies deficiencies with the plan, as approved, or with the implementation of that plan, the Contractor shall submit a corrective action plan (CAP) to those officials within five calendar days to remedy those deficiencies. The Contracting Officer shall review the CAP within five calendar days to determine whether the CAP is acceptable. Upon approval by the Contracting Officer, the CAP becomes a material part of the demobilization plan.
(d) Plan contents
(1) The plan shall identify the method of transportation (air, ground) the Contractor intends to use to remove its personnel and equipment from the CJOA and whether that method of transportation is Government or Contractor-furnished. If Government-furnished transportation is authorized, the plan must identify the

contract term or condition which authorizes Government transportation of the personnel and equipment associated with this contract.
(2) The plan shall identify the number of Contractor personnel to be demobilized by category (U.S. citizens, Third Country Nationals (TCN), Local Nationals (LN)) and, for U.S. and TCN personnel, identify the point of origin or home country to which they will be transported and the timeline for accomplishing that objective. If U.S. or TCN employees have authorization to remain in the CJOA after completion of demobilization, the plan shall identify the name each individual, their nationality, their location in the CJOA, and provide a copy of the authorization. The plan shall also identify whether the Contractor needs the Contracting Officer to extend the Letters of Authorization (LOA) for any Contractor personnel to execute the demobilization plan.
(3) The plan shall identify all Contractor equipment and the timeline for accomplishing its demobilization. The Contractor shall identify all equipment, whether or not it is covered by CJTSCC Acquisition Instruction Clause "Inbound/ Outbound Cargo and Contractor Equipment Census." The plan shall also specify whether the Contractor intends to leave any equipment in the CJOA, a list of all such equipment, including its location, and the reason(s) therefor.
(4) The plan shall identify all Government property provided or made available to

the Contractor under this contract or through any separate agreement or arrangement (e.g., Installation Mayors, Garrison Commanders). The plan shall also identify the timeline for vacating or returning that property to the Government, including proposed dates for conducting joint inspections.
(e) Demobilization requirements:
(1) The Contractor shall demobilize and return its personnel to their point of origin or home country according to the approved demobilization plan.
(2) The Contractor is not authorized to use Government-furnished transportation unless specifically authorized in this contract.
(3) The Contractor may request an extension of the LOAs only for those Contractor personnel whose presence is required to execute the approved demobilization plan. The Contractor shall submit its request no later than 30 calendar days prior to the expiration of the current period of performance. LO As may only be extended for a period up to 30 calendar days after expiration of the current performance period. The request shall contain the following information:
(i) The names of each individual requiring an extension.

(ii) The required extension period.
Attachment
OARS Tracking Number 2013-00017
Class Deviation-Contractor Demobilization
(iii) The justification for each extension (e.g., the specific function(s) the individual will perform during the demobilization period). The Contractor is not entitled to any additional compensation if LO As are extended.
(4) The Contractor shall close out their employees deployments with the proper status entered into the Synchronized Pre-Deployment Operational Tracker (SPOT) database (e.g. active, redeployed, no-shows, killed, injured) within 72 hours of their employee's re-deployment and, if applicable, release their personnel in SPOT.
(5) All Contractor equipment that is lost, abandoned or unclaimed personal property that comes into the custody or control of the Government after the demobilization period has ended may be sold or otherwise disposed of in accordance with 10 U.S.C. section 2575. Notwithstanding the previous sentence and the Government's authority under 10 U.S.C. section 2575, the Government may exercise any other contractual rights for the Contractor's failure to perform in accordance with its demobilization plan.
(6) If the Contractor waives its interest to all lost, abandoned or unclaimed personal property, the Contractor may still be liable for all costs incurred by the Government to remove or dispose of the abandoned property.
(7) The Government may dispose of any and all lost, unclaimed, or abandoned personal property in accordance with 10 U.S.C. section 2575.
(8) The Contractor shall return all Government property provided or made available under this contract or through any separate agreement. The Contractor shall report all lost or damaged Government property in accordance with DFARS 52.245-l(h) unless other procedures are identified in the contract or separate agreement. If the Government inspects the property and finds that damages or deficiencies have not been reported by the end of the demobilization period, the Government may reduce payments under the contract by the amounts required to correct the damages or deficiencies or replace the loss.
(9) The Contractor is liable for all cleanup, clearing, and/or environmental remediation expenses incurred by the Government in returning a Government facility to its original condition. If damages or deficiencies are discovered during the inspection of said facility, the Contractor shall make the necessary repairs or

corrections and then notify the Installation Mayor, Garrison Commander, or their designees to arrange for a re-inspection of the facility. If the Installation Mayor or Garrison Commander inspects the facility and finds that damages or deficiencies

have not been repaired or corrected by the end of the demobilization period, the Government may reduce payments under the contract by the amounts required to correct the damages or deficiencies.
(10) The Contractor shall ensure that all employees, including all subcontractor employees at all tiers, return installation and/or access badges to the local Access Control Badging Office for de-activation and destruction according to the approved demobilization plan. The Contractor shall submit a Badge Termination Report to ensure each record is flagged and the badge is revoked. If an employee's badge is not returned, the Contractor shall submit a Lost, Stolen or Unrecovered Badge Report to the appropriate Access Control Badging Office. Contractor employees in possession of a Common Access Card (CAC) shall be responsible for turning in the CAC upon re-deployment through a CONUS Replacement Center in the United States. Failure to comply with these requirements may result in delay of final payment.
(t) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (t), in all subcontracts.
(End of Clause)

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
JUL 2 4 2012
In reply refer to
DARS Tracking Number: 2012-00013
MEMORANDUM FOR COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STA TES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NA VY
(ACQUISITION AND PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation-DCAA Policy and Procedure for Sampling Low-Risk Incurred Cost Proposals
Effective immediately, for the purposes of satisfying the audit requirements at FAR 4.804-5(a)(l 2), 42. 705-1 (b)(2), and 42. 705-2(b)(2)(i), Department of Defense contracting officers shall continue to rely on either a DCAA audit report or a DCAA memorandum documenting that, based on a risk assessment and a proposal adequacy evaluation pursuant to

FAR 42.705-1 (b)(l)(iii), DCAA deemed the incurred cost proposal to be low-risk and did not select it for further audit in accordance with the attached DCAA Policy dated July 6, 2012. This DCAA policy represents a continuation of a risk-based sampling process in use since 1994. It remains a prudent use of resources and contains adequate safeguards against unacceptable risk, while still ensuring that the contracting officer will have all the information needed for contract closeout.

This deviation remains in effect until it is incorporated into the FAR or DF ARS or is otherwise rescinded. My point of contact is Mr. Mark Gomersall who may be reached at 571-372-6099, or mark.gomersall@osd.mil.

Attachment:
As stated

OFFICE OF THE DIRECTOR
DEFENSE CONTRACT AUDIT AGENCY
DEPARTMENT OF DEFENSE
8725 JOHN J. KINGMAN ROAD, SUITE 2135
FORT BELVOIR, VA 22060-6219

Attachment, Page 1 of 4

July 6, 2012

MEMORANDUM FOR DIRECTOR, DEFENSE PROCUREMENT AND ACQUISITION POLICY

SUBJECT: Modification of DCAA Process for Sampling Low-Risk Incurred Cost Proposals

As coordinated with your office, enclosed are our policies and procedures for sampling low-risk incurred cost proposals. The policies and procedures will be implemented upon your issuance of the related Class Deviation. We believe this ?process will provide for a more effective oversight approach without significantly increasing risk to the Government. Should you have any questions, please contact me at (703) 767-3200.

Enclosure:
Policy and Procedures

??
f Patrick J. Fitzgerald
Director

Attachment, Page 2 of 4

DCAA Policy and Procedures for
Sampling Low-Risk Incurred Cost Proposals

POLICY

All incurred cost proposals should be evaluated upon receipt for adequacy, in accordance with FAR 52.216-7, using the DCAA Incurred Cost Proposal Adequacy checklist. If the incurred cost proposal is not adequate and the deficiencies cannot be remedied with minor effort, the proposal will be returned to the contractor with written instructions on required corrective actions, in accordance with CAM Chapter 6.

All adequate annual incurred cost proposals exceeding $250 million in auditable dollar value (ADV) will be audited. All other incurred cost proposals received and determined to be adequate will be assessed for risk. All adequate high-risk proposals will be audited.

To address the current significant backlog, low risk adequate annual incurred cost proposals (using criteria below) submitted by contractors with auditable dollar value (ADV) of $1 million or less and received prior to October 1, 2011, will not be selected for audit. A Memorandum for Contracting Officer will be issued as discussed in the following paragraphs.

CRITERIA FOR CLASSIFICATION OF PROPOSALS TO HIGH-RISK AND LOW?

RISK POOLS

For all proposals with $250 million or less in ADV, FAOs should classify risk as high or

low for all adequate incurred cost proposals on hand where an audit (field work) has not been started, using the criteria specified below:

Low Risk Proposal Criteria

* We have prior incurred cost audit experience (i.e., an incurred cost audit has been performed).
* No significant audit leads or no other significant risk has been identified (any known business system deficiencies that would have a significant impact on the final indirect rate proposal for this FY, significant risk identified by the contracting officer, etc.).
* No prior significant total exception dollar reported in the last year audited.

Significant exception dollars are defined by strata in the table below:

Low-Risk Adequate Proposals by Auditable Dollar Value (ADV)	Amount of Previous Exception Dollars (including Corporate, Home Office, etc) Classified as Si20ificant (eov. imoact)
$IM or less	$15,000
$IM to $15 Million	$25,000
$15M to $50 Million	$55,000
$50 Million to $250 Million	$100,000

July 6, 2012

ENCLOSURE

DCAA Policy and Procedures for
Sampling Low-Risk Incurred Cost Proposals

LOW-RISK SAMPLING PERCENTAGES

Low-risk proposals will be selected for audit using sampling techniques based on the guidance below. An adequacy evaluation must be perfonned prior to designating a proposal as low risk. No other audit procedures will be applied to the remaining low-risk proposals not selected for audit.

Low-Risk Adequate Proposals by Auditable Dollar Value (ADV)	Low-Risk Sampling Perceot?es
$IM or less received after 9/30/2011	1%
$IM to $50 Million	5%
$50 Million to $100 Million	10%
$100 Million to $250 Million*	20%
Greater than $250 Million	100%

* A mandatory incurred cost audit will be perfonned once every three years for all proposals greater than $100 million up to $250 million. If a contractor does not have a proposal selected for audit in the 20 percent sample in a three-year cycle, the F AO shall select a proposal for audit the third year after the last audit. This selection is in addition to those incurred cost proposals selected for audit in the 20 percent sample for any given Government fiscal year.

CLOSURE METHODS TO BE USED FOR PROPOSAL CONSIDERED LOW-RISK NOT SELECTED FOR AUDIT

The following procedures will be perfonned on the propos?als in the low-risk pool that were not selected in the sample for audit:

* Issue a Memorandum for Contracting Officer, including the key steps perfonned from the adequacy checklist (see enclosed profonna adequacy determination letter).
* Low-risk proposals not selected in the sample for audit should be closed with disposition code "N -Assignment completed but no formal report issued" as of the date of the memorandum to the contracting officer. The proposal ADV should be reported in the dollars examined field so that the Agency can detennine the value of incurred cost proposals that were not audited. Costs questioned and total exception dollars will be reported as zero. The Audit, Desk Review, or No Audit field entry will be "N = No Audit" and the Audit Determined/Negotiated field entry will be "N = Negotiated."

PROCEDURES

* Upon receipt of this guidance, the FAO should identify all incurred cost proposals on hand for which the audit has not started.

* Perform an adequacy determination, if not already completed.
* All adequate incurred cost proposals exceeding $250 million in ADV will be audited.
* Proposals less than or equal to $250 million received and determined adequate will be assessed for risk. The auditor will determine whether the remaining incurred cost proposals should be included in the high-risk pool or low-risk pool using the attached risk assessment worksheet.
* All adequate low-risk incurred cost proposals less than or equal to $1 million received prior to October 1, 2011 will not be au.dited or sampled. Draft memorandum to the contracting officer.
* All adequate incurred cost proposals included in the high-risk pool will be audited.
* All other adequate low-risk incurred cost proposals will be randomly selected for audit based on the following initial sampling percentages. Regional offices in coordination with OWD will determine and document sampling plan.

o One percent (1 %) of the incurred cost proposals up to $1 million received after September 30, 2011, and included in the low-risk pool, will be randomly selected for audit.
o Five percent (5%) of the incurred cost proposals of $1 million to $50 million included in the low-risk pool will be randomly selected for audit.
o Ten percent (10%) of the incurred cost proposals of$50 million to $100 million included in the low-risk pool will be randomly selected for audit.
o Twenty percent (20%) of the incurred cost proposals of $100 million to $250 million included in the low-risk pool will be randomly selected for audit. A mandatory incurred cost audit will be performed once every three years.

* Draft a memorandum to the contracting officer for those low-risk proposals not selected for audit unless the F AO has multiple proposals from the same contractor, then follow the procedures below.
* If a contractor has more than one incurred cost proposal in the initial low-risk pool, the following procedures will be used:

o If no proposals for the contractor are selected in the sample for audit, close out all adequate incurred cost proposals that were in the sampling pool for that contractor using the procedures discussed above.
o If one or more proposals are selected in the sample for audit, do not disposition any of the other proposals for the contractor until the audit is completed.

July 6, 2012
? If significant questioned costs are found, audit all other incurred cost proposals that were in the sampling pool for the contractor using multi-year audit techniques.
? If no significant questioned costs are found, close out all other proposals that were in the sampling pool using the procedures discussed above.
ENCLOSURE
Page 3 of3

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFF ICE OF THE UNDER SECRET ARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
.. 'J? 6 ?012
In reply refer to
OARS Tracking Number: 2012-00010
MEMORANDUM FOR COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSIST ANT SECRETARY OF THE NA VY
(ACQUISITION AND PROCUREMENT)
DEPUTY ASSISTA T SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Class Deviation-Prohibition on Collection of Political Information
Effective immediately, contracting officers may not require any entity to submit political information as part of a solicitation or any contract action nor may they use fiscal year 2012 funds to require or recommend the submission of political information.
"Political information" means information relating to political spending, including any payment consisting of a contribution, expenditure, independent expenditure, or disbursement for an electioneering communication that is made by the contractor, any of its partners, officers, directors or employees, or any of its affiliates or subsidiaries to a candidate or on behalf of a candidate for election for Federal office, to a political committee, to a political party, to a third party entity with the intention or reasonable expectation that it would use the payment to make independent expenditures or electioneering communications, or that is otherwise made with respect to any election for Federal office, party affiliation, and voting history. Each of the terms 'contribution', 'expenditure', 'independent expenditure', 'candidate', 'election, 'electioneering communication', and 'Federal office' has the meaning given the term in the Federal Campaign Act of 1971 (2 U.S.C. 431 et seq.).
This deviation implements 10 U .S.C 2335, as added by section 823 of the National Defense Authorization Act of 2012 (Pub. L. 112-81), and it also implements section 743 of the Consolidated Appropriations Act of 2012 (Pub. L. 112-74).
This class deviation is effective upon signature, and remains in effect until it is incorporated in the FAR or OF ARS or is otherwise resc? <led. My point of contact is Dustin Pitsch, who may be reached at 571-372-6090, or dus ? itsch(a),osd ?
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~
Director curernent
and A olicy

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
MAR 3 1 2011
In reply refer to
DARS Tracking Number: 2011-00006
MEMORANDUM FOR COMMANDER, UNITED STATES SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(ACQUISITION AND LOGISTICS MANAGEMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS OF THE DEFENSE AGENCIES
DIRECTORS OF THE DOD FIELD ACTIVITIES
SUBJECT: Utilities Privatization - Class Deviation from FAR Part 31
Contracting officers may use this class deviation when awarding qualified contracts in conjunction with the conveyance of a utility system under 10 U.S.C. ? 2688, "Utility Systems: Conveyance Authority." To qualify for the deviation, a contract must meet the conditions detailed in Attachment A and the Cost Accounting Standards (CAS) Board waiver at Attachment B. The applicability of this deviation extends to all qualified contracts awarded as of August 31, 2010.
This deviation replaces and updates the deviation granted under CPF Tracking Number 2007-000007. The updates include: a statement of which elements of the waiver contractors must meet for each type of situation; a requirement for contractors to meet all the conditions in the waiver; and expansion of the permissible contract types.
The Head of the Contracting Agency shall report to this office (Attention: DPAP/CPF) on a quarterly basis any contracts awarded that use this class deviation. The report, submitted within 30 days of the end of the quarter, shall include, at a minimum, the following information:
1. Contract number
2. Contractor name
3. Date of contract award
4. Amount of contract award
5. Indication of use of CAS waiver as required in Attachment A, Section 1. b.(ii).
This class deviation remains in effect until it is incorporated into the DF ARS or is otherwise rescinded. My point of contact for this issue is Mr. Mark Gomersall, 703-602-0302 or mark.gomersall@osd.mil.
Attachments:
As stated
ense Procurement
sition Policy

Attac hmen t A
Deviation from FAR Part 31 - Contract Cost Principles and Procedures
Section I. General Deviation from FAR Part 31. Thjs deviation app lies to Government contracts awarded in conjunction with the conveyance of a utility system under 10 U.S .C. ? 2688 provided all of the condi tions ljsted in this section are met. This deviation pennits, but does not require, the Head ofthe Contracting Activity (HCA) to waive the requirements of FAR Part 31.
The HCA may excl ude from the contract some or all of the requirements of FAR Part 31 provided all of the following cond itions are met:
a. The contract is one of the following types:
(i) Finn fixed price contracts (FFP);
(ii) Fixed price contracts with economic price adjustment (where the price adjustment is based on an index or estab lished price s, not based on actual costs incurred) (FPEPA); or
(i ii) Fixed price contracts with prospective price redetermination (where the price adjustment is based on actual costs incurred) (FPPPR).
b. The contrac t either:
(i) Is exempt from the application of the Cost Acco unting Standards (CAS); or
(ii) Meets all the requiremen ts of the CAS Board waiver of September 2, 2004, rel ated to contracts entered into under the authority of 10 U.S.C. ? 2688 (erroneously referred to as sect ion 2686).
c. The contract requires that the actua l costs used for purposes of establ ishing the init ial fixed price and any subse quent price submittals:
(i) Meet the lim itat ions specified in Section 2 for any deviation granted from FAR 31.205-20, Intere st and other financial costs ;
(ii) Meet the limitat ions speci fied in Section 3 for any dev iation granted from FAR 31.205-41, Taxes;
(iii) Exclude the types of costs listed at l 0 U.S.C. ? 2324(e) (as it exists on the date of contract award). Any reasonable method of estimat ing such costs is sufficient to meet this requirement ; and
(iv) Exclude the types of costs that are not normally cons idered as reimbursable by the applicable regulatory body that oversees the utility rate determinations of the business segment perfor ming the contract.

d. The contract provides the Government with access to all records related to the accounting practices used to determine the costs and the supporting data for any estimates of unallowable costs.
Section 2. FAR 31.205-20-Jnterest and Other Financial Costs . If a deviation under section I includes a deviation from the requiremen ts at FAR 31.205-20, the following conditions, in addition to those under section 1, must also be met. This deviation perm its, but does not require , the Contracting Officer to waive the requirements of FAR 3 1.205-20.
This deviation applies only when all of the following conclitions, as well as the conditions of section 1, are met:
a. The contracting officer determines , in writing, that:
(i) Allowing the costs will significantly reduce the costs of the United States for the utility services prov ided under the subject contract;
(ii) T he interest costs and directly related financial costs incurred to obtain loans or borrow capital from third-party financial institutions are reasonable based on the particular facts and circumstances involved ; and
(iii) The interest and directly related financia l costs are associated with capita l expenditure s to acquire, renovate , upgrade, and expand utility systems under the

subject utility services contract.
b. The contract states that cost of money is an unallowable contract cost under FAR 3 1.205-10, Cost of money, either during or after the period of the loan for all assets to which the loan relates; and
c. Interest rates used to calculate allowable costs are limited to 600 basis points above the Contra ct Disputes Act interest rate (41 U.S.C. ? 611) in effect at the time the cont ractor makes the capital expenditure.
d. The deviation does not app ly to any imputed interest on the contractor's own funds.
Section 3. FAR 31.205-41 - Taxes. If a deviatio n under section l includes a deviat ion from the requirements of FAR 31.205-41 (b)(I) , the follow ing conditions, in addition to those under section l, must also be met. This deviation permits , but does not require, the HCA to waive the requirements of FAR 31.205-41 (b)(l).
To the maximum extent practical , contracts should be structured in a manner that will not result in a Contribution in Aid of Construction (CIAC) tax. evertheless, the HCA may determine that the CIAC tax is an allowa ble cost provided all of the following conditions, as well as the cond itions of section I, are met:
a Based on the particular facts and circumst ances involved , the HCA determines that incurrence of the CIAC tax is necessary to achiev e the most benefic ial business case for the Government and allowing the CIAC tax will res ult in significant benefits to the Government that outweigh the cost of allowing the tax.

b. The HCA has adequately documented, in writing :
(i) The basis for the DoD detem1ination of fair market value using a generally accepted valuation methodology.
(ii) The basis for the determination that the benefits to the Government outweigh the estimated cost of the tax (this requires an estimate of the expected corporate tax rate of the contractor, the margina l tax liability caused by the CIAC, and the anticipated d ifference in fair market value between the DoD and Internal Revenue Service (IRS) valuations) .
c. The contract linlits the allowable cost to the portion of the actual CIAC tax attributable to the difference between:
(i) The fair market value determinations of DoD using a generally accepted valuation methodology; and
(ii) The fair market value determination of the IRS in assessing the tax.

..
Ms. Deidre A. Lee
Directer, D1ftmt l'rowrem.ent and.
Acquhiticm.Policy
Depattmea:t of Defense
Wuhinston. DC 20301
Dear Ms. Lee:
SEP 2 !l04
Thi, responds to your J)ecemba 19, 2003 letter, and the addjtio.DAl infonnation you provided on April 5, 2004, to the Cost ACCOlJJlmg Standards (CAS) Board, requesting a CAS wmver fcrr comracts entered into \Uldm the authority of 10 U.S.C. 2686, "Utility Sy,tems, Convcy&bCI Authority.*
O:i. September :2., 2004, the CAS Board approved the reqmsted waiver subject fo thrl conditions set forth bl the atr.tched "Enclosure."
In 11antin1 th1I waiver. the ? Board recognize. that the utili1les industry bu a set of established accounting pr*ctices that are used by regulatory authorities to set rates f'or utility

custom.en (e.g.. FER.C, NARU? RUS. or A WWA). The Board believes that the enclosed waiver coa.dltions, which Jnolude reqUiremenu fbr contractors to consirtc:nt1y follow theae established industry accounting pracuces. and to disclose in writing the accounting practices used for allocation of indirect eosts, provides adequate pzotection for the Govemma1t. If any contractor selected for a con.tratt under the abov1 detcribed authority does not agree to the condition& In this waiver. the coniractor will be mbject to CAS reqttirements, provided it ? otherwise satisfies the appropriate CAS applicability criteria.

Please mtorm tlm Office, within ml1lt)' days dl:er the close of each fiscal year? of the extent md use of this waiver.

Siricercly.

~""-~ AntbonyM.~

Member

Endoa:ure

The Cost Accounting Standards are hereby waive4 for contracts enbed into under the authority of 10 U.S.C. 2686., .. Utility Systems, Conveyance Authority" that meet all of the . following conditions:

1. ? The contract is one of the followin; types:

a. ? Finn ?ed price contracts (FFP);

b. Fixed price contracts with economic price adjustment (where the price adjustment is based on an index or established prices, not based on actual costs incurred) (FPBP A); or

c. Fixed price contracts with prospective price redetermination (where the price adjustment is based on actual costs incurred) (FPPPR).

2. The businen segment performing the contract is not. at the time of contract award, currently perfonnblg on.any other contract that is subject to the Cost Accounting Standards.

3. The contract b awarded without the submission of cost or pricing data

4, For contracts that arc- awarded without adequate price competition (regardless of contract type) and for all FPPPR contracts. the contrAct must include a clause that:

a Requires the contractor to prepare the proposal for the initial contract or for the price redetermination using accounting practices that (i) comply with pronouncements of the Federal Energy Regulatory Commission (.FERC), the National Association of R?gulatory Utility Commissioners (NAR.UC), the Rural Utility Service (RUS), or the American. Water Works Association (A WW A) and (ii) are consistent with the contractor's written ond established practices for measuring. assigning, and alloc.ating costs;

b. Requires the contractor to disclose, in writing, its established accounting practices for allocating indirect costs to contracts for which CAS has been waived, and to consistently use those disclosed prac;tices to prepare proposal(s); and

c. Provides for an adjus1JJlent to the contract pri<:e if it is later found that the price was increased because the contractor wed accoun1illg praotic.es that were in noncompliance with FERC. NARUC, RUS, or A WWA, or were inconsistent with lhe contractor's written and established practices. The amoWlt of the adjustment shall be the difference between the contract price that was negotiated and the price that would have been negotiated bad the business unit used complfant accounting practices that were in accordance with FERC. NARUC, RUS, or A WW A, and were consistent with 1hc contractor's 'Written and established practices. _The Oovemment shall be entitled to a

credit or cash recovery (at the Government's option) for the amount of the increased price plus interest. The interest shall be computed from the date the payment by the Govemment mi.til the date of repayment by the contractor. The inte?est rate shall be the rate specified at 26 U.S.C. 662l(a)(2).

S. For FPPPR contracts. the con.tract includes the clause at FAR S2.215-? Audit and Records-Negotiation.
6. For FPPPR contracts, the contract includes the following clause
The actual costs used for purposes of establishing any price predetermination under the contra.et must CKclud.e alt statutory and contractually unallowable costs. The actual costs must also ex.elude the types of costs that are not normally reimbursed by the applicable regulatory body that oversees the utility rate determinations of the business egment performing the contract. Any reasonable method of estimating such costs, including a statistical sample of contractor costs projected to the total cost universe,, is sufficient to meet this re<zU:irement
Should any unallowable costs be included in the negotiated price predetermination. the Government shall be entitled to recover the amount of those unallowable costs plus interest from the date of the predetermination until the date of repayment, in accordance with 26 U.S. C. 6621(a)(2).
7. For FFP and FPEPA contracts (where the price a<ljustment is not based on actual costs incWttd), the contract includes a clause that provides the Contracting Officer and his authorized representative aceess to all relevant contractor records. incluclins but not Ibnited to the accounting practices and cosc records in use at the time of the contract award and at the time of the price rede'termioation.

ACQUISITION,
TECHNOLOGY
AND LOGISTICS
OFFICE OF THE UNDER SECRETARY OF DEFENSE
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000
OCT -8 2010
In reply refer to
DARS Tracking Number: 2011-00002
MEMORANDUM FOR COMMANDER, UNITED SPECIAL OPERATIONS
COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION
COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY
(PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY
(ACQUISITION & LOGISTICS MANAGEMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE
(CONTRACTING)
DIRECTORS, DEFENSE AGENCIES
DIRECTORS, DOD FIELD ACTIVITIES
SUBJECT: Class Deviation- Congressional Notification on Significant Contract Terminations
Effective immediately, contracting officers are authorized to deviate from the requirements at DF ARS 249.7001 to provide congressional notification prior to executing any contract termination involving a reduction in employment of 100 or more contractor employees for contracts with entities that are other than United States firms, which are performed in Iraq and Afghanistan. For purposes of this deviation, a United States firm is one that is incorporated or legally organized in the United States.
This class deviation remains in effect until incorporated into the DF ARS or until

rescinded. My point of contact, Mary Overstreet, may be reached at 703-602-0311, or mary.overstreet@osd.mil.

...,_,W-,,--LJefense Procurement
and Acquisition Policy